

Neuland Labs. (NEULANDLAB)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

August 8, 2022

To

BSE Limited

Phiroze Jeejeebhoy Towers, 25th Floor,

Dalal Street, Mumbai -400 001

Scrip Code: 524558

Dear Sir I Madam, NEVLAND WHERE OPPORTUNITY BECOMES REALITY

Neuland Laboratories Limited

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Scrip Code: NEULANDLAB; Series: EQ

Sub: Transcript of the Earnings call conducted on August 3, 2022

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter ended June 30, 2022, conducted on August 3, 2022. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:

<https://www.neulandlabs.com/investors/investor-updates/announcements/>

This is for your information and records.

Thanking you,

Encl: As above

Registered Office: 11th Floor, (5th Office Level), Phoenix IVY Building, Plot No. 573A-III, Road No.82, Jubilee Hills, Hyderabad-500033, Telangana, India | CIN No. LSSI gSTG 1984PLC004393

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Conference Call "

August 03, 2022

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN & CEO,
NEULAND LABORATORIES LIMITED

MR. SAHARSH DAVULURI - VICE CHAIRMAN &
MANAGING DIRECTOR, NEULAND LABORATORIES
LIMITED

MR. DEEPAK GUPTA - CFO, NEULAND LABORATORIES
LIMITED

MR. SAJEEV EMMANUEL MEDIKONDA - HEAD,
CORPORATE PLANNING & STRATEGY, NEULAND
LABORATORIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Neuland Laboratories Limited Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode.

There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note, that this conference is being recorded. I now hand the conference over to Mr. Diwakar Pingle, from Ernst & Young. Thank you and over to you, sir.

Diwakar Pingle: Thank you, Tanvi. Good evening friends. We welcome you to the Q1 FY23 Earnings Call of Neuland Laboratories Limited. To take us to the results and to answer your questions, we have with us the top management from Neuland, represented by Mr. Sucheth Davuluri - Vice Chairman and CEO; Mr. Saharsh Davuluri – Vice Chairman and Managing Director; Mr. Deepak Gupta – CFO and Mr. Sajeev Emmanuel Medikonda – Head, Corporate Planning and Strategy.

We will start the call with brief overview of the financials by Deepak and then Saharsh will give

you a broad highlight of the business trends and what he is observing in the markets and post this, we will open it to the Q&A session. As usual, the standard safe harbor clause applies as we start the call. With that said, I now hand over the floor to Deepak. Over to you, Deepak.

Deepak Gupta : Thank you very much, Diwakar and a very good evening all friends and very warm welcome to all of you for our Q1 FY23 earnings call. I think that you must have seen the presentation, which Diwakar was just mentioning about and it is put up on our website and also we have uploaded both on BSE as well as on NSE websites. As always, any comments on the content of this presentation, which we have sent will be highly appreciated and we will do our best to give you additional data points which will help you to analyze the data points much better.

I will briefly talk about the financials. The total income for this quarter is Rs. 221.7 crores as against Rs. 202.9 crores in Q1 of FY22. While our performance has improved compared to the last year, we had expected far better. Our EBITDA for the quarter was Rs. 29 crores with EBITDA margins of 13.1% which was almost flat as we compare to the previous year, which was 13.6% and it has decreased by 220 basis points based on a sequential basis. I would like to give some context on the flat EBITDA margins on yearly basis. We continue to experience increased cost structures across the whole value chain, for example, raw material cost, logistics, power and fuel cost, etc. Our focus is more on execution excellence and to optimize cost to ensure integration from the external events that we are facing.

We have also witnessed high manpower costs and other costs arising mostly from unit III commercialization that we did earlier. We continued to maintain high levels of inventory to avoid any future possible disruption due to disruption which are happening globally as of now. I would like to share that our focus on improving the business mix has also led to increase in the

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gross margins. Gross margin was 46.1% in Q1 of FY23 as compared to 41.5% in the last quarter and also 42.4% on Q1 of FY22. Also, we expect this shift portfolio to continue to drive higher gross margins. Profit after tax was at Rs. 9.8 crores as compared to Rs. 8.6 crores last year. This quarter EPS is at Rs. 7.7.

In terms of cash and cash equivalents as on the date of the balance sheet which is June end, it is at Rs. 18.1 crores. We continue to make investments in the future and also for the CAPEX we have spent around Rs. 15 crores in Q1 of FY23 and also if we talk about the CAPEX plan, it is on track and we

with greater commercialization of products which is happening and also for the future commercial prospects. We expect that CMS segment will perform well and it will also help us to do our future innovation as well. I would like to mention that even though we have done substantial CAPEX till date, our net gearing ratio continues to be low. So, as of now, it is at 0.2x. With that, I would like to hand over the call to Mr. Saharsh for his remarks and thank you very much.

Saharsh Davuluri : Thanks, Deepak. Good evening everyone. Just like to add a few comments on top of what Deepak has already said and then maybe we can open it up for Q&A. In terms of the prime business, we did have a very muted quarter. We have done well in products like Levofloxacin, Ciprofloxacin and Labetalol, but I think the product which has been our largest in the prime segment Levetiracetam, which has been doing well for us historically, we have had challenges in this quarter. We believe that this is also because of limited customer offtake, possibly because of high inventory. We expect that the volumes should recover in the coming quarters based on what we have seen historically with a product like this. On the specialty side, we have recorded good growth, which is very encouraging. Products like Donepezil, Salmeterol, Apixaban and Paliperidone have done well for us and that is something we are excited about. These have also helped us in maintaining healthy gross margins.

With regards to CMS, we have clocked around Rs. 69 crores, which is a growth of over 50% year-on-year basis. Here, I would like to point out that our CMS pipeline is growing strongly with a number of molecules moving to commercial stage. We have seen traction across the clinical lifecycle. We have also added 3 new projects in the early stages of the quarter. We have also seen an exclusive development product for our customer go commercial this quarter. The cumulative impact of these developments lead us to believe that they are a harbinger for a higher and more stable CMS revenues in the future.

In terms of the business, as we have already mentioned, we are working with a lot of biotech companies, many of them are US based and our ability to complete challenging last-stage projects is what sets us apart and establishes us as a highly regarded CMO. As a result, we have been putting a lot of effort into accelerating the completion of our projects and, although we have been making steady progress over the past several months, we do continue to face delays in execution, for a variety of reasons. Our customers do understand and comprehend the

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complexity of these projects and they continue to be very supportive of us as we work towards scaling up these New Chemical Entities. I would like to also say that unit III is scaling up successfully. Some of our important late-stage CMS projects are also being ramped up over there as we can see. As these products scale up, unit III's usage has also been driving up gradually and consequently as Deepak has also remarked, unit III has also contributed to rising operational expenses. We also continue to see good traction with both GDS and CMS customers that would help us drive growth in the medium to long term. The potential for the CMS projects, especially in phase 3 for both development and commercial which have been evident in the revenue in this quarter as well as for specialty GDS business gives us the confidence that the long-term business profits remains intact and while the results of the quarter have not been encouraging, we expect to be back on track for growth this year. These are some of the comments that I wanted to share. Maybe, we can now open it up for Q&A, Diwakar and then we will be happy to answer more questions. Thanks.

Moderator: Thank you. We will now begin the question-and-answer session.

The first question is from the line of Mr. Keshav from RakSan Investors. Please go ahead.

Keshav: Good evening sir. Sir, in our presentation, we have mentioned about delays arising in CMS due to technical complexities, can you share some light on the same, what challenges we are facing over there and has that led to any delays in delivery from our end?

Saharsh Davuluri: I think the complexities are quite varied. I think as the molecules we are scaling up our APIs are in phase 3 going into the commercialization and typically, when we are scaling up these molecules, there are a lot of restrictions in terms of our ability to treat the process. There are a lot of restrictions on what kind of analytical methods can be used, there are lot of restrictions on specifications, there are also restrictions on what kind of documentation is needed. What kind of data needs to be generated. So, when we are scaling up these molecules, there are several restrictions that apply towards the scaleup and obviously the scaleup is also successful when you are able to achieve the yields and the costs that are targeted in the project. So, sometimes when we are scaling up these kinds of molecules, we are also referring to the original process that may be the innovator may have developed and sometimes there are minor variations that might come out between the process that we are scaling up versus what the innovator may have originally designed. So, these result in certain challenges either on the chemistry side or on the analytical side or on the engineering side and those are the things that sometimes require us to pause the project, go back to the lab, do some studies and then come back and implement it and sometimes they could add to delays and in a project that is like a phase 3 API or any API that is going to validation, a difficult project from the start to finish takes a year and these kind of challenges could potentially add several weeks to the delay. So, these are broadly some of the challenges we face in the API scaleup phase, particularly from a CMS prospective.

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Keshav: We haven't faced any delays in delivery of the product, right, it is just at the lab end, we are facing some complexities because for phase 3, I reckon there will be time critical, they require it at a particular time?

Saharsh Davuluri: No, this will eventually lead to delay in delivery of the material also because when you are having to go back to the drawing board or you are having to go back to the lab, you are actually pausing the campaign in the plant and once you fix it, then you go back to the plant, so typically it will result in a delay in the campaign.

Sucheth Davuluri: Absolutely, there will be a delay in the campaign, but at the same time we probably know our customer's priorities, their programs, their projects were also undergoing change based on their priorities. So, what you are ensuring that, the delays from our end are really not impacting the timelines of our customers that we are able to make sure that we are just ourselves to still keep the customer programs on schedule and that is where we have been successful.

Moderator: Thank you. The next question is from the line of Mr. Subramanian. K from Alpha Invesco. Please go ahead.

Subramanian. K: Sir, I wanted to understand about the CMS segment, overall, we had a more than 50% growth year over year for this particular quarter and in the commercial segment, we had almost doubled and in the development, we had almost 30% increase in revenue, sir can you break down how the growth will be in each segment and what is the margin in each segment?

Saharsh Davuluri: I think broadly your analysis as it reflects, the growth has come in the overall CMS business, it has come both from the baseline business as well as from the

development business. I think, the baseline business is driven by one of our key CMS molecules that has been doing well over the

last year or two and I think the volumes are continuing to increase. There are multiple products in the baseline, but the growth has been driven by one particular molecule. On the development side, there have been multiple molecules. As we have been mentioning in our comments for the past several quarters, there are several molecules that Neuland is actually going through phase 3 into commercialization. Some of these molecules are going through various phases and whatever revenues we are recognizing in those projects, which are not yet commercial, but are getting scaled up, those are categorized as development revenues. So, it is not necessarily triggered by one molecule, but it is triggered by multiple molecules that are not yet commercial and so that is a kind of how we would analyze the numbers.

Subramanian K: So, regarding the margin, whether the margin differs in the commercial and development?

Saharsh Davuluri: No, I think every molecule has a different margin profile with various dynamics, but broadly speaking, development projects seem to have higher margins than commercial molecules, but they are always different cases.

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Moderator: Thank you. The next question is from the line of Amey from Haitong. Please go ahead.

Amey: I just have one question to the management, in the commercial side, we have added three new products at least what they showed on the PPT, is it possible for you to give further color on these three new projects from the commercial side?

Sajeev: Amey, I think over the last one year as you rightly pointed out that we have had 3 projects moved then from development to commercial. Of them, I think two are NCEs where we are part of the NDA, we are part of the filings, one of which is for antibacterial and antifungal segment and the other is for a broader therapy area and the third molecule is something that we did custom development for a customer who has now commercialized the products with their set of customers. So, these are the 3 molecules, which I can talk about without giving away more information in line with our agreement.

Amey: Just one follow-up, what are the probably timeline for the monetization from the commercial side?

Saharsh Davuluri: I think the way we measure the business Amey, is when we start calling it commercial it means that the molecule, we are ready, the validation is over and we are ready to start commercial supplies, but as you know, in many of these molecules, they have life cycle, right, when in the early stages of commercialization, the volumes are typically low. After 1-2 years maybe they start picking up, years 3 to 5 is when they typically peak. That is the only information we can give because each of these molecules has a different profile and we really don't have specific molecule level clarity which we can share in terms of how we will go, but once they become commercial, the idea is that the volumes will start picking up.

Amey: So, these are recently approved molecules or these are molecules which were already approved, but we got the contract now?

Saharsh Davuluri: So, Sajeev told you about 3, two of them are New Chemical Entities which have been recently approved. One is the older molecule for which Neuland has actually adapted technology and has scaled up. So, two are new and one is old.

Amey: So, at least that the older molecule we should be able to get them phased up quickly, right because it is an old molecule already?

Saharsh Davuluri: No, all three of them we have an indication of how the volumes are likely to pan out, it is just that we would not go into product level explanation of how we expect the volumes to fair up.

Moderator: Thank you. The next

question is from the line of Pramesh, Individual Investor. Please go ahead.

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Pramesh: I have couple of questions, number one is you have seen that your CMS segment is growing, but if you see over the last 3 quarters, the CMS segment has not been growing at all, it has been coming down continuously. If we see that the growth as compared to last year last quarter same time, then it is probably mostly because of the base effect we had supply chain issues at that point of time, so how do I read as an investor in terms of how it is growing in the sense because the GDS is not growing, the CMS as I see is not growing, so as an investor, where do I look for actually in terms of the growth? I understand CMS should be a growing segment, but it is not so actually? That is number one. The debt movement, I would also, I would not use the word erratic, but net debt movement also is completely like, one quarter it goes up, other quarter it goes down, so I am not able to figure it out in terms of a net debt movements, it is Rs 214 crores from March 20 and it has come down and then again it has gone to Rs 212 crores and then again come back to Rs 160 crores now, I think I had asked you this question last quarter also that why the debt has gone up? Now the debt has come down also, that is the net debt obviously, I am not talking

about the debt per se so again that is another question and the last part is , how much depreciation of your third unit plant is still pending to be incorporated as expense? So, these are my 3 questions ?

Saharsh Davuluri: I will answer the first one and ask Deepak to answer the second and the third. I think with regards to your observation about the CMS business, I think it is absolutely valid. I think the business has been volatile in many ways. Yes with regards to Q1 of FY22, it is showing 50% growth, but if you sequentially look at the last 4 or 5 quarters, it actually doesn't indicate a growth not so consistently at least. I think the way I would look at it or rather explain it is our CMS business comprises of both a baseline business as well as a development business. Today, Neuland is a kind of in a phase where we are moving from development projects and we are moving our development projects into commercial projects. So, as Sajeev had answered to the gentleman earlier also , we had talked about molecules which have been commercialized in the last one year. They are molecules which are likely to be commercialized in the next 12 months as well. These molecules are not yet consistently on a quarter -on-quarter contributing to the baseline revenue of Neuland. With regards to the development revenues, the development revenues are fairly volatile because depending on which quarter we execute our project, the revenues of that particular quarter go up or they don't go up. So, we have been experiencing over the last 4 -5 quarters , a situation where we are converting development projects into commercial projects , commercialization has happened. More importantly , we are also executing and continuing to execute more development projects. So, from a progression point of view, we are seeing a healthy progress in development projects, we are also seeing a good conversion of development projects into baseline projects and we are also seeing revenues from that. If you look at it from a quarter to quarter basis, it does show inconsistency, but the way I would look at our CMS business is look at it from a fairly long perspective , look at it over a 15 quarter period and if you look at it over a 15 -20 quarter period, you would actually see that there is progression and as I had also mentioned in the opening remarks, we are still in the early stages of our CMS business where commercialization has still not happened yet and as then when more molecules get Neuland Laboratory

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commercialized , that is when we will actually start seeing more consistent performance in terms of the revenue. So, I think that is the kind of how we would look at it. If you look at it from a slightly broader horizon like 3 to 4 years , you will be able to see growth , you will also be able to see from the disclosures we have made that the number of projects have been consistently increasing , you will also see that molecules have been consistently moving from development to commercialization and we have been very consistent in what we have been sharing. I think at this point of time that is the only information I think we can share and I think our expectation is that this path will take us towards higher growth in CMS. So, that is how I would look at it and maybe I will ask Deepak to answer the second question.

Deepak Gupta : With respect to the net debt, so yes it has substantially come down from Rs. 212 crore to Rs. 160 crores , so it is because of a better cash flow that we have generated in this quarter mainly coming from higher realizations from the debtors as well as we have received the advances from the customer for certain CMS projects. So, overall we have repaid more than Rs. 45 crores to Rs. 50 crores debt back to the lenders , so this has helped us to improve the leverage that we have taken , right , so that is with respect to the debt and with respect to the second question, about how much is the remaining unit III assets that needs to be depreciated , so as of June end roughly around Rs. 225 crores of block needs to be depreciated over the period of time. Definitely , it is like a spread across several years from now. So, still unit III is pretty new in our portfolio and we will see that investments happening in last couple of years to build unit III , so still Rs. 225 odd crores needs to be depreciated over a period of time.

Moderator : Thank you. The next question is from the line of Keval Ashar from DSP Investment Managers. Please go ahead.

Keval Ashar : So, just a few questions, so first as you have mentioned that in FY22 annual report that you will be also focusing on GDS segment for the growth this year , but this quarter we had under performance in GDS, so sir, just wanted to understand have you lost any customer or there were delays in the orders for us?

Sajeev: Keval, to answer your question , when it comes to the GDS business overall it is more in terms of certain customers for products, we see that they have issues in terms of the inventory , but we have not lost any customers , we see their interest in the products like even as Saharsh had mentioned during his opening comments, even though Levetiracetam didn't do well in this quarter , but over a period of time, we see that there are orders and our customers leave the product , I think with respect to this quarter, a product where we didn't do well , but we see that coming back and over the period of time, we will see that in GDS , specialty products , we will also do well and we are quite excited about with products which Saharsh had mentioned with

you is Apixaban and Paliperidone Palmitate as well as Donepezil which are doing very well there. We have seen customers do launches for a novel forms, so I think overall the GDS business

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is expected to grow, but I think this quarter was a little decline around 7% , but that was basically because of reasons which are more with respect to timing.

Keval Ashar : The next question is that if I heard it right, you mentioned that we did Rs 50 crores of expenditure in quarter 1 , so what was this expenditure for? Second is , the total expenditure we have done in unit III till now ? And the third is how much CAPEX are we doing this year? And in coming years how much CAPEX year-on-year do we plan to do?

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Deepak Gupta : In this quarter, we have done CAPEX investment of Rs. 15 crores and unit III out of this Rs. 15 crores is roughly around Rs. 2 crores that is your first question and with respect to how much CAPEX we will do , so we will stick to what we have said earlier , like this year we will be spending close to Rs. 70 crores to Rs. 80 crores in the CAPEX investment for the full year , so out of that, Rs. 15 crores is already a kind of taken care of in this quarter.

Keval Ashar: Another question is , you mentioned, Saharsh specifically mentioned that now we are in a growth trajectory and we plan to grow this year as well , so sir, last year we had a base of Rs. 951 crores of topline in FY22, so this year if you can give any guidance for the growth in topline in FY23?

Saharsh Davuluri: Keval, I think what we have said in the past and in over a period of time, I think in Neuland we have targeted around may be 15% to 20% of average growth over the period of time . I think we have also observed that over FY21 and FY22, we had actually stagnated, we have not grown at all. I think the comment I was making I think is really to indicate that the way things are shaping up and the way this year is and how the future is, I think it is based on these metrics from CMS and GDS side. We expect to get back on track with regards to that growth past that we have been talking about, but I think having said that as you know we don't give guidance. So, we are not really be in a position to give guidance either for FY23 or for the near term, but I think at least we feel that the period of stagnation that we went through, we will break away from that and we should get back on track for growth. I think that is a kind of how we would clarify that.

Keval Ashar: And the last question from my side is that since you mentioned that 15% growth we targeted in the medium term , so CMS given the lower base compared to our other 2 segments as a percentage of revenue , so if we grow our overall revenue at 15%, at what rate , do we expect CMS to grow in midterm?

Saharsh Davuluri: No, I think CMS being the smaller business, I think it contributes only over 30% of our overall revenue. I think its growth is expected to be at a higher rate, but we really would not be able to give you any kind of a breakdown. I think, mathematically , you know it will grow at a higher rate than what the average growth rate of the organization is going to be, but we don't want to give more color to it than that.

Moderator : Thank you , the next question is from the line of Aditya Khemka from InCred PMS. Please go ahead.

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Aditya Khemka: Saharsh, I understand the gross margins this year or this quarter , obviously you had a favorable mix, you had more contribution from CMS relatively versus GDS, but can you talk a little bit about your input cost, how they have behaved quarterly, let us say 4Q 22 versus 1Q 23, are you seeing some cool off in the spot prices, how much inventory of high-priced raw material do you have and when does the lower spot price raw material procurement translate to lower cost for you?

Sucheth Davuluri : Just saying that it is not secret that because of this whole Russia -Ukraine conflict, there has been a lot of volatility especially in the pricing , not so much on the supply of raw materials. On a net basis, we estimated that the impact for this year alone was almost of the amount of about Rs. 45 crores, taking the spot prices into consideration. Notwithstanding that, we have taken a lot of corrective and preventive measures, so that we can mitigate a lot of this impact by working with our customers , getting price increases wherever we can and also taking aggressive steps inside to reduce our cost. So, our goal is and that is what we have said today in the release to our results as well that even though

Q1 saw a significant impact from the pricing in spite of the favorable product mix , for the entire year we do expect our performance to be as per expectations , but those are roughly the contours that was going on.

Aditya Khemka: The only thing I wanted to understand was that , are you seeing any decline in the raw material prices at the spot market or are the raw material prices still as elevated as they were let us say in

4Q?

Sucheth Davuluri : As if now, it has been even split Aditya, we are seeing softening of prices for certain solvents and certain raw materials, whereas for some of the other raw materials, it has actually gone up. However, for the whole year, as compared to where we were, at the beginning of the year, we still expect may be 20% to 25% softening of the prices.

Aditya Khemka: And that is for all your raw material as a basket that 20% to 25% decline in prices?

Sucheth : That is correct.

Aditya Khemka: And how much inventory of raw material do you normally maintain in your business across the 3 segments with a specialty, prime and CMS?

Sucheth : About 30 days, I think that is how much will we will update.

Aditya Khemka: 30 days?

Sucheth : 30 days or 40 days we maintain.

Aditya Khemka: Now coming to the prime API segment right, so in the prime products, you obviously mentioned a few products which did very well for you, but at a basket level, the prime did not do well for

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us, so can you name a couple of products which did not do well because they must have done really bad for the overall segment to decline, despite some of your larger products doing well for you in the basket?

Sucheth : I think Saharsh mentioned this in his opening Aditya, but our biggest impact on the prime segment was Levetiracetam. Levetiracetam is also our largest product in the prime segment and that is what impacted our performance. If we believe it is the combination of reduction in demand as well as some inventory buildup at our customers end, however, when we examine the market for future requirements, we don't see any significant alarms, but as far as Q1 is concerned, the biggest impact was Levetiracetam followed by another product of ours called Mirtazapine, but we do see the demand coming up.

Saharsh Davuluri: I think Levetiracetam has been our largest product over the last 3 -4 years and I think even our 15% decline in volumes on Levetiracetam actually had an impact. So, I think, frankly speaking from GDS point of view, other than the hit in Levetiracetam which we believe and hope is temporary, there is nothing else that causes concern for us at this at this point of time.

Aditya Khemka : Sorry to hop on this, but I have a follow up on this. So, Levetiracetam, the hit will be temporary only if it is driven by an inventory buildup at your customer level where he is sort of rationalizing his inventory, but if it is driven by competitors getting more aggressive or lower pricing and competitors gaining market share from you, then it may not reverse. My concern on Levetiracetam is the Divi's in their remarks historically have said that in this particular molecule, they have backward integrated a lot, they have increased their volume production, so you see my concerns there right, so which is why I am a sort of trying to get more sense from you as to whether Levetiracetam volumes will ever bounce back or what are we perceiving as inventory correction is actually a shift in market share from us to our competitors?

Sucheth Davuluri: Aditya, we think that your concern is very similar to our concern as well. So, our response is stemming from two factors and it doesn't take away from your observation. One is, when we saw a decline in volumes of Levetiracetam, we got in touch with all our customers, we pulled the data from the market, we analyzed the market share of all

the companies out there, we marked

to the customers that are buying from us and customers that are buying from our competition, we looked at the export data and we also got feedback from our customers whether they have any accumulated inventory or have they lost market share. So, our response is also stemming from a fairly detailed analysis from our end as to what is going on from the product and that is where the primary response coming from? Notwithstanding that, your observation is absolutely right, Levetiracetam is an extremely competitive API which is just the sheer size of this API.

Levetiracetam approximately is 3,000 tons API globally and the bad part is that it is highly competitive, the good part is also that, there is enough market out there for strong players such as Neuland, Divi's and couple of others to gain market share as well. So, coming back in your point, there may be a decline in market shares due to either buildup of inventory, loss of market

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share, but our strategy over the medium and long term is to continue growing with product where we have done for all of our products. So, whether you look at Sotolol, you will get Mirtazapine, you will get Ciprofloxacin, Levofloxacin, pretty much other APIs, if all consistently grown in volumes, then near that that we took a building in terms of market share and volumes, but we have taken up all, reassessed and done whatever it is up to gain back the market share. We will do the same for Levetiracetam, therefore I think your observation is absolutely right. We could

see a temporary setback in this molecule, but we will continue to gain market share on the long run.

Saharsh Davuluri: And to just add to what Sucheth said, I think it is a very dynamic market, right. It is not like we are waiting for the Levetiracetam business to unfold; we are getting qualified by new customers as well. So, some of these large formulation players, who are very strong traditionally in Levetiracetam finished dosage, they have also been adding Neuland as an API source over the last 3 months, 6 months, 12 months. So, it is a very dynamic market. So, it is not like, we have made our best and now we are waiting for the cards to open. I think we keep getting qualified with new customers and we keep working on the process as well and it is a very large market. No one I believe has more than 10% market share in the Levetiracetam business because it is 3000 tons API and even the largest players don't make more than 400-500 tons. So, I think it is a big market. It is just important to be connected to the customers, be constantly looking at your profits and be competitive and I think we do believe that we will bounce back, but we have to wait and see.

Aditya Khemka: Coming to the CMS business right, so I see an expansion in the pipeline at least in the development projects and your commercialized molecules, can you divide your development projects into big pharma and small pharma in terms of your clients, what would be the split be? I know you can't give me an exact number, but some sense is it like 70% big or 70% small pharma, biotech etc.?

Saharsh Davuluri: So, I think, we probably mentioned this in different contexts in our commentary earlier, but almost all of our business in CMS comes from small pharma companies or what we call as biotech companies so biopharmaceutical companies, so I think if we have to categorize our top 3 segments within CMS, it would be US based biotech companies, it would be European midsize innovator companies and then it would be Japanese innovator companies, which includes Japanese big pharma. So, there are very few projects in our portfolio which belong to big pharma. So, I think that should give you enough color on what our pipeline is, so most of the molecules we are referring to belong

to biotech companies, these are NASDAQ listed, one billion, two billion dollar market cap companies with one or two products. That is the kind of portfolio of customers we work with.

Aditya Khemka: And while your number of projects has gone up, has the number of clients also gone up over the past one year in the development and commercial side?

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Saharsh Davuluri: Yes, we saw lull for the first half of the pandemic where we were not really able to add a lot of projects, but I think over the last 6 months, we have added some interesting products phase 2, phase 3 molecules from innovator companies. It has also been facilitated by their visits to our facilities and things like that. So, I think things are coming back into normal and in fact we are also spending more or at least investing more in business development now. So, we are adding more resources in business development, spending more on B2B marketing and things like that. So, I think we expect the pipeline to strengthen now. It has already started in the last 6 months, but I think it will continue.

Aditya Khemka: And last question on your unit III, so I heard pre-operating expenses were Rs. 225 crores, yet to be depreciated, is that what I heard?

Deepak Gupta: Yes, Aditya, that is right.

Aditya Khemka: So, Rs. 225 crores of pre-operating expenses, not fixed as it is to be depreciated?

Deepak Gupta: Not preoperative, this is the CAPEX spend, which we have done which is yet to be depreciated so WDV of the asset which are there in the unit III.

Aditya Khemka: And in terms of operating expenses, what would unit III be incurring annually right now?

Deepak Gupta: As of last year if I see, roughly around Rs. 60 crores of operating expenses from unit III.

Aditya Khemka: Rs. 60 crores, yes, so roughly 30% and then is unit III at its current utilization breaking even for you, standalone as a facility?

Sucheth: It will break even in the current year, not yet.

Aditya Khemka: So, you expect it to break even in FY23, is that what I heard?

Saharsh Davuluri: Yes, because everything that is being scaled up is getting scaled up in unit III.

Aditya Khemka: So, all your incremental volumes are essentially coming to the unit III? That is how it will break even.

Moderator: Thank you, the next question is from the line of B. Suresh from Burrans Financials. Please go ahead.

B. Suresh: Sir, CMS business this financial year, how much standalone, how much revenue is expected?

Saharsh Davuluri: So, Suresh we typically don't give any guidance on what we expect to do for the year.

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B. Suresh: Standalone only CMS business?

Saharsh Davuluri: Yes, even for standalone CMS or for the overall business, we do not provide guidance on how much we expect to do.

B. Suresh: You can give your comment in quarterly results presentation. The line of the full year is when to reach targets. Last year sales is as expected, same sales will continue? It will give the good impression this financial?

Saharsh Davuluri: Yes, so what we said, Suresh is FY21 and FY22 we did not have growth, but in FY23 we expect to have growth, so we should expect growth in FY23.

B. Suresh: Full year 23 can be expected?

Saharsh Davuluri: Yes.

B. Suresh: Sir, profit margin any increased profit margin this year increased percentage of around 20%?

Saharsh Davuluri: Yes, again we will not give guidance on that, but I think the one comment we will make is that as you can see because of the improvement of the business mix, the gross margins are improving, despite raw material challenges our gross margins are improving. However, the EBITDA margins or the PBT has not improved in Q1 because the overall revenues have still not been at a critical threshold and what we believe is that if

we are able to bring back the growth, which

we do believe will happen in FY23, then the operating leverage should ensure that we will have much better profit margins than what we are currently seeing, both at an EBITDA level and as a PBT level because what operating expenses we have incurred in Q1, they are likely to be more or less similar for Q2, Q3, Q4, but if the revenues are going to grow, then the margins are likely to improve, so that is how I would explain it, but we will not be able to guide on what is the margin going to be.

B. Suresh: Sir, any future fundraising plans or acquisitions and this facility is enough for your future plans fundraising or any acquisitions or mergers, any plan of that?

Sucheth: No plan as of now, Suresh.

B. Suresh: This facility is enough for your growing business? This facility? Present facility?

Saharsh Davuluri: It will be adequate for the next couple of years. It also depends on what kind of growth we are going to achieve. If we are going to achieve growth that is going to be more faster than anticipated, then we may have to create more capacity, but unit III has a lot of capacity headroom for additional capacity creation, so we don't expect any challenges for the next 2 years at least.

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Moderator: Thank you. The next question is from the line of Aditya Khemka from InCred PMS. Please go ahead.

Aditya Khemka: I had just one more question, the employee expense growth that I noticed sequentially, fourth quarter versus the first, an incremental Rs. 3 odd crores in expenses, so just wanted to understand, is this additional manpower or is it incremental bonus payout this quarter?

Deepak Gupta: So, actually it is a mix of both, so mostly coming from the performance that we have given to the employees and also we have added a few headcounts in this quarter, but those are very small in number actually, mainly coming from direct increase and little bit of headcount increase.

Aditya Khemka: Were they bonus payouts also this quarter?

Deepak Gupta: No, bonus payout we apportion over a 12 months period so irrespective of the payments we make our charge to the P&L on a monthly and a quarterly basis, so that won't impact the performance.

Aditya Khemka: So, this is going to be like the normalized run rate. There is no lumpiness in this expense therefore?

Deepak Gupta: Yes, correct.

Moderator: Thank you. We will take the next question as the last question from the line of Keval Ashar from DSP Investment Managers. Please go ahead.

Keval Ashar: So, just one question sir, how big is the size of opportunity for us in Bilastine?

Saharsh Davuluri: So, I think, we typically for the CMS molecules, Keval we don't, due to the contracts we have with our customers, we are not allowed to disclose the names or discuss the specifics of the molecule. So, we will not be able to comment on any molecule, its growth prospects or anything about it, specifically in the CMS side because of the confidentiality agreements we have with the customers.

Moderator: Thank you, I now hand the conference over to management for closing comments.

Sajeev: We would like to thank everyone for joining us on this call and for your interest in Neuland for the questions that you asked regarding our performance and also regarding the potential of our business. We thank you once again for your participation in today's call. Thank you.

Moderator: Thank you very much. On behalf of Neuland Laboratories, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

November 16, 2022

To
BSE Limited
Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on November 10, 2022

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and half year ended September 30, 2022, conducted on November 10, 2022. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/investors/investor-updates/announcements/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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“Neuland Laboratories Limited Q2 FY23 Earnings
Conference Call ”

November 10, 2022

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN & CEO,
NEULAND LABORATORIES LIMITED
MR. SAHARSH DAVULURI - VICE CHAIRMAN &
MANAGING DIRECTOR , NEULAND LABORATORIES

LIMITED

MR. VENKATA BHARADWAJ GOLLAPUDI - GENERAL
MANAGER , FINANCE AND ACCOUNTS , NEULAND
LABORATORIES LIMITED

MR. SAJEEV EMMANUEL MEDIKONDA - HEAD,
CORPORATE PLANNING AND STRATEGY , NEULAND
LABORATORIES LIMITED

Neuland Laboratories Limited

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Moderator: Ladies and gentlemen, good day and welcome to Neuland Laboratories Limited Q2 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravi Udeshi from EY. Thank you and over to you.

Ravi Udeshi : Thank you Yashashri. Good evening friends. We welcome you to the Q2 FY23 Earnings Call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us the top management from Neuland represented by Mr. Sucheth Davuluri - Vice Chairman and CEO; Mr. Saharsh Davuluri - Vice Chairman and Managing Director; Mr. Venkata Bharadwaj Gollapudi - General Manager, Finance and Accounts and Mr. Sajeev Emmanuel Medikonda - Head, Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Venkata Bharadwaj and then Saharsh will give you a broad highlight of the business trends and what he is observing in the market and post this, we will open it up for the Q&A session. As usual, the standard safe harbor clause applies as we start the call. With that said, I now hand over the floor to Venkata Bharadwaj. Over to you, Venkata Bharadwaj.

Venkata B. Gollapudi: Thank you very much, Ravi. A very good evening to all friends and warm welcome to you all for our Q2 FY23 Earnings Call. I think that you must have seen the presentation which Ravi just mentioned and it is put up on our website and also we have uploaded both on BSE as well as on NSE websites. As always, any comments on the content of this presentation, which we have sent will be highly appreciated and we will do our best to give out additional data points which will help you to analyze the data points much better.

I will briefly talk about financials now. The total income for this quarter is Rs. 293.9 crores as against Rs. 258.1 crores in Q2 FY22. This was largely driven by growth in our GDS specialty and CMS businesses. Our EBITDA for the quarter was Rs. 69.4 crores with EBITDA margin of 23.6%, an increase of 690 basis points over previous year which was 16.7% and it has been increased by 1050 basis points based on sequential basis.

I would like to give some context on the increase in EBITDA margins on a yearly basis. The business mix has shifted in favor of high margin products. While we have continued to witness volatility in input prices, we have experienced some easing on relative basis. We have continued to focus on execution excellence and to optimize cost to ensure minimization of external events that we are facing. We have also witnessed high manpower costs and other costs arising mostly out of unit III commercialization that we did earlier. We continue to maintain high levels of inventory to avoid any future possible disruptions which are happening globally as of now.

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I would like to share that our focus on improving the business mix has also led to a continued increase in the gross margin. Gross margin was 56.2% in Q2 FY23 compared to 53.4% in Q1 FY23 and 49.2% in Q2 FY22. Further, we expect the shift in portfolio mix to continue to drive higher gross margins. Profit after tax was at Rs. 38.3 crores as compared to Rs. 20.3 crores last year. This quarter EPS is at Rs. 29.9 per share. On a half yearly basis, the total income was Rs. 515.6 crores, an increase of 11.8% from the same period last year. The EBITDA increased by 39.1% to Rs. 98.4 crores as against Rs. 70.7 crores in H1 FY22. The EBITDA margins came in at 19.1% compared to

15.3% for the year earlier for the reasons which we have discussed just now and including Q1 performance.

In terms of cash and cash equivalents, we have Rs. 5.3 crores as on balance sheet at the end of September. We continue to make investment in the future and also for CAPEX we have spent about Rs. 34.2 crores in H1 FY23 and also if you talk about our CAPEX plan, it is on track and with commercialization of products happening and also for the future prospects. I would like to mention that even though we had done substantial CAPEX till date, our net gearing ratio

continues to be low. As of now, it is at 0.2x. With that, I would like to hand over the call to Saharsh for his remarks and thank you very much.

Saharsh Davuluri : Hi, good evening everyone. Thank you Bharadwaj and my apologies if my tone is not very enthusiastic after the cricket match that we just witnessed. I think in terms of the quarter itself, I will add a few comments on top of what Bharadwaj has already said and then we can open it up for Q&A. I think the quarter in many ways is the representation of the direction that we have been steering our business towards. I think the growth driven by both Specialty and CMS business, it has meant that we have healthy gross margin flowing through to the rest of the P&L and while there is continued uncertainty around raw material prices, we have seen certain softening which has benefited us right now along with favorable exchange rate as well. I think other than that important is that we have our highest ever revenues in the Specialty segment, I think we clocked around Rs. 96 crores, which is quite promising. Products like Donepezil, Ezetimibe and new products like Paliperidone and Apixaban, these have all contributed significantly and we are very excited about these products. They help us keep healthy gross margins and we see newer products in our portfolio have greater traction as we go along. With regards to CMS business, we have seen again highest revenues at around Rs. 97 crores which is also I think as indicated growth of over 40% year-on-year and the CMS pipeline is also witnessing a continued growth in terms of molecules moving to commercial stage and contributing to revenues. We have also seen some early-stage projects get added to our business this quarter as well and we are continuing to see increasing traction from new customers as our ability to execute difficult late stage projects distinguishes us and makes us a highly regarded CMO.

In terms of the overall business, we are seeing significant shift towards high margin business for the long term which has been our stated aim, however, we must remain cautious about how

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business mix, raw material prices or even Forex could negatively impact these margins in the future, so I think that something that we would like to investors, analysts and all stakeholders to be mindful of and I think from another dimension, Neuland has always tried to create value for all its stakeholders and in line with the same, I am pleased to share that as part of our ESG efforts, ECOVADIS has recently awarded Neuland the sustainability rating of Silver during the September quarter.

I would also like to mention that our unit III is ramping up well and continues to support our growth. We can see that some of our late stage CMS projects are being scaled up here and as some of these products scale up, we see that the unit III utilization is gradually going to grow up and even as it contributes to raising operating expenses, we will see operating leverage continue to kick in and I think we continue to see the kind of momentum we have witnessed in H1. We think it is a sustainable kind of momentum and therefore we continue to remain optimistic about the future of the business.

So, may be these are some of the high-level comments. So

, I will kind of pause here and open it up for Q&A. Thanks.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Siddhant Maheshwari from Banyan Capital. Please go ahead.

Siddhant Maheshwari : Sir, we would like to know how significant is revenue from Levetiracetam for the company as a percentage of total revenue?

Saharsh Davuluri : We don't disclose at a product level what is the percentage of the contribution, so it is definitely one of our top 5 or 10 products, but we don't have that information.

Siddhant Maheshwari : But sir, still may be some broad idea like can it be like, broad number like is it falling in let us say around 10 % of the total?

Saharsh Davuluri : It is one of our top 10 products for the company and one of our top 5 products in the generic side.

Sajeev E. Medikonda : Just to answer your question Siddhant, Levetiracetam is still a good contributor among our top Prime products and if you see this quarter Prime contributor to 30% of our revenues and within that Levetiracetam is in the top 5 products.

Moderator : Thank you. The next question is from the line of Keshav from RakSan Investors. Please go ahead.

Keshav : Congrats for an astonishing performance. Firstly, there are a few trends playing out pertaining to which I would like to understand how we are positioned, so though your opening statement

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has already shared but still for the sake of repetition, so one thing is that we have small midsize

biotech's our clients and we are seeing a tremendous amount of innovation from this space in the past decade, but it has been also an era of ample financial liquidity, so firstly do you think that as a business model or clients might be relatively vulnerable and they might reprioritize their assets or might actually face difficulty funding their early stage pipelines or are we seeing any such signs of slowdown, talks of a slowdown or difficulties getting newer clients?

Saharsh Davuluri : I think a lot of customers we work on the CMS front are biotech companies as you mentioned Keshav, but also I think it is important to understand that a biotech company is not necessarily a venture back company, a lot of the companies we work with especially the ones where we have more advanced molecules, these are all either NASDAQ listed or New York Stock Exchange listed companies and they have market caps in excess of \$2 - \$3 billion, some of them have \$10- \$15 billion market cap. So, I think the biotech category is perhaps a little loosely defined, but for us the biotech is especially the ones where the assets are in late clinical phase, these are all multibillion dollar market cap companies, so they are a little bit more resilient than some of the early stage companies that you are perhaps referring to.

Keshav : And sir, secondly, apart from probably the complexity required during deuteration that we spoke of, are there any other factor as well because of which deuterated molecules have hardly seen any commercialization in the market as yet because as a concept it sounds too good to not be leveraged in a big way, like simplistically, so did not bring in many candidates with good efficacy that gets rejected due to the toxicity profiles or other 505 B2 opportunities?

Saharsh Davuluri : I think a gain, the caveat that we are not really drug discovery experts, but just someone who has specialization in deuterated chemistry, I think what we understand from the market places while deuterated molecules are safer and more efficacious in nature, I think there have been lot of challenges in getting commercial approvals for these drugs and I think there are many factors which frankly speaking we as an API maker don't understand, but having said that I think over the last 6 months we have come across fairly significant

number of clinical candidates of

deuterated molecules, so I do believe somewhere that in the years to come, there shall be more deuterated drugs out there in the market, but I think again when it comes to deuteration, I think there are several other factors to be considered and therefore it is hard to or say question as to why they are not more deuterated drugs in the market right now, but we are seeing more and more candidates in terms of assets in the clinic or early stage clinic.

Moderator : Thank you. We have our next question from the line of Midhun, an Individual Investor . Please go ahead.

Midhun : Congrats for nice set of numbers . My question is regarding the peptide molecules in our pipeline, we have been developing Semaglutide and Liraglutide for past 4 years I think, can you give me more color on this? Have you filed any DMF for something or any update on this?

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Sajeed E. Medikonda : So, I think Midhun when it comes to the peptide sector we have in our portfolio and which we have been developing, you are right that we have been working on Liraglutide and Semaglutide and we have made significant progress in the lab. Even as we were looking, this is not a small molecule, so therefore we are not looking to straight away go and file a DMF because we need working very closely with a formulator to ensure that we have the right products which is their need and even as we are looking for the right customer for these two products, we have also started development on more molecules in the peptide portfolio. So, as soon as we find the right partners for these products, we will scale them up, you will see the DMF being filed. Even as we are saying that we are looking for the right partners for these products, we have gone further because we have done the work in the lab for these products, we have added more products to our portfolio and even there we are seeing good interest in those products, so I think we will find that in our product list, a product called Difelakafalin as well as Tirzepatide, both also we have been working for the past 6 months or so.

Midhun : My next question is regarding the molecule, Tirzepatide, are we seeing any demand for this molecule, how is that customer traction for this molecule?

Sajeed E. Medikonda : So, this is a recently approved molecule, so we are seeing good traction, but we will be expecting certain small development quantities going out over the next 12 to 18 months or so, but from a commercial perspective this is a long-term bet both for us as well as our customers.

Midhun : I think this one is a patented molecule, right?

Sajeed E. Medikonda : Yes, it has been recently approved, it will be under patent.

Midhun : So, are we seeing customer demand for this molecule, I think there is only one customer?

Sajeed E. Medikonda : Yes, this is for generic market, so we are seeing interest from generic customers who are looking for their pipeline, for people who are looking to file NCE-1 filing looking at a first to file opportunities, those are the kind of customers who are showing interest in this product right now.

Moderator : Thank you . We have our next question from the line of Kunal from Carnelian . Please go ahead.

Kunal : I just wanted to understand in this current quarter, you have done about Rs. 97 crores in Specialty

and Rs. 97 crores in CMS , in comparison to Rs. 58 crores and Rs. 69 crores respectively in the last quarter. During the last quarter, if I understand correctly we had some delayed deliveries in both the segments , so just wanted to understand in this Rs. 97 odd crores, if you could help understand briefly, what would be that amount which was pertaining to the last quarter which got delivered in the current quarter?

Saharsh Davuluri : I think when we talked about our performance in the last quarter, there was an indication that

at
there have been some projects that have been delayed and therefore the numbers could have been
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higher. I think with regards to that question, probably Kunal what I would say is whatever delays would have happened in that quarter are probably a part of these numbers that we are right now forecasting or what we have actually executed, but I think it is also important to take into consideration that we see since we are executing several projects, there is a continuous sense of rollover, so again we have done Rs. 97 crores this quarter, but perhaps if we had absolutely no delays in this quarter, we would have done more. So, there is, in that sense, a spillover even from this quarter to next quarter, so I think I would ask you to take my opening remarks into consideration what we have done this quarter which is around Rs. 96 -Rs. 97 crores is in some way not a one-off quarter, it is not that we have had a lot of stuff from last quarter spilled over into this quarter and therefore we did Rs 97 crores . It is just that, yes we have had spillovers into this quarter, but having said that this quarter is also in some way the sustainable quarter, so it is not like 60 is the steady number and 97 is the onetime number. That is how much I can clarify.

Kunal : And just coming to the Prime segment, right, so now we have been doing like about Rs. 90 odd crores in the last 2 quarters, so how should one look at this particular segment going ahead now, I mean as you have mentioned that we have been focusing more on Specialty CMS and that is getting reflected in our CP margins as well which has been clocking very good, but for the overall revenue being, you guided for 20% revenue growth in this year on revenue count, so is that guidance on track considering all the segments?

Saharsh Davuluri : Yes, I think just to clarify , we have not provided any guidance in terms of how our revenue would progress. I think in terms of the prior category itself, I think there has been for us the biggest impact on Prime has been because of Levetiracetam and I think that continues to be a concern for us . Even in this quarter we have seen subdued performance of Levetiracetam, if not we would have probably had a higher revenue number and I think for us it remains a little bit of a concern because we are not very clear in terms of how and when we will recover. I think other than Levetiracetam . I think to a certain extent, Mirtazapine also has been a little bit muted compared to how we did last year. I think if not for these two products, I think the rest of the product portfolio in Prime is doing well for us and everything else is moving as per our budgeted numbers and I think Mirtazapine also , we are seeing a little bit of a slowdown because we had some sort of tenders and all last year which are not happening this year, may be they will happen later in the year. I think Levetiracetam is where there has been a reduction in terms of the volumes that our customers are taking and I think we have seen this kind of cycles in the past with Levetiracetam and some of our other products. It is not a long-term concern, I think we continued to be very competitive in Levetiracetam and we continue to add new products, so I think we expect it to come back sooner or later.

Kunal : Just one last question if I may squeeze in, our quarterly run rate of other expenses, I mean which was 55 -56 for the last 4 quarters has gone up to Rs. 63 odd crores in the current quarter, so how should one look at that, any oneoff over here or how should one read that?

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Ventaka B. Gollapudi: I think there has been no oneoff specifically in the other expenditure that we have seen, so I think this should be something which we focused to happen in a continued basis.

Sucheth Davuluri : And

most of the expenses Kunal are related to investments that we are making in our capabilities, in R&D and manufacturing for new product developments, so we expect, though we had kept a strong cap on our expenses and lot of initiatives to keep them under control, there is no oneoff items that are reflected in the specific quarter, so they will continue.

Kunal : And our unit III is breaking even or there is still some line for unit III to breakeven?

Saharsh Davuluri : We have not disclosed what the unit III levels are, but I think broadly speaking it is not yet there, but I think by the end of this year, we should be in a good position.

Moderator : Thank you. We have our next question from the line of Ankush Mahajan from Axis Securities. Please go ahead.

Ankush Mahajan : Congrats for a good set of numbers, sir, my question is related to the outlook on the CMS division, as in the last quarter we have been told that there is a delay in shipments as the orders have been cancelled, we can say in this way, so any update on that one, that its spillover order was there in the CMS or sir any another way I just tried to understand that what is kind of a CAPEX we already have done for the CMS and what kind of revenues that we are looking on that sir, if you throw more light on the CMS I really appreciate, sir?

Saharsh Davuluri : We had just clarified this first question earlier saying that whatever spillover that happened have been delivered this quarter and having said that what we have done in this quarter we consider to be a steady performance, so I believe that question is answered. I think second question may be Bharadwaj , you want to answer?

Sajeev E. Medikonda : Second question, is there specific CAPEX which is done for CMS projects and I think if we, all the CAPEX is done both from GDS and CMS perspective, even if there is a project which is specific to CMS, the overall investment is done on the basis of the fact that it will be fungible capacity, so they are all multiproduct facilities, so we would not be able to say that this is the CAPEX amount for CMS projects.

Ankush Mahajan : I am seeing very good set of numbers for this Specialty division, so I just tried to understand sir, Paliperidone, Donepezil and Apixaban, these molecules are given there, sir any plan to launch new molecules in the second half and what are the five current molecules that are contributing to the revenue of Specialty , sir?

Sajeev E. Medikonda : Ankush, to answer your question, you already mentioned three of the products contributing to specialty revenues. On top of that I think another product which we did mention even in our press release is Ezetimibe and I think if you look at our business, we actually developed products

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many years in advance and the launch of these products in the market is actually dependent on our customers when they are able to get approvals and how rulings happen in terms of patent and so on and so forth , so to a certain extent, our responsibility, our job is to ensure that we select the right products and that we develop them . So, I would not be able to answer if we are launching any products in the H2, but what I can assure you is that we have a very healthy pipeline of products and customers are looking towards those projects and we will continue to see good traction from the new products.

Ankush Mahajan : Sir, last one is about CMS side, any update on few molecules that we are looking on commercialization and in the developmental stage that can add revenue now?

Saharsh Davuluri : I think on the CMS side, we had mentioned earlier that we have a table that we publish every quarter and I think if you look at the table, you will see that there are some molecules listed in Phase -3 development and commercial. I think they are the candidates for us that are likely to provide good stable com

mercial revenue in the future and as we had also mentioned in some of our commentary earlier, in the next year or two , we expect at least may be 2 to 3 molecules getting commercialized and I think in the last 2 years also we have had at least 2 new additions to the commercial segment of our category, so I think we do expect steady transition of molecules from development into commercial and those should contribute to commercial revenues for CMS and I think that is what we will contribute to the growth of the CMS business as well, but we cannot give specificity in terms of which molecule, which indication , etc.

Moderator : Thank you. We have our next question from the line of Ritesh Oswal from Opal Industries. Please go ahead.

Ritesh Oswal : Congratulations, last year you have lost one customer, have you started supply to them?

Saharsh Davuluri : Sorry, can you clarify what customer you are referring to?

Ritesh Oswal : Under CMS, you lost one customer last year that deuterated our product?

Sajeev E. Medikonda : I don't think we have lost any customers with respect to last year I think the only project that we said that let us say Antihistamine where the product has become generic, so therefore there we have lost revenues from that. That was the only reference. There has been no loss as such in terms of any customer.

Ritesh Oswal : One more question, can we expect the same EBITDA level in Q3 as the INR depreciates ?

Sajeev E. Medikonda : I think even as Saharsh had mentioned during his speech , we expect our business mix to be similar even in Q3 and so therefore you would see that the margins this quarter are driven by the business mix and certain conditions being in our favor, so when it comes to Q3 , the numbers will be a reflection of the business mix and also the external conditions too.

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Moderator : Thank you. We have our next question from the line of Santhanam Surendran, an Individual Investor. Please go ahead.

Santhanam Surendran : Congratulations on the good set of numbers, my question was on the utilization of unit III, if you want to just put a number to it and what is that you expect for the next half of this year and are there any US FDA inspections lined up in the near term?

Sucheth Davuluri : I think with unit III that is a difficult question to answer because we are constantly investing in unit III and expanding and we keep adding products at the same time, so the capacity continues to evolve. Having said that, currently, there is no inspection which is being formally announced, we are expecting to be inspected as we do continuously, but as of now there is nothing on the card.

Moderator : Thank you. We have our next question from the line of Keshav from RakSan Investors. Please go ahead.

Keshav : Sir, just one observation, so the later stage soon to be commercial and commercial molecules have gone up in the recent past and we also mentioned about increasingly focusing on this area and choosing candidates wisely over there, but just want to understand if we are selectively foregoing a lot of early stage opportunities as well if we were getting a certain kind of enquiries 5 years back, are we getting on an average bigger number of early stage enquiries, but we are much more selective now to choose from it, is this the correct observation?

Saharsh Davuluri : Frankly speaking, I don't think we are there Keshav, I think we would ideally in the future get to a stage where we want to focus more and more on late stage molecules, but I think today if you see how our pipeline is progressing, I think even this quarter we have added I think like 3 or 4 preclinical assets, we have added one or two Phase -1 assets and I think the way the business is evolving, I think two things are very important, I think for investors, analysts also to note, that timelines which mean preclinical P

Phase -1 to commercial is gradually reducing, I think especially US companies are becoming more aggressive in their development timeline especially post COVID. So, I think it bodes well for a CDMO to keep continuously working with early stage assets also because early stage assets are also accelerating very quickly into late stage and commercial; however, having said that in the long term, as we have to keep focusing and getting, I guess you know becoming more selective we will have to come up with a subtle way of looking at assets which are adding more value to the company, but I would not say that the assets which are adding more value to the company are necessarily only late stage molecules. Sometimes we may not want to do a Phase -3 molecule for a particular indication and we might want to do orphan indication for Phase -1. So, I think there is a lot of qualitative work done in how one screens for business which I think is a relevant question, I think we would like to get to a stage where we will be screaming for business. Today, I think we do it only a little bit, not so much.
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Keshav : And sir, in the NCE pipeline, have any of our clients seen any in -licensing in the past 2-3 years for the substance we are selling ?

Sajeev E. Medikonda : If I have to understand your question Keshav, you are asking whether any of our customers have seen in -licensing, I think considering that we have close to 30 or even as much as 50 customers for our 87 odd projects, so we see that there has been both the mix of in -licensing as well as out -licensing activity which happens, so there is nothing specific relevant to our business which we need to comment on.

Keshav : And sir, another long shot question again, so we have been either hearing about nearshoring from EU and US and now the rhetoric is moving between outsourcing or nearshoring, so understood that the CMS business is strategic and short -term moves don't happen, but from a longer -term perspective, is there any directional shifting say CDMO capacity is coming up in EU or US closer to the customers ?

Saharsh Davuluri : I think it is a very good question and I think many of us in the pharma industry were at an important trade conference last week called CPHI and I think one of the takeaways that we had was that European CDMOs are also quite active in terms of getting some of the business from biotech companies as well as big pharma and they are also looking at creating capacities, so I think there will be a continued challenge from European based CMOs. I think that challenge will be more prevalent with when we are competing for business with European companies. I think when we are competing with the business of a US company, maybe you might still have a little bit of an advantage, but that is kind of one way to look at it. Sucheth, anything you want to add.
Sucheth Davuluri : No, I think very similar as you are commenting, I think generally, we will stick our neck out and say this, but I think it is going to be the European API companies and the Indian API companies that are going to become the formidable supply base for most of the pharmaceutical markets across the world, so I think we are seeing it as an opportunity, our investments reflect that and our investments of the future will also reflect the same.

Moderator : Thank you. We have our next question from the line of Sajal Kapoor. Please go ahead.

Sajal Kapoor : Congratulations for a very reassuring set of performance this time around. My question is, an Indian CDMO dominated player is a relatively large size player and recent commentary was that

they have seen some attrition and loss of manpower in their overseas operation, are we seeing any similar trend here in India and how is the attritions levels looking from an industry perspective as well as from Neuland's perspective?

Sucheth Davuluri

: You called right after we answer ed the previous question.

Sajal Kapoor : So, my question is, in this NCE scaleup and this novel synthesis is a very skilled -incentive you need certain capability and scientific resources, you need certain infrastructure and one of our Neuland Laboratories Limited

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Indian large CDMO government player, the recent commentaries also they are seeing some attrition in their overseas facilities, so they operate out of Europe and US as well in addition to India and in their overseas facilities, there is also some attrition in the CDMO space, are we seeing any higher than normal attrition levels in India or are we struggling to hire the kind of scientific talent that we need to scale up these novel chemistry ?

Saharsh Davuluri : Sajal, since the voice came out really low I am just going to repeat the question, just please confirm if my understanding of your question is correct, what you are saying is that for these new chemical entities scaling them up, requires a lot of not just infrastructure, but also scientific talent and for doing, for executing this project successfully, do Neuland have any challenges on the scientific capabilities or resources itself, is that your question?

Sajal Kapoor : Absolutely this is my question because some of our other Indian players who operate in this sort of domain they have highlighted this and mainly from their overseas operations, so they operate out of, they have got a large base in US and Europe in addition to India, so they were sounding cautious on their overseas operations regarding exactly the scenario, but is it always for Neuland and Indian industry as well?

Saharsh Davuluri : Yes, I would agree with the comments that you made based on what you had understood from the industry. I think as we are dealing with not just CMS molecules, but also with the Specialty APIs in our business, scaling these kind of molecules is a lot more challenging than the Prime APIs because there is a lot of prior information available about the scaleup of these molecules, but when it comes to the new chemical entities especially and when you are working with biotech companies, you are pretty much independently handling the project and it is kind of like a turnkey project where you are not really getting a lot of insights, information or guidance from the customer and in those kind of situations I think our scientific competence and our scaleup expertise is very important and some of the delays and challenges that we have talked about in the last year to 2 years are also a result of handling this kind of complex business. So, definitely I would not shy away from admitting the details of the challenge, however, I think that is an area that we are also investing a lot of time and resources on. I think you know getting the right kind of scientific talent, not just for the labs, but also for scaleup and for manufacturing. I think that is very important, so we have been steadily building the pipeline of leaders, not just at the senior level, but also at a team lead level, at a scaleup level in the manufacturing areas. People who understand the techniques of quality by design, who are able to study the reactions holistically before scaling them up is very important and for that it is not just the scientific talent, but also the right kind of infrastructure, ability to study the reaction progression and making proper analysis of it before going for scaleup, that is very important. So, I think its infrastructure coupled with right kind of scientific talent and one of the things like, we have been investing steadily in building proper infrastructure in R&D as well as scaleup instruments like FBRM, RC ones, different kinds of poly blocks for studying crystallization patterns, so I think all these have become very essential which may be we are not so essential when we are doing

ing this Prime API

and I think while it may not be possible to have or replicate the scientific talent that is available Neuland Laboratories Limited

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in the West what can also be done is have the right kind of scientific advisors, consultants to also guide you and I think Neuland that way is fortunate to have the right set of advisors who we are able to also kind of tap into and help us troubleshoot when we have challenges. So, I think that is kind of a slightly long answer, but it is something that is obviously a high priority for the organization even going forward to keep having the right kind of talent either as full time employees or as scientific advisors.

Moderator : Thank you. We have our next question from the line of Midhun, an Individual Investor. Please go ahead.

Midhun : As the earlier question regarding the molecule, Tirzepatide, sorry to press you more regarding this, if my understanding is correct, the innovator who launched this product Eli Lilly has the

patent for this molecule up to 2036, I am not understanding then how we are getting demand for the generic version of the molecule now, can you provide more clarity regarding this aspect, are we a partner for Eli Lilly for this molecule?

Sajeev E. Medikonda : Midun, what you need to understand is here from the generic business perspective, customers would invest in some of these products even 10-15 years in advance, some of the projects like say Apixaban, we had developed that back in 2015 and now only we are seeing traction. For these projects to be first to file, customers need to be able to file at this point of time or rather start development at this point of time to file at the date of NCE -1, so that they will have say exclusivity or any other rights once the products goes generic. So, those are investments which we are making and even if you look at our products which we are selecting, some of the products are we are actually selecting for the next half of next decade and that is how this business is.

Moderator : Thank you. We have our next question from the line of Maulik from Anand Rathi. Please go ahead.

Maulik : I just wanted to understand you broadly explained further this is not one-off revenue for CMS and Specialty business, but just wanted to broadly understand that what is our expected run rate for H2 in terms of CMS and Specialty business and if there is any addition or deletion in terms of products or revenue wise diversion, so just wanted to understand on that aspect?

Saharsh Davuluri : We don't have any guidance for H2, but I think what I will just kind of reiterate Maulik is that the performance of Q2 I think is good representation of what we can possibly do going forward; however, there would be quarter to quarter variation, there would be a product mix related impact on margins and there could be other factors which could have a positive or a negative impact as well. So, I would probably leave that to the individual judgment to figure out how H2 is going to be, so I think definitely when it comes to CMS, as we have been maintaining we have had a flat FY22 and FY23 was always going to be a year of growth given especially that FY22 was flat and I think we have also, I think just given the fact that there are lot of molecules moving from Phase -3 development into commercialization. I think over the next 2-3 years also we expect

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to have a healthy growth for the CMS business and thereby for the overall business as well. So, I think that is kind of what I would say and probably not comment too much on how H2 will be vis-a-vis H1.

Moderator : Thank you. I would now like to hand over the call to the management for closing comments.

Over to you, sir.

Sajeev E. Medikonda : We would like to thank everyone once again for joining the call and for asking us very p

ertinent

questions regarding our performance this quarter and also the outlook. As we have stated, I think in this quarter the result of the direction in which we have been steering the company, this is not something that we believe will be one-off, but rather the direction in which we will continue to see the business happening so once again thank you for all the questions. We look forward to receiving any further questions to in the future would be glad to respond. Thank you.

Moderator : Thank you. On behalf of Neuland Laboratories, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

February 17, 2023

To
BSE Limited
Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on February 14, 2023

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and nine months ended December 31, 2022, conducted on February 14, 2023. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/investors/investor-updates/announcements/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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"Neuland Laboratories Limited
Q3 FY2023 Earnings Conference Call "

February 14, 2023

ANALYST : MR. RAVI UDESHI – ERNST & YOUNG

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN & CEO -
NEULAND LABORATORIES LIMITED
MR. SAHARSH DAVULURI - VICE CHAIRMAN & MD -
NEULAND LABORATORIES LIMITED

MR. ABHIJIT MAJUMDAR – CFO - NEULAND
LABORATORIES LIMITED
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD -
CORPORATE PLANNING AND STRATEGY - NEULAND
LABORATORIES LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Neuland Laboratories Limited Q3 FY2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravi Udeshi from Ernst and Young. Thank you and over to you.

Ravi Udeshi : Thank you Yashashree. Good evening friends we welcome you to the Q3 FY2023 Earnings Call of Neuland Laboratories Limited. To take us through the results and to answer your question, we have with us the top management from Neuland represented by Mr. Sucheth Davuluri – Vice Chairman and CEO; Mr. Saharsh Davuluri – Vice Chairman and Managing Director; Mr. Abhijit Majumdar – CFO; and Mr. Sajeev Emmanuel Medikonda – Head, Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Abhijit Majumdar and then Saharsh will give you a broad highlight of the business trends, and what he is observing in the market and post this we will open it up for the Q&A session. As usual, the standard safe harbor clause applies as we start the call. With that said, I now hand over the floor to Abhijit.

Over to you Abhijit.

Abhijit Majumdar : Thank you very much Ravi and a very good evening to all friends and warm welcome to you all for joining our Q3 FY2023 earnings call. I think you must have seen the presentation, which Ravi mentioned and it is put up on our website and has been uploaded on the BSE and NSE websites. As always any comments on the content of this presentation, which we have sent will be highly appreciated, and we will do our best to give out additional data points, which will help you to understand our business better.

I will briefly talk about financials now. The total income for this quarter is Rs. 270.2 Crores against Rs. 238.4 Crores in Q3 at FY2022. This was largely driven by a growth in our GDS business. Our EBITDA for the quarter stands at Rs. 54.9 Crores with an EBITDA margin of 20.3% an increase of 6% or 600 basis points over the previous year. The increase in EBITDA margin has been led by a revenue mix shift towards high margin products. While we have continued to witness volatility in input prices; however in line with Q2 FY2023 we continue to experience some easing on a relative basis. Our focus on execution excellence and cost has enabled us to minimize the cost impact from raw material increases facing our industry. At the same time we have seen a sequential drop in revenue by 8% when compared to Q2 Neuland Laboratories Limited

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FY2023 and an EBITDA margin drop of 330 bps due to a slight change in business mix as well as lower revenues impacting our operating leverage. I would request you to measure our performance over a one year time horizon as our EBITDA margins will fluctuate on a quarter-on-quarter basis.

Coming to specifics. Our gross margin was 55.2% in Q3FY2023 compared to 49.2% in Q3 FY2022 and 56.2% in Q2 FY2023. Profit after tax was at Rs. 30.4 Crores as compared to Rs. 12.7 Crores last year. This quarter's EPS is at Rs.23.7 per share.

On a nine month basis, the total income is Rs. 785.8 Crores, an increase of 12.3% over the prior period of last year. The EBITDA increased by 46.1% to Rs. 153.3 Crores as against Rs. 104.9 Crores in the 9M FY2022. The EBITDA margin has come in at 19.5% compared to 15% for 9M FY2022 on account of our stated shift to higher margin products. We generated a free cash flow of Rs. 161 Crores in the 9M FY2023 and net debt position stands

reduced to

Rs. 72 Crores versus Rs.212 Crores as at the end of March 2022. We continue to invest in upgrading our facilities and have invested Rs.50.9 Crores in Capex during this period. Our net gearing ratio stands at 0.1x as on December 2023.

With that I would like to hand over the call to Saharsh for his remarks and once again thank you very much.

Saharsh Davuluri : Hi, good evening everyone. Thank you Abhijit. I think in terms of the quarter itself I will add

a few comments on top of what Abhijit has already said and then we can open it up for Q&A. The quarter in many ways is a fairly decent representation of the direction that we have been steering our business. While there is uncertainty surrounding raw material prices, we are starting to see some stability. In my opinion this quarter continues to indicate that our strategy of focusing on the GD S specialty and the CMS business is shaping up well. The growth driven by both the specialty and the commercial products in the CMS business has meant that we have healthy gross margins flowing through to the rest of the P&L. In the specialty segments products like Apixaban and Ezetimibe have contributed significantly and we are excited about these products. With regards to the CMS business, I would like to highlight the significant jump in revenues from commercial products. You may recall that over the past few years we had stressed that our molecules will gradually transition from development to commercial and this quarter marks such a transition. We expect further commercialization to happen over the medium to long-term. The contribution of the CMS business has been a significant driver of the improved EBITDA margins that we have witnessed in the last two quarters. We

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continue to see some early-stage projects get added to the business this quarter, and we are continuing to see an increased traction from new customers as our ability to execute complex late stage projects that distinguishes us and makes us a highly regarded CDMO. In terms of the overall business, we are witnessing a shift towards high margin business which has been our stated goal. But we continue to remain slightly cautious about how the business or even product mix, raw material prices or Forex could negatively impact these margins in the future. I think that this is something that we would like investors, analysts, and all stakeholders to be mindful of.

I would further like to mention that our unit 3 operations continue to ramp up which has contributed to growth that you have recently witnessed. Some of our late-stage products are being scaled up here hence we foresee unit 3 utilization continuing to move up. As I had alluded earlier, we have a good visibility on the CMS business flow in terms of higher value projects over the short to medium-term and we expect these factors will contribute to our margin increase in the future as well. In order to keep up with the requirements of our customers, we will add new production blocks in unit 3 and invest in R&D infrastructure to facilitate their goals over time. As always, I would like to say that the very nature of Neuland's business in terms of working on high quality, complex molecules is such that revenues and margins could be lumpy on a quarter-to-quarter basis, but as Abhijit just now emphasized, on an annual basis they are steadily moving upwards and you could expect the same going forward. We think that the recent momentum is sustainable over long-term and therefore we continue to remain excited about the future of the business. So I think I will pause here and open it up for Q&A.

Moderator : Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Sajal Kapoor an independent investor. Please go ahead.

Sajal Kapoor : Hi! Thank you for taking my questions. I have a small acknowledgement to start with so I have been tracking Neuland Labs for almost two decades now and I must say that our balance sheet and cash flows have never been stronger than what we have today. So well done team and a warm welcome to our new CFO Mr. Abhijit Majumdar. I have two questions. So let us assume a hypothetical scenario where your competitor is a privately held and unlisted entity operating in the area of innovators and this is an NCE scale up as a service model and I guess they will have much more freedom to plan strategic objectives and execute them and as they will be a limited number of shareholders in a privately held business and these shareholders are also much more educated and much more aware of the business economics in terms of

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upfront capital deployment, long gestation window, and lumpiness in cash flows etc.

Compared to being a listed entity like Neuland Labs where analysts and other shareholders are usually very impatient and short-term oriented and look one quarter at a time in a business that is fundamentally has very long cycle times like 7-8 or even ten years with upfront capital deployment in infrastructure, R&D, scientific talent etc. So which of these two companies is better placed in your view and the listed one or the unlisted one that is my first question.

Saharsh Davuluri : Yes. Thanks for sharing your observations. I think from the way we look at our business while there is challenges in the quarter-on-quarter smoothness of the business I think as CDMOs reach a certain size and think for Neuland our CMS business has been fairly small compared to our overall revenues. I think now it is closer to 35%-40% of our total revenues.

But I think as we keep scaling up the business, we think that some of these volatilities can be managed and I think going forward also as the business keeps growing we should be able to provide a certain run rate of growth and performance, but it would be very difficult to demonstrate that on a quarter-to-quarter basis and I think ultimately investors will have to decide whether this is the kind of business that they would be interested in. But I think I do believe that as a listed company you can have liquidity in your business model and as long as the business is profitable and has sustainable growth, I think being a listed company does not really create any kind of challenges being in the CDMO business.

Sucheth Davuluri : No, I would agree completely with what Saharsh has said it all depends on these specific organization rather than whether they are listed or unlisted and therefore as a company if you notice our investor calls over the last several quarters we have always said that please do not expect consistency on a quarter-to-quarter basis because that is not how our business operates that our business life cycle operates. However, we stated what our expectations from the business are in terms of product mix as well as margins over the long-term. So I think as long as the company is transparent, I think from shareholders and people like yourself you have always been understood and given that value.

Sajal Kapoor : That is helpful Sucheth and thank you Saharsh as well, and second question is on the private equity money that has been chasing API and generic CMO assets in India in recent years. Whether it is Carlyle Group or any other PE for that matter and they all are sitting on losses after almost three years and these guys typically invest for about five years right. So question really is on the economics of the generic pharma is throughout API businesses, I mean, is this not an investment worthy sector and private equity has got it wrong or you think they overestimated the growth run

way and the cyclicality, which is inherent in any generic business with pricing pressure on one end and raw material and challenges on the supply side
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and both availability and the pricing of raw material and the pricing pressure of course on the product side. So how would you read it as an industry participant this obsession of private equity running after API assets and not being able to make any decent gains, I mean, all of them as far as sitting on losses and what do you think it means for the industry and more importantly for Neuland Labs . Thank you.

Saharsh Davuluri : Thanks for the question. I think we are quite well aware of the private equity activity in the API space and I think obviously while we are aware of what is going on it is hard for us to comment on what their specific strategy, financial goals, or exit plans are. I think what you understand about the business is that every API company is having a different strategy . Some companies are going after CRAMS of big pharma, some companies are going after Biotech companies, some companies are more focused on generic APIs, and every business has its own dynamics in terms of margin profile, growth, challenges, etc. So, I think the way we are looking at it from Neuland's perspective is the kind of businesses that we are focusing on which is the specialty API's as well as the CMO S business. I think these require very high level of attention to the customer needs in terms of what needs to be done for their drug whether it is phase d appropriate development, setting up the right kind of infrastructure, and providing them a partnership for a 5 to 10 year runway, and I think that is an area where we feel that we are very well calibrated as I think both culturally , organizationally to do that and in that space when we are going through that journey we do not necessarily see competitors around us I think because it is a very large space it is a \$50-\$60 billion space , the CDMO space that we operate in , we are too small a players or no one is big enough to really elbow the other out and therefore I think while we keenly observe what is happening we would find it very difficult to comment on what the rationale is but I think as far as our business is concerned we are not really seeing any direct threat or concerns coming out from these private equity backed organizations.

Moderator : The next question is from the line of Mr. Rajat. Please go ahead.

Rajat : Hi, Saharsh and congrats on the great side of numbers. I just have two questions. My first question is that if I were to compare your gross margins to any of the other API players right now even if I compare it to Divis. Right now, you are sitting at the highest gross margins within the API space in India at least on the listed space. I just want to understand like what you are doing so differently here like because I think you have large portion of your business coming from generic APIs also while if I see Divis they have roughly 50% of their revenues coming from custom synthesis, but still your gross margins are higher than them. Could you just give some color on that for my benefit? I also want to understand are there any particular

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products where you are really enjoying high realizations at the moment that you feel that going forward they might not be sustainable. That is my first question.

Saharsh Davuluri : I think what we have shared in terms of our remarks about the quarter I think it is a general representation of the trend going forward. I think yes, we also did see some challenges on raw materials, but as I had mentioned in my remarks it has softened a little bit it is not as severe as it was three or four quarters ago. I think some of these raw materials like these

lithium metal based prices are still high, but solvents and all that has softened, but again I think the gross margins are also a direct factor of the business mix and the product mix that we have and maybe because of the mix that we have, we have this kind of margin, but again we are very clear that it is not a one time exceptionally high gross margin. We think that this is a reasonable margin that we think is sustainable provided there is no major shift in terms of raw material supply situations or foreign exchange fluctuations and things like that. But I would not really know why the other players' margins have maybe again because the businesses are so diverse within the API space it is just maybe the challenges that they are facing for their specific product. I think also another point to note is Prime has been relatively smaller compared to how big it used to be for us in the past and Prime is definitely a segment where we have some pricing challenges and maybe a few issues on raw materials, but I think we do not see any other challenges other than what we had mentioned.

Rajat : Could you also tell me like how much backward integrated are you at the moment like what percentage of your raw material is imported from China. Could you give some color there.

Saharsh Davuluri : So your question is about how backward integrated are we?

Rajat : Yes.

Sucheth Davuluri : It is a product specific strategy. So we do not have an overall umbrella of strategy that is where every product we have to be backward integrated because it does not make sense. So we do a product-by-product evaluation and for some products we are fully backward integrated, for some products given their supply situation they are not backward integrated, therefore we could not give you an overall percentage number. Today our procurement from China I would say is in the range of about 25% or so though our dependence on China is far less than that, but those are the rough numbers.

Rajat : Would it also be possible for you to break down this 24% growth which you have reported in the GDS segment in terms of price and volumes would that be possible.

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Saharsh Davuluri : We would prefer to keep the growth numbers to what we have shared. We would not be able to provide further.

Rajat : Okay, thanks. Thank you so much.

Moderator : Thank you. We have a next question from the line of Ankush Mahajan from Axis Securities.

Please go ahead.

Ankush Mahajan : Thanks for the opportunity and congrats for good set of numbers. Sir, my question is that in the API segment at this time the whole industry is talking about the less export and prices are falling for the APIs even the peers are also saying the same things on the con call. So would you throw some light how do you see our company in regarding to it that what about the price realizations for the APIs that is the first part? Second, what about the capacity utilization of the new plant and how do you see the capacity utilization in the current quarter that is Q4.

Sucheth Davuluri : On the pricing side we had mentioned this in previous calls, but over the last decade or so we have consistently derisked our procurement positions from China to other suppliers. So we have made the supply chain much closer to home and therefore as far as our solvents our raw materials are concerned. We are seeing volatility, but it is not extreme volatility as we see reflected in our performance numbers as well. Coming to your second part I think our unit 1 and unit 2 the capacity utilization tends to range between 80 % to 85% given that specific quarter and the product mix. Our unit 3 is about 65% based on the installed capacity today, but given that our unit 3 is growing and we continue to add capacity that number will keep evolving.

Ankush

Mahajan : So, sir, unit 1 , unit 2 , 85% and unit 3 , 65% currently.

Sucheth Davuluri : Correct, I said 80% plus, minus.

Ankush Mahajan : Sir would you throw some more light on the CMS business how the commercial and development stages they could do in upcoming quarters.

Saharsh Davuluri : I think as I had indicated earlier there has been good progress in terms of commercialization of certain CMS molecules. I think the increase in the commercial revenues this quarter is an indication of that. Going forward we expect over the several quarters in the next couple of

years maybe that more molecules will get commercialized, and we are actually very excited about the potential of these molecules, and as these molecules get commercialized and the ones that just recently got commercialized also scale up, we think that will be a key driver for Neuland Laboratories Limited
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the CMS business. I think if you go back to our calls two years ago we had indicated that we have pipeline of several molecules, which are either completing phase three early part of commercialization these molecules are all kind of still around and maybe 2 have become commercial since then. I think if you look at our tables that we disclose that number is evident and I think in the maybe next one to two years we expect maybe a couple more to get commercial. The number may be very small, but these are high potential molecules. So I think we are excited about that and the only caveat I would add is because these are new drugs there is always a risk that the drug may not get approved or there is also a risk that the drug may not be successful. So therefore we are still very cautious, but I think if you look at the last several quarters trend it should give you some indication that things are looking positive from a CMS commercialization. So I think that is what we can share at this point.
Ankush Mahajan : Even we see in the CMS business that from the last two quarters doing very well. So some kind of a growth, any growth number that we can put on the CMS side.

Saharsh Davuluri : We would not be able to give any sort of guidance, but I think all we have been confident to say is that whatever numbers we are seeing and whatever kind of trajectory we are seeing is a sustainable one. So there is nothing like an exceptional quarter that has happened and we will go back to how we were like say three, four quarters ago. But I think beyond that it is very difficult for us to give any guidance.

Saharsh Davuluri : Thank you. We have our next question from the line of Nikhil from SIMPL. Please go ahead.

Nikhil : Hi, congratulations on great set of numbers and I think I will add to previous participant's point that we have never seen the balance sheet of Neuland being so strong in terms of debt and cash flows. So great work and the efforts, which the management has been making I think now results are clearly visible. Just two questions, one is Saharsh if I look at our product mix break up between prime and specialty and compare it year-on-year so last year it was around 56 which is now 61 the prime and specialty both. While if we look at the industry across most API commentary people have been complaining about high inventory levels and as a result there is a major inventory destocking which is happening and the demand has been hit and also the pricing has been hit. But our numbers seem to be very different from what the industry across players what we are looking at. So if you can just help us understand what different is happening in our set of products because the prime and specialty mix has only improved where there should have been more inventory issues which the industry is talking about, but our numbers are good. So just help us understand on these two segments.

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Sajeev E. Medikonda : I think there are two elements here, when it comes to our specialty business I think the growth is being driven and the numbers are a reflection of some of the molecules which are in the pipeline where our customers are taking quantities for launch and as we have mentioned molecules like Apixaban and Paliperidone have driven some of the revenues and the growth there and also we have had other specialty molecules like Donepezil, Ezetimibe too which have contributed and I think even as you see that there is an industry trend. I think for these specific products a part of the cycle where I think there is a continuous growth and also customers are looking at launch, which is why you are seeing that reflection in the numbers.

And when it comes to prime, I think again it is products like Mirtazapine and a few others which are contributing consistently to the revenues and it is in our case we have a lot of molecules which are say around 100 to 200 tons medium in terms of their molecule size when it comes to tons where there have not been fortunately so many inventory issues because the build up is likely to be lower in the medium size kind of volume product. So that is the reason why we have seen a certain consistency in the last two quarters from these segments.

Nikhil : Thanks for the detailed explanation. Just one last question on the CMS side. Now if we go to slide #15 what we see is that the commercial launch has scaled up. So for last four quarters we were averaging around between Rs. 40 to 50 Crores and this quarter we move to almost Rs. 75 Crores. So which means there is a big commercial launch either which has happened or we have participated. So do you see because what we understand in the patented molecules the buyers pick up for large volumes and then it stays for some time and then it reduces to a normal level till the time the next quantum is required for a larger launch or based on the demand. So this Rs. 74 Crore, 75 Crore is sustainable or do you think we will come back to

that Rs. 40 Crore, 50 Crore kind of a run rate. So is it supported by a launch of a molecule, which has driven this?

Saharsh Davuluri: The short answer is that it is sustainable because I think what you are alluding to is typically how a launch happens, but every case is very different sometimes you get, you are commercializing a drug that is already in the market as a second source in which case you will probably start supplying continuously from the beginning, in some cases there could be a situation where you will make maybe three, four months or three, four quarters of launch quantities and then you will go into maybe hibernation for a year or so. So I think it is possible, different scenarios are possible, but I think the question that I am guessing you want to know is like is this the one time thing or is it sustainable I think the short answer to that is it is sustainable.

Nikhil: Thanks. I will come back to the queue.

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Moderator: Thank you. We have our next question from the line of Sanjaya Satapathy from Ampersand. Please go ahead.

Sanjaya Satapathy: Sir, thanks a lot. I just wanted to ask a couple of questions, that your specialty business contribution declined in this quarter, if you can just explain that and secondly though you have already warned that your numbers will be volatile because of the nature of business, but your commentary nowadays is far more confident than what you used to do in previous year. So what has really changed if you can just explain it.

Sajeev E. Medikonda: If we look at the specialty segment I think we again because the molecules themselves are small volume in terms of their nature. So there is likelihood to be more lumpiness because even customers campaigns and

all are not done on a regular basis, but are done more on make to order and the certain order is based on how the demand emphasis is over a period of time. So therefore there is likely to be a certain lumpiness, but if you have to look at it over an annual period we can see that there has been a significant growth even in this specialty business and which is very clear both in the percentage from the specialty business and even it is reflected even in our margins too. So it is just there is likely to be a certain lumpiness because of the nature of the molecules, but overall we are seeing an upward trend.

Sanjaya Satapathy: Thanks and if you can just tell us about that will your numbers be less volatile and kind of a secular relatively secular compared to what the turbulence that you saw in the previous years or I mean have you kind of reached the stage where you can be a lot more sure about your prospects primarily because your new molecules are in a more better commercial state.

Saharsh Davuluri: Are you referring to the specialty business in particular or the overall business?

Sanjaya Satapathy: I am talking about the CMS business now.

Saharsh Davuluri: The CMS business. I think yes as we had indicated a couple of times in this call the CMS business the shift to commercialization is giving us more confidence that this business is sustainable and it is more sticky and I think you should see continued performance going forward. I think depending on the order mix there could be variation in terms of margins and numbers etc. But I think overall what we are emphasizing is if it is commercial revenue you can see that it will be sustainable may be with a little bit of lumpiness, but it will be sustainable for sure.

Sanjaya Satapathy: And lastly on unit 3 can you just tell us like what kind of utilization now and what kind of utilization we are looking forward to next couple of years.

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Abhijit Majumdar: Yes. So, if you look at, I think so. Sucheth has mentioned that unit 3 utilization in FY2023 estimate is around 62% to 65%. As we move forward into FY 2024 with the product mix change we would be closer to 68%-69% and so kind of tells you there is a window of growth that would come from next two years.

Sanjaya Satapathy: Understood. Thanks a lot, Sir.

Moderator: Thank you. We have our next question from the line of Gautam Bahal from Mauryan Capital. Please go ahead.

Gautam Bahal: Hi, thanks for taking my questions. Just a quick one on unit 3 has the US FDA approval come through there or if not what is the update there be.

Sucheth Davuluri: Yes. So we have a product that we are shipping into the US from unit 3 so we have had a virtual audits by the FDA we have not had a physical inspection yet, but, besides it is listed in the FDA database as an inspected site for the US market.

Gautam Bahal: Is there any sort of clarification of when that physical inspection will happen like it has been triggered already right.

Sucheth Davuluri: See, right now the FDA determines when the physical inspection happens. Right now as far as we are concerned, we have not seen any approvals from unit 3 being held up because of a lack of physical inspection. Therefore it is a complete prerogative of the agency to schedule an inspection.

Gautam Bahl: But, I mean, correct me if I am wrong at the moment you are not making any novel sort of, novel stuff from unit 3 right it is mostly the generic that is being manufactured there. You are waiting for the...

Saharsh Davuluri: We are making NCE's from unit 3 along with generics and I think what Sucheth said applies to both because the way the FDA has been functioning especially post COVID is if they are not seeing any broad based challenges with an organization they are approving specific filings with online inspections.

ns. They are not necessarily holding back approvals for a physical inspection. So therefore our product is getting consumed or will get consumed in the US markets without any physical inspections both for NCE's and generics.

Sucheth Davuluri: Yes and that is the current status of this. But as you know things keep changing in the dynamic landscape.

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Saharsh Davuluri: Yes, they may come for a physical inspection which we are ready and welcome at any time.

Gautam Bahl: But unit three at the moment is still running at a break even or loss or any update there.

Saharsh Davuluri: I think we have not disclosed unit wise numbers but I think we can indicate that I think by this upcoming quarter we would have turned the corner and it would be profitable. Yes.

Gautam Bahl: Okay, wonderful thank you very much.

Moderator: Thank you. We have our next question from the line of Keshav Kumar from RakSan Investors. Please go ahead.

Keshav Kumar: Hi, good evening. Sir with the debt to equity of 0.13 looks like we have reduced a substantial amount of debt this quarter and one of our peers has seen challenges in receivables so I guess the inflation and cost of debt is leading to some pain over there due to clients deferring payments. So are we seeing or anticipating some impact in the near-term or as of now it is a business as usual for us.

Abhijit Majumdar: If you look at how we have reduced debt in this quarter kind of gives tells you the resilience of the underlying business. Working capital remains as it is as we gear up ourselves for Q4.

So the short answer is we are not facing the challenges that others may be facing.

Keshav Kumar: And sir lastly on a medium to long-term. So there is quite a bit which has happened in bio pharma in the last 20 years and last five years we see AI impacting in a big way. So there is a lot of progress in proteomics databases are being populated at an ever increasing pace ability to figure protein structure, finding potential new targets, and so forth. So this should come as a beneficiary to both small molecules and peptides. But when we see the CDMO supply they have traditionally been in short supply and with the times of 18 to 24 months and the capacity cannot be scaled exponential to match the pace of drug discovery advances. So just pure empirically we should see a much larger share of inquiry because we are a decently established player and also have the capability to do both peptides and small molecules. So is it too soon to sort of have any feelers yet or are we seeing the intensity of early phase inquiries going up.

Saharsh Davuluri: I think generally speaking we have I think as we have been executing more projects successfully in the CMS space because it is a B2B space and a lot of recognition, brand recognition happens through professional networks etc. I think we are seeing increase, steady increase in terms of inquiries and I think beyond that I think it is hard to correlate with the

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comments you had made about the general drug discovery landscape and what is happening over there, but I think we have been kind of seeing a healthy increase in terms of inquiries and we become a little bit more selective in terms of the kind of projects we want to work on.

Sajeev anything you want to add.

Sajeev E. Medikonda: Yes, so again the point that you make about the discovery timelines and all of that is valid, but I think if you see over the past our focus has been more in terms of molecules in terms of our BD approach is bordered on molecules in phase two onwards and there even as we are seeing more traction I think it will take some more time for us the impact from flowing through from preclinical to phase two to happen for it to show

up in our purview. So I think to answer your broader question that is where we are right now.

Keshav Kumar : Sure thank you Sir. That is all from me. Thank you.

Moderator : Thank you. We have our next question from the line of Sachin Jain an individual investor. Please go ahead.

Sachin Jain : Hi, Saharsh, hi, Sucheth, congratulations on good set of numbers. My question is as now business mix improving the desired level and probably the margin trajectory you are sounding more confident. What is the sustainable ROCE you guys building in.

Abhijit Majumdar : If you broadly look at our ROCE. So we are targeting an ROCE in the broad range of 17 to 20% and that I think so is what we would kind of want to sustain at in that broad range.

Sachin Jain : And my second question is basically if you have to see the CMS business for next three to five years can you give some color how you guys are seeing the scalability from here basically.

Saharsh Davuluri : I think it is definitely looking very exciting for us because the quality of the pipeline in the recent periods have been significantly better compared to what we used to have earlier and I think in terms of the annual revenue per molecule or the margin profile for the molecule or the likelihood of the drug success, the therapeutic area. I think on all the important parameters that you would assess and see I think the pipeline has been better and I think these molecules have also now started commercialization. So therefore I think in many ways there is a lot of scope for growth and obviously a lot of excitement about the CMS pipeline. The revenue growth that will come I think will be evident in the coming couple of years and it is hard to paint a picture around it because saying a percentage number I think could be misleading because it could be either way, but I think we have started to see commercialization and again

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as I mentioned two molecules have already commercialized in the last one year and we expect maybe another couple to commercialize and each of these by themselves are saying attractive and cumulatively it should be good and most important thing I would like to underscore is that our pursuit of new projects continues, our goal is to keep adding such opportunities to our pipeline and not every opportunity will be a successful commercial contract, but I think we are continuing to add these and we are creating capacities to support that. So I think overall it is very exciting I think next three to five years we should see a good healthy growth and profitability from the CMS business and I think it complements very nicely with our GDS businesses. So I think we have a good package or not, but I am not really able to quantify things unfortunately.

Moderator : Thank you. We have our next question from the line of Kunal from Carnelian Asset Management. Please go ahead.

Kunal : Thanks for the opportunity. I have just one question. What are our Capex plan for the next year. If at all any.

Abhijit Majumdar : Broadly if you look at trending we have been spending around Rs. 100 Crores to this capability in our plants and that could be taken as a trending that would continue. Having said that if large capital investments we have to do to grow our business as and when it happens and we get board approval, we will surely inform you in our quarterly earnings call.

Kunal : So basically Rs. 100 Crores would be maintenance kind of a Capex not capacity enhancing Capex I understand correct.

Abhijit Majumdar : Yes, so it is a combination of maintenance as well as upgrades, which kind of enables us to meet the capacities of a particular molecule, which suddenly grew so it is a combination of both, but you could take that as a broad indicator.

Saharsh Davuluri : And maybe what I will add to Abhijit's comment

is I think a lot of the business growth may

also require capital expenditure, which I think will happen in tandem with the business contract or some certainty of business. So in some ways I think beyond what Abhijit said if we do invest more it will be perhaps because we see more growth in terms of some other scale up opportunities, but I think what we have shared is currently what is on the radar.

Kunal : It will be safe to assume going to be more on the CMS business side. If at all anything lined up.

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Saharsh Davuluri : I think typically our strategy has been to add capital expenditure on the back of the CMS molecules and since the capacity is fungible between GDS and CMS we are also able to use the same capacities for the GDS business, but I think over the last few years I do not think we have created capacity exclusively for GDS business. I think in unit 3 to initiate unit 3 operations I think the initial capacity created was for GDS, but I think the capacity that we are creating now is we are creating new capacity it may be to accommodate the growth from

these new CMS molecules, but irrespective the capacity is fungible between GD S and CMS and what we typically do is we look two years ahead and make sure that we have capacities in place.

Kunal : Just one question I do not know why its right. Just wanted to understand as our gross margin is pairing because of the product mix change and because of the branches that we have in the CMS specialty businesses. So how would one look at the margin basically for these three businesses, I mean, the ranking is known right, but still what would be the kind of difference and the gross margins between those three segments. So as an investor to gauge as to how much gross margin can vary between the three business verticals depending on the content.

Saharsh Davuluri : I think there can be seen I think at a high level the gross margins of the specialty and the CMS may be similar to now. But I think what is very important for you to understand is that at a product level there is a variation in gross margin product-to-product. In CMS or in specialty we have products which have 80% gross margins, we also have products which have maybe 30%-35% gross margins and how we do in a particular quarter is also a factor of how much of a particular product we have shipped. So I think it is hard to give you more granularity on how the gross margins will figure out, but I think what we are seeing is a good blend right now and unless there is a crazy surge in raw materials or maybe big fluctuation in forex. These margins are a reasonable baseline for now to take, but we do not really want to give you spell out margins of prime, specialty and CMS separately because that may also not be very accurate because then if we ship certain products in CMS then that margin will change and then you will wonder why the margins of CMS different. So I think rather keep the margins at an aggregate level and just help you understand that these are broadly the reasonable margins to assume.

Kunal : Fair enough. The only reason for asking is if I look at the last year quarters the gross margin specifically has had wide variances. So just wanted to have color, but fair enough I understand what you are trying to say. Thank you wishing you all the best.

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Moderator : Thank you. We have our next question from the line of Sajal Kapoor an individual investor. Please go ahead.

Sajal Kapoor : Hi, thanks for the follow up. Quick question now our R&D infrastructure and so in terms of our R&D investment, is the current R&D setup in terms of campus size and capability as well as the scientific talent mix is it good enough for next two years or do you think we need a

bigger R&D campus or we need to significantly scale up from our current base of around 300 scientists.

Saharsh Davuluri : I think today we are operating at about 360 -370 scientists but as you indicate it is fairly tight because we do have, we do use a lot of scientists for troubleshooting in the plant, we use them for lifecycle management, we also have active GD S programs, and then we have the CMS business. So we are making some increases in R &D capacity in the upcoming financial year and we think tactically that should suffice for the upcoming financial year, but maybe from a two to three-year perspective it may not be enough. So we are also looking at slightly medium-term plans which might involve some expansion of R&D, but at the same time we are also looking at ways in which we can improve the effectiveness of R&D that could be in terms of maybe putting systems in place, trying to also be better in selecting the kind of projects we want to take up in the organization, maybe also trying to do more computer aided experimentation to reduce the load on the bench. So I think there are a lot of important initiatives that are being taken up right now. I think studying pilot actions carefully, using good modern techniques, using chemical engineering expertise is also a way to reduce your loan on R&D labs. So I think it is an important question I think we are in the midst of doing proper evaluation on what is good for doing process R&D. I think decisions to expand will be based on what we figure out in the next six months or so. But I think definitely as a growing company we will have to make sure that R&D resources do not limit our ability to scale up more and more projects.

Sajal Kapoor : That is very reassuring and thank you so much.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Sajeev E. Medikonda : I would like to thank everyone for the engaging questions on the business. While we make every effort to answer your questions would be available clarity to us at this point of time, your questions also act as stimulants for our internal conversations. Even as we are excited about our business, it is important for us that our investors share that and your participation

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today reflects that and for that we would like to thank you. Wish you all a good evening and look forward to talking again.

Moderator : Thank you. On behalf of Neuland Laboratories that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2023

May 16, 2023

To
BSE Limited
Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on May 11, 2023

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and year ended March 31, 2023, conducted on May 11, 2023. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/investors/investor-updates/announcements/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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"Neuland Laboratories Limited
Q4 FY2023 Earnings Conference Call"
May 11, 2023

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN & CHIEF
EXECUTIVE OFFICER – NEULAND LABORATORIES
LIMITED
MR. SAHARSH DAVULURI – VICE CHAIRMAN &
MANAGING DIRECTOR – NEULAND LABORATORIES
LIMITED
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL OFFICER –
NEULAND LABORATORIES LIMITED
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD -
CORPORATE PLANNING AND STRATEGY – NEULAND

LABORATORIES LIMITED

MODERATOR : MR. RAVI UDESHI – ERNST & YOUNG

Neuland Laboratories Limited

May 11, 2023

Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to the Neuland Laboratories Limited Q4 and FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young.

Ravi Udeshi : Thank you, Bikram. Good evening, friends. We welcome you to the Q4 and FY '23 Earnings Conference Call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us today the top management from Neuland Laboratories, represented by Mr. Sucheth Davuluri, Vice Chairman and CEO; Mr. Saharsh Davuluri, Vice Chairman and Managing Director; Mr. Abhijit Majumdar, CFO; and Mr. Sajeev Emmanuel Medikonda, Head, Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you broad highlights of the business trends and what he is observing in the market and post this, we will open up the call for the Q&A session. As usual, the standard safe harbor clause applies as we start the call.

With that said, I now hand over the floor to Abhijit. Over to you Abhijit.

Abhijit Majumdar: Thank you very much, Ravi and a very good evening and a warm welcome to you all for joining our Q4 and FY '23 earnings call. I'll briefly talk about the financials now. The total income for this quarter was the highest ever at Rs.415.1 crores as against Rs.256.5 crores in Q4 FY '23, an increase of 61%. This was largely driven by growth in the Specialty and CMS segment.

Our EBITDA for the quarter stood at Rs.127.8 crores with our highest EBITDA margin of 30.8%, an increase of 15.5% over Q4 FY '23. The increase in EBITDA margin has been due to a better business mix, combined with an operating leverage as well as some easing in input prices. Compared to Q3 FY '23, our revenues increased by 53.7% and our EBITDA margin increased by 10.47% or 1047 bps.

I would like to state that the overall o

perating environment still continues to be unpredictable.

However, we have seen some favorable movement in the past 2 quarters. Also, our focus on execution excellence and costs has enabled us to mitigate the unpredictability. I would request you to measure as we have consistently said in our previous earnings call, to measure our performance over a 1-year time horizon as our EBITDA margins will fluctuate on a

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Page 3 of 18 quarter-on-quarter basis based on business mix, which is dependent on the order flow and project execution.

Now coming to specifics. Our gross margin was 54.1% in Q4 FY '23 compared to 47.9% in Q4 FY '22 and 55.2% in Q3 FY '23. The profit after tax was at Rs.84.5 crores as compared to Rs.21.8 crores last year. This quarter's EPS is at Rs.65.9 per share. On a full year basis, our total income was Rs.1,200.9 crores, an increase of 26% over the prior period. The EBITDA increased by 94.8% to Rs.281.1 crores as against Rs.144.3 crores in FY '22.

The EBITDA margin has come in at 23.4% compared to 15.1% for FY '22, an increase of 830 bps due to better mix and operating leverage. We generated a free cash flow for the year of Rs.172.4 crores, and our net debt position stands used to Rs.62.9 crores. We continue to invest in upgrading our facilities and have invested Rs.66.1 crores in capex during this period. With that, I would like to hand over the call to Saharsh for his remarks. Once again, thank you very much.

Saharsh Davuluri: Thank you, Abhijit. Hi, good evening, everyone. Given that the financial year is complete, I would like to share some thoughts on the year gone by first and then talk a little bit more specifically on Q4. Neuland has displayed significant growth in FY '23. Given that FY '22 was a flat year for us, we are pleased to see that the company has resumed its upward trajectory. I would like to state that this year is a fairly good illustration of the course we have

set for ourselves as a company.

You may recall from the past few years' management commentary that Neuland has always been positioned as a complex API player striving for growth in both the generic API space and the CDMO space. We have highlighted in the past how the CMS business has a strong pipeline of NCEs that will fuel business growth as these molecules achieve both clinical as well as commercial success.

On the generic side, we touched upon the filings made and how patent expirations will stimulate the GDS segment growth. We have also talked about the lumpiness of our business in general and how the progress should be measured on an annual basis and not on a quarterly basis. I might add that even at an annual level, the growth is unlikely to be linear.

I believe that FY '23 merits a few highlights. Number one, a better business mix. CMS business is expanding in line with the company's strategy and objectives. Molecules that are commercial or on the verge of commercialization are fueling this expansion. Number two, despite a decline in contribution from a few prime products like Levamisole, GDS growth is healthy, and it's driven by specialty APIs like Apixaban and Paliperidone, which again point to an improvement in the business mix.

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Page 4 of 18 Number three, Unit III utilization has increased, especially in the second half of the year as seen by the rise in operating leverage. Number four, execution challenges continue to exist, but they're being proactively managed. Finally, number five, in FY '23, we have laid foundations to strengthen the organization structure and support the growth and the vision that we have, which is to be a partner and not just a service provider to our customers. While we have focused on strengthening the team in the past, I believe we are taking a much more comprehensive approach now.

Let me now talk about the Q

4. Specialty recorded another high-growth quarter with revenues

crossing Rs.100 crores, and it's being driven, like I said, by Apixaban, Paliperidone, along with products like Ezetimibe and Donepezil. We continue to be enthusiastic about the growth of these products and our Specialty portfolio. Additionally, during this quarter, we filed for 3 DMFs: Tafamidis, Voxelotor and Voxelotor cocrystal, which are all part of our long-term plan for the GDS business in line with our strategic priorities.

The CMS business this quarter contributed to over 45% of the revenues being driven by a few molecules which have recently transitioned to commercial as well as some old molecules. We have also seen significant contribution from molecules under development. We are seeing a lot of traction for new business in CMS as new customers are becoming aware of Neuland's capabilities in scaling up products from clinical to commercial. We see this as a vindication of our position as a well-regarded CDMO. I would like to place an additional comment here about the current CDMO business. We have a list of over 85 active projects, all of which we consistently share with our investors. But I'd like to underscore that these projects are all catering purely to innovators working on human health.

We are observing a shift towards high-margin business, which has been our stated objective. However, we continue to be mindful of any future negative effects that the business mix, product mix, raw material prices or forex could have on these margins, and we would like all of you to be cognizant of this.

In addition, I want to reiterate that Unit III is ramping up effectively in supporting our expansion. Some of our late-stage CMS projects are being scaled up here, and as some of these products scale up, we can see that Unit III utilization will continue to increase. Despite the fact that this will result in increase in operating costs, we believe the operating leverage will continue to kick in, and we will maintain the momentum we saw in FY '23.

Even as we have closed FY '23 on a high note, we continue to aspire for healthy growth.

With regards to the same on the manufacturing side, we are focusing on modernizing our operations as well as adding newer capacities and capabilities. This is being done to ensure our leadership position in key molecules as well as open the door to manufacture new molecules, which are in the pipeline. Also, on the R&D front, we are consistently investing

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Page 5 of 18 in our labs as well as deepening and widening our R&D talent pool, even as we continue training our cross-functional teams so as to deliver high-value complex projects. Our focus continues to be on our customer needs, and it is central to all the actions that we take as a management team.

In conclusion, I would like to emphasize that the performance in Q4 doesn't comprise of any one-offs and that it is a healthy indicator of the direction in which we want to drive the

company. However, I would also like to emphasize that the business is inherently fraught with the challenges that we have talked about over the years, and this is something that could potentially have impact as we go forward.

So, I will pause here and open it up for Q&A.

Moderator: We'll take our first question from the line of Sajal Kapoor, an investor.

Sajal Kapoor: Congratulations on awesome results, excellent execution. A few questions. Number one, culture and chemistry go hand in hand. So how has the culture been transformed in recent years as NCE scale -up is a very different game compared to generics? What concrete steps have been taken regarding the culture side of things? That's one.

We know how the CDMO pipeline has progressed over the years, but can you paint a qualitative picture of your journey over the years? So things like the level of complexity you

guys were handling 10 to 12 years back versus today, the kind of innovators that were willing to partner with Neuland back then versus today, and similar attributes, if possible, keeping the molecule and the client confidentiality intact.

Saharsh Davuluri : Thanks for the question, Sajal. I think the first question is about culture and chemistry and how do they go hand-in-hand with regards to execution. I think for us, as I had mentioned in the opening remarks, being a service provider helps us stay focused on the needs of the customer. There are no challenges such as conflict of interest, redeveloping a molecule that potentially is competing with our customers' molecule, etc.. So I think the business model itself is inherently set up in a positive way. However, having said that, I think for us, the challenge that we face -- and I will ask Sucheth to explain that.

The challenge that we face is that we work in predominantly a culture in the industry where people are used to working in a product environment. They are actually focusing on what they have to people within specific departments have to do. That's a challenge we've had to address, and we've had to transform and create our own culture where there's a need for cross-functional teams. That's something that we have strived very hard to work on. Maybe Sucheth, if you want to just elaborate on that, then we'll answer the second question.

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Page 6 of 18 Sucheth Davuluri: Sure, thanks, Harsh. I think second question first, Sajal, in the sense if we had to reflect in this room, we've always maintained in our past investor calls that Abhijit was referring to that we've always had a strategy of an organization that wanted to focus on complex APIs. That explains why we developed the specialty APIs, our focus on contract manufacturing, development of peptides. That's the strategy we set out to achieve. Obviously, it's been a long time coming, but we've been consistently on it, and we've completely shared that strategy as well. That's what, as Harsh referred to in his opening comments, that's what we're seeing playing out and it will in the future as well.

Now just adding to what Harsh said on the culture side, I would say it's been a continuous evolution. One thing I would say we've done is, referring to Harsh's comment about projects and the CMS business, we've brought the customer to the center of focus over the last couple of years, where how we are impacting the customer, how our products are impacting the customer, how our projects are impacting the customer has been bang in the center of all our discussions and all our processes within the organization, whether it's project management, communication, how we plan, how we execute that's become a major factor in our decision-making. The only other thing I would add is that our CHRO, our top leadership of the team, they've been spending a lot of time in building a culture of strong cross-functional teams that are able to make decisions, investing in their capabilities and bringing focus to the customer. So Harsh and I could go on, but I think this would suffice.

Saharsh Davuluri : I think with regards to the second question, I know Sucheth has answered it, but I also if you could just repeat, you also wanted to understand how the demographic of the customer has changed on the CDMO business? Is that the question?

Sajal Kapoor: Yes, I mean so we have been on this journey as far as I remember, somewhere around 2009 or 2010 when the new R&D center was set up. So just wanted a qualitative color on the level of complexity that you guys were handling in the initial years with no sort of track record versus the level of complexity, maybe late-stage molecules that you guys are getting now or any other qualitative attributes. I'm not interested in what molecules, or client name, etc. because you already shared

the molecules in the pipeline, which I must say no other player in the industry is sharing in India, including some of the bigger players like Syngene for that matter. But I just wanted a qualitative assessment over the years.

Saharsh Davuluri : Yes, so I think when we started off in the CDMO business, I think a lot of the work was trying to just find some opportunities of partnering with innovators because we were not a household

name for innovators. So, the projects were more smaller in nature. They were like making building blocks, simple chemistry, something that would at least create a certain level of basic trust. I think as the journey progressed, I think the first 5, 7 years was a lot about just doing

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Page 7 of 18 intermediates, we spent a lot of time and effort trying to work with big pharma. We were never successful on that front.

We parallelly were exploring opportunities with biotech and even there started off with early-stage simpler projects. Then I think over the next 5 years, starting from FY '13 onwards, we were able to get some early breaks. We were able to work on opportunities involving NCE APIs. I think maybe we were also not very fortunate at that time because some of the molecules at that time were also potential blockbusters, but they really didn't take off. But we at least started working on NCE APIs, maybe about 8, 10 years ago, starting from FY '13, '14. I think over the few years after that, we've transitioned into a much larger pipeline of CMS molecules and a larger pipeline statistically gives you more opportunities for success. So I think, yes, the journey is maybe almost 15, 20 years old, I think we've been in this space. But I think for us, the critical mass of projects with biotech companies has actually resulted in more opportunities in late-stage clinical and commercial. I think today, there is a healthy basket in front of us. I think as you indicated, we cannot disclose names and such, but this is broadly how the journey has been.

Moderator: We take our next question from the line of Aditya Khemka from InCred Asset Management.

Aditya Khemka: A couple of questions from my side as well. Let's start with the CMS business, both development and commercial arms of the business. So, if I look at your quarterly numbers, in the fourth quarter, there seems to be a four-fold jump in the development revenue and a 20% jump in the commercial revenues. Could you just talk to us about what has driven this? How sticky or how consistently would you be able to grow the business from here on? Is the fourth quarter run rate something which you feel is sustainable? Or is this something which we should look on a full year basis rather than looking on a fourth quarter and going forward basis.

Saharsh Davuluri: Yes, so I think, Aditya, definitely, the last point you mentioned, I think you should look at it on an annualized basis and not on a quarterly basis because as you also know, it's a fairly lumpy business. I think what might happen in one quarter is not necessarily going to repeat. But on an annualized basis, I think it's fair to surmise that this is a reasonable number. I think the development revenues are also going up because see, we categorize commercial as molecules, which are commercially approved by the FDA or the regulatory agency, and those are categorized as commercial. Anything that is not yet commercial is part of development. But the development revenues are also higher because molecules, which are on the verge of commercialization, I think they have the same size and revenue potential, etc. as

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Page 8 of 18 commercial molecules. But categorization wise, we categorize them as development, and that's why the development side is looking large. So I think that's what I would say to your question.

Aditya Khemka: No, I'm

sorry, I have a cross question here. Your development pipeline on Q4 FY '22 had 16 molecules, 8 API, 8 intermediates. Your development pipeline at Q4 FY '23 had 15, 1 less on the intermediate side, so 8 API, 7 intermediate. So clearly, despite the number of molecules, not in fact, decreasing from Q4 to Q4 last year versus this year, your revenues have grown manifold compared to Q4 FY '22 to Q4 FY '23. So my question was specific to is it certain projects which are driving it? Or is it just a couple of projects driving it? Or is it like a broad-based sort of improvement in the volumes of the business?

Saharsh Davuluri: It's very specific projects. It's not a broad-based number. It's 1 or 2 molecules in that column that are actually driving the revenue up. Sajeev, you want to add...

S E Medikonda: Yes, just to clarify, even though what you say via label means -- I think the 2 tables, which are there on the same side are slightly different reflection because the development revenues that we are talking about is revenue from all the products which are not commercial. So even revenues from, say, product in Phase III or even preclinical are also counted there. So I think we just need to make that distinction. So as you talked about the number of projects in development, you have to consider all the projects together when it comes to development revenue.

Saharsh Davuluri: Anything that is not commercial is classified as development.

Aditya Khemka : Understood, so that makes sense.

Saharsh Davuluri: To that point, I think we we'll tweak the nomenclature because I think there's a valid point of confusion there.

Aditya Khemka : Yes, thank you, that would be helpful for investors in the future as well. My second question was really on the patent situation regarding Paliperidone Palmitate in the European market.

Could you talk to us about what the patent situation currently there is?

S E Medikonda: So I think, Aditya, in terms of the patent situation for Paliperidone, I think even as the product patent has expired in the past, I think the innovator continues to be fighting on the various patent fronts. So as per our customers, they believe that the patent has expired and they should be able to launch the product soon in Europe and a few other markets.

Aditya Khemka : So that is slightly confusing to me. If the patent has expired, how come the innovator is still fighting on it? Generally, the fighting happens when the patent is still not expired as you're

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Page 9 of 18 fighting on the validity of the patent. That I understand. But if it's already expired and the innovator really has no case in the court, right?

Saharsh Davuluri: I think maybe, Aditya, as the API maker, we are probably not the best to comment on the legitimacy of the generics to enter. I think from a demand perspective, I think the visibility is there. But I think whether why the innovator is not challenging is something that maybe we may not be the best to answer. Sucheth, do you want to say something?

Sucheth Davuluri: No, Aditya, I think it's a legitimate confusion. As you know, all of Europe does not have the exact same patent landscape. So the SPCs are expiring at different times in different countries. So what our customers have done is that they filed across multiple countries in Europe where there is no challenge, is where they expect to launch the product and have already bought those launch quantities from us.

But as we know, that innovator will continue to fight each and every possible battle to keep the generics off the market. Therefore, those are the conversations that we're continuing to have with our customers. So we discussed our patents where we feel strong about it, where can we launch, where can we not launch, but our customer has the best visibility. As API supplier, we only have limited visibility to what's going on.

Aditya

Khemka : That's helpful.

Moderator: Taking the next question from the line of Anirudh Shetty from Solidarity Investment Managers.

Anirudh Shetty : I had a few questions on our CDMO business. We had a non -compete approach, which I am aligned with, I understand the rationale behind that. So, my question is I see a few competitors of ours that do not have a non -compete approach. They are in formulation, but at the same time, are growing quite well. So just wanted to understand, is this something bases our discussions with our customer, is something that gives a competitive edge for us, helps us stand out? Or could this be a restriction of some sorts, which does not improve our positioning in CDMO. Just wanted more clarity on that.

Saharsh Davuluri: I think there's no enforcement from the customer, but I think what we've seen in our experience when we are working on a molecule for the CDMO business, it's very challenging for us to work on the same molecule for the generic business because there is a lot of technical, there's a lot of IT involved, which could potentially belong to the innovator. A lot of times, innovators are explicitly clear about it. They have contracts with us, which prohibit us from working on the generic.

But in many cases, they also don't have such contracts, but we elect not to place those

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Page 10 of 18 molecules in the generic list because there will always be certain analytical methods, there would be certain procedures that we may have learned from the innovator, and we do not wish to expose those to their competitors, which is generic. So you could say that it's partly strategic. It's partly our intention of keeping our business model very straight. Also, it's partly driven by the fact that we believe we can grow this business without necessarily making the generic version of the NCE as well.

Anirudh Shetty : Got it, fair enough. Also, the CDMO business would be about, I think, Rs.440 crores, Rs.450 crores this year. How does one think about the margin profile of CDMO? Do you believe that the current margins here that we're making are peak? Or as we scale up from here onwards, there is scope for better margins, just for our CDMO business.

Saharsh Davuluri: Yes, I think the margin profiles are really a factor of the product mix of the CMS business. There are products which have 80% gross margins, there are products which have only 35% -

40% gross margins. All these molecules are NCEs, and these are all molecules under patent for innovator companies. So, the concept or the molecule itself is still attractive to Neuland. But what it presents to us as a business in aggregate is a factor of how these molecules do. So, I think it will be hard for us to guide or indicate that, what is this gross margin. I think it is what it is right now. We believe that as we are growing this business, we will see molecules which have very high gross margins. We may also see molecules which have slightly lower. As we had indicated in our earlier commentary also, sometimes when we get on board as a source for an innovator, as a second source, the margins are scrutinized a little bit more because there's a reference point of the first source. It's hard to become a second source for an NCE API and expect to get 80% gross margins. Maybe if the drug is an orphan drug, maybe there is no pricing pressure for the innovator, maybe if we have been with the molecule from Phase I, then maybe you have headroom for a higher margin. But that's the color we can provide to you. Unfortunately, we can't really answer the question more specifically.

Moderator: We'll take the next question from the line of Sachin Jain, an investor.

Sachin Jain : Sucheth, many congratulations on wonderful results. I have a couple of questions. One on as you are right now building the organization and probably your aspiration is to build a

scalable

organization, what are some of key pillars you intend to build from here, particularly people, hiring, culture, mindset change? Indeed, you spoke about some of the -- one cultural aspect about customer-centric, now entire organization is galvanized towards customers. What are some of the interventions you are doing for the scalability? That's number one.

Number two, can you also talk a bit about how do you see capital allocation going forward in the next couple of years, particularly what kind of new capacities or capex plan you guys have?

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Page 11 of 18 Sucheth Davuluri: A couple of things, Sachin. One, I think in terms of building capabilities, currently, the primary focus of all the leadership of the organization is to build that depth in terms of the talent that we have in the organization. So, there's a lot of focus on what are the key positions in the organization, what are the key projects, who are the key people? How do we invest in them, how do we unlock their potential, who else do we need to hire? I think that I would say is our largest focus right now. Apart from that, we have our future plans. We've projected our business in terms of how it could perform.

So therefore, we are constantly looking at what could be the possible obstacles for it, what are the interventions which are required? We've significantly strengthened our enterprise risk management program to anticipate what are the macro risks, what are the risks that could impact us, what are the risks we need to be aware of, who are the directly responsible people or the teams responsible for mitigating those risks. That's a big focus area, apart from ESG that we've spoken even in the last call.

Because at the end of the day, all this doesn't mean anything if you're not able to build a sustainable organization. Therefore, our focus on having those environmental controls, targets, our social governance, the overall governance in terms of our Board, all of that. So I would say these are probably the top 3 or 4 pillars, apart from the culture that we've talked about in the previous question by one of the participants.

I think notwithstanding that, broadly, in terms of the capital layout, I think majority of the capital is going to go into the technology. As you know, we've talked about it. Harsh, I, in the previous calls, we mentioned it in our annual report are our top 6 strategic priorities, which talked about what R&D capabilities we want to add, how do we want to build our manufacturing capabilities in terms of buffer capacity alternative production lines, our project management strategy, our digitization strategy, our people strategy and finally, the kind of products that we want to develop in the generic space.

We have a set of 6 clear strategic priorities. A lot of our decision-making in terms of what we want to do, what we don't want to do is dictated by the strategic priorities. Similarly, that's going to dictate where we allocate our capital as well in terms of the technologies we want to invest in, the R&D infrastructure as well as the manufacturing infrastructure, both in terms of capacity as well as technical capabilities. So this is broadly what I can tell you in terms of what the top team of this organization is focusing on as far as the future is concerned.

Sachin Jain : What's going to be intensity of new capex? Are you going to be more aggressive now as you are seeing maybe more engagement with new clients and probably your current capacity can take you how long in terms of revenue?

Sucheth Davuluri: No, Sachin, I think our capex is very business driven. So we've set certain policies internally

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Page 12 of 18 in terms of how we want to deploy our capex in terms of the percentage of the overall operating cash flow, in terms of the debt equity ratio

so that we want to maintain, the credit

rating we want to maintain. So the capex that we deploy is business driven, also based on internal policies of how we want to develop and grow the business.

Saharsh Davuluri: I think maybe I'll just add a comment on top of what Sucheth said. I think as our endeavor also has been to improve the quality of our business, to the point that we are able to partner with customers, that means capex that would get created would be backed by partnerships. We're not necessarily saying that customers would fund the capex, but at least we would have enough business visibility, we would have enough conviction so that some of the challenges that Neuland had faced in the past of creating assets and then perhaps having to wait for an extended period of time, we are now in a better of position to avoid that end. So that's what will be the endeavor. I think faster growth would probably result in capex being deployed sooner. If the growth takes a little bit more time, then I guess we'll have a little bit more headroom for capex deployment.

Sachin Jain: So now you're at what percentage capacity utilization, Sucheth?

Abhijit Majumdar: Currently, as you are aware, we have 3 plants. The first 2 plants are closer to 80%, 90%. Unit III is at around 64% for FY '23, and we expect it to be at that same level in FY '24. So we have a headroom to grow in to fund our growth or fuel our growth or meet our growth through Unit III for a couple of years.

Sucheth Davuluri: The only caveat I would add Sachin, to what Abhijit said is that capacity utilization is always a tricky question. The reason being is that it changes as the product mix changes, and we are constantly debottlenecking in the existing units. Every time we do that, the capacity utilization or the available capacity inches up. So I think what Abhijit said are very fair as far as the current situation is concerned, but that could change based on the business mix.

Abhijit Majumdar: I will add also, we have the ability to create more manufacturing blocks there. That is to what Saharsh alluded to, that we want to be very sure that as we are investing, we're tying it to some part of customer commitments in some form so that we are able to convert capital into revenue.

Moderator: We take our next question from the line of Sanjaya Satapathy from Ampersand.

Sanjaya Satapathy: So, my question is that in your opening remarks, you attributed the sudden surge in your Q4 FY '23 revenue to commercialization of some new molecule. Am I correct, sir?

Saharsh Davuluri: We did not say commercialization of a new molecule. So I think what we had attributed to the growth to was the growth in the CMS business. That growth is attributable to the

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Page 13 of 18 advancement of commercialization or advancement of the clinical molecule. So I think it's a combination. So we were not very specific on that.

But please, go ahead and ask your question.

Sanjaya Satapathy: Yes, the reason why I'm asking is that the details that you have given about how many molecules you have in commercial state, in API as well as intermediate, it is staying at that 9 and 12, respectively, for last 3 quarters. So I'm trying to understand that what really happened? I'm not being able to understand relate the numbers.

Saharsh Davuluri: Yes, I think the way we present our table is we present what are the molecules that have contributed or active at this point of time. So the table actually tells you how many molecules are active in Neuland's portfolio for you to be able to see progress over a period of time. What we have said or what is contributing to the revenue, if you are not correlating that with the table, it just means that it's not like there's a new molecule that has entered that has given us the revenue, but a molecule that has already been in the table is contributing

to the revenue,

which is very likely to happen.

So when a molecule is in Phase II and moving into Phase III, or a molecule is in Phase I II, it's getting into commercialization, the table itself may not change. But as we are shipping out product for that particular quarter, the revenue number will be there. So the table is more to give you a high-level long-term health of what's happening on the CMS side. The revenue split or the revenue itself, coupled with the commentary is meant to give you an idea of what's contributing to the quarter. But it will be difficult to connect both for every quarter.

Sanjaya Satapathy: Understood. In that context, can I ask that, between the state of CMS revenue, between commercial and development, I would assume that development would be a lot more lumpy and unpredictable compared to commercial. Is that a correct assumption?

Saharsh Davuluri: Yes, absolutely.

Sanjaya Satapathy: Okay, because your commercial is the one which has seen the maximum increase. So to that

extent, we're trying to see sustainability of Q4 number.

Saharsh Davuluri: Yes, see, I think commercialization is happening, Sanjaya. I think I'll also just add another point here. See, commercialization of molecules are happening. That commercialization is recorded as commercial revenue. That revenue on an annual level is fairly stable. At a quarterly level, even commercial molecules can have lumpiness because some of the lower-volume CMS molecules that we do, we don't necessarily ship out material every quarter. We ship out maybe twice a year, 3 times a year or maybe sometimes once a year. So again, I think Q4 by itself for CMS is not a representation of the CMS business as a base. But if you look

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Page 14 of 18 at the overall CMS business of FY '23, it's a good legitimate base for the business.

Moderator: We take the next question from the line of Keshav from RakSan Investors.

Keshav Kumar : Congrats for a great quarter. Sir, firstly, I understand lumpiness is part of a model. For other CDMOs, we've at times seen multi-year lumpiness even for decently sized molecules. So they better might end up stocking for longer than a year. There's some variation between big and small innovators as well. So when we reiterate better commercial sales on an overall basis from an annual standpoint, is there an element of the innovators' conviction on us as a CDMO that we'll be able to deliver in time and therefore, the sales can be better spread out? Or it's largely depending on their activity of sourcing?

Saharsh Davuluri: I think it's a factor of the stage of the drug in its life cycle. I think at least that's what we've seen in our limited experience. When a drug is newly commercialized or on the verge of commercialization, there's a lot more lumpiness because the customers also don't know, the innovator doesn't know how the drug will do. They'll order a lot of launch quantities, then they'll sit on a lot of inventory. If the drug, god forbid, doesn't do well, then we don't even see that business for a year, 2 years, 3 years. There's been cases where we never saw the business again after we made launch quantities.

But what happens once 2, 3 years after launch, the innovator starts getting a better sense of how the volumes are moving, how much inventory they need to hold, etc. Then things start settling down and then you start seeing business in a more even clip. The only exception to this point is sometimes when they're low volume products and the customer is getting them made in 1 or 2 campaigns at the formulator side, they might order the API in campaigns as well. But other than that, usually, it's more of a factor of the innovator understanding their supply chain needs and less of their trust or mistrust in our ability to make API.

Moderator: We take our next question from the line of Meet Hareshbhai Katrodiya from

om Niveshaay.

Meet H. Katrodiya : Sir, we see good improvement in revenue from development and commercial phase molecule in Q-o-Q. So will this sustainable in future also?

Sucheth Davuluri: No, I think as Harsh was saying earlier, there was reference that there will be a quarter-on-quarter lumpiness. In fact, one of the earlier investors also mentioned that they've seen this kind of business even show year-to-year lumpiness. What I would the way I would answer your question is that the business the way it is today, it's sustainable because it's based on a strong foundation and a solid base of molecules as well as customers. Now how that will reflect on a quarter-on-quarter or year-to-year, it is very difficult for us to predict.

Moderator: We'll take our next question from the line of Aditya Khemka from InCred Asset Management.

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Page 15 of 18 Aditya Khemka : Just one follow-up on Paliperidone Palmitate again. We know that it's a product that needs to be sterilized, and if I'm not mistaken, we have outsourced the sterilization to a third party. My question to you is, when it comes to sharing that part of the revenue with a third party for sterilization, what is the bargaining power of the third party versus us? I mean, if tomorrow, they wanted more of the pie, how easy or how difficult will it be for us to switch the sterilizer for us?

Sucheth Davuluri: No, I think the bargaining power and the agreements that we have with the third-party are confidential to the organization. All we can tell you at this point is that whatever third parties we work with, including Paliperidone and several other molecules that we work with third parties. We have a pretty good relationship and agreements in place, and we continue to manage them.

Moderator: We take the next question from the line of Sajal Kapoor, an investor.

Sajal Kapoor: Question on our cash flows. So what really needs to happen to make these cash flow sustainable and growing over the next couple of years for this year and next year. When I analyze the cash flow statement, I see that we have a receivable of about Rs.134 crores. So we are negatively impacted because of the receivables.

Yet we have a significantly higher operating cash adjusting for working capital at around Rs.238 crores. Part of the benefit or the positive impact is also coming from the advances that we get from the innovators. So I see a large payable there, around Rs.56 crores as well. So how can we see the cash flow movement over the next years, so this year and next year? What does it mean for our capital allocation strategy going forward?

Abhijit Majumdar: So I'll answer the first question is that when you see cash flow of FY '23, you're absolutely right, we generated free cash flow, which was very good, Rs.172 crores. We did get a lot of advances, and it's Rs.135 crores at the end of March. Our estimate is that this is something which is exceptional and will even out in FY '24, and that's how we have planned it.

To your second question on capital allocation, I think as Sucheth has already explained, that we will be very mindful of trying to convert our capex into cash as quickly as possible, back it up with orders. Our priority will obviously be around investing in R&D, enhancing capability there and in manufacturing to service our growth. So we'll be very mindful of that and having some expectations around our key matrices that we have already alluded to in our previous earnings call.

Moderator: We'll take the next question from the line of Jay Shah, an investor.

Jay Shah: With regards to the capital allocation I think an earlier participant on the call touched upon

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Page 16 of 18 the high amount of cash we're generating. I just wanted to know if we would intend to do an overseas acquisition in a regulated market, say,

perhaps in the next 3 to 5 years, Particularly

if it could open up opportunities for us to partner with new biotech companies, which are quite stringent in the requirements and focus on specific therapeutic areas by leveraging human resource capabilities in the overseas market. Also, during the call about 1.5 years ago, it was mentioned that we expect around half a dozen molecules to reach the commercializing stage, with a couple of them having the potential to become blockbusters. I'm curious if any of the molecules that have already gone into commercialization or expect to do so in the next 1 or 2 years have the potential to become blockbusters?

Saharsh Davuluri: Thanks for the questions. I think with regards to overseas acquisition, I think it's a logical question. I think for Neuland right now, we have a fairly exciting business plan in front of us, which is built out for another 6, 7 years. I think our plan is to execute on that and we're also open to what other possibilities are there. I think this is the current view. It might change in the future, but we don't necessarily look at capacity augmentation as a need for overseas acquisitions.

I think the only reason why we would look at an overseas is if there's a capability acquisition, which sometimes you can't because you don't have certain capabilities in India because the scientists or those labs, etc. not there. But I don't think Neuland would look at building a plant or acquiring a plant overseas so that we can attract business overseas. It doesn't make sense to us.

S E Medikonda: The second question was about the molecules which have gone commercial, whether there's potential to blockbuster...

Saharsh Davuluri: Yes, so I think what we had said is that we have -- I think, 1.5 years -- what you are referring to, we had said that we have a pipeline of molecules of which 5 to 6 molecules are likely to get commercialized over the next few years. I think that was absolutely true. I think 2 of them since that comment, have become commercial. I think that would be reflected in the table as well. So 2 molecules since that comment have been commercial.

One is likely to be commercial next year. Actually, 2 are likely to be commercial next year.

As of now, thankfully, nothing has dropped out from that list, but I think it's reasonable to expect that at least 1 or 2 might drop out. So I think we're fairly stand by that comment, and I think it's something that is likely to drive the growth of CMS.

Moderator: We'll take our next question from the line of Darshil Jhaveri from Crown Capital.

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Page 17 of 18 Darshil Jhaveri: Sir, I understand there could be lumpiness in the business and that could be better reflected on a year-on-year revenue. But how could we see our next 2 or 3 years' revenue growth?

Because we had a flat year in FY '22, but we had good growth in FY '23. So something from a bit -- maybe longer-term perspective that could account for the lumpiness, something that could help us? In terms of our revenue and margins, what could be our sustainable? That would be very helpful, sir.

Saharsh Davuluri: I think I completely understand your question, but I think everything we've said in the call

today is all we can say in response to the question that you asked. I think the business has been lumpy. I think growth, even at an annualized level, sometimes as we have seen from FY '21 to '22 is not linear. I think what is also important, which we said in the opening part of the call, is that the number of molecules in the pipeline, both for GDS and CMS are continuously increasing.

The potential of these molecules are also fairly high. This is evident in the performance of the recent few quarters. I think this is something that is sustainable. They are not one-offs. I think given these points that have been said, I think it's reasonable to assume

that going

forward, we will have a very good trajectory for growth. But obviously, as an investor, you're asking specific questions like what will be the growth rate or what will be the margin? I think these are things that are difficult for us to answer because it's really a factor of the business mix, the product mix, and those are subject to how individual molecules are going to do. So I think, yes, I think things are looking optimistic for us. But yes, I think lumpiness is there. But I think what we've seen in the past, what's going to be different about the future is that the base of the business has increased now. I think for several years, we struggled at a Rs.500 crores level. Then we went to like Rs.600 crores - Rs.650 crores. Then we struggled at Rs.950 crores for a year or 2 or we struggled for a year. Now we have started to show a break away from that. So I think we can talk more retrospectively, but we cannot talk that much more prospectively. I think as you watch, I think in the time to come, you will get better confidence on how this growth will pan out.

Moderator: We take the next question from the line of Raghu from Ora.

Raghu : Sir, in spite of such a good result, the dividend is just 10%. Can you highlight what will be the dividend payout ratios going forward?

Sucheth Davuluri: I think just to clarify, if you look at the history of the dividend payout, the highest we have done is about Rs.5 per equity share. So for this year, we've actually doubled that. So we've gone from Rs.5 to Rs.10 per equity share. That's the highest the company has paid in terms of the total payout as far as the dividend is concerned. So I think the dividend payout, the decision that the board and the management have taken, keeping in mind that we've had a

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Page 18 of 18 good year, and it's important that the shareholders also see the benefit of that. I think the dividend payout actually reflects that.

Moderator: Ladies and gentlemen, that was the last question. I'd now like to hand the conference back over to the management for closing comments.

S E Medikonda: Thank you, everyone, once again for joining us on this call. We really appreciate the enthusiasm shown for our business. Even as was reiterated through the call that the momentum that we see for the future, we are optimistic about it. On that note, I'd just like to thank everyone once again. We'll see you soon again.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Neuland Laboratories, that concludes this conference. Thank you for joining with us, you may now disconnect your lines.

Call: Aug 2023

August 8, 2023

To
BSE Limited
Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on August 3, 2023

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter ended June 30, 2023, conducted on August 3, 2023. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/investors/investor-updates/announcements/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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"Neuland Laboratories Limited
Q1 FY'24 Earnings Conference Call"
August 03, 2023

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – NEULAND LABORATORIES
LIMITED
MR. SAHARSH DAVULURI – VICE CHAIRMAN &
MANAGING DIRECTOR – NEULAND LABORATORIES
LIMITED
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL OFFICER –
NEULAND LABORATORIES LIMITED
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD -
CORPORATE PLANNING AND STRATEGY – NEULAND
LABORATORIES LIMITED

MODERATOR : MR. RAVI UDESHI – ERNST & YOUNG

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Moderator : Ladies and gentlemen, good day and welcome to Neuland Laboratories Limited Q1F Y24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Ravi U deshi from EY. Thank you and over to you, sir.

Ravi Udeshi: Thank you, Carol. Good evening, friends. We welcome you to the Q1FY24 Earnings Conference call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us to day the top management from Neuland Laboratories Limited, represented by Mr. Suchet h Davuluri, Vice Chairman and CEO, Mr. Saharsh Davuluri, Vice Chairman and Managing Director, Mr. Abhijit Majumdar, CFO, and Mr. Saj eev Emmanuel Medikonda, Head Corporate Planning and Strategy. We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you broad highlights of the business trends and what he is observing in the market. And post this, we'll open the call fo r the Q&A session.

As usual the standard safe harbor clause applies as we start the call. With that said I now hand over the floor to Abhijit. Over to you Abhijit

Abhijit Majumdar: Thank you very much Ravi and a very good evening and warm welcome to each of you all for joining our Q1 FY24 call. My apologies for the delay. There were some challenges with technology, I think, so that's been sorted out. I'll briefly talk about the financials now. The total income for this quarter was INR365 crores, as against INR221.7 in the previous Q1FY23, an increase of 64.7%. This was largely driven by growth in the specialties and the CMS segment. In comparison, our revenues for Q4FY23 was INR415.1 crores. Our EBITDA for the quarter stands at INR99.3 crores with an EBITDA margin of 27.2%, an increase of 14,410 bps over Q1F Y23.

The increase in EBITDA margins has been due to a better business mix, combined with an operating leverage as well as some easing in input pri

ces. This is in comparison to an EBITDA of INR127.8 crore s and an EBITDA margin of 30.8% in Q4FY23. I'd like to state that the overall operating environment continues to be uncertain. However, we have seen some favorable movement in terms of input cost over the last sequentially for the past three quarters. Our focus on execution excellence and managing costs has enabled us to manage our profitability.

And as we have consistently said in our previous earning calls, we would request you to measure our performance over a longer time horizon, as our revenues and EB ITDA margins will fluctuate on a quarter -to-quarter basis based on mix, and which is obviously dependent Neuland Laboratories Limited

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on order flow and project execution. Now coming to specifics, our gross margin was 55.2% in Q1F Y24, compared to 53.6% in Q1F Y23, and 54.1% in Q423. This gross margin, as always, includes the manufacturing and other costs directly attributable to the product. The profit after tax was INR62.2 crores as compared to INR9.8 crores in Q1FY23. This quarter's EPS is at INR48.5 per share . We generated a free cash flow for Q1FY24 of INR40.7 crores. We utilized part of this cash surplus to bring our working capital debt to zero and repay INR8.6 crores o f our term loans.

Consequently, our net debt position stands at INR24.4 crores. We also reduced our working capital cycles to 118 days in FY24 as compared to 141 days in Q4FY23. We continue to invest in upgrading our facilities and have invested INR11.7 crores in capex during this period. I'd like to add that we continue to be mindful of bala ncing growth with profitability by having continuous focus on cost optimization and an efficient operation. A t the same time, focus on cash.

Our focus on cash will position us to make capital investment should such opportunities arise over the short or me dium term. With that, I would like to hand over the call to Saharsh for his remarks. O nce again, thank you very much.

Saharsh Davuluri : Thank you, Abhijit. Hi, good evening, everyone. And again, my sincere apologies for the

delay in starting the call. I will add a few comments on top of what Abhijit has said, and then we can open up for Q&A. We have stated in the past that Neuland is transitioning from a model that was predominantly composed of prime APIs into a model which has greater emphasis on specialty GDS business and CMS business. This quarter also represents that gradual shift that we have been envisioning for quite some time. Also, the growth and the evolving business mix has started to see a significant improvement in operating leverage. And while there would be variability on a quarter-to-quarter basis, I would like to say that the progress we see is sustainable. The momentum of the CMS business continues to be strong as new molecules transitioning into commercialization have contributed well. As we have mentioned in the past, we have a healthy pipeline of new chemical entity APIs, which are showing promise. Two APIs have become commercial in the recent past, and we expect two more to commercialize in the next 12 to 18 months.

Each molecule has a different business characteristic to it. Therefore, we must continue to expect lumpiness on how this business evolves. Also, we are seeing significant number of requests from companies who would like to onboard Neuland as a partner in the drug development process. This is an indication of Neuland's reputation as an established CDMO. At the same time, I would like you to note that at a macroeconomic level, there has been an impact on the funding of molecules early in the clinical pipeline, as well as programs where the data has been weak. While this doesn't impact our immediate business outlook, it could Neuland Laboratories Limited

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have a bearing on our plans of creating a steady flow of new molecules

to our CMS pipeline.

On the GDS side, the specialty business segment saw good growth led by Paliperidone, Apixaban, and Ezetimibe, which again point to an improvement in the business mix.

Prime also saw some growth arising from Mirtazapine and Labetalol. Again, the environment is uncertain from a generics perspective, and certain prime products like Levetiracetam continue to face competition from multiple suppliers and low prices. At the same time, the value of working with a pure play API company with our track record is being recognized by players across the industry, including Indian formulators, with focus on regulated markets. In other updates, I would like to recall that during Q1FY24, we had a successful USFDA audit of Unit 3, as well as an audit of Unit 1 by EDQF. We are observing a shift towards high margin business, which has been our stated objective. However, we continue to be mindful of any future negative effects that the business mix, product mix, raw material prices, or forex could have on these margins. And we would like all of you to be cognizant of this.

In terms of overall business, we have a healthy pipeline in the medium to long term, and we are optimistic about our prospects. As always, I would like to reiterate that the business will remain uneven on a quarterly basis, and therefore it's better to look at our business over a longer frame of time. At Neuland, we always keep our customer at the forefront of what we do. In line with the same, we will continue to invest in our operations in terms of establishing new capacities as well as adding new capabilities.

This will be done to achieve our stated objective of furthering our leadership position in key molecules, as well as being the partner of choice for new molecules for both existing as well as potential customers. With that said, I would now request Ravi to open up the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Sajal Kapoor, an individual investor. Please go ahead.

Sajal Kapoor: Yes, thank you. To begin with, I must acknowledge the brilliant scale-up and execution in the CDMO segment as well as even better balance sheet and free cash generation. So overall, great achievement. First question I have is one of the things I have noted about Neuland is that you have embraced many failures along the way and that's normal in any business that's rapidly transforming and we know that innovators can pull the plug on their projects anytime. And see, scale up always can throw unexpected negative surprises. So all those risks are very well documented. What I'm interested to know today is about your learning from those past failures. So that's my first question. And my second question is from our latest annual report, page 41, it says, and I quote, the nation's API capacity or nation's API supplier rather, is expected to treble over the next three years.

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So how does Neuland capacity expansion plan fit into this bigger national picture, given the lean balance sheet that we have and the solid cash flows that we have now? Thank you.

Sucheth Davuluri: Thanks for that, Sajal. I think in terms of the lessons learned and an experience over the years, I think from time to time, we've shared that on these calls as well as our annual reports, from Chairman, from Harsh, from myself in the Q&A. So I think everything that we've talked about

comprehensively captures all that, but notwithstanding that, I think a couple of things which are important from our investors' point of view is that I think from an overall capex point of view, we have some internal metrics and policies that really guide what kind of capex we approve, what should be the payback period, what's the minimum IRR for our capital expenditure, how we source our materials from, where do we source them from, and

the

minimum safety stocks that we need to maintain.

I think connected to your second point in terms of our capex and tripling our capacity, as you know, the core of our strategy has always been over the years, and I think Harsh alluded to this in his opening comments, is that our goal is to continue to focus on higher margin, higher profit specialty APIs without losing focus on our primary APIs as well as our CDMO business.

So that using the same asset while improving the quality of the infrastructure, we're able to constantly improve our margins without taking a significant amount of debt or risk. So therefore going forward, we will stick to that core strategy, and the focus on building our business. Obviously, the lessons learned are many, but we don't have as much time to elaborate on all of them, but appreciate your question.

Moderator: We have the next question from Meet Katrodiya from Niveshaay Investment Advisory. Meet your line is unmuted. Please go ahead with your question.

Meet Katrodiya: Good evening sir and congratulations team for the good set of numbers. My first question is, I asked this question in the AGM also but I need some more insight on that. So my question is that we have mentioned in our annual report about commercializing of two new molecules in coming years. So if you cannot provide the market size, then it will be helpful if you throw some light on its therapeutic segment, how much amount of quantity we are supplying right now, and when we can expect to get it commercialized?

Saharsh Davuluri: Yes, thanks for the question. I think the molecules that have been commercialized, the market size for these molecules, I think it's difficult for us to give a specific number. However, I think just to help you understand it better. I think what you could look at is that the growth that we have seen in our business, I think, you know, we were INR150 crores, INR 200 crores kind of a CMS business. I think if you see the last couple of quarters, I think the trajectory has improved significantly.

And a big part of that growth is coming from these molecules. So I think it's safe to conclude Neuland Laboratories Limited

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that these two molecules have a much higher market potential than the molecules we've had traditionally in our CMS pipeline. But how big they could be is something that we would not be able to quantify because these molecules are still in the early stage of launch. Maybe we may be able to answer this question, say two, three years from now. But having said that, I think with regards to the indications, we again, I think, you know, we continue to have these conversations with our CMS customers and we've been, you know, advised to keep the information very, very confidential.

And therefore, you know, we're not really even comfortable disclosing the therapeutic area because, again, it could potentially lead to more follow-up questions about these molecules. So what is important is that these molecules are early in their phases of launch. They have an exciting 5, 7, 10-year kind of a runway in front of them under patent exclusivity. And we are still seeing very early stages of the growth. And that's reflected in our numbers. So this is probably what I would limit the response to. And perhaps you will be able to understand it more as the future quarters come by.

Meet Katrodiya: Okay, thanks. Next question is, Q1 was quite surprising on the margin side of Y-o-Y because it is a high share of CMS business, right? So will we be able to see this kind of revenue sharing upcoming three quarters?

Saharsh Davuluri: I think you should probably look at the business over a longer frame of time. And I think what, as I had mentioned in the opening remarks, I think the performance of the recent quarters is a sustainable performance. But at the same time, it's difficult to quantify whether it will be repli

cated in specific quarters or not. So I think if you look at, the last six quarters, you will clearly see how the CMS business is trending, how the GDS business is trending. I think that's the visibility that we can give you, and we can tell you that that business or whatever trend you're seeing is a sustainable trend. But we would not be able to elaborate on how the specific quarters would pan out. I think that's something that, again, because of the uncertainty of the business, we would restrict our response.

Meet Katrodiya: Okay, sir. And the last question is also, sir, we have mentioned in that Indian API, in an annual report, that Indian API companies are facing tough competition from the Europe companies so we may also face the same. My question is we have competitive capabilities in terms of

gas prices, lower labor costs and more economic stability so how these European companies are able to give us tough competitions?

Sucheth Davuluri : No, I think it's a good question, Meet. The only response we would give is that a lot of the business that we get from our customers is based on the technical capabilities that we bring to the table, our understanding of the customer need and the experience that we've developed over the years, both in the generic API business, which includes prime specialty, as well as the CDMO business, and what those needs of those customers are.

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We as an organization don't typically compete on cost or because of the physical or geographical location of Neuland as well as its facilities. Therefore, I think today most of the business that we're getting is repeat business from our existing customers as well as new customers who've heard about us from the market as well as our existing customer base and that will be the business model going forward.

Moderator: Thank you. The next question is from the line of Kunal Shah from Cernelian Capital . Please go ahead.

Kunal Shah: Hi, thank you for the opportunity and congratulations for a good set of numbers. I have two questions. So one was you mentioned that we are receiving significant number of requests from companies across to partner with Neuland . So if you could help, one is obviously the capability that we as a company have been building up.

But other than that, it is because the scale that we have achieved or what exactly has led to or you know, they want to diversify from other countries and therefore, if you could help understand the nature and how meaningful it could be in the next two, three years for Neuland as a company when it comes to scaling up? That was the first question.

Saharsh Davuluri : Can you ask the second question as well?

Kunal Shah: Yes, the second question was more from, the kind of capacity utilization level that we have now, considering the business visibility we have, if you could help understand and the Capex plan that we have for this particular financial year ?

Saharsh Davuluri : Okay, thanks. I think with regards to the first question, I think when we work with innovator companies for the CMS business, one of the things that we recognize is that we are able to help them take their drug through an NDA approval and help them launch a new drug. It's our ability to partner with them starting from say an IND stage, take them through Phase 1, Phase 2, Phase 3, and then help them launch the molecule and then stay with them as a commercial supplier. Crudely speaking, this is the capability that we bring in.

Now, how are we different from our competitors or what is the factor that drives customers to us? I think it's slowly emerging as our track record of how many NDAs we have filed over the last several years, how many situations are there where we have come in as a second source and embraced an existing process? How many situations where we've started at an I&D level and helped craft a

scalable process of a complex NCE?

I think it's largely this track record of having worked with customers that has really created that vindication that I had referred to in the opening remarks. I think it's the number of projects that we have completed and also the innovator community, the CMC community is a finite community, whether they are mostly in the biotech space in the U.S. or big pharma or even in Europe. Good word spreads very quickly. So when you end up doing a project for a

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particular company, then either the word spreads around and therefore that has also been very helpful.

I would say that the China Plus One has, seems like it will help us because there is a clear messaging from innovators that they don't want China and they want an Indian CDMO so maybe you know compared to earlier we are getting more requests because of the China Plus One but that is not still reflected in our current performance because I think that may reflect more in the future performance. But I think I go back to the points which it had mentioned earlier to the gentlemen. I think we are not necessarily competing with local players or specific companies in the CMS business.

I think it's a very large space. I'm told it's a hundred billion dollar plus space. Even the largest players may not be more than \$1 billion or \$2 billion in revenue when it comes to complex small molecules. So the space is really big. And we are essentially just trying to find the best fits for our capabilities, which is small to mid -volume kind of complex APIs. And I think one thing that we are very proud of in Neuland is that our focus.

We are not going after any other spaces. We want to stay focused on complex APIs, both for generics as well as CMS. We are not going after, let's say, animal health or crop sciences or other spaces, which in our view could become a distraction and not necessarily a good fit for

the kind of infrastructure and capabilities that we have. So I think that's how I would look at it. I think with regards to the second question, the capex, Abhijit, do you want to answer that? Abhijit Majumdar: Yes. So on capex, as we said today, we have three units, two units are at around 90 percent plus capacity utilization. The third, which is the new one, is at around 60 percent. We need to be mindful of the fact that our facilities are multifunctional. So that means they can make different APIs should some volumes drop off for a particular molecule. The second is that, we also have the ability to expand in our third unit should we have underlining contracts coming up. That's the second point.

The third point is as far as our capex is concerned, as we had alluded to in our previous calls, we are spending close to INR100 crores every year or we are budgeting for it and that's what we are doing to keep on upgrading our facility, making the necessary tweaks so that, we are able to meet the customer expectations.

So currently our visibility is that, as and when we see opportunities, would we look at a fourth plant, but currently or expanding our current facility unit three, but that's not on the anvil till we have something. We'll certainly come back to you, but right now we are optimized and we are able to meet the customer requirements at least as we see it for this year and for next year. Thank you.

Moderator: Thank you. The next question is from the line of Maulik from Anand Rathi. Please go ahead.

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Maulik: Hi, sir. Good evening and thank you for the opportunity. I just wanted one understanding. So in terms of our segmental revenue break-up, for Q1FY23, the revenue from CMS was approximately 31%, and for Q1FY24, it is 44%. So, our CMS revenues have increased, but the gross margin has not increased. It is flat on a year-on-year comparison. So,

o, just wanted to

understand one thing. If the margins are similar to other segments or how is it? Can you throw some light on it, please?

Abhijit Majumdar: So, I'll kind of explain that. You're right in saying that the CMS, the revenue growth is significantly higher than GDS. We need to be mindful of one point, that as we commercialize, our margins, prices deplete, because that's the nature of the game. Up to validation stage, the prices could be USD 100, and after that it would drop.

And so we would have a drop in margins, so they won't kind of get reflected in your, as you have alluded to, in your Q1FY24 numbers. But at an overall mixed level, we have a blended margin, which is around that 54%, 55%.

Saharsh Davuluri: And maybe, if I can just add to what Abhijit said, one is because these molecules and the business itself is lumpy, comparing quarter-to-quarter, like a quarter one year ago, the mix may be completely different. That's also something to take into consideration, other than the fact that as the business scales up, it's also natural to expect that, because of economies of scale, etcetera, there will be, some reduction in prices, which could have an impact.

Maulik: Okay. Understood. So just to clarify, in the Q1FY23, so maybe these product mix would have been different as compared to the Q1FY24 and that is the reason why, there would have been a margin differentiation. Is my understanding correct?

Saharsh Davuluri: Yes, the mix could have been completely different. I don't have the exact numbers here with me, but the mix would have been different. And also the scale of the business as it's ramping up, logically at a broad level, the margin will have an impact because of that, lower prices.

Maulik: Okay, thank you so much, sir. I'll get back in the queue, thank you.

Moderator: Thank you. The next question is from the line of Anirudh Shetty from Solidarity Investment. Please go ahead.

Anirudh Shetty: Hi. Thank you for the opportunity. I have a few questions. So you had mentioned that, our capacities are multifunctional. So just wanted to understand if, are they fungible across, our API and CDMO products?

Saharsh Davuluri: Yes, all our capacities that we are creating are multi-products. So they would be fungible not just within a segment, but across segments.

Anirudh Shetty: Got it. And we have a lot of opportunity in our CMS business and it tends to be non-linear.

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So if we were to expand our unit three, how long would it take to get that expansion done?

Saharsh Davuluri: Expansions, you have to look at it in two scales, Anirudh. Within the existing facilities, particularly unit three, we can create capacity, which will be, maybe relatively shorter, 12 months to 15 months. You can create significant capacity, but that would be finite, right? And then, there's the higher level of capacity creation would be to, creating a unit four, which would be our fourth manufacturing site that would obviously have larger headroom, but that would obviously take a longer period.

And again, depending on the way, we would go about it, Greenfield, Brownfield, etcetera,

again, the timelines would depend on that. I think for us, it's a constantly reviewing process because what we're trying to balance is, the needs of our customers, both existing and new, over the next two -three years, how we can service them from our existing facilities, balancing that with the needs of the customers beyond a three -year, four -year time frame. And then trying to figure out, what kind of capacity we have to create and then trying to optimize the decision -making based on what kind of investments it would require. So it's kind of an on -going process and right now, we feel comfortable that we have sufficient capacities for the next couple of years.

Anirudh Shetty: Correct. And you

mentioned that, the intention is to stay focused and you don't do agro and animal health for that reason, but just one pushback, there is assuming that, you'll have a certain chemistry skill set that can be used to, for into these categories and why wouldn't you all want to consider if, then the opportunities come your way, what would, how do you all see this as a distraction or different from our existing, pharma CDMO business?

Saharsh Davuluri: See, I think one is, Neuland, if you look at our operations and the scales at which we operate. We make a lot of molecules, which are in the 5 metric tons, 10 metric tons per year kind of capacity. So, if you look at our plants, we don't have a lot of 20,000 litre, 15,000 litre reactors. We end up having a lot of 5,000 litre reactors, with a lot of complex instrumentation to control reactions and things like that. So one, our setup is more suitable for human health, where the volume of the products are in the 10 metric ton to 50 metric ton range, we will have outliers as well.

Second of all, we definitely keep an open mind in terms of when it comes to chemistry, you're absolutely right, we are a chemistry -based organization at the end of it. But while we are open to it, we don't see a lot of great fits in that area. And pursuing opportunities in that area would most likely require us to significantly tweak our infrastructure. And this is something that, we have observed. We have looked at the market.

We have tried to understand certain chemistry areas that we are strong in, whether they're applications and agrochem, we've talked to companies in the past, Japanese companies who Neuland Laboratories Limited

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have shown interest in these areas. But it all comes down to not having a ready fit of infrastructure.

And then there are elements which, the dynamics of which we are not very clear about, Anirudh. So for example, the kind of stickiness that those businesses would have. These are the strengths that, we bring, which is GMP, a lot of precision in our controls and process chemistry.

We are not seeing a clear evidence of these attributes actually mattering to those kind of customers and that translating into stickiness of business because at the end of the day, we don't want to get into businesses where, we could be very easily pitted against competitors getting into price situations and that's what creates a little bit of this thing. So, you want to add something?

Sucheth Davuluri: No, just to add to that, for our customers, we provide a lot more than just chemistry. As Saharsh was saying, we bring project management, our GMP track record, being able to scale up technology, because all these pharmaceutical goals for human consumption, and therefore requires an extremely focused and a consistent mindset, when it comes to quality as well as regulatory affairs.

And that is something that, we've developed over decades of experience. And therefore, coming back to your question, we see enough opportunity that Saharsh made a comment that, our market is expected to be in the vicinity of USD 100 billion. So for us, it's a very simple equation is that, when the market is big enough and we've spent close to four decades building expertise, why would we look elsewhere unless we've become so big that the market is not sufficient for us anymore? That's the bottom line.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika group. Please go ahead.

Nirali Shah: Yes. Congratulations on great set of numbers. So my first question is actually that, earlier you were talking about repeat businesses. So I wanted to know that in a CDMO business, we are currently molecule specific and even getting repeat businesses from existing companies. My question is that, going ahead in the future, do we intend on setting up a dedicated capex for our

customers in a more SPV kind of business model or anything else that would actually reduce the lumpiness of the business?

Saharsh Davuluri: Two things. One is the need of the customer determines whether we will, what kind of dedication, we will have on the infrastructure side. Typically, our strategy has been to build multi -product facilities, and we would produce anywhere from three to five APIs in one

facility. And that gives us the flexibility to, manage different molecules growing at unknown growth rates.

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But having said that, when a specific molecule tends to do well and there is an increasing demand and it's very evident in terms of supply agreement and visibility from rolling plan forecasts and things like that, then what would naturally happen, and we are seeing that also happen, is that certain production areas get more and more dedicated towards one product.

That's not a challenge for us, and we are opportunistic that way.

When we see a customer with a clear surge in demand, we are happy to allocate certain infrastructure to them. Other than that, for us, that's something that again we are open to, right? Because as Sucheth and I explained, our strategy is very clear.

We want to grow the complex APIs, both for GDS and CMS. And as we are engaging with more and more customers, both on the generic and innovative side, and we are seeing a critical mass of the business, there are varied level of engagement requests coming from customers. There are some customers, who might want a dedicated production block and they are willing to enter into certain agreements that might give us that kind of assurance, especially if we have to make those investments.

But for us, the broader point is, we want to create capacity ahead of time, but we want to create capacity when it is, when the customer is actually willing to partner with us and show us that demand. What we would not likely do is create capacity and then look for customers. We might create small scale capacity like pilot plants or R&D infrastructure, but our business is evolving to a level, where we won't be creating huge production capacities and then look for customers for it. We will create capacity on the back of a customer demand. So that's something that will be the way forward.

Abhijit Majumdar: Yes, so very nicely said, Saharsh. Kind of just adding, that's what I kind of said, we need to be mindful of balancing growth with profitability, right? Because it doesn't make sense making capital investments and then, kind of figuring it out, figuring out how to fill it up as some of the Indian companies have chosen to do. We need to balance it. And that's why we are mindful on cash as well as return on capital employed, growth and profitability.

Moderator: Thank you. The next question is from the line of Sanjay from Ampersand. Please go ahead.

Sanjay: Hi, sir. Questions that I want to ask, one is that is there any kind of benefit that can come to you from this discussion of drug shortage in USA?

Sucheth Davuluri: Not really, Sanjay. The drug shortage in the US is specific to products. That means it happens either because of a quality issue or a regulatory action or someone's kind of stop manufacturing of that product. We've not seen happen to that for other products, but for our products that we already manufacture, we've seen the benefit where if one ANDA has been exited from the market, then we're able to quickly fill in that gap, gain that market share and maintain that market share. But currently, on the list of drug shortages, I think we have a

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pretty good market share and the business is growing, so we don't see any specific opportunities as of now.

Sanjay: Understood. And the second question is that I see your part of the CMS business, the

development part of the revenue has come down sharply on a quarter-on-quarter basis from some INR90 crores to INR55 crores. Is there any kind of read-through there? And at the same time, the commercial part of it is steadily growing. And is that where you talked about this pricing pressure that comes because it is getting commercialized?

Saharsh Davuluri: I think if you take the development revenues, Sanjay, and the commercial revenues, I think maybe it's better to chart it back, say, six quarters to eight quarters and see how the fluctuation is. Because a quarter-to-quarter may not really give us any kind of a tangible trend. But if you look at how the development revenue has tracked over the last six quarters to eight quarters, how the commercial revenue has tracked over the six quarters to eight quarters, then you'll get a better understanding.

Broadly what we can tell you is that development revenues will be very lumpy, it will be like some validation campaign or like a scale-up campaign and when that campaign is over it may contribute to some revenue. Commercial revenue tends to be a little relatively less lumpy but again, every quarter will be different. So, I think, you might have certain quarters where development revenues may be even close to zero, or may only be INR5 crores - INR10 crores, and then the next quarter, it might just spike up. I think we still have a pipeline of healthy molecules, which will go through development, so there's no concern.

Sanjay: If I can just ask there was a massive surge in your development revenue in Q4FY23, as well as compared to the standard average run rate, this quarter has been pretty strong. So, is there

some kind of a time lag one can think of in terms of translating to it in the commercial part of it kind of going up?

Saharsh Davuluri : Yes, I think that's a very important question. And I think, one of the comments I made in my opening remarks of the call is that every molecule has a very different characteristic. There are certain molecules which will take maybe two years or three years pause between development and commercialization. We have also seen molecules which have translated from development to commercial within one quarter. It really depends on the characteristic of the molecule.

It depends on things like are we the first source, are we the second source, is the drug already commercial by the time Neuland is getting into the project, or is the drug still in phase 2? So I think it's really difficult to put some sort of a guiding principle over here, and I think that's why it's difficult for us to be able to analyze it for you.

Moderator: Thank you. The next question is from the line of MK Reddy from MR Investment, please go ahead.

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MK Reddy: Yes, thanks for the opportunity. My first question is regarding the business model, sir. We have been participating from preclinical phase to commercial scale manufacturing. When I compare with our competitors like Divis labs, they don't participate in preclinical phases. So, my question is regarding the attractiveness of participating in preclinical phases in the view of few reasons. First one is it consumes a lot of working capital. Second point is there is a lot of contingency whether these preclinical molecules will translate into clinical phase or not. Just want to know what is attractiveness so forth for Neuland to participate in this preclinical analysis.

S E Medikonda : If we were to answer this question, means your question. If I were to rephrase it, is that the business model when it comes to participating or when looking at the preclinical projects and if we were to look at our model overall, we are most of our success and most of the projects that we have been focusing on from a business development point of view historically has been projects in phase 2 and phase 3

and later and even but we also have been with on the

chemistry side worked with companies where we have been part of the ANDA filing too.

So even though, we have certain pre-clinical molecules showing as part of the table, most of the work there is not medicinal chemistry, but rather it is work towards the ANDA filing. So, I think that is more in line with our capability. So therefore, ours is not a very FTE-based model, but rather it is more around the being able to take the product, say, from the ANDA filing on the way to commercialization, and that is the reason why our customers come to us, and that's the way that our business is built. I hope that answers your question.

Moderator : The next question is from the line of Keshav from RakSan Investors. Please go ahead.

Keshav: Hi, sir, when peptides such as Sema glutide and Lira glutide start flowing into our GDS portfolio, where the innovator molecule is RDNA-based which is further chemically modified and in comparison, we have a completely synthetic approach. So from cost point of view, are we fairly confident we will be competitive at scale?

Saharsh Davuluri : Yes Keshan I think it's the fact is that know, the recombinant process of the innovator is difficult to replicate. And I think most of the generics are looking at a synthetic process, which is what we are looking at as well. I think, our process is fairly competitive. I think we use a hybrid technology. I believe we also may be having some IP around it. I think it's still a little difficult and early to talk about the economics, the commercials of it, because I think when you start off the development of a complex generic like this, your costs will be high, and it will be very difficult to figure out how viable it will be.

If it's a more simpler small molecule, then I think those discussions will be there. I think for us, the focus is not so much on liraglutide. I think we are working on semaglutide, but we're also working on a couple of other peptides. Difelikefalin is another one, and Tirzepatide, which is also the Lilly metabolic drug. So, all these are complex peptides, and I think the

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approach would be to first develop a robust, scalable process.

I think the economics don't tend to be a nattering factor early on in the development, but I think we will have to cross that point. And at this moment, we still don't know. So we'll have to wait and watch. But there's a lot of active discussions with generic companies for these products as well. But it's still a little too early to comment on the economics.

Moderator: Thank you. The next question is from the line of Rohit Ahuja, an individual investor. Please go ahead.

Rohit Ahuja: So, my question is on the GDS segment. In our annual report, we have mentioned that we are going to file around six year DMF in the GDS segment for the next few years. So, can you

brief us about that, like what proportionate or percentage of that are going into the specialty segment? Because Neuland is now positioning itself from a commodity to complex API and intermediate play. So can you touch upon that?

And my second question, you have already answered. I want to know about the peptides, like when you are filing for a DMF in the like semaglutide, and we are building this molecule from last many years. So brief us about the peptides, what's on the development? Are we getting any traction in this? So these are my two questions.

S E Medikonda : So thanks for your questions, Rohit. I think when it comes to the portfolio that we have for our GDS business, as we have been saying in the past, it is focused almost totally on speciality. And we also are looking not just at speciality, but also looking to differentiate our pipeline on the basis of technology. So even if there is a molecule which probably would not be perceived as say a speci

ality molecule, but if there is value that the customer would be getting in terms of technology or in terms of supply reliability by Neuland having that molecule in our portfolio. Those are the kind of molecules that we would choose for our portfolio. And those are the kind of products that are there in the pipeline, which our customers can look at, and which is there both at trade shows, and it's also available on our website.

Now, coming to the question of peptides . I think , as Saharsh has answered, we are working closely with the customers who are interested in filing ANDAs for peptides and also looking at other markets too. But I think this is not just an investment from our side, but also from the perspective of the customer too. So those are conversations which are ongoing and we'll probably be able to comment on the matter at a later date. I mean, I hope that answers your question.

Moderator: Thank you. The next question is from the line of Pranav Gupta from Pranav LLP. Please go ahead.

Pranav Gupta: So, I can see that there's a drop of two commercial molecules as compared to the data which Neuland Laboratories Limited

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was shared in the quarter 4 results. So could you please elaborate on that?

Saharsh Davuluri: Yes, the so basically what we do as a hygiene process is we keep looking at the molecules that we have in our pipeline and if they're molecules that have not been contributing, then we also kind of reduce them. So there's been a reduction of two because there's one API and intermediate that we were supplying up until a couple of years ago to a European innovator. This was one of our first CMS molecules. It had contributed significantly for the first several years, but hasn't been in the last two years, so we've actually dropped that molecule and its corresponding intermediate from the pipeline. So, therefore, there has been a reduction of two.

Moderator: Thank you. The next question is from the line of Abhishek Rao from Trianz . Please go ahead.

Abhishek Rao: I have a different hypothetical scenario. Say, suppose your capacities are maxed out and given your capacities are fungible, right? And say that you have orders above what you can serve, basically. So how would you tackle such a scenario? I just wanted to know, would it be basis, sheer margins of margin opportunity, or would you also see a planned relationship and then you're given that, say, it's a critical client, but it's a low margin product. So just wanted to know how would you tackle such a situation?

Sucheth Davuluri: So typically , the way we do our planning, Abhishek, is that we'll project all our products into the future, both on the GDS side and the CDMO side. We also have allocated capacity for products that will get scaled up from R&D. So when we project our volumes, we already have our cost, we have our input cost, we have our operating cost, and that gives us a pretty good idea of what the margins will look like, what do the costs look like, and we see that there are any yellow flags, then we do have programs internally to continuously work on the lifecycle management of some of these products, or to take steps to reduce the cost to make sure that the product is profitable.

So, this is a continuous process, and coming back specifically to your question, our strategy is to make sure that we never actually run out of capacity. So, when we're able to project capacity into the future, we also make sure that we initiate adding of capacity well in time so that when the volumes grow, we have adequate capacity. That's the same reason that we bought Unit 3 and integrated it into the organization to make sure we have capacity on time.

Moderator: Thank you. The next question is from the line of Ajay Kumar, an Individual Investor. Please go ahead.

Ajay Kumar: Thanks for the opportunity. Actually, looking at last three quarters numbers, it

seems that one

or two molecules of CMS pipeline has started contributing significantly. Is that interpretation right?

Saharsh Davuluri : Yes.
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Ajay Kumar: Okay then what about the lumpiness of the subject molecules, provided that some of the molecules stay lumpy for over a period of three years?

Sucheth Davuluri : Yes, one, we cannot reveal the names of those specific CMS molecules unless they are already in the public domain. From your observations that they've contributed significantly to our current performance and therefore how will the performance be in the future. I think we expect a consistent performance. However, exactly what will happen, we are not in a position to comment. But given where we are today, we expect that performance to continue.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Group . Please go ahead.

Nirali Shah: Yes, so I need to add that the emerging biopharma funding landscape hasn't fully recovered yet. So, even though there have been decent numbers of FDA approvals, what are your experiences like on the ground and to mitigate this, will we be able to break ground into any Big Pharma yet?

Saharsh Davuluri : I think the funding itself has been slow for the past several months. I think even starting from that JP Morgan healthcare conference s, there's been a certain dark cloud over biotech funding.

And that's something that we have seen typically in the past also happen, where there'll be a period of maybe 9 months to a year where biotechs will struggle to raise funds. So, this will not necessarily be a long-term concern. But while the concern, while there is this kind of a drought period, what typically happens is that projects which we expect to start do not start. And the management of these biotech companies kind of go into a little bit of a short hibernation. We don't see it as a long-term issue. I think it's something that could, possibly change in the next 6 months to 9 months, but we'll have to wait and see and that's the caution that was added in the remarks. I think with regards to the Big Pharma business, I think for us, we definitely would like to increase our portfolio of projects with Big Pharma. Right now, we do work for Big Pharma, but it's more in specialized chemistry areas like peptides, etcetera, where they don't have other preferred suppliers who bring in that capabilities . But what we also see is that there is towards building the Big Pharma business as well, because we work with a lot of biotech companies and we are seeing a lot of either licensing deals, acquisition deals happening between Big Pharma and biotech. And as a result, now we are quite familiar working with Big Pharma and that's also helped us build relationships with Big Pharma, which perhaps we were not able to do 5 years or 10 years ago. So, yes, I think we will continue to focus on that. And while we continue to build business with biotech, I think we will also actively pursue relationships with Big Pharma.

Moderator: Thank you. The next question is from the line of Rikin Shah from Omkara Capital. Please go ahead.

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Rikin Shah: Hi, so it would really help if you could explain the opportunity in Apixaban given the demand for anticoagulants has shot up post-COVID and this molecule has been going becoming generic in many geographies. So, how do we look at this?

SE Medikonda : So I think, Rikin , when it comes to Apixaban, I think it is a molecule which is continuing to grow and is getting genericized in certain markets in Europe and also in other rest of the world markets. But the timeline for it becoming generic say in the North America in the U.S as well as say in Japan is still say a few years away. So, I think what we are seeing currently is

customers who are looking to file in Europe or who are launching in Europe or in certain cases have already started doing business in Europe.

And if you look at the product, it is already a product which is likely to be in multiples of tens of tons kind of thing. But considering the dosage and all those parameters, it's going to be a very large volume product and once the product goes generic , we may see even the value of it going down. But currently the product is contributing significantly and we have got the right set of customers for it to contribute to our specialty business for some time now.

Moderator: Thank you, the next question is from the line of Mk Reddy from MR Investment. Please go ahead.

Mk Reddy: Yes, thanks for the opportunity. My question is regarding this working cap intensity. So for FY23 our working capital as a percentage of sales is around 38% and we are receiving a lot of advances also. If I adjust the advances it was at 27%. just a comment on this advances because these are huge amount. For FY23 we have advances around INR 130 crores and for FY22 previous year it is around INR600 crores. So, are customers funding our working capital ?

Abhijit Majumdar : So, on working capital, we have placed that around 110 days of revenue. I believe that moving

forward, we would try to kind of keep to those levels. That's point number one.

Sucheth Davuluri : So, I think in addition to what Abhijit is saying, I think the advances and all that we receive from our customers is part of our business. Therefore, we expect that to continue. So, I mean, we do expect the working capital to grow as the business grows, but we don't expect any major shifts.

Moderator: Thank you. The next question is from the line of Keshav from RakSan Investors . Please go ahead.

Keshav: Hi sir, the employer benefit expenses have seen a 20% quarter-on-quarter uptick. So, could you help rationalize the reason for that?

Abhijit Majumdar : Yes, thank you. So, if you look at your right, that it's gone up on a Q1FY24 versus Q1FY23 the increase is 24%. That's because of two reasons. One is, we had the increment cycle and

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our headcount also moved up. We had a headcount of 1,600 odd and that's gone up closer to 1,700. And so that's kind of driven the increase in the employee expenses.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing comments. Thank you and over to you all.

S E Medikonda : Thank you. I want to thank you all once again for joining the call and for your interest. I once again apologize for the delay due to the technical hiccups at the beginning. We had some very good questions which help us think and I hope our answers have given significant insight into our business. Even as we have like to have answered every question on time, our time on the call is limited. However, we'd welcome your questions offline. Please reach out to Ravi and we would like to answer them to the extent possible. Once again, we thank you for your time and look forward to our next interaction.

Moderator: Thank you very much. On behalf of Neuland Laboratories , we conclude today's conference.

Thank you all for joining. You may now disconnect your lines.

(This document has been edited to improve readability)

Call: Nov 2023

November 13, 2023

To
BSE Limited
Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on November 7, 2023

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and half year ended September 30, 2023, conducted on November 7, 2023. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/investors/investor-updates/announcements/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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“Neuland Laboratories Limited Q2 FY24 Earnings
Conference Call ”

November 07, 2023

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN & CEO,
NEULAND LABORATORIES LIMITED
MR. SAHARSH DAVULURI – VICE CHAIRMAN &
MANAGING DIRECTOR , NEULAND LABORATORIES

LIMITED

MR. ABHIJIT MAJUMDAR - CFO, NEULAND

LABORATORIES LIMITED

MR. SAJEEV EMMANUEL MEDIKONDA - HEAD,
CORPORATE PLANNING & STRATEGY , NEULAND
LABORATORIES LIMITED

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Moderator: Ladies and gentlemen , good day and welcome to Neuland Laboratories Limited Q2 FY24 Earnings Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravi Udeshi from E &Y. Thank you and over to you , sir.

Ravi Udeshi : Thank you. Good evening, friends. We welcome you to the Q2 and H1 FY24 Earnings Conference Call of Neuland Laboratories Limited . To take us through the results and to answer your questions, we have with us today the top management from Neuland Laboratories represented by Mr. Su cheth Davuluri - Vice Chairman and CEO ; Mr. Saharsh Davuluri - Vice Chairman and Managing Director ; Mr. Abhijit Majumdar - CFO and Mr. Sajeev Emmanuel Medikonda – Head, Corporate Planning and Strategy. We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you broad highlights of the business trends and what he is observing in the market and we open up the call for the Q &A session. As usual, the standard safe harbor clause applies as we start the call.

With that said, I now hand over the floor to Abhijit . Over to you , Abhijit.

Abhijit Majumdar : Thank you very much, Ravi and a very good evening and warm welcome to you all for joining our Q 2 and H1 FY24 Earnings Call. I will briefly talk about the financials now.

The total income for this quarter is Rs. 420.8 crores as against Rs. 293.9 in Q2, an increase of 43.2%. This was largely driven by growth in the CMS segment and reflects our efforts over the past several years. In comparison, our revenue in Q1 FY 24 was Rs. 365.0 crores.

Our EBITDA for the quarter stood at Rs. 140.3 crores with an EBITDA margin of 33.4% , an increase of 980 bps over Q2 FY23. The EBITDA margin has improved due to both the shift towards high margin CMS business and a strong emphasis on cost optimization. This is in comparison to an EBITDA of Rs. 99.3 crores and EBITDA margin of 27.2% in Q1 FY 24.

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I would like to state that the overall operating environment still continues to be unpredictable. However, we have observed some stability in terms of input costs over the past 4 quarters. We have been able to effectively mitigate the unpredictability associated with input costs through diligent management of our operational cost. The strategic approach has strengthened our financial resilience and enabled us to navigate challenges more effectively. We remain committed to maintaining our dedication to operational efficiency and cost improvement programs to sustain our progress in this regard.

As we have consistently said in our previous earnings call , please measure our performance over a yearly and a larger time horizon as our revenues and EBITDA margins will fluctuate on quarter -on-quarter basis based on business mix which is dependent on the order inflow and project execution .

Now coming to specifics . Our gross margin was 59.8% in Q2 FY24 compared to 56.2% in Q2 FY 23 and 55.2% in Q1 FY24. This gross margin as always includes manufacturing of other costs directly attributed to the product. The profit after tax was Rs. 89.1 crores as compared to Rs. 38.3 crores in Q2 FY23. This quarter's EPS is at Rs. 69.4 per share.

On cash, we continue to focus on internal cash generation to gear ourselves to support future capital spends. We generated a free cash flow for H1 FY24 Rs. 128.8 crores.

We have utilized part of this cash surplus to bring down our working capital debt to zero and

we paid Rs. 17.3 crores of term loans . Consequently, our net debt position stands at negative Rs. 39.4 crores , which means we are now more than a zero debt company. We also reduced our working capital cycle to 102 days in Q2 FY 24 compared to 118 days in Q1 FY24 . We continue to invest in upgrading our facilities and have invested Rs. 43 crores in CAPEX during this period.

We would like to add that we continue to be mindful of balancing growth with profitability by continuous focus on cost control and efficient operations in order to be able to capitalize on opportunities which will bring us greater scale over the long term. With that, I would like to hand over the call to Saharsh for his remarks. Once again, thank you very much.

Saharsh Davuluri : Thank you, Abhijit. Good evening, everyone. I will add a few comments on top of what Abhijit has said and then we can open up with Q&A. So, I think reflect on the Neuland Laboratories Limited
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quarter and the first half of FY24, I realize that while financial metrics reflect an improved quality of business that we have been striving to build, the operations have been conducted like any other quarter. Having said that, this quarter validates the quality as well as the underlying strength of the Neuland business and I must add that it reflects our business development, R&D, quality culture and manufacturing and execution engine.

There is also a consequence of the natural transition of our CMS business where we have seen a few molecules scale up into commercialization phase over the last 2 years and maybe a few more waiting in the pipeline. As I had stated in the past, we had been transitioning from a model that was predominantly composed of prime APIs into a CMS and specialty GDS focused business. We are seeing both the potential of our CMS business as well as the impact of specialty GDS products like Paliperidone in the current performance.

As we had mentioned in the recent past, the business does not have any significant one-offs even in this quarter. However, as always, I would like to emphasize and reiterate that the nature of the business is lumpy and the growing scale will not necessarily change the inherent qualities. In terms of the details, the growth of the business is coming both from commercial products as well as projects under development. The significant revenue from development is due to molecules that are very close to commercialization. We believe that the analytics that we have been sharing over the past few years give sufficient color and depth. Hence, given the sensitivity and confidential nature of the CMS business, I would not be able to talk or answer any specific questions on customers or molecules.

From a market perspective, you probably already heard this before. We have seen that there has been an impact of funding crunch on early-stage projects as well as projects with weak clinical data . However , we are seeing new customers come in with later stage assets that is Phase -2 and later continuing to look for reliable API partners. You will see this demonstrated in the increasing number of Phase -2 projects, which are part of the pipeline that we have shared in the investor presentation. We hope that this pipeline will give us continued success in commercializing more new chemical entities in the years to come. Our business development team stays focused and continues to pursue such high-quality projects to add to this pipeline, even as the internal R&D, manufacturing quality and project management teams work on delivery of the existing projects as well as building agility so as to respond promptly to changing customer needs.

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On the GDS side, even as there has been a slight dip in specialty revenues this quarter, growth is on the expect

ed lines on half yearly basis. The specialty segment in H1 was driven by revenues from Paliperidone, Apixaban and Donepezil . The Prime segment contribution was primarily arising from Mirtazapine and the growth of the Escitalopram business . In terms of the overall business , there is a positive outlook with a healthy pipeline in the medium to long term and optimism about future prospects . While there will be fluctuations at a quarterly or even at an annual level, the business itself looks very promising across the horizon. Neuland's commitment of putting the customer at the forefront of its operations remains unwavering. To align with this commitment, the company will continue to invest in its operations by establishing both new capacities as well as new capabilities. These investments are made with the goal

of furthering Neuland's leadership position in key molecules and becoming the preferred partner for both existing and potential customers in the development and manufacturing of new molecules. This customer centric approach is a central part of Neuland's strategy for growth and success.

So, having said that, I will now request Ravi to open up the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Meet Katrodiya from Nivashaay. Please go ahead.

Meet Katrodiya: The question is what is the future CAPEX plans and if not CAPEX, so what is the thinking of the management for the next leg of business?

Abhijit Majumdar: As we have consistently said in the past earnings call, our focus on cash, right, as we kind of look at cash and optimize so that we have the cash for our growth opportunities.

The second is what we have consistently said is as and when we start allocating capital for growth, right, we would come back to our investors on our plan from an execution perspective. So, you should see some action in the next 2 or 3, 4 quarters, but they need to be kind of placed to the board, they have to be discussed internally and I will just leave it at that.

Sucheth Davuluri: I think from an overall number, the regular CAPEX will be about Rs. 100 - Rs. 120 crores. If there is any additional opportunity, the additional business which has a certain level of certainty then this number could go up or down based on that.

Meet Katrodiya: And sir, second question is, very good percentage of contribution by CMS molecule in overall pipeline, so seeing this kind of jump from 45% to 55% for this quarter, what can

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be the share of CMS molecules going forward for the full year considering the visibility you have?

Saharsh Davuluri: So, I think it goes without saying that the CMS business has outperformed our expectations as well, but frankly speaking, the CMS business is really a function of how the drug is doing and how our customers, how much API they are procuring, so I think it just happens that the CMS molecule's volumes have picked up and have gone beyond our expectations and I think that has resulted in the CMS actually contributing to more than the GDS, but I think for us it is very difficult to answer that question directly because both businesses are very independent of each other and both have their own potential. It is just that the GDS business was a little shy of what we expected to do, and the CMS business did a lot more than what we expected it to do and it is part of the business. So, I think how this would be extrapolated is very difficult, I think we will have to watch the next few quarters and I think we will have to more importantly see how specific molecules do, but I think approximately somewhere between 60-40, 40-60, I think beyond this, it is very difficult for us to pinpoint.

Meet Katrodiya: Next question is in the revenue from development as there is a big almost double kind of jump in

the revenue for this quarter, so are there any one or two specific molecules contributing such big jump and if yes, then as you mentioned in initial remarks that these molecules will get commercialized in upcoming quarters, so basically, I want to understand the potential of these molecules, how much times of revenue they can generate in commercial sales like 2, 5, 10, what kinds of revenue they can generate?

Saharsh Davuluri: I think I will just be brief in the interest of time. The molecules, their upside potential is something that we don't believe is valuable to disclose because it is hard for innovator molecules for us to cap or to be able to estimate that how much they will do. I think there is definitely potential for growth. There are more molecules as well, but yes, I think the salience we have disclosed in the table clearly tells you how many are in commercial versus how many are in development. So, I will just keep the response please.

Moderator: Thank you. The next question is from the line of Ranvir Singh from Nuvama Wealth. Please go ahead.

Ranvir Singh: My question was related to the development of the CMS revenue part, so you said that one molecule which actually had offtake for mere commercialization, so that has your offtake, so just I wanted to understand that whether we have catered to full order price

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of that particular molecule, or this is a part of a bigger order we have in hand for that particular molecule in development phase?

Saharsh Davuluri: So, I think with regards to the commercialized CMS molecules, the orders would come

across the year and typically I think because these are molecules that are still under patent, I think there is a visibility that we get from the customer in terms of how much API they need over the years and as we get closer to the period which is on a rolling quarter basis, we get confirmed orders. So, at this point in time, it is safe to assume that every year we will have orders. It may not happen in equal proportion every quarter and then again depends on a molecule-to-molecule basis, but as I had indicated in the opening remarks, there are no one time orders. So, I think we can also feel reasonably confident that all this business that we are seeing is having a degree of recurrence and it may not be identical every quarter, but it will have a set pattern of recurrence, especially the commercial ones.

Ranvir Singh: My question was related to that particular molecule because we have other molecules also and hence, I can understand that we will keep on getting orders for different molecules, anyway, so the second question was related to that Unit 3, what kind of utilization currently we are standing at?

Saharsh Davuluri: So, I think just to top up that first question you asked, I think we have disclosed that we have several commercial molecules right now, I think about 5 or 6 of them contribute actively to our commercial business on CMS. So, we have multiple molecules, which is the short answer, but not every molecule contributes equally, therefore the surge in the business or the growth in the business is also clearly indicating that new molecules are contributing more. With regards to your second question, I think we are at about 60%-65% utilization in Unit 3, but I would also like to add to that Unit 3 has further headroom for more capacity because the site itself has is a large enough campus where we can create more facilities, but in terms of the current installed capacity, we are at about 60%-65% utilization.

Ranvir Singh: And that unit 3, when we can expect peak revenue including that expandable capacity there?

Saharsh Davuluri: I think it really depends on how the molecules scale up. So, I think we are constantly reviewing our capacity situation and I think the benefit

we have is because we already

have an operational Unit 3, we will be able to create capacity within say 12 months

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from decision making, but I think we will disclose as we create more capacity, but at the moment there is nothing much I can indicate as when we will be creating.

Moderator: Thank you. The next question is from the line of Ishmohit Arora from SOIC LLP.

Please go ahead.

Ishmohit Arora: Sir, just a question, in next 6 to 12 months, are we expecting any more molecules to go commercial like in last concall, I think we mentioned two more molecules might go commercial in next 6 to 12 months?

Saharsh Davuluri: I think again, it is going to be difficult for us to be very specific for the time period you ask. I think if you go back to the investor con-calls that we have had even 2-3 years ago, we have maintained that we had a pipeline of 5-6 molecules which were one step away from commercialization. I think in the last two years, 2 molecules have become commercial. I think in the next 2 years, maybe two or three more could get commercial, but I would not dwell into further detail with regards to 6 months or 12 months, but yes, you can definitely expect some more commercialization in the next couple of years, but the timelines would be very difficult for us to indicate.

Ishmohit Arora: The second question was, are there any key risks that we are seeing to the sustainability that we are seeing in the CDMO growth over next 2-3 years like in terms of basically the funding trying up for Biotech instead of US?

Saharsh Davuluri: The funding situation for the molecules that are getting commercialization, although we work with Biotech and we keep saying that the Biotech which have commercial molecules have adequate funding. So, we don't see any challenges in commercial supplies getting any kind of restrictions due to biotech funding. I think early stage, yes, there is definitely funding challenge, but I think our business model is such that it is not really impacting us that much.

Moderator: Thank you. The next question is from the line of Sajal Kapoor as an Individual Investor. Please go ahead.

Sajal Kapoor: Neuland's current form is akin to that of Indian cricket team, which keeps surprising on the upside, especially the seam bowling and coming to my questions and some of the major participants in the European API market have lately acknowledged that new competitors are coming from India, Euro API and others have also issued a warning regarding their profitability projection, I know you have had 200 pre-arranged

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meetings and over 50 walk-ins in the recently concluded Barcelona CPHI, so what is the take on the ongoing supply chain rebalancing, please?

Saharsh Davuluri: Hopefully our performance of the Indian cricket team will continue till they win the World Cup and not stop at the league stage, but that aside, I think there is definitely a lot of buzz of Indian CDMOs in the global marketplace and I think yes, we have seen in the press Euro API and some of these guys mentioning skepticism, but I think our take on it is that this is a very vast space, \$60-\$70 billion space where no player is more than \$2-\$3 billion in terms of size. So, for us, we feel like we are swimming in an ocean, and we hardly see any competition. Even in the CDMO space today, in fact Sucheth and I were just talking to one of our board members, if we take our top 10 molecules, none of the 10 have overlapping competitors. If I take the pipeline of the new projects which we are doing, projects which we have received in the CMS business, no two projects have the same competitors in the bidding process. There are so many different players, there are Indian players, there are European players, so for us

it is very difficult to gauge, at the end of the day we have a healthy pipeline and that pipeline is enabling growth for us and we have control on what actions to take in order to keep sustaining that growth.

Sucheth Davuluri: I think European API companies are various Indian companies and vice versa as well.

So, I think it is a healthy competition, but as Harsh rightly said the CDMO business in terms of the market is so huge that there is a lot of opportunity out there. Now, the key for Neuland and since we have a lot of interested stakeholders on the call as well is to make sure that Neuland does not get confused with other CDMOs in terms of what we do as an organization. I think for us going forward, the key is to be very clear about what is it that we can do and what we cannot do and make sure that we carve out that brand and image with our customers, so that we have those long-term relationships and that is what Neuland has all been about and we keep saying and you are referring to CPHI. Sajal, one of the things we always talk to our stakeholders is that we have hardly lost a customer in the last two decades, so I think customer is the center of our focus, but I think point is valid is we have to look out for our European competition as well.

Sajal Kapoor: And second question is press release on peptide building blocks was issued in January 2009, so could you please provide the performance evaluation of this optionality after 14 years in terms of learning and measurable outcomes?

Saharsh Davuluri: I think the peptides press release you are referring to. I think it indicates our entry into the peptide business, which was a very organic entry. We started off making these Neuland Laboratories Limited

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fragments because those were technically closer to what we did as a company. The idea was to climb up the value chain, getting to making more complex fragments, make building blocks, so to speak and supply them to peptide CMOs who actually make the final peptide APIs and the idea was to further climb up the value chain, getting to making NCE peptide APIs and also in parallel start making generic peptide APIs. I think in a nutshell that was the plan. I think in terms of where the journey has led us across the 15 years, I think the straight answer is that we have actually made that progression. We started off making building blocks, we then went into making peptide fragments, working with European peptide CDMOs, supplying them the fragments, then we started working with innovators, making peptide APIs, NCEs, and then we also started developing peptide generic APIs as well. But I think what you are probably hinting at which is the report card, I think it is fair to also admit that the business itself has not contributed significantly to us. I would probably attribute that to two things.

One is could we have put in a greater emphasis in terms of development capabilities and maybe develop more molecules, the answer to that is definitely yes, but more so in terms of if you look at the cable of molecules that we consistently published out of the 80 odd projects that we have, we have at least about 14 or 15 peptides, but none of them have actually made it into commercial and become successful commercially for us. Had that happened, perhaps it would have been a different story altogether, but having said that, we don't want to sound like we have given up on peptides as well, because we are working on some exciting peptides both in the NCE space as well as DMF for generics, but I think the music will be heard when actually you start seeing the business come in. Until that time, it will be kind of like lot of lead indicators that we will be giving to you in the form of commentary, but I think Neuland is a serious

player in peptides, but unfortunately only time will tell

how good our efforts have been.

S E Medikonda : I think Saharsh did mention something on the lines of the fact that we have innovators coming to us for their peptide APIs itself is a marker of our capabilities on that front .

When that actually translates into commercial revenues and impacts us significantly , that is more how the market , how the products move through the pipeline . I think that is not in our control and also from the generic side too, we have made significant progress on the number of molecules that we commercialized , and we are ready at a large stage , but the commercialization , it depends on the molecules and the customers that we are partnering.

Saharsh Davuluri: Another qualitative addition , Sajal to the question is if you take Big Pharma as a category, most of our investors are aware that we are not very strong on Big Pharma , we work more with Biotech , but you will find it interesting that for peptides actually

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we work with Big Pharma because their typical suppliers don't work on peptides as much. So, we actually have two European Big Pharma working with us only on peptide projects. So, that is also perhaps an indicator that we are a serious player in peptides, but yes, I think I would also admit that in terms of our revenues , they are not still a dominant contributor for us.

Moderator: Thank you. The next question is from the line as Sachin Jain as an Individual Investor. Please go ahead .

Sachin Jain: My question is since last 10 -12 years, you have built now almost Rs. 500 crores CMS business and along with the journey , you have built reference ability, project management capability and scientific capabilities and now I believe all building blocks are in place and probably the world knows you for your capability , now can you help us how you as a management see next 5 years some qualitatively ? How you see CMS business unfolding from here, maybe some aspirations, how you see it? Can you give some color?

Saharsh Davuluri: I think we can definitely give you a sort of a vision of what we have for the CMS business, maybe not in our quantitative way. The kind of track record we have built for ourselves and more importantly the credibility we have built for ourselves, as you had acknowledged in terms of building strong , R&D project management , execution skills in the plant level, quality culture , those have helped us coupled with a strong working relationship with the Biotech, these have been factors that have really built this healthy pipeline. Now , when you look at the innovation landscape today, I think still 70% of the new drugs which are small molecules are being developed by Biotech companies. So, I would definitely say , continuing this path is front and center a priority for us, we would want to work with more and more Biotech companies. We would want to be a part of as many phase 3 to commercial launches as possible, but at the same time, we recognize that for us to be able to expand the basket of customers , you would also have to create the right kind of capabilities, create the right kind of capacities for that. So, I think we are actively exploring what we can do. I think the gentleman earlier was asking about peptides , so for example, having peptides as a capability helps us work on more CMS projects. So, that is a very good example , having deuterated molecules as a capability helps us work with more innovative companies. I think as we speak, we are also evaluating what are the other adjacent areas that we should be looking at or should we look at different kinds of maybe carbohydrate chemistry, should we look at maybe high potency . So, I think these are questions that we are trying to answer, but I think it would be safe to assume that we

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want to be focused on this human healthcare, biotech space , but as we create larger facilities, I think obviously we would also want to align better with Big Pharma and try to create more value for them as well. I think the next 5 -7 year plan is more focused on that and then I think beyond that we will have to look at what else we can do . So, I think that is kind of what we think . In terms of numbers , I think it is really difficult because we are definitely doing better than what we expected. I think quantifying it from an investor perspective really doesn't make any sense because it is like the world is your oyster, so it could become as big as you could want to.

Sachin Jain: And my second question is Saharsh, now, almost, if I see 2012 -13 balance sheet and now I see a balance sheet which probably a business which is flowing cash an upward of Rs. 200 crore annually , would that mean you will become more aggressive in terms of capability acquisition or CAPEX, some color and one of the answers in earlier participant , you said probably next 3-4 quarters , you will take a call , but some qualitative indicator of how you are thinking about your CAPEX plan, acquisition plans and looking at the balance sheet where it is today ?

Saharsh Davuluri: Yes, I will just kind of share the management intent over there. I think Sucheth and I had explained this in the previous investor call as well , I think what we have achieved now, not just in terms of numbers or business mix is we have established a certain level of credibility with our customers in terms of what Neuland can do. This is not just for the CMS business, but even if you look at the Specialty API business, I think the customers we work with really value the work we do and one of the main advantages of this platform that we have created is that future investments will be made based on certain shared visibility that we get from our clients. This is a very important concept or a theme that we want to leave into our future planning and what that really means is we may not necessarily go into creating a lot of capacities or even capabilities without having that support or guidance or assurance from our customers. I think that is the position we have earned ourselves into, I would say, and therefore I would probably say yes, we will have to allocate capital for growth. We will have to create capacities , but they will be done in conjunction with our customer needs and therefore you will not see a situation where we will create maybe 1000 liter facility and then wait for 4 years to fill it up with products , we may start creating production blocks based on certain visibility we are getting from the customers we are working with and that kind of capital allocation is what we feel will help us keep that ROCE high and it will help us keep making those necessary investments. So, I think that is broadly the theme of how we are looking at growing the business. So, there is a little bit of conservativeness
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in it, but we also think it is not necessary to go and create huge capacities without any visibility from the business side .

Moderator: Thank you. We have the next question from the line of Rohit Ahuja as an Individual Investor. Please go ahead.

Rohit Ahuja: I have two questions , one is for the CMS segment and one is for the GDS segment , so in the CMS segment, I want to know that one of our client, Esperion which I think is having a dedicated production block in one of our manufacturing units , so I want to know that if this kind of capacity that we create in our plant that is also fungible across products and recently we have had the CPHI Barcelona , how is the thing where that, as I have seen, we have the various team meeting there , so how is the thing going that or the brand Neuland is now commanding comp

ared to the various previous years, so

this is my question one ? And so again my question is on the GDS segment , is that true that now you can only file US DMFs if you have a valid customer on the customer request because we have a healthy pipeline of the molecules which have the US DMF files are going off patent in next 3 -4 years and also as per our annual report, we are going to file 6 US DMF every year for the next few years , so that assumption is correct that can you explain about that?

SE Medikonda : Rohit, I think in consistent with what we have said in the past, I don't think I want to answer like product specific questions or project specific questions when it comes to our CMS business, I think we have already shared a lot of color on that and when it comes to the GDS business, I think a lot of our work that we do is the products that we select and the products that we own is on the basis of our understanding of the products of the market which we have developed over a period of time and we consistently see that we are customers who are in those therapy areas in the US market come to us for those products , I hope that answered your question .

Sucheth Davuluri : We always have a customer for the DMF that we are filing and the capacity that we create is always fungible.

Moderator: Thank you. The next question is from the line of Sanjaya from Ampersand. Please go ahead .

Sanjaya: Sir, my question is that , is there any kind of a seasonality to your number and of course given some number relating to the stage 2 which has doubled , so how will that kind of feed into your numbers in the future if you can just help us understand that?

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Sucheth Davuluri : There is no seasonality as such , Sanjay . As we have mentioned in the past, we do expect quarter to quarter volatility just given the nature of the business and what our customers require in terms of deliveries of the material from us. Apart from that, we have also mentioned in the past that not only just a quarter to quarter , but some of our sales cycle and manufacturing campaigns are so long that some of that volatility can even spill into the next year as well. So, it is just a question of the nature of the business rather than seasonality.

Sanjaya: How about this Phase -2, which is doubling, does that kind of give us some indication of how things will evolve going forward?

Saharsh Davuluri: See, I think the doubling of the revenue is an indication that new molecules that are getting commercialized are contributing significantly to the business. I think if you couple that with the other statement that we have made that this business is not one time, it is not one off, also couple it with the lumpiness comment, I think it is fair to reduce that the growth is there and it will continue. The percentage growth or how much will it grow to is where we cannot give you any indication , but yes, I think definitely with these molecules commercializing there is a growth in the CMS business which will continue , but I think with regards to the quantum of the growth , I think you will have to see how things pan out. We won't be able to guide you much on that .

S E Medikonda : And Sanjaya , if your question was with regard to the number of Phase -2 molecules doubling, I think that is more testament to the what you say the traction of the brand that we have been able to build and that would feed in over a period of time, but what we also need to keep in mind is the conversion from Phase -2 to commercialization is 25%; which may be somewhere only around one in four molecules will reach commercialization . So, this is more an indicator of how attractive our CDM O capabilities are rather than just an indicator of future potential.

Moderator: Thank you. The next question is from the line of Rahul as an Individual

I Investor. Please go ahead.

Rahul: I wanted to have a perspective from the management on how do they see the journey 5 years, 10 years ahead , if they can share what the North Star for the company and if they can talk us through the progression of Neuland moving from a small cap company, let us say to mid-cap company and maybe at some point a large cap company , just market caps and more interested in the journey that they foresee and if the ambition is Neuland Laboratories Limited
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to kind of transition towards making the company at that scale and how that will unfold over the next 5 to 10 years, how has the management excited on that perspective?

Sucheth Davuluri: So, Rahul, there is no simple way to answer this question, but typically the process that we follow as management as an organization is that we typically forecast our numbers of future over a 5 to 7 -year kind of a period because that for us is a realistic window without it getting too hypothetical or theoretical. Once we do that, we look at what the numbers look like, what the margins look like , what do the growth percentages look like and whether that is a reflective of healthy and opportunistic growth as well. If it is not, then we spend our time or energy identifying opportunities which are more reflective of how Neuland should grow and what the aspirations of the management are. Once we have those numbers, obviously we bring it back and look at the assumptions on what is our CAPEX, what should be the capacity , what should be the people strategy, our financial strategy, all of that. So that, that we are very clear on what the potential obstacles, what the potential risks could be, what is our ESG strategy going to be and we spend a significant amount of time doing that . I think with respect to your specific question about what the future could look like in terms of the market cap, small, medium to large cap , as a principle, we don't share any outlook in terms of numbers and we continue to hold to that principle , but I think internally we do take a very long view of the business and make sure that it is in line with how we would like to see the business overall . So, I mentioned I think, between me and Harsh in the previous call that we do have a clear set of 6 strategic priorities, which tell us what we want to do and more importantly, give us clarity on the areas that we don't want to focus on , in terms of specialty APIs or CDM O business, the kind of markets we want to go after, the kind of customers that we want to go after, the quality of infrastructure , the capabilities , each of those strategic priorities tell us where we should be putting all our energies and more importantly not putting our energies as well.

Moderator: Thank you. The next question is from the line of Hussain Ka gzi from Ambit Asset

Management. Please go ahead.

Hussain Kagzi: I just had one question and I like to come back to the comments you made about CAPEX and putting additional capacities only when you have some visibility of such and this is quite different from what conventional wisdom would kind of indicate and so I wanted to know that is this a strategy which the company has followed over the years or is it an outcome of the extremely lumpy and difficult years that we have seen say over 2018, 2019 or even H1 of last year and now we are quite conscious of the balance sheet or the financial stress that we would want to take?

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Sucheth Davuluri: Before Harsh adds his perspective, Hussain, let me clarify that given the nature of the business, what Harsh was saying is that the business has evolved to a point where there are certain molecules where we can actually invest in a CAPEX where we have a significant amount of visibility. Now, that doesn't mean that every CAPEX we

do will

have that kind of visibility. It is just not possible because as you know, our focus is to grow our CMS as well as our GDS business and on the GDS side, given a strategy of being a multiproduct facility, there will be CAPEX that will get invested based on our best estimate of future projections of volumes for which we will not have a signed contract or a certainty in revenue, so Harsh's point was that there is a part of the business that evolved to the point which gives us the ability to invest in CAPEX where we have that assurance, but they will always be part of that CAPEX or business which will not have that assurance.

Saharsh Davuluri: So, I think Sucheth answered it, but I want to have the satisfaction of clarifying myself.

I was just clarifying that the decision to make CAPEX investments based on visibility that we get from customers is actually a position of privilege that we have put ourselves over the years of building this business. So, I think that is something that I would like to reiterate. It is not necessarily something that comes out of the past pain or the past difficulties of going through CAPEX programs and also as Sucheth said there is GDS business, there is also basic R&D, there is a lot of new capabilities which don't necessarily require customer sponsorship. So, when you look at capital investments in a business like ours, one area where you need the customer visibility is the capacity creation, but if you are looking at creating more R&D labs, you are looking at creating a pilot plant, you are looking at creating scale up facilities or even a GDS facility, then those are investments that the company would have to make on its own. So, I think the point that was being made earlier is that Neuland, we will not probably undergo huge CAPEX spends with no business visibility. We will be prudent in terms of what investments we make, but having said that, I think as management we alone can visualize how what infrastructure is needed and we will not necessarily wait for a customer to come and sponsor CAPEX for us. So, I think between what Sucheth has said and I said, I hope that clarifies and that helps you understand how Neuland looks at CAPEX it is not necessarily coming out of any past strain or concerns.

Moderator: Thank you. The next question is from the line of Yasser Lakdawala from M3 Investments. Please go ahead.

Yasser Lakdawala: Question on your CMS business, if you could probably highlight some qualitatively, so what are the nature of the projects and molecules you are working on, are they sort

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of large volume, small volume in sort of production style or are they more chronic, acute sort of, are they in like niche oncology or rare disease area, if you just highlight something qualitatively, so we get a feel of customers that we are sort of working with and the long term sort of trend that is happening in the NCE space will be really helpful?

Saharsh Davuluri: Maybe, just give some high-level facts about the CMS business. If you look at say the 7 or 8 of our near commercial APIs with the CMS business, one thing is that they are all with Biotech companies. The other thing I would say is that they are a mix of chronic and acute therapies. I would also say again we have a mix. In terms of range, if you look at some of smaller volume products, batch sizes maybe 10-20 kilos with annual requirements being in 10s of kilos or 100s of kilos. The larger products in this list would have batch sizes of anywhere from 500, 600, 700 kilos with an annual requirement of 100 tons. So, I think our CMS business is fairly diverse in that sense, but yes, I think the basic commonality is that it is Biotech. I think incidentally, many

of the molecules are also in the CNS therapeutic area, but it is not like we are

CNS

specialists and therefore we have those CNS molecules, and it just so happens to be that way. I think in terms of how we intend to, if you look at this portfolio itself, we don't necessarily see success coming out of acute therapies or chronic therapies or CNS diseases or anything like that, but what does matter is if a molecule is having multiple steps of synthesis, if it has some cost of goods challenges, if there is the basic supply chain is originating from India, I think these are three or four factors that drive an innovator to Neuland. We have seen even like, just to give you examples of molecules that don't fit our pipeline and we have not been successful, you take very high value therapeutic areas where the innovator needs only 2 kilos of API a year and it is a multibillion-dollar drug. So, the API sells for 10s of thousands of dollars a gram. In those kind of cases maybe the innovator is kind of comfortable with the European or in-house manufacturing. So, other than that, wherever there is a cost of goods challenge, wherever there is a challenge of complex chemistry in multiple steps and life cycle management is important, I think that is important, I think the one other common thing about our CMS pipeline qualitatively is and we had mentioned this earlier is the patent life, I think we did have one or two molecules, those patents have expired and they don't contribute anymore, but now the pipeline that we have, the patent expires only start after 2030. So, the other comfort that we draw from our CMS pipeline is that next 7 years or so we should continue to see the exclusivity benefit us. So, I think these would be some of the highlights qualitatively that I can share without Neuland Laboratories Limited

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getting into any specifics and they are all given healthcare, that is one thing I didn't mention.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, that will be our last question for today. I now hand the conference back to the management for their closing remarks.

Thank you and over to you.

S E Medikonda: We would like to thank you for taking the time to attend the call and asking questions which draw greater insight about the business and the future, while we would have liked to have answered everyone in the queue. We hope you understand the constraints of on time. Having said that, please reach out to Ravi if you have any specific questions, we would be happy to answer them to the extent possible. Once again, thank you for your time. Look forward to meeting you again and have a good evening.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Neuland Laboratories, that concludes today's call. Thank you all for joining us and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Feb 2024

February 13, 2024

To
BSE Limited
Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on February 9, 2024

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and nine months ended December 31, 2023, conducted on February 9, 2024. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/investors/investor-updates/announcements/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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“Neuland Laboratories Limited
Q3 & 9M FY24 Earnings Conference Call ”
February 09, 2024

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – NEULAND
LABORATORIES LIMITED
MR. SAHARSH DAVULURI – VICE CHAIRMAN AND
MANAGING DIRECTOR – NEULAND LABORATORIES
LIMITED
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL
OFFICER – NEULAND LABORATORIES LIMITED
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD -
CORPORATE PLANNING AND STRATEGY – NEULAND
LABORATORIES LIMITED

Moderator: Ladies and gentlemen, good day. Welcome to the Neuland Laboratories Limited Q3 FY24 and 9MFY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you, and over to you, sir.

Ravi Udeshi: Thank you, Muskan. Good evening, friends. We welcome you to the Q3 FY24 and 9MFY24 Earnings Conference Call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us the top management from Neuland Laboratories, represented by Mr. Sucheth Davuluri, Vice Chairman and CEO; Mr. Saharsh Davuluri, Vice Chairman and Managing Director; Mr. Abhijit Majumdar, CFO; and Mr. Sajeem Emmanuel Medikonda, Head, Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will review broad highlights of the business trends and what he is observing in the market. And post that, we will open up this call for the Q&A. As usual, the standard safe harbour clause applies as we start the call.

With that said, I now hand over the floor to Abhijit. Over to you, Abhijit.

Abhijit Majumdar: Thank you very much, Ravi, and a very good evening, and warm welcome to you all for joining our Q3 FY24 and 9MFY24 earnings call. I'll briefly talk about the financials now approximately.

The total income for the quarter was INR394.9 crores as against INR271.2 crores in Q3 FY23, an increase of 46%. This was largely driven by growth from existing molecules, newly commercialized molecules, molecules close to commercialization and a healthy base of business mix.

Our EBITDA for the quarter stood at INR122.7 crores with a margin of 31.1%, an increase of 10.8% over Q3 FY23. The EBITDA margin has seen improvement primarily due to enhanced operating leverage and as well as increase in revenue from Unit 3.

I'd like to state that the overall operating environment continues to be unpredictable, although as we have witnessed stability in terms of input prices, and we continue to be vigilant in controlling our operational costs, driving operating leverage. This gives us the ability to grow with marginal cost addition.

We remain unwavering in our commitment to operational efficiency and cost optimization initiatives for consistent development of our organization. As we have consistently shared in our previous earnings call, please measure our performance over a 3 to 4 year horizon, as our revenues and EBITDA margins will fluctuate on a quarter-on-quarter or even a year-on-year basis based on business mix, which is dependent on order inflow and project execution.

Now coming to specifics. Our gross margin was 59.8% in Q3 FY24 versus 55.2% in Q3FY23 and 59.8% in Q2FY24. This gross margin includes manufacturing and other costs directly

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attributed to the product. The profit after tax was INR80.7 crores as compared to INR30.4 crores in Q3FY23. This quarter's EPS stands at INR62.9 per share. We have been strategically optimizing operations and resource allocation to boost internal cash flows thereby enhancing our business resilience in the face of the potential fluctuations.

We generated a free cash flow for the 9MFY24 of INR129 crores and we use part of this cash surplus to reduce debt by INR38.8 crores. Consequently, our debt position stands at negative INR44.6 crores. We also reduced our working capital cycle to 118 days at the end of December '24 as

compared to 137 days.

We saw slight lowering of cash acceleration during the quarter under review. This was due to receivables arising from Christmas and year-end holidays in the developed markets. As we have already seen it normalizing in the month of January.

We continue to invest in upgrading our facilities and have invested INR68.2 crores in CAPEX during this year. I would like to add that we continue to be mindful of balancing growth with profitability by having continuous focus on cost control and efficient operations and to be able to capitalize on opportunities, which we believe will bring us greater scale over the long term.

We will continue to be on the lookout for opportunities that will generate healthy and visible cash flows.

With that, I would like to hand over the call to Saharsh for his remarks once again, and thank you.

Saharsh Davuluri: Thank you, Abhijit. Good evening, everyone. We have now completed 9MFY24. The growth in performance that we have witnessed over the last few quarters reflects the transition of Neuland's business model from predominantly prime APIs to a healthy combination of CMS, GDS specialty as well as GDS prime. This transition has also been driven by commercialization of molecules over the past 2 years, and also ongoing improvements in R&D project management, operations and business development initiatives.

In particular, in the past 9 months, we have seen an increasing scale of the CMS business as well as contribution from specialty products. On the CMS side, the growth of the business stems from both existing commercial products and projects under development with significant revenue attributed to molecules near commercialization. We continue to see traction in the CMS business, led by increasing interest from customers with large pipelines.

These interests further fortify Neuland's reputation as a well-regarded CDMO. We believe that the analytics we are sharing over a significant period of time, provide you the comprehensive understanding of the business' performance and trajectory. Therefore, in the interest of customer confidentiality, we will be unable to comment on any further questions on specific molecules.

On the GDS side, we have seen growth both in specialty as well as prime segment in both Q3FY24 as well as on the 9-month period. Paliperidone, ezetimibe, apixaban and dorzolamide have driven the 9-month growth. The prime segment growth is driven by mirtazapine and escitalopram. On a side note, I'm also happy to share that Neuland has achieved an S&P ESG rating of 64.

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Besides the highlights of this quarter, Sucheth and I thought it may be helpful to share a broader management perspective on the business and how we see this business scaling up going forward. As you can surmise from the performance of the last few quarters, the business has delivered on both growth and profitability.

The growth in revenues supported by product launches on the GDS as well as CMS side and a healthy mix of products consistent with the long-term strategy of the company, include operating leverage, particularly around large assets like Unit 3 that drove EBITDA margins.

Again, for those of you who have followed our journey for some time, you may recall that we operated Unit 3 on very low utilization for a 4-year period before it could start delivering growth.

Maybe now I'll request Sucheth to add a few more comments before we put it up to Q&A.

Sucheth Davuluri: Thanks, Saharsh. Hi, everyone. If you were to go back 5 years and look into the future, we believe that the business has transpired largely as expected. We definitely could have done things better. But we believe that the overall hypothesis of the Neuland business model remains firm and validated.

Now as we look into our future from where we stand today, we have much better visi-

bility of

our business. We expect it to grow at around approximately 20% annually over the next 4 to 5 years. As the quality and size of our business grows, we're getting a better visibility for our future.

We will continue to commercialize molecules over the next 1 to 3 year time frame. We continue to create capacity, keep ramping up with specific molecules in mind. As it stands today, FY25 looks like it will be a year of modest growth with some normalization of margins and operating expenses rise due to inflation and ongoing investments.

Beyond FY25, which is FY26, FY27 and so on. We see a quicker growth on the back of both existing molecules and new ones yet to be commercialized from the capacity that we'll be creating in FY '25. Do keep in mind that this is the current management outlook into the next 3 years. Factors such as individual product performance, forex, raw material costs, geopolitical changes, changes in regulation will impact this outlook as could other factors that are integral part of us doing business.

The bottom line is that we will continue to pursue growth and profitability in alignment with our strategic priorities and we believe that the future is exciting. However, it will also bring its own set of challenges that I feel we are much better as an organization to deal with.

Ravi, back to you to open the floor.

Moderator: The first question is from the line of Rahul Bhardwaj, an individual investor.

Rahul Bhardwaj: Congratulations on the numbers. Thanks for sharing the guidance. As I understand correctly, you mentioned for the next fiscal year, we would expect nominal growth, and then for the FY26, we can kind of expect a healthy growth rate with new molecules in commercialization. and then

you also mentioned like for the next 4 to 5 years, we can expect the business to grow 20% annually. So are you suggesting more on the lines that the growth would be north of 30%, 40% in the FY26 versus the current fiscal year and the next fiscal year. So would that be a correct understanding, and interpretation to quantify?

Saharsh Davuluri: Thanks for the question. I think your audio was not very clear, but we understood the question clearly. Rahul, I think the way we had given our outlook, which is not really a guidance because it's not quantified. There's more to convey two things. One is, as a company as we have been doing well, we are getting better visibility into our future. That's one thing. Second, based on the visibility, we also thought it's important to just kind of articulate qualitatively how we see the future. And therefore, we had said that FY25 will be kind of a moderate growth and the growth beyond that will be higher. But I think we would probably limit our outlook to what we have said and not be in a position to quantify it based on the question that you've asked.

Sucheth Davuluri: Yes. And I would reiterate that what we've provided is not a guidance, but the way we see the business as it stands today, of course, as we gain a clearer understanding and as things develop, we will come and we'll be sharing those during these calls in the future as well.

Moderator: The next question is from the line of Narayan Singh from Navanand Securities.

Narayan Singh: So congratulations on a good set of results, sir. I just have one question. So there are some news flow around about this KarXT and Karuna Therapeutics takeover by Bristol Myers and so on. The question is this molecule considered as near commercialization molecule or it's already under commercialization molecule, sir? Just for my understanding, to understand.

Saharsh Davuluri: Yes, Narayan, thanks for the question. I think as we had indicated several times, we will not be able to comment on any specific CMS molecules. I think whatever information we have been in a position to disclose is already there

in the public domain. And therefore, I think a lot of this information that you're asking is available, but we will not be able to comment on it.

Maybe what I can also just kind of help you understand is generally, and this is not the first time that our customers, which are typically biotech companies, have been acquired by larger companies, big pharma or other large companies.

And typically, for us, as a CDMO, it's always a positive development because it actually opens up new opportunities to expand the business with a newer company. But what I'm saying is a general comment, it is not connected with the question that you asked. But hopefully, it will be helpful for you, but I will not be able to comment on the specifics. Thank you.

Narayan Singh: Thanks for the clarity here. I understand that you don't want to disclose any more information. But if you answer my one more follow-up question about what happens if the biotech companies are taken by big pharma, and we are hoping that the company will really benefit from this kind of acquisitions. Thank you, sir. And all the best for the future.

Moderator: The next question is from the line of Sajal Kapoor, an individual investor.

Sajal Kapoor: Thanks for repeating the business unpredictability, uncertainty and lumpiness warning again and again over past several earnings calls, and that's extremely ethical and appreciated. Thank you for that. And please allow me to ask both questions one by one.

Innovators given their novel assets to a CDMO, is comparable to parents sending their young kids to a faraway boarding school, where the parents will never be able to keep close day-to-day vigilance. So reputation, trust, integrity and the capability to develop that young assets, are some of the very important factors in their decision making.

So in this context, the protection of intellectual property from external fraud like cyber crime as well as any sabotage attempts internal to the organization are extremely important. So what steps is Neuland taking to ensure a complete IP protection, so that we continue to remain "the boarding school" for the novel assets. And I've got a second question.

Sucheth Davuluri: So Sajal, I think, thanks to the comparison, I mean, I wouldn't go to the extent of saying that it's a parent sending their kid to the boarding school. But I think I take this spirit of your comparison that it is a very important decision for a company to outsource its molecule. What we've seen, Sajal, based on our interactions with customers as well, is there, to a large extent, they are very objective about these decisions.

And their objective, because they take into consideration, what are the options? What is the cost? What could be the risk associated with the outsourcing option? What are the time lines of that

project? What is the technology that they require? Usually these are the top 4 or 5 reasons why they would outsource a molecule, assuming that they don't have that in-house capability or they don't tend to invest any more in their own in-house capability.

Having said that, I think it becomes a very clear decision for them. And that is the view that we've taken when it comes to building our own internal capabilities. Having said that, the point you raised about intellectual property is absolutely right. In fact, we saw this coming, I think, more than 10, 15 years ago.

So in fact, we are one of the first companies in India who also get certified by ISO 27000 for information management and protection. And that certification, we get reaudited and we get recertified once every couple of years. So that certification gives one level of confidence to our customers that their information is safe with us.

Second is that, currently, since we don't do any molecules of our own or neither do we manage any or manufacture any finished d

osage, and therefore, we are not at any type of a conflict with our customers. That gives them an additional layer of comfort that they can be rest assured that our priorities as an organization are aligned with that of the customers. So, that continues to build.

Saharsh Davuluri : And maybe, Sajal, I'll add one more comment to what Sucheth has said, I think the fact that these molecules that we make for these innovators are increasingly complex in nature, so you might always almost look at the analogy of biologics. Biologics is made in a particular facility. And as per regulatory guidelines, if it's made in another facility, it is actually defined as a different Neuland Laboratories Limited

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molecule altogether because as the molecules become more complex, I think what Sucheth has said about protecting the IP, ensuring our business model does not conflict is very likely.

But third and also equally important is that there is so much complexity in the entire process and the specifications and the end deliverable to the customer, that it is very difficult to actually "steal" something like this. And therefore, clients do generally feel very comfortable working with Neuland because we have all these 3 factors. If it was a very simple molecule, then yes, perhaps there might be some risk, but because we also deal with extremely complex molecules that also creates an additional layer of security for us.

Sucheth Davuluri: And today, there's enough legal protection that's available in our country and otherwise, for clients to make sure that their technology is protected. So I think we've come a long way, Sajal, from where we were about 10 or 15 years ago.

Sajal Kapoor: That's a very comprehensive response and shareholders are reassured. My second question is novel CDMO, of course, is a sticky business. And we know that. But the true test of stickiness is when the molecule changes hand. And with that, the relationship between the innovator and the CDMO partner also changes hands.

So I know Saharsh touched upon this a little earlier on this call, but to explore further because both scenarios have played out, I have seen a small biotech being taken over by big pharma, and the CDMO, who was working on that molecule, lost the right to commercially manufacture that. So take a hypothetical scenario of a big pharma gobbling up a small biotech that owns some high potential molecules and there is a CDMO partner behind the development and the scale-up of those assets, what typically happens to that CDMO partner when the ownership moves from small biotech to big pharma, who may be having a network of other and potentially larger CDMOs that the big pharma is already working with.

And this happened with one of the Indian CDMO companies, not Neuland, a different one, where a small biotech company that they were working with for an ovarian cancer drug was acquired by a big pharma and then the Indian CDMO lost the contract to commercially manufacture. Which one is a more typical scenario when a small biotech is acquired by a big pharma? Do they retain the original CDMO? Or is it difficult to tell? Or is it a function of molecule complexity as and Saharsh just mentioned?

Saharsh Davuluri : I think it's a very good question, Sajal. And I think one thing is that, there is no black or white response to this. I think it is subjective. But I think maybe in our experience, what we've seen is as you get closer to the NDA. And if you have validated the process at your side and your site is registered in the NDA, that perhaps could be construed as really a binding kind of a relationship. And post an NDA, if a big pharma comes in and decides to change the CDMO then perhaps there is maybe some strategic impetus behind it.

But if the molecule is still earlier in the clinic, it's going through Phase I or Phase II, then the risk of the incumbent CDMO losing

out to the preferred partner of the big pharma is slightly more because the sites have not been registered in the file yet and the process is perhaps still

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evolving. And therefore, I think what we've seen is 2 or 3 key factors. One is where in the clinical part of development, this drug is. That is one factor.

Second is how complex is this process? If the process is complex enough that it will be a risk to shift the molecule to a preferred CDMO, then perhaps the big pharma would not still take that risk, because ultimately, what big pharma is thinking about is, is my supply chain going to be protected?

And ultimately, that is what determines, and we have to be very cautious, and we have to treat the transition of ownership with a lot of sensitivity. And of course, then the third part is, I think contracts and things like that can also help make sure that you don't get kicked out unreasonably. But I think those are slightly more business tactics. So we won't dwell into those in detail.

Moderator: Next question is from the line of Nirali Shah from Ashika Stock Broking.

Nirali Shah: My question is that currently, we are experiencing a significant decline in the biotech funding. It's been a while that it was from 2023. So my question is that what challenges are we facing? And what is our strategy to mitigate this risk? And also, what is the timeline that we can expect or anticipate that the situation like destabilizing in then sooner or in this year or coming to current year '25?

Saharsh Davuluri : So, I think the biotech funding crunch is still prevalent. I think that's what we hear. I think for us, maybe the simplistic way to look at it as a CDMO is that right now, we are fortunate because the molecules which are driving the growth especially in the CMS side, are all coming from companies which don't require funding. These are cash-rich companies.

But where perhaps we're seeing some challenges in the early-stage pipeline, drugs which are kind of either in preclinical or maybe in the early clinic. There are some challenges. I think even from the top of my head, I can recall 2 or 3 projects which have not moved forward in the last 6 months because the companies are still unable to raise funds.

And what we hear from these companies is that it's a matter of 6 months. But obviously, we are not the experts to answer that question. But I think the important thing is that for a limited period, if this biotech funding crunch continues. I don't think there will be any challenges on our business performance or the outlook that Sucheth and I had provided. Obviously, this biotech crunch stays for a long time, then since Neuland works predominantly with biotech companies, there could be an impact. But for now, we don't see a direct impact.

And the last thing I can also say maybe is, depending on the indication of funding is also a challenge. So for example, if you are in neuroscience and you're coming up with a path breaking Alzheimer drug, the biotech cycle doesn't really impact the company's ability to raise funds. But if they're developing an ophthalmic indication for something where there's already multiple drugs approved then that company might struggle for maybe a few more months to raise funds. So I think that's how we see the biotech funding situation.

Nirali Shah: Okay. So, if everything goes well, can we see these issues to start diminishing by Q2FY25 ?

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Saharsh Davuluri : The biotech funding is not really factoring into the outlook we have portrayed because new projects as a percentage of the total business that we see in CMS is not very high. So therefore, it may not really have a significant impact. So therefore, we won't be able to answer that question.

Moderator: The next question is from the line of Sanja

ya from Ampersand Group.

Sanjaya: My question is that what is the kind of utilization this plant 3 now has and I believe that you have taken a plant for subsequent factory expansion . Can you just give us some idea about your further expansion plans?

Abhijit Majumdar : So current utilization of Unit 3 is in the range of 57 -odd percent as we speak today.

Sanjaya: Okay. Okay. But you still have gone ahead and bought more land for extension, right sir?

Abhijit Majumdar : Yes. So the land that have been acquired, which we have communicated to the stock market is in a land adjacent to Unit 1, this is for future expansion.

Sanjaya: So, the last question that I just wanted to get a sense from you people are trying to ask some multiple annual like biotech funding and so many and you also give your total active CMS projects and that year-on-year basis, the total number to be kind of looking like stagnating and your overall revenue probably is kind of settled out at certain levels for last year quarter. So is that something kind of a state jump kind of a pattern that we follow, that there is a seasonality. How do we really look at your coming year growth prospects?

Saharsh Davuluri : I think this question has been asked -- answered clearly in the opening remarks. So I'm not sure what else we can add over here.

Moderator: The next question is from the line of Atirek Roy, an individual investor.

Atirek Roy: Congrats on the good numbers. So my first question is, if I as a pharma company, wants to change or add a supplier for my commercialized drug API under patent, what is the typical steps to be followed and how much time that each step takes typically.

Sucheth Davuluri : So, you're saying if you're a pharma company who wants to change your supplier for a drug which is under patent?

Atirek Roy: Commercialized drug API under patent.

Sucheth Davuluri : Yes. API, which is under patent. Typically, if you want to do that, I think it's possible, the key is, the complexity of the process, not just for the API, but for the finished dosage. And also the regulatory strategy, depending on how many countries that drug has been filed in. And depending on the situation, it could probably take a minimum maybe 2 years and maybe it can take even 5 years. So it really depends.

Atirek Roy: Okay. And what if the drug API, is in registration phase or is in clinical trial phase?

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Sucheth Davuluri : Usually, if it's in clinical trials or the application has been made, companies prefer not to add any source of change in resource until the commercial approval comes. However, if they have not filed for approval yet. It could add significant amount of time for the filing because then from the new source, they have to take it. That will show that the finished dosage made from the new source is equivalent to the finished dosage that is already part of the clinical trial.

If it is a molecule which is already generic, right, if it is not in the patent. Then you could actually file an alternate source and get an approval within 1 to 2 years. However, if it is a molecule which is still in the clinic being tested on humans, then companies can easily add an additional source at that point, provided that it doesn't delay their filing timeline.

But once they file, until they get the commercial approval, companies will not add an additional source unless there is a significant problem. Once it gets approved, then companies will add an additional source. But like I was saying earlier, that to take easily between 1 to 2 years based on the complexity of that molecule and in some cases, even go up to 5 years.

Moderator: The next question is from the line of Anirudh Shetty from Solidarity Advisors Private Limited.

Anirudh Shetty: Just one question. You have given an indication of how your revenues, evolving over a 3-to-4-year time

horizon. But given our focus is early on more profitable growth, then shouldn't we really be looking more at what how profits can grow over the next 3 to 4 years?

And is my understanding right that the profit growth can actually be faster than the custom synthesis business where we have a very strong pipeline and growing faster can grow as a share of revenue and this is higher margin. And we could also see some operating leverage on our Unit 3, which is at 57% right now. So how do you guys think about if you are able to grow at 20% revenue? How does one think about profit growth in purchase scenario?

Saharsh Davuluri : Thanks for the question, Anirudh. I think it's very important. I think if you look at how FY24 is faring, I think we've been kind of at 30% EBITDA margins right now and the PBT levels are also quite strong. And the revenue growth also has been impressive. I think going forward, what's important is that the margins that we are seeing in FY24, in many ways are very optimal. The plant Unit 3 is being utilized very well. The product mix is excellent, and there has been no significant challenges in raw material prices, forex is kind of reasonably favourable. So there are not too many villains so to speak, in FY24. And the EBITDA margins we see are the 30% plus is kind of a reflection of that.

I think going forward, we already spoke about the growth and how we see that panning out. We also want you to be mindful of the business mix that we are pursuing. I think our strategy is very clear. We want to drive business through GDS Specialty and CMS, and I think that business mix will ensure that our margins are going to remain healthy.

But how exactly the profit margin as a percentage of sales is going to transpire is a question that is very difficult for us to answer. I think maybe somewhere FY24 is not really a baseline or a standard reference point because, as I had said, it's a very, very favourable number, just given the circumstances.

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But at the same time, the EBITDA margins we've seen in the years before are perhaps a reflection of the business that was not yet mature. So I think it's hard for us to spell out more than this. I

think you'll have to see how things unfold.

But one more thing I would just like to add, maybe a little bit on a cautionary note. See, I think the business mix, CMS and GDS, I think we should also be mindful that each product has a different profit margin there might be a CMS product, which has a gross margin of maybe even less than 50% but it might be very healthy contributor at an EBITDA level.

It might contribute 30% or 25% EBITDA to the business. So what our future will be at a gross margin level or at an EBITDA or a profit margin level? Will it be also depending on how these molecules fare, and today, I think our GDS Specialty business and CMS business are almost having similar kind of margins.

So I think our strategy will be to pursue growth through these businesses, continue to nurture the prime business. And the growth is what we've already indicated. And I think the margins will be a reflection of that, but we won't be able to guide how that will exactly transpire. I know it's kind of a roundabout answer, but I hope that's helpful.

Anirudh Shetty: No, very helpful. But I just wanted to clarify your point on the margins in specialty and CMS being similar. I presume at an EBITDA level you meant. And but what would explain why it's a similar margin because it seems a bit counter intuitive. And I thought that the CMS is a more profitable segment for us because it's a patented product and the customer wants more supply in security, trust in IP, and they're willing to give it better pricing is also more amenable in that segment?

Saharsh Davuluri : Yes. No. I think the world of CMS molecule, if you take the entire universe, maybe the margins there

are higher, but I think the molecules we see in our pipeline, we see molecules where the gross margin is maybe like I said, under 50% also for some CMS molecules, but they're equally attractive because, as I said, at the EBITDA level, they are still very profitable. It's extremely sticky business. It's governed by contracts. There's an innovator with a patent life. So these businesses are still very attractive. And therefore, we are also not very discriminatory. And ultimately, the blend of all these products is what will make our overall business margin.

on the GDS specialty side, if you see molecules like salmeterol, paliperidone, even some other new molecules like apixaban and all. As it stands now, I think their margins are actually fairly attractive. And these are perhaps not a typical representation of a GDS molecule out there in the GDS universe. So therefore, you might see that Neuland's GDS portfolio on the specialty side is tends to have better margins. And the CMS portfolio is actually a reflection of the handful of molecules that we have. And as this pipeline grows, the margin profile of the business might change as well.

Moderator: The next question is from the line of Pawan Kumar Roy, an individual investor.

Pawan Kumar Roy: Congratulations to the management for putting in excellent results. I have got two questions, which are related with each other. First is a question related to your exports, you have reflected Neuland Laboratories Limited

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that 76% revenue coming from internal operations. But the map shows that only 1% revenue comes from India. So there is a mismatch, which I have not been able to connect.

Secondly, most of your operations or products are being exported. What is the situation you're facing in the Red Sea or the Suez Canal area? Is it affecting our existing clients? That is my question.

S E Medikonda : In terms of the exports being at 76%, it corresponds to the direct exports to customers who are into sites abroad. Whereas the world as you see the 1% for India, it is in terms of the end market.

So our customers could be in India, but the consumption would there end market would be elsewhere. So that's why you would find that there is a difference. So exports are 76% in terms of direct exports, but our customers mostly sell in the regulated markets. So that is where there is a difference. And at this point of time, we haven't seen any impact from the events around the Red Sea.

Moderator: The next question is from the line of Dhaval from Infinite.

Dhaval: Congratulations on a fantastic set. My question is about the peptides business. How far are we away from generating substantial revenue to our business mix from the peptides division?

Saharsh Davuluri : Yes. Thanks for the question. I think for the peptides business, we have 2 molecules in CMS, which are perhaps one step away from commercialization. But in both these cases, we are a second supplier. So we really don't have a handle on the time lines. It could take maybe 2 years or maybe even longer, depending on how the client decides to move forward because they already have a primary source.

On the GDS side, we have about 3 molecules that we are working on right now, for which the milestone would be for us to file a DMF. We expect to file one this calendar year and maybe 2 in FY26.

In terms of potential, the GDS molecules also have very high potential. In fact, they have higher

potential than the CMS molecules. But in our forecast or in our plans, we have not really quantified any of these into our projections because until we see some short-term commercial visibility, we don't feel comfortable.

So I think short answer is that, yes, we do have several projects in peptides division, ones which are maybe closer to commercialization, but we don't still have a handy on time lines or quantity of commercializing.

Dhaval: So what

ver business we generate from peptides in future will be an upside to the projections you've given?

Saharsh Davuluri : Yes, we've not given any projections.

Dhaval: That an idea that you've given, a picture.

Davuluri Rao: Yes. The outlook we have given does not factor in heavy inflow from peptides.

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Moderator: The next question is from the line of Eldon, an individual investor.

Eldon: Firstly, congratulations on completing 40 fantastic years. So, my first question was actually regarding this joint development initiative we have with one of the developers. So I just wanted to understand what is the status? And when can we expect the revenue to accrue to us.

Saharsh Davuluri : Your question is about the real estate piece, right?

Eldon: Correct. Yes.

Saharsh Davuluri : Yes. So I think the building is completed. The developer has completed the construction of building. And in fact, we have requested them to provide an exit for us. And in fact, we hope that it will happen this calendar year depending on how the markets transpire. But if that goes through, maybe it should be around INR100 crores kind of inflow.

But till we don't have a clear timeline on it yet. I think this with everything going on this year in the country and the real estate markets and all, till we get to a closer point of sales and inflows, we don't want to be too confident about the timelines, but we expect it will happen this year.

Moderator: The next question is from the line of Jayesh, an individual investor.

Jayesh: Congratulations for excellent set of numbers. A few questions. First is, does the management think that our business and volume mix has scaled up to a level where you can assure that our EBITDA margins will remain north of 20% at least in the foreseeable future or otherwise?

And I have another question that is, our asset turn right now is approximately 3.1, that is given in the slide. Do we see further increase in the same over the period of, let's say, 2 to 3 years?

Saharsh Davuluri : Could you repeat the first question?

Jayesh: Yes. Do you think -- does the management think that our business and the volume mix has scaled up to a level where we can assure that our EBITDA margin will not fluctuate a lot and remain above 20% in the foreseeable future or otherwise?

Saharsh Davuluri : See, I think assurance is a very strong word, so I wouldn't go anywhere near that. I think I would probably just kind of circle back to the commentary that Sucheth and I made. I think we have a good visibility of our future and we indicated what that visibility is like. But I think our business is governed by a lot of risks and uncertainties.

So it would not be wise for us to provide any assurances. I think if you see the margins and the way the margins are scaling up and if you see the size of the business and how it is scaling up, I think we would leave it to you to make reasonable conclusions about the business.

I think I would also just remind that in our previous commentary also you said that we're not seeing this growth coming on the back of onetime businesses. These are all part of our ongoing business. So ultimately, we'll leave it to your wisdom to deduce the stability of the future and the likely margins.

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Abhijit Majumdar: On the second question on asset turn, we are at around 3, 3.1. We believe that we have kind of optimized it, and we would be in that range. In some years, we would come down. And in some years, we would go up. And so that's our view that kind of our optimum capital turn that brought the industry plus minus.

Moderator: The next question is from the line of Nitin Agarwal, an individual investor.

Jayesh: Just wanted to know about the capex plans to grow the business further over the next couple of years, what kind

of capex can we expect and expected asset turns on that, if any?

Abhijit Majumdar : Broadly and it would likely be consistent with what we have said earlier normal CapEx would

be around in the range of INR100 crores. As we have on the stock exchange in November this year, we planned we have started building the next block, which we have given a figure of around INR128 crores.

Moving forward, based on business opportunities, like the one that happened recently where we were able to acquire piece of land , which was joining our Unit 1, 5 acres we kind of went ahead and are in the process of acquiring it. So I would say that broadly take the normal capex of 100 and as we have built up cash, we should spend in the broad range of INR100 crores, INR120 crores in the next couple of years.

Moderator: The next question is from the line of Mehul from 40Cents.

Mehul: Please pardon me, I'm new to your company. So I have some very basic questions like, what does the DMF stand for? What does CMS stand for? What does GDS stand for? And also, if you can elaborate a bit on the context behind GDS and CMS.

Saharsh Davuluri : Yes. So you wanted to know what the GDS stands for, CMS stands for, and what else? I am sorry.

Mehul: DMF. DMF being filed. DMF has been filed.

Sucheth Davuluri : Okay. So if you are saying DMF, it stands for Drug Master File, GDS, generic drug substances, which is nothing but A Pls we make for the generic space. And CMS is nothing but as the CDMO, the molecules that we are made for innovative companies.

Mehul: Okay. So the CMS business is all about the CDMO area, right?

Saharsh Davuluri : Yes. CDMO business in Neuland is called as CMS, and generics business is what we call a GDS.

Mehul: Generics business is GDS. Okay. And how is the revenue split, sir, between the two?

S E Medikonda : Our investor presentation covers all the information.

Saharsh Davuluri : Perhaps if you could just maybe go over the presentation, I think even if we've given a little bit of an overview of the segments, and then maybe you can circle back to our IR team and then maybe we can elaborate a little bit more.

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Moderator: That was the last question for today. I would now hand the conference over to management for closing comments.

S E Medikonda : Okay. We would like to thank you all for taking time to attend the call and asking questions about the business and your interest in the company. In case you have any further questions, we would like you to reach out to Ravi. We will be happy to answer them. Once again, thanks for joining the call, and a good evening.

Moderator: Thank you. On behalf of Neuland Laboratories, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

(This document has been edited to improve readability)

Call: May 2024

May 17, 2024

To
BSE Limited
Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on May 14, 2024

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and year ended March 31, 2024, conducted on May 14, 2024. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/investors/investor-updates/announcements/>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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"Neuland Laboratories Limited
Q4 FY24 Earnings Conference Call"
May 14, 2024

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – NEULAND
LABORATORIES LIMITED
MR. SAHARSH DAVULURI – VICE CHAIRMAN &
MANAGING DIRECTOR – NEULAND LABORATORIES
LIMITED
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL
OFFICER – NEULAND LABORATORIES LIMITED
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD,
CORPORATE PLANNING AND STRATEGY – NEULAND
LABORATORIES LIMITED

Neuland Laboratories Limited
May 14, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Neuland Laboratories Limited Q4 and FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you and over to you, sir.

Ravi Udeshi: Thank you, Muskan. Good morning, friends. We welcome you to the Q4 and FY24 Earnings Conference Call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us today the top management from Neuland Laboratories, represented by: Mr. Sucheth Davuluri, Vice Chairman and CEO; Mr. Saharsh Davuluri, Vice Chairman and Managing Director; Mr. Abhijit Majumdar, CFO; and Mr. Sajeiv Emmanuel Medikonda, Head, Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you broad highlights of the business trends and what is above in the market and post this, we will open up the call for the Q&A session. As usual, the standard safe harbor clause applies as we start the call.

With that said, I now hand over the floor to Abhijit. Over to you, Abhijit.

Abhijit Majumdar: Thank you very much, Ravi, and good morning and a warm welcome to you all for joining our Q4 and FY'24 earnings. I'll briefly about the financials now. The total income for FY24 was Rs. 1,571.1 crores as against of Rs. 1,200.9 crores in FY23 an increase of 30.8%. This has been driven by high growth in the CMS business and steady growth of the specialty GDS business. Both of these were in line with our plans and expectations.

Our EBITDA for FY24 stands at Rs. 474.5 crores with a margin of 13.2%, an increase of 6.8% over FY24. The total income of Q4FY24 was Rs. 390.4 crores as against Rs. 415.1 crores in Q4 FY23. Our EBITDA for Q4FY24 stands at Rs. 112.2 crores with a margin of 28.7%, a decrease of 2.02% over Q4FY23.

I'd like to say that the overall operating environment continues to be unpredictable. However, we

have lately witnessed stability in terms of input costs. We also continue to be mindful of managing our operational costs, resulting in financial revenue. This also gives us the ability to grow without further cost addition.

Our steadfast dedication to operational efficiency and cost optimization remains unwavering, serving as a cornerstone for the continual advancement of our organization. As we have consistently said in our previous earnings calls, please measure our performance over a 3–4-year horizon as our revenues and EBITDA margins will fluctuate on a quarter-on-quarter basis or even on a year-on-year basis based on business needs, which is dependent on the order flow and the project execution.

Now, coming to the specifics, our gross margin was 58.8% of Q4FY24 as compared to 54.1% in Neuland Laboratories Limited

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Q4 FY23 and 59.8% in Q3 FY24. This gross margin percentage as always includes direct costs pertaining to manufacturing and attributable to the product. The profit after tax was at Rs. 67.6 crores as compared to Rs. 84.5 crores in Q4FY23. This quarter's EPS would be Rs. 52.7 per share.

We have been strategically optimizing operations and resource allocation to boost internal cash flow and thereby enhancing business resilience in the face of potential fluctuations. We generated a peak cash flow for FY24 of Rs. 116.4 crores. We utilized part of this cash surplus to reduce our debt by Rs. 39.4 crores.

Consequently, our net debt position stands at negative Rs. 32.6 crores. We also reduced our

working capital cycle to 122 days at the end of March'24 as compared to 141 days at the end of March '23. We continue to invest in upgrading our facilities and have invested Rs.143.7 crores in capex during FY24.

I'd like to remind you that we continue to be mindful of balancing growth with profitability by doing continuous work on optimizing costs and processes, which will also make us truly sustainable over the long term. We will continue to be on the lookout for opportunities that will generate healthy and visible cash flows. We expect that FY25 will be a year of normalized revenue and margin as we will be in the investing phase. We are cautiously optimistic that our businesses will once again be in momentum in the subsequent years based on the current visibility of our project and portfolio products.

With that, I would like to hand over the call to Mr. Sahar sh for his remarks . Once again, thank you very much.

Management: Thank you, Abhijit. Good morning, everyone. I will add a few comments on top of what Abhijit has said and then we open it up for Q&A. Given that we've completed another financial year, I'll share some of our thoughts on FY24. Coming on top of FY23 where we grew at 26%, we have been able to grow over 30% again this year. During the same two years, our EBITDA margins have also grown. They were actually 15% in FY22 they grew to 23% in FY23 and then further this year they've grown to 30%.

As I've mentioned in the past, this is in line with our long -term strategy and is illustrative of the kind of business and the company that we want to build. Over many years, we've been consistently positioning Neuland as a pure play API service provider with broad complex capabilities, partnering with both innovators, as well as generic pharmaceutical companies.

As we stand to assess FY24, there are a few things worth mentioning. Number one, we have seen the CMS business this year contribute close to 50% of our revenues, which already had grown 30% last year.

Our CMS business saw this robust growth in FY24 as some projects, as we mentioned before, are near launch while key commercial products continue to scale. Number two, we have added a number of projects across preclinical phase one and phase two. In light of the improving biotech environment in the

US, we see the new business environment continuing to look favorable.

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Number three, when it comes to the GDS business, we have seen some growth in speciality GDS business driven by paliperidone and a few other molecules, where there was a slight decline in price. This is actually in line with the composition of our product portfolio as different products go through different lifecycle events at various stages. Having said that, we are continuing to develop new products and seeing increasing traction for them, even as DMFs are yet to be filed. The past year has seen a reiteration of our regulatory track record as both unit three and unit one was inspected by the FDA. Also, lastly, we are actively investing in long -term growth CapEx, which has been announced during the course of the year. We continue to remain conservative on identification of avenues for these investments.

In terms of the quarter itself, while it was lower than some of the previous quarters, it's actually in line with our expectations and in line with our plans for FY24. We have seen significant revenue from both commercial, as well as development projects, even as we continue to add new projects. Key molecules driving speciality GDS performance were paliperidone and dorzolamide, while mirtazapine and citalopram, were key contributors to the prime GDS business.

As stated earlier, the business has seen increasing growth and profitability due to a favorable product mix as well as scale up of new molecules. And we expect this momentum to sustain, bringing us heavy margins. Looking at the pipeline, we are excited on the long -term potential of the business. This will be led by commercialization of molecules as well as addition of new business.

We continue to invest in creation of additional capacities as well as capability for reaching scale in new as well as existing molecules. In the short run, however, we expect moderation in revenue growth. This will be led by commercialization of molecules as well as addition of new business. We continue to invest in creation of additional capacities as well as capabilities for reaching scale in new as well as existing molecules. In the short run, however, we expect moderation in revenue growth as well as normalization to some extent on margins due to the investments that we're making in the business and also input cost increases. We expect the business mix to remain steady and gradually improve.

As always, we maintain that variables such as individual product performance, forex fluctuations, raw material cost volatility and other business variables can have a bearing on our outlook. We remain vigilant of all such challenges and remain focused to capitalize on the new opportunities

ensuring that there is sustained growth and profitability over the specified time frame. Neuland's flexibility and agility will be the key in responding effectively to the evolving business environment. Also, I'd like to say that our growing reputation and the macro environment are ensuring that exciting opportunities come our way even as we work towards building a further differentiated customer experience.

We will continue to invest for the future by adding capacity and capabilities as I have already mentioned. By staying committed to our principles of customer centricity, agility and operational excellence, Neuland is well positioned to capitalize on opportunities and overcome challenges

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and well on the path of achieving its long-term objectives. So having said that, maybe Ravi I will request you to open it up for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Hussain Kagzi from Ambit Asset Management. Please go ahead.

Hussain Kagzi: My first question

is on our product pipeline. So, as I see there's a great jump in the Phase II molecule pipeline this year. So, if you could share some color on that. And additionally now if I zoom out and look at our pipeline data since FY18, so the total number of projects or molecules have not grown much from FY20 to FY24 like the total number was 76 in FY20 and now it's 88. So compared to the rise that we saw in the preceding 2 years.

Now I'm asking this in the context that as far as my limited understanding goes, the larger pipeline is important in terms of diversifying from a select molecule and of course chance of having many such high-value products in the commercialization phase. So, if you could please throw some color on this?

Saharsh Davuluri: Yes. Thank you for the question. I think with regards to the pipeline itself, the near-term pipeline, the molecules which have been contributing significantly they have been continuing to do well.

I think the emphasis on new projects is there. We are also seeing a steady inflow of new projects coming in now which is what I had highlighted in my comments.

Your observation is absolutely right. I think the kind of increase we had 2 years ago versus the increase we've had in FY '24 is not the same. But having said that, I think we also went through that full biotech funding crunch and there was a little bit of a slowdown in terms of new project inflows about a year ago.

At the moment, as it stands, we're seeing a steady increase in flow of new opportunities, new RFPs are coming our way. So, in the next 12 months, there should be an increase in the total number of projects. And also, one thing to bear in mind is that it's also important for us to track the quality of the profits coming in.

So, it's also important to make sure that we're getting good opportunities which are high value and rather just focus on the number alone. So perhaps somewhere also the team is becoming more selective and careful in soliciting the kind of projects that we want.

SE Medikonda: Yes. I think one thing we need to keep in mind is the fact that we are looking at the number of active projects. So, this is not a cumulative number of projects. So even as we are adding projects, we find that there is attrition in projects in Phase I, Phase II preclinical to Phase I therefore the number is at 90. So, we keep an active track and try to assess the viability of clinical stage projects.

Hussain Kagzi: That's very helpful. And just in continuation to this. It's interesting that you mentioned that about biotech funding and all. So, you have said that FY25 will be a year in terms of normalized revenue, but if I see our exceptional performance in FY23 as well as FY24, this was in light of severe biotech funding pressure which of course forms a major part of our client cohort.

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Now that is kind of picking up at least over the last 3 months from publicly available data. That plus the noise around the bio security bill so early-stage projects would be much easier to shift. And the third point is our one of our CSM product received a label extension. So don't you think all these increase from these would be able to kind of add to the revenue for FY25 and kind of shorted much further?

Saharsh Davuluri: See, I think our estimates for FY25, and the kind of indication is given is based on what we are seeing as concrete in terms of order book, in terms of visibility, production plans, etc. What comes out in terms of new business we call it blue sky is something that we cannot really model or predict in to our revenues. There's always an estimate of how much new business will come each year.

If you see the growth that we have achieved in FY23 and FY24 was actually as a result of the new projects we added in FY19 and FY20. So therefore, we would appreciate that there's always going

to be a lag between the performance of the year versus the effort of getting a new business. So, if we see a surge in new projects in the next 12 months because of this whole biotech funding, I think it will probably add more significantly to the business 2-3 years down the line given the kind of projects that Neuland pursues. It may not necessarily add significantly for FY25 itself. So we kind of stand by what kind of indications we had given because those indications are based on the order book and the firmness of the more commercialized molecules we have.

Hussain Kagzi: Got it. Thank you. That's very helpful and wish you the best.

Moderator: Thank you. The next question is from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.

Sudarshan Padmanabhan: My question is to understand the revenue segment. So, we have seen a very favorable movement

with the high-margin business increasing and the low-margin business coming down. One is, as you have alluded the order book is getting stronger. So even from here, I mean, where do we see the mix between say a high-margin prime vis-a-vis somewhat a low margin prime vis-a-vis the high margin specialty.

The second is when I'm actually coming to the working capital. So, it was quite good to see the working capital also improving on a year-on-year basis. I mean, should we also continue to see the improvement in the working capital?

Saharsh Davuluri: Yes, I think there has been a steady increase in the contribution of specialty vis-a-vis Prime. And I think that's something that we expect to happen. I think it's hard for us to put a finger on whether this will continue to increase further, or it will stabilize at the current level because it really also depends on how our Prime products will do.

For example, this year, I think mirtazapine did really well it grew a lot. And if some of the Prime products continue to grow that well hand in hand with the specialty products then maybe the proportions will remain the same. With regards to the working capital, Abhijit do you want to answer?

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Abhijit Majumdar: So, at the end of March, we were at 122 days, and we do we calculate working capital days externally, and we give it out also as part of our debt.

Saharsh Davuluri: So, our target is 120 in terms of working capital and we are fairly confident that we can get there. I think there's been a little bit of a drop in this quarter. But that's also probably connected with the quarter itself.

Sudarshan Padmanabhan: One final question before I joined the queue is just taking cue from the earlier participant. I mean when I'm looking at the CMS revenue, I mean, there has been a very sharp jump on the commercial and development side. We also know that some of the products, which have just hit commercial and typically is expected to gather momentum. So, in that aspect, are you being a little bit more cautious? Or do you think that with whatever the visibility that is in hand, probably, you still believe that there will be whatever that is being built for we'd see a more visible or a sharper jump to say 2 years down the line.

Sucheth Davuluri: No. I think, Sudarshan, whatever the commentary we are making, we don't necessarily look at it as being conservative or aggressive. I think we just kind of giving our outlook the way it is. I think maybe every management, or every company has a different degree of tolerance.

So, I think maybe I would just say if you want to understand what we are indicating, if you just look back at our last 2, 3 years commentary versus and then trying to take it with the performance, you will see that there is consistency whether it is conservative or not is something I leave it to you.

I think everything we are making in terms of commentary about FY25 and the year beyond, is we are being very realistic. We don't neces

sarily intend to downplay anything.

Moderator: The next question is from the line of Ankeet Pandya from Incred Asset Management.

Ankeet Pandya: Congratulation on a great set of number. Sir, one, two questions. So firstly, on the for the quarterly result, so debt expenses have increased by almost 21% on a year-on-year and even sequentially by 23%. So, is there any one-off over here? Or is it because of the investments that we are doing it's a result of that?

Abhijit Majumdar: Thank you. So actually, our operating expenses has gone as per our plans. But having said that, our operating expenses has gone up by around 18% because the rest of it is variable. And that is predominantly because of manpower costs and other expenses, which is on account of professional fees and some amount because of manufacturing expenses.

But I must tell you, Ankeet, that this is as per our plan. So it's not something that we were not aware of based on actuals.

Ankeet Pandya: Fair. And sir, another thing on the last quarter con-call, you had mentioned that we have purchased an additional land next to the Unit 1. So any update on that? How are we looking at or will we start investing for that right now? Or as and when we get more clarity on new projects coming in?

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Sucheth Davuluri : So Ankeet the land was primarily procured to make way for the future expansion for the product that's been made in those facilities. So we have a 5-year plan in place and looking at the needs of the plan, we are adding to the capacity and integrating it in line with the protections and that's pretty much the objective.

Ankeet Pandya: Okay. And what would be the capex guidance for FY25 and FY26.

Abhijit Majumdar : So our capex guidance continues to be the same as we have guided earlier. The baseline would be always INR100-plus crores but we will be opportunistic. If we find something, which meets our growth plans. We would appropriately come back to you. And obviously, we have to inform the stock exchange.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one is on the outlook as we look forward, right? You've talked about fiscal '25 being like a consolidation year. I remember in your earlier calls, you talked about like a medium-term growth CAGR of 20% and look at not a quarterly, but more at a more medium-term level. So I just want to get some of the key milestones that we need to keep in mind in fiscal '25 and '26. I'm just calling out a few things. I'm not sure whether I'm capturing everything like, for example, the corona molecules. Do we have to look at the PDUFA dates coming up for the bempedoic acid label expansion.

So if you could help us qualitative sense on some of the products that are in the public domain in terms of what are the things we need to look forward to? Take the point that there could be consolidation. But I just want to understand, what are some of the catalysts that we can see in the next 12, 18 months?

Saharsh Davuluri: Yes. Thanks for the question. I think try to answer that as best as possible. I think what we have always indicated is that over a 4-5-year period, we will be able to target a 20% kind of growth. And I think that's something that we are comfortable. And our plans are all kind of built around that.

Again, having said that, the growth is not going to be linear even on a year-on-year basis. So that is also something that we are seeing kind of play out. With regards to the milestones that one should look out for. I think we have to just kind of qualitatively visualize this for you. We talked about FY25 being more of a modest growth and a growth in FY26 and FY27 being far better. And I think the reason why we have also kind of given this kind of outlook is just based on how we see the current pipeline of products and

and their projections as we layer them out. A lot of the 3-year outlook that we have talked about is based on all the molecules that are already in the bank, so to speak. So these are not based on any assumptions of some new molecules, some Phase III molecule getting commercialized, etc.

I think anything that happens at that level will perhaps enhance the business, but that is unlikely to happen in the next 1 year. It could happen beyond the 1-year time frame. Unfortunately, as we have mentioned in the past, we won't comment on specific molecules in the CMS portfolio because of the confidential nature of the business. But I think whatever molecules we are kind of

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commercialized already, I think we're seeing a sustained growth for those molecules.

I think we're seeing a sustained growth for those molecules. I think the molecules which are perhaps a step away from commercialization in the launch phase, I think we're seeing good traction with that also. So, I think, yes, that's kind of what I would suggest.

Sucheth Davuluri : So Shyam, the only other point I would add is that irrespective of the news that we see in the market with respect to the specific molecules that they're talking about, it's very difficult to model those into any kind of projections because sometimes even the analysts on the other side of our customers are not aware of how a specific molecule might perform. Therefore, as Harsh rightly said, we try to be as realistic as possible to take that into the future.

Shyam Srinivasan: Just the second question is on the generics side of things, right? Was there any comments on either pricing or volume trends for the quarter? Again, we're not looking quarter-to-quarter, but

just trying to understand because that's where, say, prime was like down 16% YoY. So just trying to understand, is this some form of pricing pressure? Or do you think this is just phasing of supplies? Any color there will be helpful. Thank you.

Saharsh Davuluri: I think Prime, although by nature has that kind of challenges, we've not really had any kind of issue.

Sucheth Davuluri: And also, Shyam, is that Prime products, because of the nature of how they are, there's a lot of market share volatility that happens as well, especially in light of the new nitrosamine regulations and other guidelines that we've seen. We've seen some of the Prime products being affected by based on how our customers are choosing to handle them. Therefore, we don't see any significant long-term impacts of that, but there are short to medium-term corrections. But the business segment, as Harsh was saying earlier, whether it's Prime specialty or the CMS, they continue to be healthy.

Saharsh Davuluri: And I think there's no particular challenges on pricing also in this regard.

Moderator: The next question is from the line of Sajal Kapoor, from Individual Investor.

Sajal Kapoor: Before I ask my question, I want to make a small comment on our balance sheet. Actually, I've been very lucky with Neuland Lab. From a debt-heavy balance sheet into 2010, to net cash on books with the Nanakramguda transaction is still pending. It has been an amazing journey of transformation and solid execution, so thank you for that.

And coming to my question, over the next four years, we will likely generate an additional Rs. 2,000 crores of cumulative operating cash. So can you scratch out the capital allocation and dividend payout policy for the next four years. Because we are hardly paying any dividend today, which means that we are conserving cash and we have some capacity strong capability plans? That's my first question.

And my second question is there was a recent news article in Financial Times that US FDA has been denied access to several Chinese sites in recent years, and a large number of auditors from Germany are refusing to visit China for the

fear of arrest. And we can add Biosecure bill that has
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been tabled in the U.S. Senate to this mix, and this becomes a very potent combo for an alternative supply chain. You would imagine, no?

Sucheth Davuluri: So a couple of things, Sajal, on the capex side, as Abhijit was saying earlier. The baseline capex is going to be in the vicinity of Rs.100 crores. And on top of that, we have a program for specialty or growth capex. So based on specific projects and the need for those projects and opportunities, and the operating cash that we are generating, we allocate whatever capex is required.

So that we don't lose out on the opportunity without taking on too much risk. So that's the overall policy that we have on the capex. We also try to maintain an internal benchmark where we don't want to allocate more than 60% of our operating cash to capex, but we're willing to breach this benchmark based on the opportunities that come available to us as well.

Now, as far as the dividend policy is concerned, a couple of years ago, we had actually benchmarked against other growing companies in the market to see how much is a healthy dividend to be paid out for a growth-oriented company. And companies which have similar financial health as we do and growth plans as we do, apart from that, we've also taken input from advisors and consultants on what should be a healthy dividend policy.

Today, we use those guidelines and we debate in the board meeting every year based on the profitability and in line with that dividend policy to declare that dividend for a specific year. And this practice will continue. I think your last comment about the Biosecure Act and what we're seeing in China and the impact of that, I think we're taking things as we come because there's two things. One, there is this overall bill about the Biosecure Act, which hasn't been passed yet. The second thing is about how that will actually get operationalized and the impact of that we will see for India and other countries. Therefore, right now, what we're doing is what we control, which is to be in touch with our existing customers, potential customers who are also doing business with China and other countries, matching our capabilities to their needs and seeing how we can put our best foot forward because that is what we can control as new and other things are beyond our control.

And I think how the future plays out is something that we will wait and see. Notwithstanding that, as you've noticed, we are taking aggressive bets on investing in technology, buying up IP and, adding to capacity so that we are ready to take care of the opportunities in the future. That's how as an organization we're thinking about it right now.

Moderator: Thank you. The next question is from the line of Jasdeep Walia from Clockvine Capital. Please go ahead.

Jasdeep Walia: So thanks for taking my question. So are there any dedicated plants that are part of your capex plan for FY25 with regard to the customs into the business?

Saharsh Davuluri : I think the plants that are being designed or built are always identified with one, two, or three products. But by design, they're always made to be multi-product facilities. I think similarly, as we mentioned earlier, we tend to be a little conservative that way. So whatever plants we're
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building right now are also identified with specific products, but it doesn't necessarily mean that they are dedicated.

Moderator: Thank you. The next question is from the line of Harsh Bhatia from Bandhan AMC. Please go ahead.

Harsh Bhatia: Yes, hi. Just one or two quick clarifications. A bit of micro and macro. At least at the peptide level, I think so. One or two quarters back, you made a comment that we expect to find one molecule in this year, calendar year. And then

we have two molecules in CY26 at the GDS level. And then there are a couple of molecules at the CMS level as well. So if you could help us understand where we are at least for the CY24 filing.

And I think so you also made a passing comment that the potential for the GDS molecules could be much higher than the CMS ones. I understand that there could be some volume-based growth from the peptide space. But if you could just refresh our memory for that, please.

Saharsh Davuluri : Yes, sure. Thanks for that question. We had two active projects in GDS which we are working on right now. The first one which we expect to file DMF later this year is Difelikefalin which is something that is still on track and that is something that we are excited about. There's another one which is a GLP1 which we are working on for which the DMF will be filed perhaps maybe in 2026. And that's obviously a very big opportunity more for the generic side than the CDMO side.

And I think both the projects among a few other GDS projects are progressing. We actually continue to even see increased interest from the generic customers. And our facilities and our infrastructure is also kind of gearing up for these molecules. But as I had indicated previously also, it's premature to factor in financial impact or benefit from these projects till we actually see some indications of commercialization. So I think that's something that is not really reflected in our short to medium-term revenue outlook.

Harsh Bhatia: Sure. Just to clarify, CY26 is the GLP1 asset. CY24 is also a GLP1 asset?

Saharsh Davuluri : No, it's Difelikefalin, it's not a GLP. And I think the name is out there in the public domain. You can just look it up.

Harsh Bhatia: And lastly, more of a macro view in terms of this entire GLP-1 space, since you are a lot more closer to the customers whether generic or innovators at both spaces. Since there are many moving parts to this, if you could help us understand maybe the top two or three points that are material for us to keep in mind may be at the patent level scenario, geography, how the innovators are thinking about it, because they are obviously consolidating it a lot more than what was anticipated, particularly for this space. So maybe just two or three points, something that we should keep in mind for the next two, three year period.

Saharsh Davuluri : Sure. I think again, just, you know, our own opinions may not be true. I think one GLP-1, CDMO opportunity is very limited because all these companies who are the innovators are securing their own API supply chains by building, making them in-house.

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Number two, the generic opportunity for GLP-1 is huge. And the beauty of this GLP-1 is that we don't necessarily have to focus on the quote unquote regulated markets. The market is global. I think there can be a demand in India, there could be a demand in any other place because these are difficult to make peptides. So, developing at GLP-1 generic is not necessarily for the regulated market. It could be for the local markets as well.

Number three, these are relatively higher volume peptide. So, you will have to make tens of kilos of API if you are really successful, which means that infrastructure could be a challenge. You'll have to kind of foresee the need, the capacities and build accordingly because just having the process and the DMF may not be enough. We have to be able to confirm the volumes also.

Yes. And also, yes, so in terms of the launch, there is some unpredictability. We don't know exactly how the IP landscape will be, and innovators are constantly looking out for their own interest. So, I think these are some of the high-level insights and I think but we are very excited about this space.

Maybe the last point I'll also make is the see I think GLP-1s, they're going to be more GLP-1. It's not just

t going to be the 2, 3 we have already seen commercial success with. Maybe there's also a CDMO opportunity for fragments and building blocks for some of these GLP -1s, and that's maybe another input we can share at this point.

Moderator: The next question is from the line of Dheeresh from WhiteOak Capital. Please go ahead.

Dheeresh: Hi. Thank you for the opportunity. I hope I'm audible. So, I just want to understand that if you reflect on the last 2 years where you had significant scale up in the CMS revenue versus what you thought that you will achieve at the beginning of the year and then what you ended up achieving. How much deviation was there? I just want to get a sense of how much visibility and how much dispersion you have from the visibility from the beginning of the year versus what you achieved at the end of the year?

Saharsh Davuluri: –Thanks for the question, Dheeresh. I think if we look back at FY '24, we've seen that we had achieved what we had pursued at the beginning of the financial year. I think even in terms of our budgets, internal numbers, etcetera, I think we've been kind of more or less on point. There are obviously some things, which go better than expected and something which may not go as well as expected. And I think mostly, it kind of evens out. But bottom line I think we're pleased. And I think now our teams have also kind of gotten more scientific and really on top of the whole planning process.

So now we feel that while there is volatility, lumpiness in the nature of our business, the growing size of the business and the better visibility we get from our customers and the improvement in our own planning process is at least helping us to visualize our business and end the year more or less as planned.

Moderator: The next question is from the line of Suraaj from East Lane Capital.

Suraaj: I just have a question on just to get an understanding on how the margins would be going directionally over the next 2 -3 years, if you can guide on that?

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Saharsh Davuluri: Yes. I think, Suraaj, that we've had mentioned a couple of things, right. One is that the margins have improved significantly over the last 3 years from 15% -23%-30%. Also mentioned that the margins will normalize in some sense. And I think the other thing I will just bring back into context is that we see that the business mix continuing to evolve or improve. So, I think if you look at all these factors into consideration, one thing you would appreciate is that there are some unknowns that we have to deal with, whether it is the exchange rate, whether it is input prices or it is the individual product mix.

And considering these things, we think that normalization would be kind of in some ways, we would think that FY24 margins were very good. They were better than expected. And therefore, we say that FY25, we expect some sort of normalization. But we have decided not to quantify anything further, but we think that because the business mix is continuing to evolve and improve, we see no reason for the fundamental potential of the business to actually reduce. But these individual parameters like solvent prices, exchange rates, etcetra, would have an effect on the overall margins.

So that's kind of what I would say just to answer. And I think even going forward, we continue to see the trend of the business mix change the way it is and the margins continue to be healthy. But we will not be able to give guidance on whether it will be at 20%, how much will it come down, et cetera. But yes, so that's what I would say.

Moderator: Thank you. The next question is from the line of Divy Agrawal from Ficom Office.

Divy Agrawal: Congratulations on the great set of numbers. So, I had a couple of questions. First is on the biosecure law. So can you give us the current status of the biosecure law. And the second

question

is on the continuation. What will be the impact if and when the biosecure comes in? What will be the impact on the company?

Saharsh Davuluri: Repeat your question and if you could just speak a little slowly.

Divy Agrawal: Okay. Sure, sir. So, I just had a couple of questions. So, first is on the current status on the biosecure law. And second is on the as and when the biosecure law comes into the place, what would be the impact on our company of the law coming in?

Saharsh Davuluri: Yes. I think Suchet h already answered the question. For us, we have to wait and watch what will happen. I think, obviously, the narrative is very favorable. I think a lot of American companies are talking to Neuland and other CDMOs about opportunity, about projects and perhaps these conversations would have been fewer if this whole Biosecure act was not being discussed. So that way, I think it's a positive thing. We have to see whether it will translate to actual business. So that is something that we are going to wait and watch.

Moderator: Thank you. The next question is from the line of Sanjay Kohli from Goldstone Capital. Please go ahead.

Sanjay Kohli: So a couple of the previous speakers have again got up the biosecure Act. And in this backdrop, you is it safe to assume that there are a lot of visits now taking place from innovator companies

and other companies who are now looking towards alternative sources? Are you seeing this
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happen? Did you see this happen?

Saharsh Davuluri: We could see a lot of requests. A lot of requests for information request of proposals. There are definitely a lot of conversations. I think this something that I think post pandemic have become more precious. People don't this kind of come and visit facilities unless there is a quality audit or a EHS audit, product or something like that. So, I would not say that we have seen a surge in business. But definitely, we are seeing surge in RFI, RFP kind of activity.

Sanjay Kohli: Right. Okay. And just to understand the company better. I want to draw your attention to your Slide number 12 of the presentation. And in terms of the commercial CMS projects, which are total in number 18, 8 plus 10. So, I just wanted to understand that the 18, how many of these involve biologics?

Saharsh Davuluri: None of them. We are essentially a synthetic organic chemistry company, so we do not make any biologics. They're all small molecules or peptides or peptides related fragments.

Moderator: I'm sorry to interrupt, please follow back the queue. The next question is from the line of Atirek Roy, an Individual Investor.

Atirek Roy: So my first question is considering 3 points, we have not lost any customer in the past. Our custom manufacturing customers patent will not expire till 2030. It is difficult to switch the supplier after the molecule gets commercialized. Will it be fair to assume that our commercialized API and intermediate count will increase quarter-on-quarter for at least 2 years?

Saharsh Davuluri: I think the first 3 points, I think is just kind of reiterating what we have mentioned.

Sucheth Davuluri: And yes, the thing we want to clarify is that as you know, we grow projects in 1 Phase one phase two and phase three clinical trial and in when we're doing projects in these phases the nutrition of these molecules can be very high. That means molecule that we involved in phase one of phase two may not progress to the next stage. Therefore, meeting the customer at a project is not necessarily a bad thing. It's just the nature of the business that we are in.

And Harsh saying earlier, I think it's hard to predict what will happen at a molecule level in terms of the market share as well as the growth. So, we always look at the consolidated picture, and we pay a capacity in such a way that if the molecule will grow, we have the

capacity to expand in

some fall, then we have the molecules that can take the place of the other and that's plan it.

Atirek Roy: Yes, I was talking about commercialized API, not about registration and phase one phase two API's so will our commercialized API are counting to this quarter-on-quarter.

S E Medikonda: So Atirek, I just want to what to clarify one thing, is that even though we have 18 molecules or 18 projects which are there as a, this is a result of the business that we have built up over the years, but what we have mentioned in the past is that the key molecules which constitute a substantial portion of our commercial revenues are around 4 to 5. And we, even as this progresses, we will keep talking about, or rather we'll be mentioning key additions. And I think that is what you need to keep in mind when it comes to the commercial projects.

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Moderator: Thank you. The next question is from the line of Anirudh Shetty from Solidarity Advisors Private Limited. Please go ahead.

Anirudh Shetty: Hi, thanks for the opportunity. I had two questions. So, you, skip out the China plus one opportunity for a lot of questions. I just wondered some of your thoughts on, there would be manufacturing of API of, the CSM in the West as well in Europe. So, with all the cost challenges that are happening there, or, some of them might have abated but are you also seeing a lot of opportunity come your way because of an unwillingness to invest further, so more of a, West plus one, Europe plus one. So just wanted your thoughts around that.

Saharsh Davuluri: Yes, I think we come across a lot of customers who have different strategies. There are customers who are looking at India as an alternative to China now, and therefore, that whole China plus one concept became very evident. There are also some companies who would rather get their API cases manufactured in Europe.

And, if China is not working out, they would rather keep it in Europe. And I think there are cases of that as well. We do see time and again in our CDMO business, and even in our generic business, that most of our competitors outside India are actually in Europe. We actually see less competition for us in China.

And in that sense, the European CDMOs, European API makers are always a credible threat.

And there is also capacity creation in these regions. So, we see, some of the largest CDMOs

actively create capacities, maybe not necessarily for KSMS, but for APIs for sure. And that is something that we have to be mindful of.

Costs are something that obviously, I think they work to our advantage but again, depending on the customer, if they have the willingness to pay the premium for getting the drug substance manufactured in Europe, then they would not necessarily compare our pricing with the European CDMOs pricing.

They would just choose whatever is a strategically, good fit for them. Perhaps when it comes to China versus India, it's more a pricing comparison. But when it comes to Europe versus India or Neuland in particular, it's maybe more of a strategic decision rather than just a pricing comparison. Not sure if it answers your question, but.

Anirudh Shetty: No, it answers my question. Just one follow-up here. Are you, basis your track record of good quality. Are you seeing customers looking at you differently? Because now the respect for capabilities has gone up. So, the willingness to start comparing your products with a player in Europe is now something that they're considering more seriously today than, what say they would have in the past. Are you seeing that change in customer? Are you seeing that customers might be looking at you differently today?

Saharsh Davuluri : Yes, Anirudh. I think what speaks for our credibility is two things. One is, 25-year, 30 year track record of, with the FDA, a very strong quality culture

e. I think which becomes prerequisite, for a lot of our CDMO clients. Second is, we've also in the last 15 years been a part of a lot of INDs , clinical trial manufacturing and also a lot of NDAs. We've been part of a lot of PAI inspections. Neuland Laboratories Limited

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So that richness that comes out of, having taken NCEs through the clinic into the commercial helps these innovators, kind of rely on a company like Neuland and that has helped us obviously, differentiate ourselves. We used to be also limited by our infrastructure, the size of our plants and maybe even the modern, the lack of maybe modernization of our plants four years, five years ago. But those are things that we've addressed recently as well.

So, I think all these factors are definitely favoring Neuland. The decision of working in India versus keeping a molecule in the West is more of a, I've seen that it's more of a board decision of the innovator company. It's got less to do with whether the outsourcing managers or the CMC groups have faith in Neuland or not.

It becomes more of a strategic prerogative for the board and that's why we see sometimes, although we may be a better fit than a European CDMO for a particular project, they decide to keep the molecule in Europe because they feel that, from a geodiversity point of view, that's what they prefer.

And those are situations which unfortunately we cannot combat, but we still try to do our best to get those kinds of projects. So that's kind of what I would say to the follow-up question.

Anirudh Shetty: Thank you so much. It was very helpful.

Moderator: Thank you. If that was the last question for the day, I now hand the conference over to the management for closing comments.

SE Medikonda : Yes. I'd like to thank everyone for joining the call and for the questions. As always, there have been thoughts about me and your inputs for us as we run the business. We appreciate your interest in Neuland and I apologize as we may not have been able to accommodate everyone's questions on the call. Please do reach out to Ravi Udeshi in case you have further questions. Have a good day, everyone.

Moderator: Thank you. On behalf of Neuland Laboratories, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

(This document has been edited to improve readability)

Call: Aug 2024

August 6, 2024

To
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on August 1, 2024

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter ended June 30, 2024, conducted on August 1, 2024. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/en/investors/investor-meetings/transcripts>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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“Neuland Laboratories Limited Q1 FY25 Earnings
Conference Call ”

August 01, 2024

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN & CEO
MR. SAHARSH DAVULURI – VICE CHAIRMAN &
MANAGING DIRECTOR
MR. ABHIJIT MAJUMDAR - CHIEF FINANCIAL OFFICER
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD,
CORPORATE PLANNING & STRATEGY

Neuland Laboratories Limited
August 01 , 2024

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Moderator: Ladies and gentlemen , good evening and welcome to Neuland Laboratories Limited Q1FY25 Earnings Conference Call.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young . Thank you and over to you , sir.

Ravi Udeshi : Thank you, Viya . Good evening, friends. We welcome you to the Q1FY25 Earnings Conference Call of Neuland Laboratories Limited .

To take us through the Results and to answer your questions, we have with us the top management from Neuland Laboratories represented by Mr. Sucheth Davuluri - Vice Chairman and CEO , Mr. Saharsh Davuluri - Vice Chairman and Managing Director , Mr. Abhijit Majumdar - CFO and Mr. Sajeev Emmanuel Medikonda – Head, Corporate Planning and Strategy. We will start the call with a Brief Overview of the Financials by Mr. Abhijit Majumdar and then Saharsh will give you broad highlights of the Business Trends and what he is seeing in the market and post this, we will open up the call for the Q & A session.

As usual, the standard Safe Harbor clause applies as we start the call. With that said, I now hand over the floor to Abhijit . Over to you , Abhijit.

Abhijit Majumdar : Thank you very much, Ravi, and good evening, and a warm welcome to each of you for joining our call. The Financials are as follows for the Q1FY25. We did a total income of Rs. 444.4 crores in Q1FY25 , which is Rs. 365 crores in the same period last year, an incremental increase of 21.7%. This has largely been driven by high growth in the CMS business. However, I would like to point out that the inherent nature of our business is uneven on a QoQ basis. And hence, this quarter is not an indication of the full year performance for FY 25. Our EBITDA excluding exceptional items of Rs. 20.6 crores excluding that stood at Rs. 128.6 crores with a margin of 28.9% , an increase of 174 bps over Q1 FY24. We continue to focus on productivity, which is leading to financial resilience of our company. Now coming to the specifics, the gross margin for the quarter was 66.1% as compared to 55.2% in Q1FY24 and 58.8% in Q4FY 24. This gross margin, as always, includes direct costs pertaining to manufacturing and as attributed to the product. The profit after tax was Rs. 98.3 crores as compared to Rs. 62.2 crores in Q1FY 24. This includes an exceptional item of Rs. 20.6 crores arising from the sale of surplus or investment property. The quarter EPS stands at Rs. 76.6 per share. At the same time, we continue to focus on cash to optimize our working capital, which stands at 107 days to sales and thereby we have generated a free cash flow in Q1FY25 of Rs. 50.9 crores. We also repaid some part of our debt of around Rs. 8.7 crores. Consequently, our net debt position, which is negative, stands at Rs. 110.2 crores. While we continue to invest in upgrading our facilities, we have invested Rs. 59.1

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crores in capital spends during Q1 FY25. We continue to be mindful of balancing growth with profitability by continuously working on optimizing cost and processes, which will make us sustainable for the long time.

Now, FY25 is anticipated, as we have mentioned earlier, to be a year of consolidation influenced by specific dynamics of our company in the lifecycle of our products, in GDS and CMS portfolios. The future investments that we will make will enable us as we proceed to meet our mid-range plan. And we will make these investments as and when we finalize the suitable opportunities

on a risk-return matrix.

FY25, as we have stated earlier, will be a year of normalized revenues and profits as we will be in the investment phase . And we expect our businesses to once again be momentum from FY26 based on our current visibility of our portfolio products. Overall, we continue to be cautiously optimistic of the future potential that our business holds.

With that, I would like to hand over the call to Mr. Saharsh for his remarks. Once again, thank you very much.

Saharsh Davuluri : Thank you, Abhijit. Good evening, everyone. Welcome to the Call. The performance that we witnessed over the last several quarters reflect the transition of our business model from being comprised predominantly of prime APIs to a healthy combination of CMS and GDS APIs. This transition has been driven by the commercialization over the last two years of certain molecules and also the ongoing improvements in R&D project management operations and business development initiatives. This progress is in line with our long-term strategy and is illustrative of the kind of business and the company we want to build. Over many years, we have been consistently positioning Neu land as a pure play API service provider with broad complex capabilities, partnering with both innovators as well as generic pharmaceutical companies. I am very pleased with the performance of Q1FY25, both in terms of revenue and profit. This was driven by commercial molecules in the CMS segment. But before elaborating more on this quarter, I would like to reemphasize a few comments, I think some of which Abhijit has already made . The CMS business is lumpy in nature, and therefore an annual progression is a better indicator than a quarterly progression. As previously stated, we expect FY25 to be a year of modest growth and normalized margins, and that outlook remains unchanged. Completion of additional manufacturing facilities in this year coupled with anticipated commercial launch of more molecules, some on the CMS side give us the confidence of achieving higher growth in FY26 and beyond. We continue to see increasing interest in customers looking at Neu land as their CDMO partner. In terms of the macro picture, we are yet to see significant impact of the Biosecure Act by way of active RFPs or orders. But we believe that the environment is very favorable for us in the medium to long term. In terms of our biotech clients being acquired by Big Pharma, we feel the continuity of customer engagement and are actually quite excited about future opportunities and possibilities.

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Our business development team continues to identify the right opportunities in line with our long-term strategy. The CMS revenues of Rs. 235 crores were driven by molecules in the commercial segment. The associated drugs seem to be doing well in their end markets, and we expect to continue serving the customers well.

On the GDS front, we continue to focus on developing new specialty products while continuing to optimize processes and increase market share for key commercial APIs. Some specialty APIs which have done well for us this quarter include Dorzolamide and Donepezil . And prime products that have done well for us are Mirtazapine , Levetiracetam , and Escitalopram . Please note that we have transitioned Ezetimibe to the prime segment this quarter , which means that there is a marginal impact on the salience of the specialty segment because Ezetimibe was being counted as a specialty product , but now going forward it will be counted as a prime product. We expect that the segment should perform in line with stated expectations over the short to medium term.

As always, I would like to point out the inherently uneven nature of the business which makes it hard for us to share precise numbers or guidance especially for the short term. However, looking at the overall

low, we continue to be confident of the medium and long-term prospects of the business. Another reminder from our previous interactions, we continue to maintain that there are a variety of factors that could influence our projections. These include performance of individual products, fluctuations in foreign exchange rates, volatility of raw material costs, and other dynamic business elements. We are aware of these challenges and continue to remain watchful of these variable factors.

In terms of future capacity building, we are on track to complete new production blocks in Unit-3 by FY25, and we expect to start commercial production by H2 of FY26. Neuland's flexibility and nimbleness are crucial for an effective response to the shifting business landscape. I would also like to highlight that our growing business reputation and favorable macroeconomic conditions are attracting exciting opportunities. We are dedicated to enhancing our customer experience, which we believe makes us a differentiated API provider. Our investments in expanding our capacity and capabilities are also to be seen as a testament to our commitment to the future. By adhering to our core principles, which is customer focus, agility, and operational excellence , Neuland is strategically positioned to harness opportunities and overcome short-term challenges. We remain steadfast on our journey to realize our long-term goals.

So, maybe having said that, Ravi, I request you to open it up for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sajal Kapoor, who is a retail investor. Please go ahead.

Sajal Kapoor: A quick question . Slide 10, CDMO project dashboard. Phase two pipeline has improved significantly YoY , is this organic or inorganic? What I mean by inorganic is molecule hitting

our space from outside via truck transfer instead of organic progression from Phase -1 to Phase -2.

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S E Medikonda : Thank you. So, Sajal, I think there's a combination of both which is happening when it comes to the number of molecules which are there in Phase -2. We have had additions in terms of molecules which our BG team has gotten from customers. At the same time, we have worked with molecules in clinical Phase -1, and they have also progressed to Phase -2, which is the reason why you find the collective number up there. So, it's a mix, but I think if I were to put the number there, I would say that it is almost 60-40, means 60% in terms of progression and 40% in terms of new businesses that we are brought in.

Sajal Kapoor : Thank you. And then the second question is, in a scenario where dollar starts reacting down to higher than in normal inflation in the US. In the ballooning US national debt, there will no doubt be a material impact on our business because we are predominantly US dollar denominated exports. So, how do you guys read into this USD linked fragility which may or may not play out in near term. It's anybody's guess. But in a scenario, if it happens, what sort of strategy, mitigation etc. you have put in place? Thank you.

Sucheth Davuluri : Sajal, at this point, we have discussed this obviously between ourselves and also the board level.

And we made a conscious decision that we will leave our hedging position open for now. Having said that, it's hard for us or anyone to predict where exactly the dollar is going to go in the future.

So, our view at this point is that we look for movements. I think even the Fed rates came back as uncut for now. Maybe there will be a rate cut in September, at least that's the indication. But we will wait and see how the market plays out and we will take a suitable call at this time. But for us, it's hard at this time to predict whether it's going to weaken or strengthen.

Moderator: Thank you. The next

question is from the line of Karan Vohra from GS. Please go ahead.

Karan Vohra : So, firstly, on the US Biosecure Act, just wanted some more clarity in terms of some of our peers have started mentioning that they are getting pilot projects or higher RFQs. So, like, are we doing anything specific to kind of gain the attention of some of these Western innovators? Or what is it that is stopping us from getting more RFQs? So, that's my first question.

Saharsh Davuluri : Yes, so I think the BioSecure Act that's being discussed, I think there's a lot of anxiety amongst the US pharma biotech segment, no doubt, and a lot of companies have started exploratory work involving India. And as I had mentioned in my comments, we don't see any tangible RFPs or business inflow yet. But having said that, there's obviously a heightened level of customer visits, RFIs, meeting requests, things like that, which could be considered as lead indicators of the behavior of US pharma, US biotech. But it would also be premature on our part to deduce that it will lead to a specific increase in new business. I think that's something that remains to be seen. I am sure other companies are also observing the same thing. I think it's very evident in whatever conversations even I've had with US customers that they are looking at an alternative to China, whether or not the Biosecure Act gets implemented in its current draft or not. So, there is business to come. It just remains to be seen how much and when. And that's where I think we also wanted to just caution that don't expect any dramatic increase in new business, at least from our perspective. The other thing perhaps inside I can give you is that we are also, please understand that we are a pure play API company. We don't offer a lot of other services to these

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companies. So, obviously for us, given the focused area that we are in, our observations may be very different from what may be a clinical or a biological focused CDMO or maybe med chem focused CDMOs. So, maybe you should take that also into consideration.

Karan Vohra: Also, is it the case that the Biosecure impact is being felt more from a large pharma point of view right now or than some of the biotech and is that the reason why or some of the other guys are seeing more inflows or still it's broad based you think?

Saharsh Davuluri : I think it's a good question and that's what even I would suspect. I think Big Pharma, given their resources, has started to move much faster. They obviously have teams to deploy and partnerships in different countries, so perhaps they are moving faster. I think biotech companies are kind of waiting and watching also. We know that biotech companies have more finite resources when it comes to qualifying redundancy, like second suppliers, third suppliers. Big Pharma tends to do that more than Biotech. So, it could be, but I guess both of us are speculating at this point.

Karan Vohra : My second question is with respect to CAPEX. So, I understand that we are adding more capacity in unit -3, which I think you mentioned will be operational by end of FY26, if I am not mistaken.

So, like, since our unit one and two are already being utilized at optimum capacity, and we

expect the revenues to inflect from FY26 onwards. So, why are we not trying to put a larger capacity or start putting a larger capacity right now so that when two years down the line, the unit three gets fully utilized, we already have a capacity in place. So, anything on that and also the current small addition which we are doing in unit one, is that for CMS business? Is that for a commercialized molecule? What is it? Maybe some color on that. Thank you.

Saharsh Davuluri : Yes, sure. I think you kind of loaded up multiple questions and try to answer them. The Unit-3 capacity creation will be ready by end of FY25 and will be

commercialized in the second half

of FY26. That's the comment we had made. The capacities of Unit-2 and unit -1 are more limited given that there is limited space over there. However, in unit -1, as we had previously disclosed, we had acquired a 5-acre piece of land, adjacent to unit -1, which will serve as an extension to unit-1 and therefore make unit -1 a larger facility. There is some CAPEX that was approved today, which will be deployed for expanding capacity in unit one, which is largely for GDS products, just because we have increase in volumes for some of the GDS products, we anticipate increase in the next 2-3 years, and we want to service that demand, and therefore this CAPEX is being deployed for that reason. With regards to your last question, with regards to foreseeing capacity and creating capacity ahead of time, I think we definitely would like to do that, and we continue looking at ways to do that. But also, we believe, I think being a very specialized API company, we are very cautious in what kind of capacity we are going to create and how much capital we will deploy just purely for capacity creation because we also want to make sure that capacity is being created in anticipation of some specific demand rather than create a very large facility and then look for customers. I think that is not an approach that we believe works for the kind of APIs we are pursuing in CMS as well as GDS. So, yes, I think we are thinking well into the future. So, we are thinking about capacity requirements for 3 years, 5 years into the future. And as we make progress on those areas, we will continue to update everyone.

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Moderator: Thank you. The next question is from the line of Vivek Rakholiya from Ficom Family Office. Please go ahead.

Vivek Rakholiya: I would like to know the size of opportunity for the following specialty APIs ; Paliperidone , Entacapone , Dorzolamide , and Apixaban . And I would also like to understand the competitive landscape of these specialty APIs. Thank you.

SE Medikonda : So, I think these are all molecules which are exciting and each of them has a different potential. Some of them have been generic for a while, some of them are yet to become generic. I think say for Paliperidone and Apixaban, we see that there is going to be, even as they have contributed in the past, the molecules which will be going, it's generic in different markets at different points of time and will have significant potential to add to our growth in the future. When it comes to say, Dorzolamide and Entacapone , that's likely older specialty molecules, Entacapone for Parkinson's and Dorzolamide in the ophthalmic area. So, I think we would see less growth, but we continue to add customers even in some of the older molecules too.

Vivek Rakholiya: What would be the competitive landscape in these molecules as well?

Abhijit Majumdar : So, more often than not the competition will say other Indian API companies and European API companies. In some of them, like for example, a molecule like Paliperidone , the competition is limited, but in the other molecules, even in the case of Entacapone , the competition space is limited because of the fact that, colored API, whereas the other molecules, there is significant competition from Indian and European players.

Moderator: Thank you very much. The next question is from the line of Shyam Garg from Ladder up Finance Limited . Please go ahead.

Shyam Garg: My first question is with respect to the capacity utilization during the Q1 and what is the expected capacity utilization and ROA of Unit-3 in FY 26?

Abhijit Majumdar : So, currently the capacity utilization in Unit-2 and Unit-3 is close to 90 plus percent. As far as Unit-3 is concerned, this year it will be around 30 %-40%. But I am just preempting your question. So, we expect CMS molecules to flow into Un

it-3 at different stages. Some of it, as

Saharsh has mentioned in FY26, some of it will flow in FY27. So, we have the capacity to meet currently that demand. And we're also increasing the capacity in unit one.

Shyam Garg: And so we have seen decline in manufacturing expense in Q1 FY25. So, can you please explain why it is so?

Abhijit Majumdar : So, the decline in manufacturing expenses was predominantly because one of the reasons is our capacity utilization in Unit-3 was 50 plus last year. And that has kind of dropped, is expected to drop in FY25.

Shyam Garg: And sir what is the ROA of the new capacity expansion that is going to do?

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Saharsh Davuluri : We have not disclosed any ROA on the new investments. And I think the way we look at it is the product mix in Neuland is quite diverse. And therefore, what may have been the asset turns or the ROA in the past may not be an indicative reflection of what we expect in the future. So, I think that's kind of an evolving metric and we really haven't given any kind of outlook or indication for that.

Moderator: Thank you very much. The next question is from the line of Akul Broachwala from Aventus Investment Managers. Please go ahead .

Akul Broachwala: So, first is on Prime A PI. Can you just provide a like -to-like growth number for this quarter just to understand the impact of asset in my inclusion in the segment?

SE Medikonda : So, I think in terms of where we are in terms of time, I think Ezetimibe this quarter has completed probably close to around less than 10% of the prime revenue just to give you an idea . Beyond that, I cannot talk about specific product.

Akul Broachwala: And secondly, in terms of our CMS business, the kind of performance that we have seen this quarter, is there first of all some kind of lumpiness due to logistical issues or any sort of campaign related timing because of which we have reported this number?

Saharsh Davuluri : I think the lumpiness, as I said in the comments, is an inherent part of the nature. So, I don't think you should attribute it to any logistics or any other reasons. I think it's better to take it on face value.

Akul Broachwala: And lastly in terms of your comment about normalizing revenue growth, so does that mean that it's going to be lower versus what we have delivered in last 2 years or maybe it's like an average of a couple of years putting together? I just wanted to understand a bit on your guidance for the full year.

Saharsh Davuluri : Yes, I think the normalization means, I guess, last two years were above normal. So, I will leave the deduction to you.

Moderator: Thank you very much. The next question is from the line of Pranjal Mukhija from Growth Sphere Ventures LLP. Please go ahead.

Pranjal Mukhija: So, I just wanted to congratulate the team on the journey that Neuland has been on. A lot of that is now visible in the numbers as well. So, I had a couple of questions. The first question was, sir, in annual report, we're talking about growing interest from customers with larger pipeline. And I think the team also alluded to the same in the con call. So, could you share some color on what kind of customers are we talking about and maybe share some qualitative details about them ?

Saharsh Davuluri: So, in terms of our customers having larger pipelines, I think the way we have built the specialty business as well as the CMS business is that we typically start working on one molecule. And I guess what we were referring to in the annual report is that we're seeing customers now who Neuland Laboratories Limited

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have commercialized or advanced their drugs with us are coming back to us with additional molecules. And the projects pipeline that you are seeing increase is also not necessarily coming from unique new customers. It's also the same

same customers giving us more molecules. So, that's the one indication that we have talked about. I guess the other part of it is that as M&A is happening in the biotech space , and this is still very early at the moment, there is also an expectation that as our customers get acquired by larger companies, the expectation is not only to retain the current business, but to also expand and broaden capabilities and perhaps work with other molecules of these customers. So, I think that's the indication and basically, a very high level of focus in this space is what was essential for us to be able to do that. And that's the perspective from which the comment was made in the annual report.

Pranjal Mukhija: Alright, so sir, this interest is from big pharma companies or like the bio tech that we usually deal with?

Saharsh Davuluri: I think it's both, but you all know that Neuland has predominantly built its business through biotech companies. So, we are not necessarily seen as a household name for Big Pharma. But I think as these biotechs are getting acquired by Big Pharma, we're starting to see Big Pharma also build familiarity with Neuland . So, yes, so I think it's really more with biotechs, but also the expectation is 2-3 years from now, we expect Big Pharma to have a similar level of comfort with Neuland as well.

Moderator: Thank you. The next question is from the line of Rahul Bharadwaj , who's an individual investor. Please go ahead.

Rahul Bharadwaj: So, as I understand, the last 5 -10 years journey for Neuland has been moving more towards complex APIs and ensuring that the name and brand comes as a trustworthy partner. Could you paint a color for us on what you envision will be the journey in the next 5 odd years? And what

kind of risks do you anticipate and how are you planning for that journey? And the second question would be more on the lines of, does the board discuss anything on the lines of ensuring participation from the wider community group of investors?

Saharsh Davuluri: It's really difficult to understand what you are saying, Rahul. I think the first part we were able to deduce, you wanted to talk about. Having gone through this journey in the last 10 years with complex molecules, what do we plan to do going forward? That seemed to be the first question. Second question, we were not able to understand at all?

Rahul Bharadwaj: Any discussions with regards to stocks splits by the board?

Saharsh Davuluri: I think with regards to the future, I think as we have mentioned earlier, I think this model that we have built so far, the Pure Play API model, I think it has started to give us results and we're still very excited about what remains for us in the future. Yes, and I think we want to really capitalize on this. We want to enable this business to grow both on the GDS and the CMS side. And we feel that it has a long runway, right. I think even in the annual report, we had mentioned that the API market is over \$120 billion. And I think we still are in the early stages of that. So, Neuland Laboratories Limited

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we want to capitalize on that. Of course, we will try to diversify capabilities within the API space, maybe expand on certain technologies that we have already built. But the idea is to kind of keep growing on this model and enable drug development and manufacturing. I think with regards to the stock split, the second question, I think that's something that we will definitely take into consideration. I think we have been getting this input, but we haven't really processed it. Yes, we will discuss it at the board level and also talk to other advisors and then probably figure out what's the best way forward.

Moderator: Thank you. The next question is from the line of Avneesh who is an individual investor. Please go ahead.

Avneesh: I have one question. What kind of risk do we see in near to me

dium term on the business?

Sucheth Davuluri: Avneesh, we have talked about some of the risks in the previous calls as well, but currently there are about two or three risks that we are actively managing. One is this whole alternate sourcing, bringing our supply chain closer to home, having an alternate supply to our Chinese partners. That's one thing which is an active strategy that we continue to pursue. In the past, we were impacted by this whole Russia, Ukraine situation because some of the metal prices went up, catalyst prices went up, there were some short supplies. We have de-risked that as well. The third is the overall currency risk what's happening overseas in terms of the whole geopolitical instability. So, right now we have estimated our entire risk register has about 116 risks overall, which is both internal risk as well as external risk. And we do discuss them on a continuous basis. We also have a task force internally for risk management. So, this is kind of the overview.

Avneesh: I have one more question. You talked about normalizing margins in the current year. So, our past margins have been in range of 14 %-15% and last one year around 28 %-30%. So, are we talking about going to that 15% range or it could be somewhat in between those two numbers?

Saharsh Davuluri: I think we have left our commentary using the same words, right I think normalized margins and moderate growth. I think it's something that we intentionally are using words and not numbers and we are not intentionally referring to any past performance. I think as analysts, investors, we would request you to make your own deductions in terms of what you deduced this to be. But I think for us, we intentionally don't want to spell out any numbers. And at the same time, we don't want to point towards the particular year saying that the numbers are going to be this year. So, at the expense of repeating ourselves the margin profile of the business, what we have seen last year, I think has been something that really shows the direction in which the business is evolving. But we had also indicated that there were several favorable factors, such as raw material costs, prices of products, exchange rates etc. which also optimized our margins last year. What we had clarified post that is that expect margins to normalize, but what that would be is something perhaps you should be able to deduce, but I think our margins are definitely moved away from where we were a few years ago. And that's more because the profile of the business has changed. I think 7-8 years ago, we used to be 70% prime products. Now it's less than 30% prime products. So, obviously you will also be able to gauge that the fundamental Neuland Laboratories Limited

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margins of the business have changed, but how, it will be something that I think we not tried to even hint or guide.

Sucheth Davuluri: Just to add to that Avneesh, there's obviously several other people listening in on the call. I think the reason we made that comment is because year-to-year we grew 30%. And the year before that, the growth was about 24% year-on-year. So, I think for us, it was important to come out

and say that that's the kind of growth that we cannot expect year-on-year. So, it was to be able to create more transparency to our stakeholders as well as investors. And that's the intent with which that comment was made, that those kinds of growths over a long period of time are not sustainable. And fortunately, or unfortunately, our business cycle doesn't necessarily coincide with the financial year or the calendar year. So, I think as long as that is understood, I think we continue to take a robust view about the overall business.

Moderator: Thank you. The next question will be from the line of Pranjal Mukhiya from Growth Sphere Ventures LLP. Please go ahead.

Pranjal Mukhiya: So, sir, I just wanted

to highlight some qualitative data about the new peptide DMFs that we are planning to file. And along with that, like the 6, 7 DMFs that we are planning to file this year, just some highlights on, some description on what are the areas, what kind of products are we filing for. So, just some information would be really helpful. Thank you.

S E Medikonda : So, I think in terms of the peptide molecule, I think we have discussed in the past that this is a molecule called Difelikefalin, which is more used for chronic kidney disorders and is also in development for other indications. Having said that, I think we will be filing, but the commercialization will happen only post 2030. So, I think this is more I think making it part of our pipeline and also enabling any customers who are looking at for their filing. And if we look at the remaining six molecules also which we have mentioned in the annual report as the target, I mean there are molecules which have a good mix of, or most of them would be under what we call the specialty category. Some of them will have a shorter time cycle in terms of commercialization, whereas probably around 50% or more will be more for the long term as we continue to look at products, not just for the immediate short term, but from the long-term perspective too.

Moderator: Ladies and gentlemen, as there are no further questions, I would like to hand the conference over to the management for closing comments.

S E Medikonda : Thanks. Once again, we would like to thank everyone for joining the call and asking us some important questions regarding the business. We appreciate your interest in the event. Good evening, everyone.

Moderator: On behalf of Neuland Laboratories, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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(This document has been edited to improve readability)

Call: Nov 2024

November 12, 2024

To
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on November 6, 2024

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and half year ended September 30, 2024, conducted on November 6, 2024. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/en/investors/investor-meetings/transcripts>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

4

"Neuland Laboratories Limited
Q2 and H1 FY25 Earnings Conference Call"
November 06, 2024

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
MR. SAHARSH DAVULURI – VICE CHAIRMAN AND
MANAGING DIRECTOR
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL OFFICER

MR. SAJEEV EMMANUEL MEDIKONDA – HEAD,
CORPORATE PLANNING AND STRATEGY

MODERATOR : MR. RAVI UDESHI – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to Neuland Laboratories Limited Q2 and H1FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator

Neuland Laboratories Limited

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by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you, and over to you, sir.

Ravi Udeshi: Thank you. Good evening, friends. We welcome you to the Q2 and H1FY25 Earnings Conference Call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us the top management from Neuland Laboratories, represented by Mr. Sucheth Davuluri, Vice Chairman and CEO; Mr. Saharsh Davuluri, Vice Chairman and Managing Director; Mr. Abhijit Majumdar, CFO; and Mr. Sajeev Emmanuel Medikonda, Head, Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you the broad highlights of the business trends and what he is seeing in the market. And post this, we will open up the call for the Q&A session. As usual, the standard Safe Harbor clause applies as we start the call.

With that said, I now hand over the floor to Abhijit. Over to you, Abhijit.

Abhijit Majumdar Thank you very much, Ravi, and good evening, and a warm welcome to each of you for joining our call. The financials are as follows for Q2FY25. We did a total income of INR315.2 crores in Q2 as compared to INR420.8 crores in the same period last year. I'd like to point out that the inherent nature of our business is uneven on a quarter -on-quarter basis. We expect the full year FY25 to be flat as compared to FY24.

Our EBITDA stood at INR65.7 crores, with a margin of 20.8%. The decrease in contribution has led to a decrease in EBITDA in Q2FY25 as compared to EBITDA of INR140.3 crores for Q2FY24. We continue to focus on productivity in order to ensure the financial resilience of our company.

Now turning to the specifics. The gross margin for the quarter was 56.3% as compared to 59.8% in Q2 FY24. This gross margin, as always, includes direct costs pertaining to

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manufacturing as attributed to the product. The profit after tax was INR32 crores as compared to INR89.1 crores in Q2FY24. The quarter EPS stands at INR24.9 per share.

For the H1FY25, our revenues stood at INR759.6 crores versus INR785.8 crores for the same period of last year, a marginal degrowth of 3.3%. EBITDA was INR194.3 crores in H1FY25 compared to INR239.6 crores in H1FY24 due to slightly lower revenues and higher operating expenses. We continue to focus on cash to optimize our working capital, which stands at 112 days to sales. We have generated a free cash flow in H1 FY25 of INR45.8 crores. We also repaid some part of our debt of around INR17.1 crores for the H1FY25. Consequently, our net debt position stands at a negative of INR94.3 crores.

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As part of our investments in facility upgradation, we have invested INR103.5 crores in capital spend during H1 FY '25. We are committed to balancing growth with profitability by constantly optimizing costs and processes to ensure long -term sustainability. While we expect FY25 to be flat, we remain confident that our business will regain momentum from FY26 based on significant order pipeline and strong customer demand. Overall, we continue to be cautiously optimistic about the future potential that our business holds.

With that, I would like to hand over the call to Saharsh for his remarks. Once again, thank you very much.

Saharsh Davuluri: Thank you, Abhijit. Good evening, everyone. Welcome to the Call. Over many years, we have been consistently positioning Neuland as a dedicated API solution provider with

extensive complex chemistry capabilities, partnering both with innovators as well as generic pharmaceutical companies.

Before elaborating more on this quarter, I would like to reiterate a few comments which Abhijit has already made. Our business is uneven due to the inherent characteristics of the CDMO business as well as the specialty GDS business, which is focused on small volume products. Therefore, annual progression is always a better indicator of the company's prospects than a quarter-on-quarter performance. This quarter's performance has been poor, especially when compared with what we've been doing over the last several quarters. But as I mentioned earlier, it does reflect the lumpy volatile nature of our business.

Completion of additional manufacturing facilities this year, coupled with anticipated commercial launch of molecules on CMS side, gives us the confidence of achieving high growth in FY26 and beyond. We continue to see increasing interest in customers looking at Neuland as their CDMO partner. In terms of the macro picture, we are yet to see significant impact of the Biosecure Act by way of active RFPs or orders, but we believe that the environment remains highly favourable for us in the medium to long term.

In terms of our biotech clients being acquired by big pharma, we see the continuity of customer engagement and are quite excited about the future opportunities and possibilities. Our business development team continues to identify the right opportunities in line with our long-term strategy. The CMS revenues of INR132 crores were driven by molecules in the commercial segment. We're seeing a positive momentum and expect it to continue going forward. You may have noticed from the table of CMS projects that the number of commercial APIs has increased by 1. This is the result of a recent commercial approval for an NCE API supplied by Neuland by the FDA.

On the GDS side of the business, we remain focused on developing new specialty products while optimizing processes and expanding market share for key commercial APIs. The specialty GDS business was primarily driven by Paliperidone. Although there was some Neuland Laboratories Limited

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volatility in our specialty business this quarter,

we remain optimistic about the full year

prospects for this segment, considering our customers' expected growth.

In the Prime segment, strong products for this quarter included Mirtazapine, Levetiracetam and Escitalopram. We believe we are on course to meet our overall targets for the GDS segment. I would like to emphasize the inherently variable nature of our business, which makes it challenging to provide any form of guidance. Having said that, the manner in which the orders are currently taking shape, we now anticipate closing FY25 relatively flat compared to the previous comments we had made about expecting a moderate growth for FY25.

Another reminder from our previous interactions, we continue to maintain that there are a variety of factors that could influence our projections. These include performance of individual products, foreign exchange fluctuations, raw material cost volatility and other dynamic business segments. We are aware of these challenges and continue to closely monitor these variables. Time and again, there is new information about products made by Neuland in the public domain. While the information may be accurate, I would urge you not to correlate such news with short-term business performance.

Regarding future capacity building, we are on track to complete the new production block in Unit 3 by FY25 and expect to commence commercial production in FY26. Neuland's flexibility and agility are essential for effectively responding to the changing business landscape. We continue to seek growth through high-value molecules of innovator companies. We are committed to enhancing customer experience, which we believe sets us apart as a unique API provider.

Our investments in expanding our capacity and capabilities are also to be seen as a testament to our commitment to the future. By staying true to our core principles of customer focus, agility and operational excellence, Neuland is strategically positioned to seize opportunities even as we continue to navigate any short-term challenges which come our way. We continue to make progress on our long-term goals, which gives us confidence in delivering healthy growth starting in FY26.

So, I guess having said that, Ravi, I request you to open it up for Q&A.

Moderator: The first question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one on some of the qualitative comments you have mentioned. I think I forgot asking about the Annual Report comment. One was on, we're starting to see more interest from companies with larger pipelines. I think that was there in the Annual Report. So I just want to understand what does that mean? Also, the second that question is on increasing interest from biotech leading to increase in early-stage projects. If you could elaborate on these 2 points, please?

Saharsh Davuluri: Okay. Maybe I'll try to answer the questions. The first one is, I think the reference to gaining companies with larger pipelines, I think just refers to the M&A environment that Neuland has been exposed to in the last couple of years. What has been happening is some of the programs that we've been associated with traditionally start by working with biotech companies are resulting in these companies getting acquired by larger companies. This has happened in more than one case. And that has been one opportunity where we are now engaged with companies with larger pipelines.

Typically, Neuland's growth has been with biotech companies which have had only 1 or 2 drugs in the pipeline. And during that period, the growth opportunity with a particular account was limited. But now as we are engaged with larger companies, which have started working with Neuland through M&A. We are just seeing an increasing possibility of new business through the same account because of these larger pipelines.

arger pipelines.

Other than that, organically, also Neuland has been now because we've been in the CDMO space for over 15 years, we've also started seeing traction with larger companies organically, where there is no biotech acquisition happening, but large companies have started to show interest with Neuland.

With regards to the second question is about biotech Just continued interest on biotech. So, I think the interest with biotech is continuing. I think we just came back from one of the large trade fairs that we have for the pharma industry, the CPHI. I think although there is no evidence of Biosecure Act driving new business to us, there is clear evidence of a lot of new biotechs coming and talking to us because the funding environment also has improved in the US and that has also resulted in more traction. And somewhere, we also get a sense that perhaps in the China versus India narrative, there is a little bit more tailwinds towards India, which is also leading for more biotech companies to come and have conversations with us.

Shyam Srinivasan: Got it. Helpful, sir. Sir, my second question is just on your Slide 12 and just the movement of the active CMS projects, right? So we have seen about 5 or 6 additions. I just want to understand from a commercial or a Phase 3 standpoint, are there any large enough molecules for us to be excited about in the pipeline that you think? I know you may not call out the names, but just for us to understand qualitatively because we have talked about 4 molecules so far, but just want to understand what happens after that.

Saharsh Davuluri: Yes, Shyam. So, I think the number of projects have increased, but the associated companies are, I think, 2 or 3. And these companies are again US biotechs. And in one case, the projects have moved out from a Chinese CDMO and Neuland is kind of taking over these projects. In the other case, we are organically setting ourselves up as the partner for the clinical supplies. I think both are exciting programs, but it's very important to remember that the probability of success is very low at this stage.

So, I think there's no point really trying to quantify the opportunity value or etcetera. But I think incidentally, both of these are in the CNS space. So, I think there is generally a lot of work happening in CNS and these molecules also seem to be in that space. But one of them, which you may be interested to know is moved from China to Neuland. So those are the inputs I can share with you.

Shyam Srinivasan: Sorry, my question was not just on the incremental flow. It was also on the back book as well in terms of most of our current revenues are coming from, say, top 5 products in CMS are 90%. I'm just looking at if there's products 6, 7, 8 somewhere in your pipeline, which we should start getting excited about in the next 12, 24 months?

Saharsh Davuluri: Okay. Sorry. So I think with regards to that, Shyam, I think there are about 2 or 3 molecules which are kind of one step away from commercialization for Neuland. And I think as we start seeing some milestones on that front, we'll definitely update the table and also make that evident in our commentary. But yes, I think the molecules that you had pointed to in the table, I think, are still several steps away from becoming big revenue contributors. But we do have programs. I think there's one in COPD and then there's one in CNS, which are programs which are maybe about a step away.

I think these programs could potentially be large contributors for our CMS business, maybe starting from 2027. But yes, how big they will be, etcetera, I think remains to be seen. And I think we are also pursuing some new projects where we are trying to get into some Phase 2 or Phase 3 programs. There's also a pursuit of already recently commercially approved drugs where we want to enter as

a second source. Those could be also probably more short-term opportunities for strengthening the commercial side of the CMS business.

Moderator: The next question is from the line of Amlan Das from Nomura India.

Amlan Das: My question is regarding the CMS business. So, since the last 6 to 8 quarters, it has been contributing around 49% to 55% of total revenues. Since you are saying that the order book has been going strong and you are expecting a high growth in FY26, can we expect this share to go up beyond the 55% mark? And how do you see the CMS business going forward? So, the peak revenue -- quarterly revenues have been around INR230 crores in Q1FY25. So what is the outlook regarding this business in FY26?

Saharsh Davuluri: Yes. Thanks for the question. I think the CMS business is going to grow. I think if you look at the commentary we've made, I think in proportion to the GDS business, yes, I think it's kind of around the 50% mark. It's likely to go up beyond the 50% mark, but we are not really commenting on what the mix should be because both businesses are very independent of each other. And therefore, I think depending on how they perform, those numbers could move up and down.

I think it also really depends on what kind of new launches we have on the generic side in the Neuland Laboratories Limited

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next couple of years. So, I think where we are currently, I think, is a fairly reasonable balance between GDS and CMS. I think we see strong growth in CMS in the next couple of years.

So, we think that it should be above 50%. But beyond that, it's difficult for us to give too much colour.

Amlan Das: I was actually trying to understand the margin profile since the CMS business is a high-margin business for you. So, what do you see as the stable EBITDA margin going forward? Would it be stable at around current levels of 27%, 28% that you are making? Or we expect it to go up?

Saharsh Davuluri: See, I think you'll see the margin profile, actually, the GDS specialty business margins and the CMS business margins are not too far away from each other. They're very similar margins.

So, I think trying to figure out the business mix to determine the margins may not necessarily be a helpful exercise. I think if you look at how we did in FY24, I think those margins were real margins. We thought that, of course, the factors are all there were a lot of tailwinds. So therefore, the EBITDA margins were really optimal. I think going forward, we think if the factors are very favourable, then the margins should be like that, or they should come down a little bit.

But I think the business mix I think split is something that I've already answered that. I think on the margins, what we've seen in FY24, maybe a slight drop on that is what we think is reasonable. But again, I think it really depends on how specific products pan out. And therefore, maybe let's see how FY25 goes, and that gives you a good indicator. But we again don't want to give any kind of a number or some sort of a guidance on the overall margins.

Moderator: The next question is from the line of Sajal Kapoor, who is an individual investor.

Sajal Kapoor: I have 2 questions. Maybe I can flood them together or ask them separately. What do you prefer?

Saharsh Davuluri: Together, Sajal. We'll note it down.

Sajal Kapoor: Okay. So, I'll ask them together and then because they are related anyway. So the questions are, I mean, today, almost every other pharma company is enthusiastic about things like GLP-1 peptide chemistry in general as well as India emerging as a key manufacturing destination outside China and how all that can propel their own CDMO plans. So, every company is very vocal on CDMO plans and aspirations. So, the question really is that given the scarcity of high-quality talent and the escalating demand for it, how is Neuland balancing the retention of

top talent alongside hiring the fresh energy and capability from the available capability pool? That's part one of my question.

And then related to that, I mean, it's obvious that as the number of projects in the CDMO pipeline increases, we need more people to handle the larger funnel of possibilities. And I've Neuland Laboratories Limited

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seen we have added more projects in the early-stage pipeline, which obviously requires more people. So, the question is the number of scientists when I look at them, they have not materially changed for Neuland over the last 2 years. And we are still at tracking close to that number of 360 where we were a couple of years back. So how do you see this number of scientists moving over the foreseeable future, given that every company is gunning for the talent?

And in India, especially, there is a very limited and finite pool of scientists available. I can give you another number, Saharsh. WuXi AppTec alone has or had close to 28,000 scientists. That number, if I add the unlisted and listed Indian CDMO ecosystem together, I don't think

we'll reach that 28,000. So, when you talk about China Plus One and Biosecure possibility, etcetera, I mean, has India got what it takes to even come closer to China?

Sucheth Davuluri: So, I mean that there's a lot of questions built into it, Sajal, and that's fine. Good questions, I think. One is when we're talking about the whole momentum for business, the Biosecure Act India versus China, what we are doing in Neuland, Sajal, is making sure that we are really keeping a close tab on what's actually happening in the market rather than getting carried away by all the press that's coming on the Biosecure Act and what is expected to happen in the future. We're in touch with our customers.

We're engaging with them, finding out their preferences, how many projects are being outsourced, how many are going to China, how many come to India so that we keep our expectations, our projections and the related capital expenditure much closer to reality rather than get carried away by all the rhetoric that's happening in the market. So that's one thing that we're doing at the strategic level.

As far as manpower and R&D is concerned, I think your observations are absolutely right. We've tried to maintain the headcount very close to what we expect the demand and the growth of the business to be. Notwithstanding that, over the last several years, we have focused more on the quality of manpower and specific skills of manpower that we are recruiting rather than just numbers of manpower.

So, the way we see at least Neuland strategy play out in the future is that we want to focus more and more on technologies, which are challenging that will continue to differentiate Neuland that will help us continue to focus on the quality of business rather than the quantity of business. And that's been a single-minded focus over the last couple of decades, and that's why you've seen the margins of the business also grow.

The last part of this is I think really, Sajal, there's not one thing any company can do to retain manpower. It's always a combination of several initiatives from making sure that we are recruiting the right people, people whose purpose is also aligned with the purpose of the organization. We see that, today, the manpower, they actually want to work for good Neuland Laboratories Limited

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companies, companies that have a vision, where there's a lot of stability.

They have a purpose. They're passionate about what they're doing. And those are the kind of people that we're also recruiting. We have a scientific as well as a manufacturing advisory board with very qualified accomplished scientists, engineers on there. And we use that network, including the network of our customers to identify the right kind of people for the organization

and recruit them.

We use a combination of tools such as exit interviews, retention bonuses, employee engagement surveys to identify what are the top 3 or 4 things that are keeping our teams completely engaged. What are the top 3 or 4 things which are actually creating any kind of demotivation? We're constantly working to overcome those so that we have a workforce that is passionate and engaged into the business.

Notwithstanding that, we also focus a lot on doing our annual customer surveys, and we always make sure that our teams are completely connected to how we are impacting the customer on an ongoing basis that keeps us motivated as well. So there's multiple ways we could go on, but these are the top 3 or 4 things.

Saharsh Davuluri: Yes. I think maybe just also another perspective I'll add, Sajal is I think, see, if you look at Neuland's business, and it's interesting how you brought up the WuXi comparison, which I think is great. I didn't know they had 28,000 scientists. But the fact is that our focus is very narrow, right? We are an API company. We do API CDMO work. And therefore, for us, the kind of scientific staff we need per molecule or the scientific staff we need is also comparatively lesser.

When we are engaged in doing a lot of work that involves maybe medical chemistry or early-stage drug discovery work, the need for scientists is a lot more. I think since Neuland is not in that space, I think with a team of 7 scientists, we are able to develop a molecule which can be a multimillion-dollar product. And so, I think there is a little bit of a comparison issue over there.

You mentioned GLP in your opening remarks. Now a GLP -1 kind of a molecule, which Neuland is making one for generics for the GDS business, takes a team of maybe 8 scientists, 2 to 3 years to develop a GLP -1. What's important is the quality of the scientists, which is what Sucheth was emphasizing on.

So therefore, I think we are more driven by purpose, and I think we are not compromising on the headcount. But definitely, I think China as an industry is far, far ahead. I think we are still more in the chemistry and the small molecule space. And China is definitely way ahead of us. So, it's difficult to make that comparison also.

Sucheth Davuluri: And you're absolutely right. I mean, China has invested a lot in technology, the way they get

support from the government also is incomparable. And in certain areas, they are way ahead of actually not India, but any other country for that matter. However, I think in areas where Neuland has positioned itself and wants to continue positioning itself in the future, as Saharsh was saying, our goal is to build that depth of expertise and that specialization, which we believe that has brought Neuland to where it is, and that's what we look forward to.

Moderator: The next question is from the line of Harsh Bhatia from Bandhan AMC.

Harsh Bhatia: Sir, one question, again, very directionally more qualitative in nature when you made this comment of the US rather opportunities shifting out of China and the customers approaching Neuland to proceed with the molecule. How do we think about the pricing dynamics and the overall cost structure for the business as such?

Because at the end of the day, when you are trying to pursue that molecule, you are going to compete with other players also and you're going to, to a certain extent, going to compete with the Chinese pricing as well because that's the benchmark. So how should we think about pricing from Neuland's perspective and industry in general because I think that's going to be something that we'll have to keep in mind, right, for a lot of business that is different from China. So just a thought?

Sucheth Davuluri : So Harsh, I think a couple of things is when we look at our list of molecules, both on the generic side as we

Il as the CDMO side. We don't find too many competitors from China.

What China has done is that it's invested a lot of money as well as technology for large -scale manufacturing to take on the scale. Whereas we've invested, as Saharsh was saying earlier, on a lot of capability development, skin development, specific technology, specific IP, and that's how we've developed our molecules.

So going forward, unless it is a very large volume API, we do expect competition from China, but we don't expect competition on each and every molecule. I think it will be limited to a few molecules. Notwithstanding that, within the organization, we do have a process of life cycle management where we benchmark our costs globally across competitors, whether it's Europe or China, and we are constantly looking at ways to invest in technology so that we can also continue to stay competitive.

So long story short, I think we're always looking at China, at Europe. We are constantly benchmarking our costs. We are benchmarking what our prices could be 5 years down the line. And we are actually initiating projects within Neuland now that will keep us competitive even 3 or 5 years down the line as well.

Harsh Bhatia: Sure. That's really helpful. Just one clarification, if I may. When you talk about this particular molecule, as an example, shifting out of China, again, from a benchmark perspective, let's say, if you have the biotech company coming to you in the initial stages and you being the primary supplier as compared to the same molecule shifting out of China, would there be a

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material difference? Or is this something that we should not lose our sleep on?

Like I understand that over a 3 to 5 year period, whatever you're projecting with the particular level of volume, it might not make a very large difference. But let's say, for the initial period of time, is there something we should keep in mind in terms of a large gap for the pricing perspective?

Saharsh Davuluri: Yes. I think when usually for the CMS molecules for biotech companies shifting out of China, coming to India, one, we don't have such a large data set to tell you exactly how it works. But the way typically biotech companies work is if pricing is a concern, I think we typically understand what the target price is, and we try to work towards it.

And in many cases, our whatever business we have seen shifting out of China or even shifting out of Europe coming to Neuland, price has not necessarily been or a price target has not necessarily been the key consideration for us. It's always been driven by either technology or a capacity need or a batch size requirement. And price obviously plays an important role, but we are not so much driven by the customer on pricing.

I think Neuland, as Sucheth said, because of our generics business expertise, we tend to work towards cost leadership. But it doesn't so happen that a biotech company sets us a cost target, compares us with a Chinese source and drives us towards that. Again, your voice was not 100% clear. So, I'm not sure if that was your question. Maybe you could type it out in a chat box, but I think that's how I would probably respond to it.

Moderator: The next question is from the line of Akul Broachwala from Avendus Investment Managers.

Akul Broachwala: Just wanted your insights on the recently sort of commercialized molecule by the large customer. And as it was getting discussed that there are some further increasing possibilities of new molecules as well from the same set of customers. So just wanted some qualitative

thoughts around this entire collaboration. I mean, how are you looking this move forward?

Some thoughts around this?

Saharsh Davuluri : Opening comments, I think the business in general, I think, is looking good. I think as consolidation is happening and larger companies are becoming custome

rs, I think there is a

lot of prospects of increasing business with these customers. But at this poi nt, I think CMS molecules, we can't really comment on them at an individual level, even if it's a cryptic conversation. So , I would refrain from answering anything further on that.

Akul Broachwala: Sure. Understood. And with regards to the revised guidance that you've given for this year, so like what's pushing you to undertone your guidance? Is it specifically coming from the development side of your of the CMS business where the biotech funding has just recently kind of started to improve. , are you kind of witnessing some sort of slowdown in that part of the business, which will take some time to pick up?

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Saharsh Davuluri : No. I think also maybe just be cautious. I would not call it guidance. It's more of an outlook. I think on how the business is stacking up. I think it's not got anything to do with the biotech funding environment, et cetera. I think the new business component is intact. I think whatever we wanted to do as new business for the CDMO business, I think has been coming on tr ack. I think if some things are have led to us to change our outlook from moderate growth to flattishness, I think it's more because some things have right shifted either because of some execution delays or because our customers want us to kind of move things o ut. But nothing to do with dampening of new business or business prospects. It's just how things are falling into place.

Moderator: The next question is from the line of Sagar Tanna from Alchemie Ventures.

Sagar Tanna: From the existing projects or molecules and the forthcoming ones, how many of them we will be primary suppliers and how many of them will be secondary suppliers?

S E Medikonda : So, if I were to, I think most of our projects that we are working on. Since we are working with innovators who are looking at commercializing our products, they are at least from a risk perspective, there are 2 suppliers. And in many cases, and we are part o f the NDA filing. So , I think we should just look at it from that perspective because what we are seeing that over time as we are on the file, we are a key supplier that is get a significant part of the share, and that's the way that we l ook at.

Saharsh Davuluri : Yes. The first supplier doesn't necessarily mean that you are the key supplier. I think our goal in all our CMS commercial molecules is to be the key supplier or the primary supplier. It may or may not be that we are the first supplier.

Sagar Tanna: But what percentage market share would we have?

Saharsh Davuluri : I think it really varies. There are we have 100% wallet share. There are some molecules where we have 50%. But yes, I think in almost all the molecules, we have a majority share, wherever there is a share.

Moderator: The next question is from the line of Vivek Patel from Ficom Family Office .

Vivek Patel: I'm hoping on multiple. Just wanted to have a quick update on a few products that you launched a couple of years ago, if I'm not wrong, NEXLETOL and NEXLIZET. I just wanted to understand where they're at. And also, some questions in terms of how are you planning to launch this product? Do you plan to have any partners? And what would be the size of the opportunity? Just wanted to confirm if it's \$7 billion, \$8 billion, if you could correct me. And what are the other competitors on this particul ar product?

Saharsh Davuluri : Yes, Vivek, I think as we keep mentioning, our CMS business, the CDMO side of our Neuland Laboratories Limited

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business, the molecules that are part of that portfolio are governed by confidentiality agreements we have with our customers. So , we are not at liberty to discuss them individually. So, any questions about molecules on our CMS portfolio at an individual level, we

will not

be able to comment. So , all your questions that you've asked, unfortunately, cannot ask them because they pertain to our CMS business. So , if there's any other questions that you have, could you let us know?

Vivek Patel: No, sir. That was all from my side.

Moderator: The next question is from the line of Atirek Roy, who is an individual investor .

Atirek Roy: So, the question is, as a CMO company, what should I do to attract big pharma companies to partner with me?

Saharsh Davuluri : I'm trying to find an answer to that question. But yes, I think it's a continuous process, Atirek. The challenge that companies like us, which are more emerging on the CDMO space is that

big pharma already have a lot of qualified suppliers in their network, and it takes a lot of effort to displace an existing supplier network. Moreover, the big pharma also continuously try to consolidate their supplier network because it is also administratively difficult for them.

So, one strategy which we have talked about in the past is when any of our existing CMS customers like biotech companies get acquired by big pharma, we use that opportunity to build trust and goodwill with the big pharma and then try to not only continue the current business but expand into new business. So that is one way to do it.

Another way to do it is to actually acquire technical capabilities, which are unique and not available with the big pharma's existing network. So, for example, one area we've been working on like that is the area of peptides. Now Neuland has been one of the few companies who's been working on peptides, both for the CMS side as well as on the GDS side.

Now peptides are not being offered by a lot of other CDMOs. So, it could be a vehicle to attract big pharma, and that's one way to pursue it. There could be other technologies which we might invest in and build on. Those could be ways in which we could try to attract big pharma as well. It is a longer process. So therefore, we have to kind of be continuously at it. And hopefully, we will be able to have a strong big pharma portfolio in Neuland as well.

Moderator: The next question is from the line of Rahul Bhardwaj, who is an individual investor.

Rahul Bhardwaj: So, in the last 5 years, I guess, the guidance from Neuland has been that they've made an effort to shift from generic molecules to specialty molecules. Could you give us a colour on how do you foresee the landscape for the next 5 years? And what's the strategy going ahead?

I think if you look at the mix now, it's heavily geared towards CNS we've kind of made a footprint and made a reputation and we have access to a lot more clients.

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How do you foresee things going ahead in the next 5 years? And from a revenue and sales and profit growth perspective, do you anticipate the coming 5 years to be that we can maintain or better the progress we've seen in the last 5 years?

Saharsh Davuluri: Yes. Thanks for your question. It was not very clear, but what we could gather is you want to understand how what we think will drive the growth of the business over the next 5 years.

That's what we'll just try to answer. I think the emphasis will be on the specialty business as well as on the CMS business.

Right now, I think a lot of the growth has been driven on the specialty side by a few molecules like Apixaban, Paliperidone and a few others. We've also had some prime products, which have been very strong in growth. So, although we've had a few products like Levetiracetam and Cipro, which have not really grown so much, these molecules on the specialty side have driven our business.

Going forward on the specialty side, we are becoming more selective in terms of the kind of products we are filing. We are looking at peptides as part of the product portfolio. So, our team is working on a peptide called Difelikefalin

for which we expect to file the DMF next

year. There's tirzepatide, which is a GLP-1, which we are working on for which we hope to file a DMF maybe the year after next.

And then there are a lot of other small molecules as well. We expect that these molecules should drive growth may be from 3 years and beyond. I think the growth in the next 1 to 2 years should be driven by the DMF filed already. On the CMS side, we want to continue expanding our current relationships with the innovator companies. We have a portfolio of maybe almost 80-plus projects, out of which there are at least 25, 30 customers in which we have deep relationships. Our idea would be to expand on those relationships. Other than that, also our priority is to focus on technology.

And I think as Sucheth and I had elaborated previously in the call, we want to invest in newer technologies like peptides and maybe even beyond that and use those technologies to try to acquire newer projects. The goal would be to stay within the active ingredient space, not really venture into any other areas. And the goal would also be to stay in human health areas. That way we are able to stay focused.

I think we have a plan for the next 7 years charted out, and it's fairly exciting. It involves us to stay focused in this active ingredient space, but it will require us to venture into some newer technologies, which we will make investments in a timely manner. So, I think that's how the picture is looking at, and it's quite exciting for us. So, it's just a high-level view of what the next 5 years is looking at for us.

Rahul Bhardwaj: In the rest of time, if your management can look into the stock split question that was discussed in the last call, and I'll let other people ask their questions.

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Moderator: The next question is from the line of Sanjay Kohli from Gold Stone Capital.

Sanjay Kohli: So just please indulge with me because I'm a new person in this industry. Post -COVID, we had about 3 years now. And if we take the second wave also in 2021, there would have been a significant addition to API capacity in India. So , I just wanted to get a bit of the macro landscape over here. And I mean, it's been great for the Americans to throw this Biosecure Act and get a large number of additional capacity globally for APIs. When does this sort of begin to get commoditized? And what are the Chinese doing to protect their turf?

Saharsh Davuluri : Yes. So , I think with regards to the capacities being created post -COVID in India, so, what we would see today in the market is there is business as usual. I think capacities have been created during COVID. I think a lot of that what you're referring to is probably the PLI schemes that were launched around that time.

There's also the India -China geopolitical tensions that led to creating more capacity for cephalosporin and antibiotics, etcetera, within India. But I think when you look at the market conditions today and if you compare it with China, which is one of your questions, see, I think the kind of capacities that exist in India today versus the capacities needed for Indian companies to cater to the Biosecure Act, there is a degree of mismatch.

If you look at what exists today in India, it's a lot of small molecule API capacity. That's what really exists in India. If you look at what capacities exist for companies like WuXi or many of the Chinese CDMOs, it's a mix of small molecule biologics, even other new modality - related capacities.

So, I think for Indian companies to be able to capitalize on the Biosecure Act, I think what capacities that have been created in the last 3, 4 years are not necessarily going to be sufficient to take away business from China. I think there will have to be some new capabilities that have to be created. And those capabilities, we will require us to either invest i

n technologies,
recruit scientific talent.

And that is how that capturing the opportunities from the Biosecure Act happens. So , I think that's kind of the question which you had asked about how does Indian capacities help in taking on some of the Biosecure Act.

Sucheth Davuluri : Yes. So just a couple of additional comments. I think it's important to put everything in context. One is during COVID, there was no significant capacities that were created in India for the sake of COVID or otherwise. For us, what we've seen is it's been business as usual. I think as I was commenting earlier, it's very important to keep the Biosecure Act in context. So right now, within Neuland, we still believe, and Neuland has never competed as a low - cost producer, as we were clarifying earlier.

We've always competed based on our technology, our ability to meet the price targets set by Neuland Laboratories Limited

November 06, 2024

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the customer, the supply requirement, the capacity requirements, so on and so forth. So , we've never really positioned Neuland as the lowest cost producer in order to get business, and that's not part of our strategy going forward as well.

Now as part of the Biosecure Act, I think what the world economies or the United States has realized is that they cannot be a significant dependence on one economy for supply or the needs of that economy. Therefore, we do see that over a period of time, I think the world's largest economies will have multiple options in place so that they can secure supply into their country, and that's the way we are looking at it.

So, I think it will be interesting to see how things play out, but we honestly believe that ultimately, the business is going to follow the economics of it. I think any kind of policies that will constrict basic economics are not going to be sustainable. So , we continue to focus on where Neuland can add value, what are the molecules that we need to invest in, where do we need to create those capacities. Those are the areas that we continue to focus on.

Moderator: We will take that as the last question. I now hand the conference over to the management for closing comments.

S E Medikonda : Yes. We'd like to thank everyone for your questions and interest in Neuland. Even as we attempt to answer all the questions possible on the call, please understand the time on the call is limited. So please reach out to Ravi Udeshi in case you have further questions. Good evening, everyone.

Moderator: Thank you very much. On behalf of Neuland Laboratories, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Feb 2025

February 14, 2025

To
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on February 11, 2025

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and nine months ended December 31, 2024, conducted on February 11, 2025. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/en/investors/investor-meetings/transcripts>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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"Neuland Laboratories Limited Q3 and 9MFY25
Earnings Conference Call "

February 11, 2025

MANAGEMENT : MR. SUCHETH DAVULURI - VICE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER
MR. SAHARSH DAVULURI - VICE CHAIRMAN &
MANAGING DIRECTOR
MR. ABHIJIT MAJUMDAR - CHIEF FINANCIAL OFFICER
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD,
CORPORATE PLANNING & STRATEGY

MODERATOR : MR. RAVI UDESHI – ERNST & YOUNG

Neuland Laboratories Limited
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Moderator : Ladies and gentlemen, good day and welcome to the Neuland Laboratories Limited Q3 and 9MF Y25 Earnings Conference Call..

As a reminder, all participle lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touch -tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you and over to you , sir.

Ravi Udeshi: Thank you , Ryan. Good evening , friends. We welcome you to the Q3 and 9MFY25 Earnings Conference Call of Neuland Laboratories Limited.

To take us through the results and to answer your questions, we have with us the Top Management from Ne uland, represented by Mr. Su cheth Davuluri – Vice Chairman & CEO ; Mr. Saha rsh Davuluri – Vice Chairman & Managing Director ; Mr. Abhijit Majumdar – CFO ; and Mr. Sajeev Emmanuel Medikonda – Head , Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saha rsh will give you broad highlights of the business trends and what he is playing in the market and post this we will open up the call for the Q&A session.

As usual, the standard safe harbor clause applies as we start the call. With that said, I now hand over the floor to Abhijit. Over to you , Abhijit.

Abhijit Majumdar: Thank you very much , Ravi and a good evening and warm welcome to each of you for joining our call.

The financials are as follows for Q3 .

Total income is Rs. 401.9 crores which is a slight increase of 1.8% year -on-year as compared to Rs. 395 crores in the same period. This growth was driven primarily by the prime GDS and specialty business. As said consistently that the , like to point out that the inherent nature of our overall business is uneven on a quarter -on-quarter basis . As we mentioned in earlier calls FY25 is expected to be flat . Our EBITDA excluding exceptional items of Rs. 55.8 crores stood at Rs. 90.3 crores with a margin of 22.5 % .The decrease in contribution is attributed to the business mix and increase in operational expenditure leading to a decrease in EBITDA in Q3F Y25 as compared to Q3F Y24 where the EBITDA stood at Rs. 122.7 crores.

Now coming to the specifics . The gross margin for the quarter was 53.2% as compared to 59.8% in Q3F Y24. This gross margin as always includes manufacturing expenses and other costs directly attributed to the product. The profit after tax was Rs. 101.4 crores as compared to Rs. 80.7 crores in Q3F Y24. This includes an exceptional item of Rs. 55.8 crores arising from the sale of investment property. The quarterly EPS stands at Rs. 79 per share.

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For the 9MFY25 ended our revenue stands at Rs. 1,161.5 crores versus Rs. 1,180.8 crores, a marginal degrowth of 1.7 % . EBITDA excluding exceptional items of Rs. 76.4 crores stood at Rs. 284.6 crores in the 9MFY25 as compared to Rs. 362 crores in 9MFY24. We continue to focus on cash to optimize our working capital which stands at 111 days of sales. We generated a free cash flow in the nine months of Rs. 70.8 crores. We also paid some of our term loan debt of around Rs. 27.2 crores. Consequently , our net debt position stands at a negative Rs. 185.1 crores.

As part of our investments , we have invested Rs. 147 crores in capital spends during the nine months a nd we are committed to balancing growth and profitability by continuously optimizing costs and processes to ensure long -term sustainability. While we expect F Y25 to be flat, we remain confident that our business will regain momentum from F Y26 based on significant order pipeline and customer demand

. Overall, we continue to be cautiously optimistic about our future, potential that our business holds.

With that, I would like to hand over the call to Saharsh for his remarks. Thank you very much.

Saharsh Davuluri: Thanks, Abhijit. Good evening, everyone and welcome to the call. Over the years, Neuland has steadily established itself as a dedicated API solution provider, possessing in-depth expertise in extensive complex chemistry capabilities. And we're collaborating with both innovators as well as generic formulators to create a healthy world.

So, before talking about this quarter, I would like to reiterate a few points which we have made in the past. Our business is uneven due to the inherent characteristics of the CDMO business, as well as the specialty GDS business, which is focused on small volume products. As a result, evaluating Neuland's trajectory on an annual basis is perhaps a more accurate measure than comparing quarter-to-quarter results. Again, there may be the odd year also where the trajectory will not be clear due to the specific mix or how products are taking off. However, the completion of manufacturing facilities coupled with the scaling up of commercial molecules on the CMS side gives us a great deal of confidence of achieving our stated objectives in FY26 and beyond. We continue to see increased interest in customers wanting to partner with Neuland as they look to bring in their innovative medicines to patients. And I think many ways this can be attributed to three factors. I think one is our reputation is continuing to grow as a result of the work we've done over the last couple of decades, especially on the CDMO business. Our business development teams who are also seeking new relationships are getting increasingly focused on finding the right opportunities that actually fit our long-term strategy. So, being very selective, very decisive in whom we want to work. The macroeconomic factors which we all have been talking about also have been favorable to us. And therefore, we are enthused by the range of customers expressing their interest in working with us. And that's what's kind of giving us excitement about this business.

Coming to this quarter. The CMS revenues were about Rs. 156 crores as stated earlier. They were driven largely by molecules in the commercial segment. As indicated last quarter, one of Neuland Laboratories Limited
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the molecules in the CMS segment got recently commercialized. We are seeing good traction in terms of early-stage projects as well as customers reverting to us with more projects in their pipeline. So, we expect the buoyancy in the CMS business to continue going forward and don't have any concerns at the moment.

On the GDS side of the business, we remain focused on innovating new specialty products while optimizing processes and expanding market share for the key commercial API's. The specialty API business actually the growth is back on track this time. If you recall the last quarter, I think the growth was weak and this is largely driven by Paliperidone and Dorzolamide this time. In the prime segment, the strong products for us this quarter were Mirtazapine, Ezetimibe and Escitalopram. And we are confident we are on course to meet the overall targets for the GDS segment for the year.

I would like to emphasize the inherently variable nature of our business, which makes it challenging to provide any form of guidance. But having said that, in the manner in which the orders are currently taking shape, we expect FY25 to close on a relatively flat level, which is in line with the comments we had made last quarter as well.

And on a side note, I am happy to share that Neuland has increased its S&P ESG rating to 70 compared to 64, which was the previous rating we had. And further, Unit III, our newest manufacturing site, has recently been awarded the prestigious

British Safety Council.

Another reminder from our previous interactions, we continue to maintain that there are a variety of factors that could influence our projections. These include performance of individual products, foreign exchange fluctuations, raw material cost volatility, and other dynamics of the business. We are aware of these challenges and continue to monitor these variables very closely. Regarding future capacity building, we are progressing as planned towards completing the new production block in Unit III and expect to commence commercial production in FY26, which is also going as per plan.

As many of our long-term investors know, Neuland has invested in the peptide space for the last 15 to 17 years. We, in fact, have a team of around 50 peptide chemists who work in our R&D side, and they have delivered multiple projects at lab at small scale. We've now reached a juncture where we need to enhance our peptide capacity to scale our business to the next level, even as we have received a lot of interest from customers in our capabilities and as we all know peptides are being considered a new modality for increasing the number of therapies. So, this led to the announcement of the capacity enhancement for which you would have seen the press release and the disclosures.

Neuland flexibility and agility are crucial for effectively responding to the business environment

and our growth strategy remains focused on pursuing high value molecules from innovative companies, both on the CMS side and the GDS side. And we are committed to enhancing customer experience, which we believe that distinguishes us as a distinctive API provider. So, Neuland Laboratories Limited
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our commitment to the future is evidenced by our investments in enhancing our capacities as well as capabilities adhering to our foundational values of customer centricity, agility and operational excellence. Neuland is well positioned to capitalize on long-term opportunities, even as we continue to navigate any short-term challenges that may come our way.

So, having said this, Ravi, I request you to open it up for Q&A.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Ayush Agarwal from MAPL Value Investing Fund. Please go ahead.

Ayush Agarwal: Good afternoon, sir and thanks for the opportunity. Sir, my questions are on Bempedoic acid. I wanted to understand more on the supply chain. As I understand, there are two players currently marketing in distinct geographies and we share a relationship with the innovator. So, do we also share a relationship with the Europe partner because they are to shift their manufacturing supply chain to the Europe partner and can that affect us if we don't integrate ourselves in their supply chain?

Saharsh Davuluri: Sorry, we will not comment on any specific CMS molecule. So, if you have any other questions We would be happy to answer them.

Ayush Agarwal: Okay on this one, maybe you can say what is the current capacity of Bempedoic acid and what are we expanding it to?

Saharsh Davuluri: Sorry, Ayush. We don't respond to any questions on a specific CMS molecule because of the confidential nature of the business. So, therefore we would not be able to comment on any question that you ask about a specific CMS molecule. So, I would encourage you to ask a question about the CMS business or anything about it or about capacities in that front. But unfortunately we will not be able to answer any product specific question. I am really sorry about that.

Ayush Agarwal: Understood, I will join back the queue.

Moderator: Thank you. Ladies and gentlemen, please restrict yourself to two questions per participant. The next question comes from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan

: Good evening and thank you for taking my question. Just on the peptide announcement, Saharsh and team if you could, Rs. 254 crores is what I think we have articulated. So, how should we look at that in terms of what are the next steps in terms of the timelines? I know you don't talk specific clients but is this tied to a CMS client or are you doing it for the generic GLP-1? So, some color around the entire peptide project and when can we expect like timelines and monetization of these assets?

Saharsh Davuluri: So, the investment itself, it kind of spread across three different domains, largely for creating a new large scale manufacturing facility in unit one. But a small part of that approved investment is also for enhancing the capabilities of our existing peptide facility which is also located in unit Neuland Laboratories Limited

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one. So, think of it more as a pilot scale peptide facility. And another small part of that approved CAPEX is for enhancing the R&D scale peptide capabilities. So, in many ways, this entire CAPEX, I would say majority is going into creating a large-scale facility which does not exist today. A small part into the pilot facility and a much smaller part into the R&D facility. And the idea is that with this investment, we will have seamless capabilities from lab to pilot to commercial for peptides. Having said that, the idea is to create facilities which would be usable for both the GDS business as well as the CMS business. And unlike some of the other investments, these are not product-specific investments. So, to your question, there is not one anchor product or one anchor customer for which this investment is being made. We are looking at it as an opportunistic investment to kind of take us into that peptide domain by giving us a larger piece of infrastructure. So, the plan is to file maybe two DMFs for the generics business. One of it would be a GLP-1 tirzepatide and this is public information. We've disclosed it before. And another peptide called difelikefalin. Both are generic peptides. These would be scaled up in that new facility and a DMF would be filed. Other than that, there are also CMS opportunities which are currently either under R&D or under discussions with customers. And those could potentially be future projects for that peptide facility. So, the idea is to have a mix of CMS and GDS projects and if the business continues to do well and we have successful projects, then there could be subsequent investments, which we will take up in the future years to further enhance the capacities. So, that's the broad overview of the investment. At the moment, we don't have

any definitive visibility on revenues or products or cash flow. So, we will have to see how it goes. It will probably take 3 to 5 years to ramp up this investment.

Shyam Srinivasan: Very helpful context. Just some follow-up. And I will take the second question if it is okay, is on when we talk about peptides are we also in GLP -1 category or these are broad-based these could be non GLP -1 as well?

Saharsh Davuluri: I think GLP -1 is also falls under the domain of our capabilities, it's a synthetic peptide so anything that's a synthetic peptide would fit into Neuland capabilities. Tirzepatide is one of the products we are developing for the generics market. That is actually a GLP -1 category product.

The other GLP -1s we are evaluating, but it's too early to say.

Shyam Srinivasan: Understood. Last question on this is on the size, the capacity right, we will probably reach 6.4 kiloliters over time. First, in terms of landscape, if you look at the WuXi of the world they are at 40 KL going to 100KL. So, do you think this is a meaningful scale and will help you win orders globally?

Saharsh Davuluri: I think, Shyam, unlike our small molecule business, right, where 1,000 KL means something very definitive, in

peptides, this whole KL business is a little tricky. So, I am not quite sure if it's an apples-to-apples comparison. From what we know about the space, and I think based on, you know, all the work we've done, we believe it's a substantial investment and it is a fairly large scale facility and it should provide meaningful volume of peptides. But yes, again, I don't know much about the infrastructure of WuXi, so it's difficult for me to compare, but I know it's a big jump up and it would probably be one of the large peptide facilities at least out of India.

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Moderator: Thank you. The next question comes from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Thanks for taking my question. Good afternoon, all. Only two questions I have. First is, any thoughts that you could share around this sudden kind of almost U-turn type of thinking from big pharma, big global innovators, they are now returning back to small molecule spaces. And there is a pattern developing. And this is not in the last one month or two. I mean, if you look what they have done over the last, let's say 18 months in particular, if not after COVID, there is a definite desire and intensity to come back to small molecules. I mean, is it related to patient compliance? The oral molecules are easier to administer or is it something to do with the cost or a combination? I mean, what is, because the reason I am asking is previously Big Pharma's statements was that biologics will rule the world and small molecules will be done and dusted with the R&D?

Saharsh Davuluri: Maybe just a short response because obviously we are not the experts in commenting on, the broader theme that you are referring to. I think definitely what you're saying is true. There is seems to be some sort of reversal in terms of the pipelines, so to speak. I think what we have been told is that sometimes companies are just pursuing a therapeutic area. Let's say a big pharma wants to go big in CNS. Now ultimately they are pursuing CNS assets because they have a CNS infrastructure. And ultimately if it's a small molecule, then it's a small molecule. If not, it's a biologic. That's the only limited understanding we have. But you're right, as in there seems to be some sort of reversal, maybe because costs are more attractive in small molecules. Maybe the formulations are more easier, but again, not the experts to comment further on that. Sorry.

Sajal Kapoor: No, that's absolutely fine. Thank you for that, Saharsh. A question for you, Abhijit. so, you mentioned the free cash. I am asking about operating cash. What was the nine month operating cash after adjusting for all the working capital? So, the nine-month EBITDA is about Rs. 272 crores. How much of that has been converted to net operating cash adjusted for working capital?

Abhijit Majumdar: Operating cash net of CAPEX is Rs. 70 crores.

Sajal Kapoor: No, including CAPEX, what is the operating cash?

Abhijit Majumdar: So, 70 plus 147. You can take that to 217.

Sajal Kapoor: Okay. So, this is out of Rs. 272 crore of nine months EBITDA.

Moderator: Thank you. The next question comes from the line of Aditya Chheda from InCred Asset Management. Please go ahead.

Aditya Chheda: So, this was to better understand the CMS segment. Today in terms of the active CMS projects out of 97, 19 are commercial, but the bulk of them are pre-registration or below. So, whether the development income that is almost down 50% YOY in nine months, is there an element of few molecules driving the bulk of CMS development revenue today? And if you could help us understand better, in terms of your CMS pipeline, since bulk of the projects are still on the

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development side, why is there more volatility in development versus commercial? So

, if you

could comment anything on that ?

S E Medikonda : So, I think to answer your question, in terms of the revenues, they are mapped to the actual flows during the course of a quarter and during the course of the year. And as we have said in the past, we expect that a significant, a lot of the growth that we were expecting was going to come in from the commercialization of molecules. In the past, you would have seen that we have had significant revenues even from the development part is because we have had molecules which were ready or which were where the customer was looking to take quantities for launch but the product was not yet approved. So, as a result of that those revenues were recognized as development revenues, but once a molecule is approved and we are part of the filing it moves to commercial and that is why that scales faster and is a higher proportion. Whereas the development quantities are likely to be volatile because we are say waiting for a customer who takes material for Phase -II to come back for Phase -III which may take longer time. So, that largely explains the volatility in development.

Saharsh Davuluri: And I think the commercial revenues tend to be a lot more stable. And I think ultimately, the other factor that matters is different molecules contribute different scales of development revenue. So, while it is a little difficult, maybe even for investors from the outside, but the truth is that development revenues are going to be very lumpy and volatile. And ultimately, I think that's why we try to give an aggregate sense of where the business is heading. But yes, I think for us, for now, commercial revenues are what could be seen as a stable base from an outside perspective. And that's why we give the split between commercial and development.

Moderator: Thank you. The next question comes from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy: Thanks a lot for the opportunity. My first question is that when you mentioned your commercial CDMO revenue is much more stable, but in quarter one it was some Rs. 170 crores. From that it has fallen to some Rs. 110 crores -Rs. 120 crores. What could be the reason for this decline, sir?

Saharsh Davuluri : Sorry, which revenue are you talking about that decline?

Sanjaya Satapathy: The commercial part of the CMS business .

Saharsh Davuluri : Yes, I think, commercial revenues, I would not look at the quarter -to-quarter movement to look and maybe call it a decline or a growth, because I think a lot of times these products are lined up to get dispatched across different quarters in a year. And I think the way the mix is coming out is how it is. And as I had mentioned in the opening remarks also, I think our portfolio is doing well, and I think molecules are continuing to grow steadily. So, there's nothing of concern with regards to CMS commercial for the moment. I think a quarter -to-quarter movement is very natural in our business.

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Sanjaya Satapathy: If little you can just explain that when this molecule goes from development to commercial, you get to supply for that commercial for several years together, right? It is not as if like it is a very small window of opportunity.

Saharsh Davuluri: Yes, I think typically the way the relation works with the innovator is that once it gets into commercial, we would continue supplying API until the patent expires. And of course, there are a lot of dynamics at play. There could be additional sources that could come in and that could have an impact on the volumes. There could also be, performance of the drug itself that would matter. But when we track these molecules, we are constantly looking at the IP timelines and therefore, that's what we look at. The gap between the development to commercial, as in what could be the waiting period, that again

depends, molecule -to-molecule. Sometimes there's hardly any gap. You finish development, and then there's a short break, and then you start commercial. Sometimes you supply development quantities and then they go through an NDA filing and an approval. Sometimes you might have to wait for a couple of years as well. So, it's very hard to have a standard expectation for this transition from development to commercial.

Sanjaya Satapathy: I mean, it has nothing to do with any product not living up to its potential or scale. Because you had given, some 5% to 10% kind of growth guidance at the beginning of the financial year, you had brought it down to about flatish number. So, was it because of the slower response to some of the new products which is commercial or how one should be looking at it? And when we're looking at a better growth from FY26, is it going to be because of more number of products becoming commercial or same businesses scaling up much more?

Saharsh Davuluri: Again Sanjay, I don't think there's any concern per se. I think our business is such that we have limited high value products that contribute significantly. Our revenue and our focus and our budgets are based on our dispatch plans. And a lot of times due to various reasons, things get shifted a little bit. And I think we kind of expecting a moderate growth which was stated earlier and then we kind of revised that to say it's flattish, it has more to do with those dynamics rather than with how the products are performing and as I said it already our products are doing well

and I think the CMS business and the GDS business I think whatever we have stated that FY25 is going to be a flattish year, I think is actually an amalgamation of how the products are picking up. But I would not read too much into that change from moderate growth to flattishness beyond what has been already said.

Moderator: Thank you. The next question comes from the line of Ish mohit from SOIC Research. Please go ahead.

Ishmohit: Congratulations for turning around your business over the last 5 years from 12%-13% EBITDA basically operating margins to at least reaching 20 even in the flattish year. So, sir my question was, the FY24 was an inflection year for us? FY25, we understand the train is waiting at this station. Do you think FY26-27 again will be sort of inflection years for us when it comes to our product mix change in CDMO business really accelerating from it?

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Saharsh Davuluri: Yes, I think as we had said earlier, we expected FY25 to be a kind of a flattish year, and we also had stated previously that we expect growth to resume from FY26 onwards and therefore we expect our business to continue growth from FY26 onwards as well. But again, we've kind of restrained ourselves from talking about FY26 versus 27 and how that will pan out because I think it's better we kind of look at a slightly broader horizon than try to kind of look at it. But 26 growth should resume. That's something that we want to say it very clearly.

Ishmohit: Sir, second question was that in a pre-commercial stage currently we have 11 molecules, I think 5 in intermediates and 6 in APIs. Are we expecting any of these to go commercial in FY26 or 27?

Saharsh Davuluri: One, at least, maybe two, but we will have to wait and see because again these are still going through trials and filings, etc. But one, we are fairly certain will happen in the next year.

Moderator: Thank you. The next question comes from the line of Sachin Kasera from S van Investment Managers. Please go ahead.

Sachin Kasera: Hi, sir. Congrats for the progress that we achieved in the last 2-3 years. I just had one clarification. You have one of your slides number 12 in the presentation you have mentioned that the pre-registration of the Phase -III molecules, which used to earlier classify as par

t of

development are now part of commercial. And so this is effective, which financial year you have done the reclassification? So, when you look for the 9MFY25, your development revenues are 116 versus 222. So, in that case, 222 of 9MFY25 includes the pre-registration and Phase -III or anything like-to-like, just a clarification I wanted?

S E Medikonda: Yes, so I think if you look at revenues for 9MFY24, it includes, the classification of development and commercial remains the same. It's only that a molecule which was in say pre-reg phase moved to commercial during the course of the year and I think that moved at the end of Q2, so from Q3 will be recognized as commercial revenue.

Sachin Kasera: Sure. And so when I understand that quarter-to-quarter is not fair, but if we look around 9 months-to-9 months, and if I look at your filing, the number of products in preclinical Phase -I, Phase -II, Phase -III are more or less the same. So, this decline from 222 to 116 is primarily because one large molecule which was earlier where we moved revenue as commercial is not being booked under commercial, is that what is causing this type of sharp decline in your development revenues, 9 month-to-9 month?

S E Medikonda: Yes, that is correct. And I think in general, when there are large increases in development revenue, that is usually an indicator that means either there is a large clinical trial, or there's a molecule where the quantities are going for launch. So, I think those are two indicators, especially when the development volumes go up.

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Sachin Kasera: My second question on peptide, we have a fairly large CAPEX. Over a period of time, once it is fully utilized, can you give us some sense in terms of what type of revenue we could see 2-3 years after the commercialization of the peptide block? Thank you.

Saharsh Davuluri: Sachin, at the moment we would not share anything because I think it's a very wide range and I think maybe over time we will probably be able to give a better color because again it depends on what molecules scale up over there and therefore there is a very wide range and it might not be very helpful for you guys. But I think maybe in the course of time, we will try to give a little bit of color on that. But for now, maybe we will just hold off.

Moderator: Thank you. The next question comes from the line of Yasser from M3 Investment Private Limited. Please go ahead.

Yasser: Yes, could you just sort of put in the terms of big pharma, small biotech, and the mix of that? And secondly, typically, when you've seen this increase in projects, how many customers have

more than one project with us ? Could you give us some sort of?

Saharsh Davuluri: Could you repeat the first question again? It blanked. You said something about Big Pharma, Biotech. But could you just complete that question?

Yasser: Yes, just in terms of your customer mix in these 97 active projects, like have we sort of graduated towards moving towards working with Big Pharma, or if you could give some qualitative sort of insights on that ?

Saharsh Davuluri: Sure, and the second one again?

Yasser: And the second one is like, do we have like customers that probably do have more than one project?

Saharsh Davuluri: Yes, so I think the Big Pharma Biotech split is something that we don't have but we're largely a Biotech company and as we stated also in the past . Usually if we are working with Big Pharma it's either for a very specialized area like peptides or it's because Big Pharma has come and acquired our customers We don't have that mix and we will see if we can provide that maybe at a future date But you can presume that we are largely biotech focused . With regards to a multi project customer and we do have several customer s that we do m ultiple projects with and we don't have the number for that maybe tha

t is something that we get back to you . But I would say

maybe at least 20%-30% of projects are second or third projects with the same customer and its just an intuitive number.

Yasser: As you sort of alluded to earlier, when a Big Pharma company acquires our customer, so what be your experience over the years where you've seen, they switch over to, maybe someone in their CDMO sort of value chain, or do they tend to persist with, Neuland and if you could sort of share some experience over the years, like how does that play out?

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Saharsh Davuluri: Yes, again, maybe this will be a generic response based on our own experiences. What we have observed is that because there is a regulatory filing involved and Neuland is registered as an API manufacturer, there is anyway a certain level of stickiness that is involved with our site. So, it's not very easy to displace Neuland as an API company even the Big Pharma is not very familiar. So, its point number one. P oint number two , I think even from a Big Pharma perspective I think they just look at things from a r isk point of view and as long as they feel comfortable that this company that is currently producing the API is not going to create any significant risk for their API supply, they would tend to continue working with us. That's the second point. Third point is ultimately I think the long -term relationship is dependent on our ability to execute and deliver. And I think that's where the relationship is built. And I think that's th e journey that Ne uland has is kind of going in right now. But I think just given the advanced nature of these programs , even if there is not a lot of familiarity with Big Pharma, we have not seen any kind of reluctance or hesitation to work with a new API supplier, provided the risks are manageable. And I think that's where Ne uland stands out , because our facilities, in terms of our quality management system, in terms of our ESG practices they all are top tier, not just in the country, but even at a global level. And that also creates a certain level of comfort for these large MNCs when they come to evaluate Neuland as a n API company.

Yasser: Fantastic, that was really helpful. Secondly, on the prime and specialty side, I just wanted to sort of get a long -term vision here for this business in terms of like, eventually do you plan on probably becoming a cost leader in a few molecules? What are your thoughts on sort of backward integrating in some of them? And do we look at this sort of the prime and the specialty piece more as a capacity utilization play to sort of combat the cyclical of the CMS business? Or is it like that, as I said earlier, do you want to become a cost leader and eventually a market leader and some key molecules on the portfolio. If you could shed some light, that would be really helpful ?

Saharsh Davuluri: Yes, sure. See, I think Ne uland as a company, I think for us, the GDS business is as important for us as the CDMO business. And in many ways, they're not really competing with each other, right? Because ultimately, there's a lot of synergies in these businesses and they cater to dif ferent customer segments. And because of that, our strategy over the long term is to pursue both the businesses environmentally. However, the way we have nuanced our approach in the GDS business is to try to mov e a little away from prime and go deeper into specialty. And we believe that going into specialty gives us the ability to command that market share leadership, which sometimes is very difficult to achieve in the prime products where price tends to be the key determining factor. So, I think over a long -term perspective, I don't want to get into the growth rates and the business mix because again that's too detailed kind of guidance that we would give but ultimately both businesses our idea is to grow them to thei

r best potential. Even if you take

the exa mple of the new peptide facility , it has been designed to cater to both GDS customers and

CMS customers. And ultimately, what products, what segment will do more revenue in the peptide facility remains to be seen. So, I think that's the effort. And but however, I think we will not focus as much on prime just because it's not really area of our strength to compete on price, but we will focus more and more on specialty products. And eventually, a molecule like peptide will also become a part of the specialty portfolio.

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Moderator: Thank you. The next question comes from the line of Rahul Bhardwaj, an Investor. Please go ahead.

Rahul Bhardwaj: Thank you for the opportunity and congrats on the numbers. So, one question, great performance over the last decade, I think more so over the last five years. How should we as investors kind of look into this trajectory? If you can kind of color this, what are the company's expectations for the next 5 to 10 years? How do you see the business mix changing? And I know you won't give guidance but in terms of numbers your PAT has grown round about 30 % in the last 10 years I don't know maybe 70 % plus in the last five years. Should we look at the growth in the last five years more of an exception? How should we kind of look into this data and how do you see the business going in the next 5-10 years. I think just to add, I think in the past, we've kind of focused on moving from Prime to Specialty in CDMO side of business. If you can give a bit of color into this, that will be helpful for everyone, I think.

Sucheth Davuluri: Thanks for your question. Saharsh, alluded to this in his previous response. But just to reiterate that, I think going forward, we have equal emphasis in terms of growing our genetic business as well as our CDMO business. Our sweet spot in the CDMO business is to work with biotech companies which have molecules all the way from pre-clinical to Phase -III, all the way to commercialization. On the generic side, we focus more on the specialty APIs, where the barriers to India are much higher. Obviously, many years ago, 80% of our revenues came from prime sort of products, but over the years, we've systemically focused on developing molecules with higher barriers to entry, more IP protecting it, and our ability to hold on to our market shares for a longer period of time. I think in terms of efforts, both in terms of capital expenditure, the resources allocated, the number of molecules that we select, the life cycle management that we do, our supply chain strategy, everything is geared in the organization to make sure that we focus on both of these segments equally. Obviously, we see the CDMO business to have a little bit more potential because the market is larger, and we still look at ourselves as an organization that can gain a lot more market share on the CDMO side, and therefore you see higher growth in that business as well. But from an emphasis point of view, it's going to be equal going forward.

Rahul Bhardwaj: Thank you for your response. I think I had one pending question from some of the previous calls, which was in regards to any thoughts on stocks that the management would have thought about if it's good or not good for business and investors, if there's any update on that?

Sucheth Davuluri: No specific update at this point of time, but obviously the board of the organization from time to time does examine this sort of issues from a shareholder point of view, but currently we don't have any specific updates.

Moderator: Thank you. The next question comes from the line of Gaurav Mahidhar, an Investor. Please go ahead.

Gaurav Mahidhar: Hi. Firstly, I would like to thank the management for being so forthcoming and honest with the guidance. It really makes a difference. Thank you so much

for that. So, I have a couple of questions. I will try the first one. What percentage would the cost of an API form for an NPE
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from an innovator's point of view? I guess it would vary from molecule -to-molecule. And if my guess is correct, what are the factors that affect it? Like does the complexity or a certain scale of manufacturing required by the API supplier affected? That's the first question.

Saharsh Davuluri: It's actually, I think maybe this question was asked in the past and it's a very difficult question to answer because there is a very wide range of what percentage an API could be in terms of the final drug product pricing. We've seen products where it could be as high as 10 %-12%. We've seen products where it's like 0.1%. And honestly, I think it's very difficult to be able to determine even for us what would be appropriate number to take. So, I think maybe it's a very, I am not quite sure how much we can help you on that front. So, maybe if you can go ahead and ask your next question.

Gaurav Mahidhar: Alright, no issues. Like we currently garner 40% of our revenues from the US if push comes to shove. How will import tariffs affect us and our supplies to the USA?

Saharsh Davuluri: I think, we have considered all possibilities, and we have also as part of our enterprise risk management, we kind of look at all kinds of risks including tariff risks, geopolitical risks, etc. I

think just looking at all possible scenarios, I think one thing to consider, I think just from a Neuland perspective is that we make APIs, right? We don't do drug product. And most of the APIs we make are, the alternate sources are either in China or in Europe or in India. There's not a lot of captive capacity for these APIs in the US. And therefore, it seems very unlikely that tariffs could be affecting our business directly. But having said that, I think also take into consideration that for most of the products we operate on both in the GDS and CMS side, we are typically one of the only suppliers or maybe one of the two suppliers and a supplier risk would actually harm US patients. And that's also something to be taken into consideration. And yes, so I think for us we will have to figure it out. I think worst case, also understand our business. We, I think almost all our CMS as well as GDS specialty customers consider us to be partners. And if something substantial like a tariff would happen, we would work with the customer to ensure that that tariff cost is absorbed by the customer to ensure that there is a seamless supply of material. I think these are the few responses maybe I can offer

Moderator: Thank you. The next question comes from the line of Meet Katrodiya, an Investor. Please go ahead.

Meet Katrodiya: My question was on, in the cardiovascular segment, one cholesterol-lowering drug therapy is doing very well in the global market, right? So, what factor does Neuland consider to gain more market share in the supply chain?

Saharsh Davuluri: I think it's again a difficult question to answer, right, because the product you're referring to falls into our CMS business. And again, we will not be able to talk about product specific questions due to confidentiality reasons.

Sucheth Davuluri: The only thing I will add to what Saharsh said is that I think as an organization, we focus on making sure that we are delivering the product on time, on the quality, on the compliance, as Neuland Laboratories Limited
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well as maintaining a competitive position. So, basically based on our history, what we've seen is that the market share that we gain is directly proportional to how we perform from a customer perspective and that's why we focus. The wallet share or the market share is a direct outcome of that. Thanks.

Meet Katrodiya: So, growth guidance for which

you are giving for FY26 and beyond, is due to the visibility in this cardiovascular API or any other molecule which drives the growth? Only this.

Saharsh Davuluri: I mean, I think the outlook we've given about growth resuming in FY26 is at an aggregate business level. It is not at a segment level or at a product level. So, what we would like you to just take away from our message is that you can expect Neuland's business to grow in FY26. It grew well in 24. It was flat in 25. And you can expect the growth to come back in FY26. I think that's the only message we have given. Beyond that, we will not be able to give any further details to it.

Moderator: Thank you. The next question comes from the line of Sanjay Kohli from Goldstone Capital. Please go ahead.

Sanjay Kohli: Yes, good afternoon and thank you. So, I just wanted to understand that essentially we are a 100% chemistry company. So, when we supply to the biotech, what happens? There's a further biological manipulation of our products, and then in some plant overseas, it gets developed into a biologic in case of the CMS and in case of the generic, either biologic or biosimilar? Is that what happens basically, because essentially our customers are biotechs?

Saharsh Davuluri: No, I think maybe the confusion also comes because we call these companies as biotech companies but essentially these are all small molecule companies. They don't really do any biotechnology work or they don't do any biologics. The products Neuland makes are all small molecules, so they are synthetic and chemistry based and they are not biology based. It works similarly in the generic business. Our customers, these biotech companies procure the API, they get them formulated at another CDMO, packaged and then sold. But the entire product value chain is only synthetic and there is nothing to do with biology. I think perhaps what can create a confusion sometimes is that because the industry nomenclature calls these small and mid-size US-based companies, they are called as biotech companies. Ironically, although they don't do biotechnology, they are called biotech companies. But as you know, we are not in the biotech space. And therefore, we are not involved in creation of any biologics. I hope that clarifies. I know it may not be a comprehensive answer, but I hope it helps.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question. I now hand the conference over to the management for their closing comments.

SE Medikonda: Yes, thanks. Good evening, everyone. We want to thank you for taking the time and participating in the call. Your interest and the questions help us think deeper about the business and the future. We hope we have answered all your questions, and in case of any further questions or feedback, please reach out to Ravi Udeshi of EY. Thank you all once again and wish you a good evening.
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Moderator: Thank you. On behalf of Neuland Laboratories , that concludes this conference. Thank you for joining us and you may now disconnect your lines .

(This document has been edited to improve readability)

Call: May 2025

May 19, 2025

To
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on May 15, 2025

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and year ended March 31, 2025, conducted on May 15, 2025. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/en/investors/investor-meetings/transcripts>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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“Neuland Laboratories Limited
Q4 & FY25 Earnings Conference Call”
May 15, 2025

MANAGEMENT : MR. SUCHETH DAVULURI – VICE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER
MR. SAHARSH DAVULURI – VICE CHAIRMAN AND
MANAGING DIRECTOR
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL

OFFICER
MR. SAJEEV MEDIKONDA – HEAD, CORPORATE
PLANNING AND STRATEGY

MODERATOR : MR. RAVI UDESHI – ERNST & YOUNG

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May 15, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Neuland Laboratories Limited Q4 and FY 25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you, and over to you, sir.

Ravi Udeshi: Thank you, Avirat. Good evening, friends. We welcome you to the Q4 and FY 25 Earnings Conference Call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us the top management from Neuland, represented by Mr. Sucheth Davuluri, Vice Chairman and CEO; Mr. Saharsh Davuluri, Vice Chairman and Managing Director; Mr. Abhijit Majumdar, CFO; and Mr. Sajeev Emmanuel Medikonda, Head, Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar, and then Saharsh will give you broad highlights of the business trends and what he is seeing in the market. And post that, we will open up the call for the Q&A session. As usual, the standard safe harbor clause applies as we start with the call.

With that said, I now hand over the floor to Abhijit. Over to you, Abhijit.

Abhijit Majumdar: Thank you very much, Ravi, and good evening, and a warm welcome to each of you for joining our call. The financials for Q4 are as follows. The total income is INR335.8 crores, which is a decrease of 14% year-on-year as compared to INR390.4 crores in the same period. Prime and specialty segments were the main contributors to revenue. As we have said earlier, we would like to point out that the inherent nature of our overall business is uneven on a quarter-on-quarter or even on an annual basis.

Our EBITDA stood at INR58.2 crores with a margin of 17.3%. The decrease in contribution is attributable to the business mix and the decreased revenue base and decrease in gross margins, leading to a decrease in EBITDA in Q4 FY25 as compared to Q4 FY24, where the EBITDA stood at INR112.2 crores.

Now coming to specifics, the gross margin for the quarter was 56.3% as compared to 58.8% in Q4FY24. This gross margin includes manufacturing expenses and other costs directly attributable to the product. The profit after tax was INR27.7 crores as compared to INR67.6 crores in Q4 FY24, and the EPS stands at INR21.6 per share.

For the FY25, our total income stood at INR1,497.3 crores versus INR1,571.1 crores, a marginal degrowth of 4.7%. EBITDA, excluding exceptional items of 7.6, stood at INR342.8 crores in FY25 as compared to INR474.5 crores in FY 24.

We continue to focus on cash to optimize our working capital, which stood at 107 days of sales at the end of March. We generated a free cash flow in the full year of INR111 crores. We also paid back some of our term loan debt of around INR39.4 crores. And consequently, our net debt

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position stands at a negative of INR29 crores.

As part of our overall investments, we have invested INR26.4 crores in capital spends and are committed to balancing growth and profitability by continuously optimizing costs and processes to ensure long-term sustainability.

The additional production block in Unit 3 has been capitalized, and we expect to start commercial production in FY 26. While FY 25 was a year of consolidation, as we have stated this earlier in our earlier earnings call meeting, our customer pipeline gives us a good visibility. We are confident that the commercialization of Unit 3 production block will give the business greater revenue

momentum from the latter half of FY '26. We continue to be cautiously optimistic about our future and the potential that our business holds.

With that, I would like to hand over the call to Saharsh for his remarks. Thank you very much.

Saharsh Davuluri: Thank you, Abhijit. Good evening, everyone, and welcome to the call. Over the years, Neuland has steadily established itself as a dedicated API solution provider, possessing in-depth expertise and extensive complex chemistry capabilities. And we are collaborating with both innovators as well as generic formulators to create a healthy world. So before talking about the year gone by, I'd like to reiterate a few points which we have made in the past.

Our business is uneven due to the inherent nature of the CDMO business as well as the specialty GDS business, which is focused on small volume products. As a result, evaluating Neuland's trajectory on a 3-year block basis is perhaps a more accurate measure than comparing quarter-to-quarter or even an annual basis.

Again, there may be the odd year also where the trajectory will not be here due to the specific mix of how projects or products are taking off. However, the completion of manufacturing facilities, coupled with the scaling up of commercial molecules on the CMS side, gives us a great deal of confidence of achieving our stated objectives in FY 26 and beyond.

We continue to see increased interest in customers wanting to partner with Neuland as they look to bring in their innovative medicines to patients. And I think in many ways, this can be attributed to three factors. First is that our reputation is continuing to grow as a result of the work we've done over the last couple of decades, especially on the CDMO business.

Second is that our business development teams, who are also seeking new relationships, are getting increasingly focused on finding the right opportunities that actually fit our long-term strategy. So being very selective, very decisive in whom we want to work with.

Third is that the macroeconomic factors, which we all have been talking about have also been favorable to us. And therefore, we are enthused by the range of customers expressing their interest in working with us, and that's what's giving us the excitement about this business.

Coming to the year FY 25, I would like to state that we had some molecules which contributed in FY 24, which didn't contribute at the same level in FY 25. This was due to the natural life cycle Neuland Laboratories Limited

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of the products in our portfolio, and you would also find this evident in the business mix.

Therefore, I would urge you to look at our income of FY 25 from this perspective. Having said that, I would like to reiterate that this was expected, and yet we have invested in capacity building for existing as well as new molecules in FY 26.

The CMS revenues, which were around INR637 crores, these were largely driven by molecules in the commercial segment. We also had a molecule which got commercialized during the year and expect another molecule to be commercialized in FY 26. We are seeing good traction in terms of early-stage projects as well as customers reverting to us with more projects in their pipeline. So we expect the buoyancy in the CMS business to continue going forward.

On the GDS side of the business, we remain focused on innovating new specialty products while optimizing processes and expanding market share for the key commercial APIs. This is largely driven by Paliperidone and Dorzolamide this time.

In the Prime segment, the strong products for us this quarter were mirtazapine, levetiracetam and escitalopram. And we are confident that our dual strategy of focusing on high-margin specialty business as well as increasing volumes for the Prime API business will see good growth in FY 26.

As stated last quarter, our peptide investment is on track.

We continue to garner more projects

in the space, which further validates our excitement about the opportunities that the segment holds. We have also filed a U.S. DMF for Difelikefalin, which is our first DMF in the peptide space.

I would like to emphasize the inherent variable nature of our business, which makes it challenging to provide any form of guidance. But having said that, our business also provides us that visibility of strong growth in the upcoming period.

Another reminder from our previous interactions. We continue to maintain that there are a variety of factors that could influence our projections. These include performance of individual products, foreign exchange fluctuations, raw material cost volatility and other dynamics. We are aware of these challenges and continue to monitor these variables closely.

Regarding the capacity building, the new production block in Unit 3, which is commercialized on schedule, and we expect to start fulfilling orders in FY 26. Neuland flexibility and agility are crucial for effectively responding to the business environment and our growth strategy remains focused on pursuing high-value molecules from innovative companies, both on the CMS side and GDS side.

And we are committed to enhancing customer experience, which we believe distinguishes us as

a distinguished API provider. So our commitment to the future is evidenced by our investments in enhancing our capacities as well as capabilities adhering to our foundational values, which is customer centricity, agility and operational excellence.

We have molecules in our pipeline, which are currently at the takeoff stage. Therefore, we expect our growth trajectory to resume in FY 26 on the FY 24 base.

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In summary, I would like to conclude that Neuland is well positioned to capitalize on long-term opportunities even as we continue to navigate through some of the short-term challenges that may have come our way.

So Ravi, I think with this, we can open up for Q&A.

Moderator: The first question is from the line of Vivek Patel from Ficom Family Office.

Vivek Patel: The peptide and Unit 3 capacity utilizations, they were at the lower end of 30% to 40%. Then what was the rationale behind expanding the capacity and putting up capex of INR320 crores, INR350 crores that was announced recently?

Sucheth Davuluri: The 30% to 40% was the capacity utilization for Unit 3 it was not the indication that we gave for peptide. So the peptide capex was actually dedicated only for peptides, and that's actually happened in Unit 1 and not Unit 3. So there are two different issues. So the capex approval was for peptides whereas the capacity utilization was for Unit 3 for small molecules.

Vivek Patel: That I understood. But what was the rationale for the expansion in either or both cases?

Saharsh Davuluri: I think we have been in the peptide space for over 15 years, we have lab scale and pilot scale facilities. And with the increasing number of opportunities, the company decided that we would like to capitalize on these large-scale opportunities. So, the INR300 crores investment is actually directed towards creating very large-scale manufacturing capabilities, which currently do not exist in Neuland and these facilities are being created in Unit 1. Does that answer your question?

Vivek Patel: Yes. The next question is that, what could be the potential impact of the U.S. tariff given that the company derives about 40% of its revenues from the U.S. And also, would it be fair to assume that around 50% of these exports of 40% are coming from CMS segment and the rest is coming from the GDS and that the CMS segment might be hit a little harder than GDS. Would that be a fair understanding, sir?

Saharsh Davuluri: I'll let Abhijit answer the split about the exports for CMS versus GDS. But I think on an overall basis,

we don't really have any clarity on the tariffs at the moment. I think if they're under suspension, and I think broadly for India as a country and even for pharma. We are hearing different kinds of arguments against why tariffs should be imposed. And right now, we continue to have conversations with our customers. There is no imminent indication that it's likely to come.

And even if it would, we would perhaps they would get passed on to our customers. And I think the basic notion that we are looking at is that this would end up getting passed on to the patients eventually. And that's the basic understanding we have right now. But I think we'll have to wait and watch to see what clarity comes.

S E Medikonda: And in terms of the you're referring to the U.S. end market, I think that is a combination of both the GDS and CMS. What we share there is across both the businesses. And we have a good generic business even in the U.S. as a geography where we have a few strong customers as well as Indian customers serving the U.S. market. So it isn't just the CMS business with U.S. as the

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end market.

Vivek Patel: So the CMS, GDS in the U.S. could also be about 50-50?

Abhijit Majumdar: No. So currently, tariff, I presume, is applicable when you supply to U.S. Even if you have a dollar sale, typically, what could happen is you could be supplied to an end formulator in India or to anybody that depends on where you supply it. So broadly 30% of our revenue is based on supplies U.S., right?

But we could still be doing dollar-denominated sales outside U.S. So that's the way to look at it.

So it's not CMS GDS you should look at, what is your revenue generated from supplies to U.S., which is very important to determine if there's a tariff implication.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: So just two questions I have. First one, Saharsh, you mentioned growth on FY24 base, not FY25.

I know you didn't give a quantitative number, but how should we look at FY26 growth over FY24, let's assume, right? And maybe just some qualitative color around GDS versus CMS as

well.

Saharsh Davuluri: Yes, Shyam, I think FY 25 is like a 4.5%, 5% degrowth on FY 24, right? So I think basically, we want to make the reference back to FY 24 because I think that's how we have always narrated our growth to investors. I think even back in FY21 or FY22, where we had a year of flattish or a slight degrowth, we stated our growth based on how the previous year was.

And I think that's the only reference that's being made. Anyway, as you know, we don't give any quantitative guidance. So ultimately, the number in terms of what growth we are pursuing, we are not disclosing that. But we are optimistic that FY 26 looks good.

In terms of GDS versus CMS, I think both the segments we expect to grow. But as you would imagine, FY 25 has been a significant down year for CMS for the reasons that I had explained in the opening remarks.

And I think we see a lot of that getting addressed and we actually even see a new molecule coming in. So with all those factors coming in, we see more growth coming from CMS as a percentage than GDS. But overall, both will grow. And overall, we'll see good growth in FY 26 as well. But we will, obviously, not be able to quantify anything.

Shyam Srinivasan: And my second question is just on the margins. So I know we have, in the past, talked about a 25% to 30% margin. I know in FY25, we have been below that. But once growth comes back, should one bake in operating leverage and margins to get at least to the range or somewhere around the range?

Saharsh Davuluri: Yes. I think whatever we have seen in FY 24, I think we had also indicated that those are highly optimized kind of margins, right? I think very favorable exchange rates, raw material costs, produ

ct mix, etcetera . We had always said that that's more like a North Star of our margins. We don't expect that to be like a basis or a benchmark.

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But I think having said that, I think what we've seen in FY 25 is kind of deleveraging and therefore, I think the margins are suboptimal. So I think we should try to go back to higher margin levels. I'm not sure if it helps to give a range or anything like that.

Definitely, I think the margins we achieved in FY 24, it's hard to predict we'll be able to achieve that or not. But also, there's also capital being deployed more assets are getting capitalized, you're going to see more operating expenses. So I think we would like to keep it a little vague, but definitely, you can see margins going up.

Moderator: The next question is from the line of Vidit Shah from Spark Capital.

Vidit Shah: I have two questions. One is on the new product launch in CMS, if you could give some color on the size of the opportunity that we can see in the long run from this one particular product?

And what are the launches that you anticipate beyond FY 26? And the second one is I understand that the CMS business is a little lumpy given the model, but what caused the sharp revenue decline in the specialty molecules in the GDS segment?

Saharsh Davuluri: So I think, obviously, won't be able to reveal much about the new molecule that will get commercialized. But definitely, what I can share is that it is a commercially approved drug. It's been out in the market for a few years now. The first source is non-Indian source and Neuland is getting added as a second source. In fact, Neuland has been added as a second source. It's just that the timing of commercial supplies is set to start soon. And we are very excited.

I think the reason for the excitement is also that it is a relatively high-volume product. But again, if you look at the entire gamut of CMS commercial APIs we have, we have contributing from very, very large value to low value. I think this will be somewhere in the top. Maybe it's, I would hold back to say how much, etcetera , because, again, that would reveal too much. And we expect this business to be a steady business, which means that it's not just going to start in FY 26, but we expect it to continue for a long period. I think in terms of the contribution, the second part of the question, Sajeer, do you want to answer that?

S E Medikonda : In terms of the GDS business in terms of the specialty thing, I think we have had a few products where the volumes are more uneven because of they are small volume products. Some of them are ophthalmic kind of products, which have contributed in the past. And as a result of it, as Saharsh had also mentioned during his opening remarks, in certain quarters, it's likely to be uneven because of the small volume nature of those products.

Vidit Shah: Just as a follow-up to the first response, when in FY 26, can we expect delivery to begin?

Saharsh Davuluri: We won't get that specific. So I think you should start seeing it in FY 26, likely.

Moderator: The next question is from the line of Ritika from Valuequest.

Ritika Agarwal: Again, in addition to the earlier participant's question on the new molecule, sir, what therapy is this molecule in, if you could indicate that?

Saharsh Davuluri: Yes. I think we don't want to answer that, Ritika. I think over time, you guys will look at export
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data and everything and figure that out, but we don't want to disclose that information.

Ritika Agarwal: Last call, you had mentioned looking at molecules in CMS and COPD segment. Would it be one of those?

Saharsh Davuluri: Yes.

Ritika Agarwal: Sir, secondly, we recently saw data point for COBENFY, adjunctive schizophrenia Phase III data that came up. Does it change anything for us versus

us maybe what we would have thought earlier or got demand from the innovator?

Saharsh Davuluri: I appreciate the question. But I think, again, on the CMS molecule -specific questions, we won't be able to answer. And also, we never, as a company, get into the development strategy and clinical trial outcomes, etcetera, of these individual drugs. We go largely based on the outlook given by customers and operate on those outlook.

And if you look at the kind of customers that we have, whether it is big pharma or biotech, I think typically, the visibility we get is a fairly reasonable distance like we get 1 to 2 years visibility. And usually, these forecasts are fairly robust. They don't get changed fairly easily. So obviously, I'll not comment on individual molecules.

But at the same time, I just want to give you an insight on how the business works because for us, at the end of the day, it is about making X kilos of API. And those are based on our contracts and the forecast that we have in place. So just trying to give you a little bit insight, but I won't be able to answer the question directly.

Moderator: The next question is from the line of Akul Broachwala from Avendus Investment Managers.

Akul Broachwala: So I just wanted some further details on how you are planning to ramp up Unit 3. I understand that the facility is already ready, but in terms of regulatory approvals and how are you looking at the time lines for ramp -up of Unit 3, that would be great.

Saharsh Davuluri: As we had mentioned in the opening remarks the investment for Unit 3 we have now fully capitalized and it's ready. I think product validations are also going on. We expect to start commercial supplies in FY 26. I think that's also mentioned. Yes. So if we are starting commercial supplies, then it obviously is that the product is having regulatory approval. So we expect the ramp -up to start pretty quickly. There's not going to be a big gap.

Akul Broachwala: And do you believe that Unit 3 is going to be a fair contributor for our overall growth that you envisage over the next 3 to 4 years? Or is there anything else as well apart from, maybe, in terms of facilities that's going to add up to our growth prospects?

Saharsh Davuluri: Yes. See, I think if you look at how the business has grown, Akul, I think Unit 2 was driving a lot of the growth until a couple of years even until recently. Unit 3 was acquired by us, and it was kind of dormant for a few years before we started adding some products, especially on the CMS side. Now as those products are ramping up, Unit 3 contribution has started going up. Now as you would imagine, with the additional investments that our Board had approved in Neuland Laboratories Limited

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December 2023 and those assets coming in line, we expect further ramp -up of Unit 3 to happen. But what we are also seeing is that over time, Unit 3 will also get saturated because there's only limited number of additional capacity that will be created.

We also have, as you may have seen in our previous disclosures, expanded Unit 1. And we are also building a peptide facility over there. We are also creating small molecule facilities in Unit 1. So over time, although nothing is specified, Unit 3 will drive growth for the immediate period, maybe the next couple of years, and then maybe Unit 1 will drive the growth again. But this is just a very broad sketch. I think we'll have to see how the product mix plays out, and that will eventually determine how these numbers come.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.

Prolin Nandu: I just have one question, and this is more like a qualitative color on your CMS part, right? Now if I look at the how you have done exceptionally well on the CMS part. In FY 18, you had whatever, INR100 crores of sales. We are close to INR800 crores right now. So

from here on,

the ask rate to probably is very very high in some sense.

So when I look at, let's say, your Slide number 12 and in terms of the numbers that you give in terms of number of projects that you're working on. So let's say, this 81 of FY 22 is now 97, right? So in terms of one is the number 97 is higher than 81. But in terms of the quality of these 97 projects, how different are they versus what they were, let's say, in FY 22 in terms of

chemistry, in terms of size?

And apart from the peptide part that you have probably discussed, right, and you're also putting up the capex, any other chemistry which you have developed year or so, which you are very optimistic about also, which is also based on we have something related to that chemistry in the pipeline. So some qualitative color on your pipeline for CMS project will be helpful.

Saharsh Davuluri: Thanks. I think it's a very good question. Maybe what you're really trying to understand is that, yes, the pipeline the numbers are showing some improvement, but qualitatively, is that going to result in higher growth? I think just given the fact that we are already at a sizable CMS business, will we be able to sustain growth given that we are at a larger base now compared to where we were in FY 18?

Maybe if I have to answer this question qualitatively, if you can just kind of recall what was said in the opening remarks, we are seeing kind of a snowballing of our past efforts in this CDMO business. I think we've been there in the CDMO business for almost 20 years now. We have been working steadily with innovators, primarily biotech companies in the U.S., and we've actually gone through many cycles of development. What that has given us is a lot of credibility in the market.

This, coupled with also having a very, very focused business development team, right? One thing that's also very different about Neuland's business model is we're not a one-stop shop. We are a pure-play API company. So we also seek out those kind of projects. And when you couple that with, I think, favorable industry tailwinds, we are seeing a very good momentum in terms of how the business is looking.

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Now if you have to just look at the pipeline quality itself, what I would say, and this may sound a little anecdotal, but it is true. The quality of projects that are entering the system every year, the overall quality is only improving. And if I have to illustrate that, let's say, if we say, okay, how many INR100 crore opportunities are entering the system? Maybe 10 years ago, we would barely see INR100 crore CMS opportunity. I think today, we see a far higher number of INR100 crore opportunities. It doesn't mean that we only pursue INR100 crore opportunities, but that is fairly evident in our efforts.

So one, I would say to your question that we are seeing higher quality opportunities come our way because of the 3 factors that I mentioned that we have established credibility, our BD teams have become more focused. And I think Neuland with all its investments, infrastructure and the market conditions, is looking more and more attractive.

The other part, which is also important, which you asked is I think getting recognized on specific technologies is very important for us. We have initially been recognized as a deuterated API player. I think we have a few molecules in our development pipeline. We have one in our commercial, and we continue to be seen as an expert in deuterated chemistry.

Peptides is something we've talked about. I believe we have maybe 10 to 15 projects in our pipeline, which are peptides. Those tend to be an area that make us stand out even if you look at the Indian landscape, we become kind of a very obvious choice if an innovator is having a peptide molecule and is looking at India as a region where they want to outsource the API.

Other than

that, there would be specific areas like chiral chemistry or hydrogenations or ability to do like the physical aspects of the API, like getting targeted particle size distributions, etcetera. I think a lot of this information, we have published numerous white papers. So again, I wouldn't trouble everyone by going through all those details.

But the overarching point I want to make is that we don't go and typically try to offer a Chinese menu to customers. We try to identify where there is a technical fit, and we try to have deeper conversations with those limited customers. So therefore, the number in the table may not increase dramatically, but whatever numbers are increasing are higher value opportunities than what we have seen in the past. So tried to cover all the questions that you've asked. But yes, does it make sense? Did I miss out?

Prolin Nandu: No, no, it makes a lot of sense. Let me just one follow-up on this, the same aspect, right? See, you have outlined the quality of pipeline in depth in great detail. Now in terms of, obviously, the success rate obviously it's not in our hand, right? But in terms of that conversion rate, right, could you just comment a little bit there as to what have we done to improve the probability of, let's say, whatever molecule that we are working on going to the next phase, right?

Again, as I mentioned, we have limited things in our hand, right? It depends on the innovator.

But what could we do to help us improve that success rate, so to say? And what have we done, let's say, in the past, right, 5, 6 years to improve that?

Saharsh Davuluri: Yes. So I think if you look at the commentary we've made over the years, I think one area we've emphasized a lot is on strengthening our project management area because I think we look at

ourselves as a service provider. And for us to be able to create that deep meaningful relationships with our customers, I think we've been always talking about strengthening our project management systems, making sure that our customers feel like they look at us as collaborators. I think that's an area we've worked a lot on. I think that's helped us a lot. If you've seen, I think as we did our brand re-launch last year, we also talked a lot about our value systems and how we function. And we've been kind of harping a lot on the agility part. I think trying to stand out as an agile CDMO, I think that's been something that we've been trying to stand true to that. Because to back yourself as an agile CDMO, you need to have flexibility in capacities, you need to be accommodative, especially working with biotech companies. And that requires you to invest in certain kinds of buffers and systems. And I think we've done a lot of work in that area. Measuring the right things. I think we've started measuring what we call as FTR or First Time Right, because one thing that does shatter the confidence of a CDMO customer is that when you take their molecule into the plant for the first time and if you fail, that can become a red flag. And irrespective of everything else that you do, if you're not able to do that on point, that's going to be a challenge. We've been looking at those metrics. We've been incorporating that into our individual performance metrics across the organization. So these are some of the additional things that we are doing to just kind of make sure that the customer is at the forefront. And yes, mistakes will happen, but to be able to kind of collaborate with customers in the process is also very important. So those are some of the other things qualitatively that we are doing.

Moderator: The next question is from the line of Ishmohit from SOIC Research.

Ishmohit: Congratulations over the last 2, 3 years for really turning the fortunes of the company. Sir, I just have a question for the CFO. What could be the ballpark margin

we could expect in FY26,

FY27? we don't need a firm number, but just a ballpark basically number.

Abhijit Majumdar: So we don't give guidance on what a ballpark number is because that was a question asked, I think, so by a previous participant, Ishmohit. So you should for example, we did 30%, then we have dropped down to 17%. I think so the trending is clear that if you grow faster than the market in terms of your growth, your margins will kind of typically go up. It's for you to figure that out.

Saharsh Davuluri: Yes. I think, see, qualitatively, if you look at it, the business model remains what it is. I think it's not changing that much. I think the scale of the business is going up. The kind of molecules that we are adding, I think, are consistent with the theme we have said. You've looked at our past performance. I believe that you should be able to deduce what could be that range. It's just that we don't want to spell it out.

Moderator: The next question is from the line of Sanjaya Satapathy from Ampersand Capital Investment Advisors.

Sanjaya Satapathy: No, my question is that to some earlier question that you had said that one molecule in which has been commercialized and you are the second supplier to that. And there is some delay, but

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you are going to start that shipment soon. So can you just reconfirm that?

Saharsh Davuluri: No, actually, I didn't mention there's a delay. I think the question earlier was if we could throw some color on the molecule that is getting commercialized in FY 26. What I had indicated was that it's a molecule which is already approved in the market. It's been in the market for a few years and Neuland has been qualified already as a second supplier and the commercial supplies are starting shortly. That's all I have said. I had not made any reference to any delay.

Sanjaya Satapathy: Understood. And this is in addition to the first molecule that you already have in your bucket, right? Because you mentioned that it will be 2 molecules is what commercial molecule that you will be supplying in FY 26. So the first one is something which you already have, and this is the second one?

Saharsh Davuluri: Yes. There's one molecule that has been commercialized in FY 25. There's another one which is going to get commercialized in FY 26.

Moderator: The next question is from the line of Keshav from RakSan Investors.

Keshav Kumar: In the CMS pipeline, we have been seeing a reduction in the number of molecules in preregistration over quarters without a commensurate migration to commercial. Quarter-on-quarter also, it has gone from 6 to 4 molecules. So I don't know if it's the right way to do, but commensurately our high-margin development revenues have also come off. So what is happening there? And also how should it have a bearing on our business going forward?

S E Medikonda : So in terms of the number I think as we had mentioned earlier, the products which are under pre-reg, reg, they could be two kinds of products which are there. One is products where the customer is moving forward, has filed the NDA and is waiting for approval.

And there are other cases where customers possibly look to add a second source for a commercial product. But at times, even though they wish to add a second source, it takes a much longer time for them to reach the scale. And in certain cases, they don't even reach the scale where they go for a second source.

So in this category, I think we have certain products like that, which we keep looking at. We look at what is happening in the market too. And some of those products get removed based on our judgment and our discussions with customers. So I think that is all the read that we should take from that.

Moderator: The next question is from the line of Gaurav Mahidhar, an Individual Investor .

Gaurav Mahidhar : I hope I'm audible. I actually

wanted to ask that I see a lot of companies signing long-term supply agreements with innovators. Have you ever been approached for something on those lines? Or are there negotiations of that sort that you participate in?

Saharsh Davuluri: I think typically in the CDMO business, it's quite common that these innovators have these kind of long-term supply agreements. And I think for all our CMS molecules, we have such contracts in place.

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Moderator: The next question is from the line of Gyanprakash Yadav, an Individual Investor .

Gyanprakash Yadav : Yes, just a normal feedback. I am an individual investor. So I would request that the management, whenever they are announcing the results and putting up the investor presentation, better to have a 1-day delay so that we can go through the results and investor presentation and cash flow statement and everything and be ready with the questions. Unfortunately, I'm not ready.

Second thing, the FY25, we started with somewhere 10% growth, then we came to breakdown. And last few calls, we are very confident about our growth. So do you have some guidance when is the growth going to resume? It will be quarter 1, quarter 2? And what will be the ballpark range, something like this?

Saharsh Davuluri: Thank you for your question. I think with regards to maybe staggering the call a day after the results, I think we'll definitely take that feedback and see if there's something that we can do. I think with regards to the performance of the year, you're absolutely right. I think we started the year, we had indicated that we would expect to see a moderate growth.

But I think as we were getting into the year, we realized that it's likely not to happen. And therefore, we kind of changed our narrative and said that it's going to be flattish. And I think if you see how we ended up, we ended up with a small degrowth. It actually points to the reality of our business, right? I think it shows that we're not really fully in control of our numbers. And it is for those several factors that I had also reiterated in the opening remarks today. A small shift in the product mix could have an impact.

Exchange rate, raw material costs, a lot of things can contribute to this. I think these are some of the reasons why I think these kind of fluctuations happen. And I think that's the reason why we also hesitate to give any kind of guidance. But having said that, I think we also know that when there is a visibility of orders and we have production plans that match those orders, I think we also think it's fair to give that indication that we expect to see growth.

But having said that, I think we only say that growth is in FY 26 and onwards. We would not say what quarter or how it would happen. I think that is indication we would not be able to give. And unfortunately, I think that is something that as investors, you would have to take an independent call.

And I think we will keep trying to give as transparent messages as possible on the performance, but it would also be very realistic to expect that some changes will happen based on how things are moving in terms of execution.

Gyanprakash Yadav : But you all are in the business. You are working day in and out. You're very close to the customer. We, as an investor, we are not close to them. So some sort of guidance could always be since we are already in the middle of the May. It answers my question .

Saharsh Davuluri: Yes. No, thank you. I definitely understand your frustration. And I think a lot of analysts, I know you're an individual investor, but even a lot of analysts struggle to model our business because of these reasons. The confidential nature of the business creates additional challenges for us.

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So we definitely empathize with your concern, but also we

are also very limited in terms of how

much outlook we can give because of the nature of the business and the confidentiality, etcetera.

So I hope you will keep tracking us and you will be able to see a pattern. And our objective is

to try to be as honest and transparent in terms of our information flow. but thanks anyway.

Moderator: The next question is from the line of Chintan Shah from JM Financial Family Office.

Chintan Shah: So I had two questions. So one is looking at Slide number 12 again, that is on the project pipeline. So if I look at the Phase III as well as registration, so that number has been -- seems to be on a declining pace. So I understand that size-wise, this could be much different and numbers do not really make a big difference here.

But just beyond this one molecule that's going to get commercialized next year, just wanted to get a sense from this pipeline, are the molecules, say, such large that beyond that also, we could see a steady or sort of a high growth for the company continuing into the next few years? That is one.

And second, just supplementing on to this, now Neuland has reached certain scale and we have demonstrated your capabilities in peptide side. So can we expect that there could be a possibility more such projects or molecules where we get added as a second supplier getting on the commercial side and that could be a further big driver for us in the coming years? Those are my 2 questions.

Saharsh Davuluri: Yes. So you're absolutely right. I think it's difficult to deduce whether it's a high-value asset or not when you just look at the pipeline. I think that's why what we also try to do to help shareholders understand if there is a specific large value opportunity that is getting commercialized, we try to highlight that as part of our communication.

There might be even smaller molecules that might get commercialized in the same period, but they might not add substantially. So for now, I think we are seeing a good healthy influx of projects. I think even in the last 12 months, especially as these geopolitical tensions are emanating, biotech companies moving away from China. We are seeing projects flowing into Neuland, and those are all coming in Phase I, Phase II opportunities.

We do also see commercial opportunities coming our way. They don't happen as naturally as early clinical opportunities. So to the example of the molecule that is getting commercial this year, we do see occasionally opportunities where a drug is in Phase II I or nearing commercial and the customer wants to add us as a secondary supplier. And in those cases, there's an opportunity to start commercial revenue sooner.

But if you look at Neuland and how we are visualizing our growth for the CMS business, I think if you look at FY 25, FY26, FY27, FY28, FY29, looking at this pipeline, we do believe that we will have opportunities commercializing almost every year and big molecules commercializing every year.

And also to a question that I answered earlier, we're also seeing a snowball effect. So we're seeing more and more opportunities coming our way. So while this is anecdotal, we generally Neuland Laboratories Limited

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feel confident that we will be able to sustain the growth by adding high-value molecules. It's just very difficult to separate the small ones from the big ones, and that's why we just show you the table.

Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management.

Naveen Baid: Sir, in the past 3 to 4 quarters, you have consistently said that look at us from a 2 - to 3-year kind of a time frame, and you've been saying that you will continue to maintain the 20% to 25% top line CAGR growth. Since we have seen almost 4 quarters of very, very muted growth, and you already have some color on the pipeline that is in front of you, you still believe that we can look at you for

from that kind of a lens that, okay, 20% to 25% kind of CAGR is possible as we look into, say, FY27, FY28, FY29?

Saharsh Davuluri: As we had explained earlier, the performance of FY 25 is very evident as in I think we knew there were lesser orders to fulfill. I think molecules, which we had fulfilled orders for in FY 24, we knew orders were not there in FY 25. And we see that again changing in FY 26. and I think you're referring back to that 3-year block we talked about. I think growth at that rate, what we had talked about is something that's possible.

The part that I'm slightly disconnected is that 25% that you're talking about because I think we have not given any kind of a hardline number in terms of what kind of growth we are exactly targeting. But we are fairly confident that FY 26 will be a year of growth. Again, let's not look at it at a quarter-to-quarter basis.

Moderator: The next question is from the line of Mehul Panjwani from 40 Cents.

Mehul Panjwani: Sir, thank you so much. Your commentary has always been very transparent. And I'm tracking this company for the first time. So, I wanted to ask, when you said that one molecule has been commercialized in FY 25, and yet FY 25 has been a muted year for us, so when another molecule will be commercialized in FY 26, how much impact will it have on growth? Can you just share a comparison?

Saharsh Davuluri: I think when we mentioned that the molecule got commercialized, I think what we would do is if the drug is commercially approved, and Neuland is an approved supplier, we would indicate that it is commercialized. And that's why that change would happen in our table that you see on Slide number 12.

Now what we also expect is that growth will come when we start seeing orders for that molecule. And sometimes the year it gets commercialized, you may not necessarily see the orders. And therefore, it is not directly connected. So, what I would suggest is please don't connect the commercialized comment with the growth comment.

Because ultimately, when we are giving you an indication that, okay, FY 26 will be a year of growth, we are actually looking at the order values and we are looking at the aggregate business, and therefore, we are giving you that indication. Because sometimes the year of commercialization may not be the year that the revenue contribution happens.

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Mehul Panjwani: Right. And likely this molecule will be commercialized in the first quarter or second quarter?

Saharsh Davuluri: Again, sorry, I won't be able to give a specific quarter level breakdown. You will see it happening in the course of the year. That's what we can say.

Mehul Panjwani: And sir, in which business is CMS or GDS?

Saharsh Davuluri: CMS.

Moderator: Due to time constraints, we take this as the last question. And now I would like to hand the conference over to the management for closing comments.

S E Medikonda: Once again, we want to thank everyone for joining this call and for your interest in Neuland's business and Neuland as a company. We try to answer every question that is possible. But given the constraints of time, we may not be able to answer all of you. So in case you have further queries, please reach out to Ravi Udeshi of EY. And once again, thank you, and good evening.

Moderator: Thank you. On behalf of Neuland Laboratories, that concludes this conference. Thank you for joining us, and you may now disconnect.

(This document has been edited to improve readability)

Call: Aug 2025

August 4, 2025

To
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on July 31, 2025

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter ended June 30, 2025, conducted on July 31, 2025. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/en/investors/investor-meetings/transcripts>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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“Neuland Laboratories Limited Q1FY26 Earnings
Conference Call”

July 31, 2025

MANAGEMENT : MR. SUCHETH DAVULURI – VICE-CHAIRMAN AND
CHIEF EXECUTIVE OFFICER
MR. SAHARSH DAVULURI – VICE-CHAIRMAN AND
MANAGING DIRECTOR
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL
OFFICER
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD
CORPORATE PLANNING & STRATEGY

Neuland Laboratories Limited
July 31 , 2025

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Moderator : Ladies and gentlemen, good day, and welcome to the Neuland Laboratories Limited Q1FY26 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded. I would like to hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you and over to you, sir.

Ravi Udeshi : Thank you. Good evening, friends. We welcome you to the Q1 FY26 Earnings Conference Call of Neuland Laboratories Limited.

To take us through the results and to answer your questions, we have with us the top management from Neuland, represented by Mr. Sucheth Davuluri - Vice-Chairman and CEO ; Mr. Saharsh Davuluri - Vice-Chairman and Managing Director ; Mr. Abhijit Majumdar - CFO and Mr. Sajeev Emmanuel Medikonda - Head, Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you broad highlights of the business trends and what he is seeing in the market. And post that, we will open up the call for the Q&A session. As usual, the standard safe harbor clause applies as we start with the call. With that said, I now hand over the floor to Abhijit. Over to you, Abhijit sir.

Abhijit Majumdar : Thank you very much, Ravi, and a very good evening and a warm welcome to everyone joining our call. The Financials are as follows for Q1FY26 the total income is Rs. 300.6 crores, which is a decrease of 32.4% year-on-year as compared to Rs. 444 crores in the same period last year. The commercial CMS projects and the GDS Prime segment were the main contributors to revenue this quarter. As we have mentioned several times in the past, the inherent nature of our overall business is uneven on a quarter-on-quarter basis.

EBITDA stood at Rs. 42.1 crores at a margin of 14.4%. The decreased revenue has led to impact on margins as a result of deleverage, and there has been no other significant factor impacting the profit and loss account.

The gross margin for the quarter was 55.3% as compared to 56.1% in Q1FY25. These margins, as always, include manufacturing expenses and other costs that are directly attributed to the product. The profit after tax was Rs. 13.7 crores as compared to Rs. 98.3 crores in Q1FY25 and our quarterly EPS stands at Rs. 10.7 per share.

While our focus on optimal utilization of cash remains a top priority, we have seen a deterioration in working capital this quarter as we have higher inventory due to the even nature of order flow. Working capital stood at 145 days of sales for the quarter, and a free cash flow for the quarter was negative Rs. 66 crores.

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Our net debt stands at a negative Rs. 165 crores. As part of our investment, there was a cash outflow of Rs. 79 crores towards CAPEX for this quarter. We are committed to balancing growth and profitability by continuously optimizing cost and processes to ensure long-term sustainability.

As we mentioned in the previous quarter, the additional production block in Q3 has been capitalized, and we expect commercial production to start later in this fiscal year. Other investments which have been announced in the last 12 months are going as per plan. Given the rapidly changing environment, we continue to evaluate opportunities which will drive long-term growth, even as we focus on cost optimization opportunities across products and processes, which enable us to further strengthen our position.

While FY25 was a year of consolidation and Q1 FY26 has been a continuation of that, our customers

r pipeline gives us good visibility. Hence, we are confident with the commercialization of Unit 3 production block. It will give the business greater revenue momentum from the latter half of FY26. Overall, we continue to be optimistic about our future and the potential that our business holds. As in the past, the presentation which has been shared with the press release contains more details.

With that, I would like to hand over the call to Saharsh for the remarks. Thank you very much. Saharsh Davuluri : Thanks, A bhijit. Good evening, everyone, and welcome once again to the call. As you can all surmise from the numbers, the performance has been below par for this quarter. And through my commentary, I do wish to assure you that we are well on track for achieving both our short-term and long-term goals. We had previously indicated that we expect our FY26 growth trajectory to resume on the FY24 base, and despite a weak start, we remain confident of achieving this objective.

Before dwelling on the details of the quarter, I will reiterate a few points which have been made in the past but are still important for investors both old and new to keep in mind. Over the years, Neuland has firmly established itself as a dedicated API solution provider with deep expertise in various complex capabilities. We collaborate with both innovators and generic formulators to create a healthier world. Due to the inherent characteristics of the CDMO business and the speciality GDS business, which focuses on small-volume products, our business can be uneven. Therefore, evaluating Neuland's trajectory on a 3-year block basis is likely to be more accurate than comparing a QoQ or a YoY basis. There may also be occasional years where the trajectory is unclear due to the specific mix or how the products are taking off. However, the completion of the manufacturing facilities coupled with scaling of commercial molecules on the CMS side give us a great deal of confidence in achieving our objectives in FY26 and beyond.

We continue to see increased interest in customers wanting to partner with Neuland as they look to bring in their innovative medicines to patients. I believe this can be attributed to 3 main factors. Firstly, our reputation has been growing steadily due to the work we have done over the Neuland Laboratories Limited

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past couple of decades, particularly in the CDMO business. Secondly, our business development teams are increasingly focused on finding opportunities that align with our long-term strategy, making us more selective and decisive about our partnerships. The third factor being the macroeconomic environment being favorable. Of course, this is a rapidly changing scenario, which also has worked in our favor. We are excited by the range of customers expressing interest working with us, which gives us great enthusiasm for the future of our business.

Coming to the quarter's performance, which has been below par in terms of our performance over the last few years because of the flow of customer orders. However, this is in line with our earlier stated expectations on the increase in revenue to pick up during the course of the financial year. And I guess the orders were planned in a way that the quarter itself was always set to perform in the way it has. This quarter doesn't change our earlier stated expectations for the financial year as well as the following years. Revenues this quarter primarily came from commercial products in the CMS business as well as Prime GDS products like Mirtazapine and Ezetimibe. The specialty GDS business was also subdued this quarter with only Dorzolamide contributing significantly. However, this is not indicative of the potential of the GDS portfolio and the growth we expect to see. We remain focused on innovating new specialty products while optimizing processes and expanding market share for key commercial APIs.

rcial APIs.

Our dual strategy of focusing on high margin specialty business as well as increasing volumes for the Prime API business will ensure growth of the GDS business both in the short and medium term. On the CMS front, we see short and medium-term growth coming from molecules which have been commercialized in the recent past. As indicated in previous calls, we also expect the commercialization of another molecule this year.

We are also seeing significant growth in terms of new business coming from both existing as well as new customers, which should fructify in the numbers over the course of this and next financial year. We are also excited by the range of customers expressing interest in our services and placing first-time orders. Apart from commercial projects and the new business, we are also seeing some of our customers assets in the pipeline make progress. We expect buoyancy in the CMS business to continue going forward and drive the growth over the short, medium, and long term.

As stated in the past 2 quarters, our peptide investment plan is on track. We continue to garner more projects in this space, which further validates our excitement about the opportunities that the segment holds. Even our peptide scientific team is working on exciting projects. At the same time, they are also developing capabilities that will help Neuland further differentiate itself as a peptide API manufacturer. We will continue to update you on the progress we are making on this front, even as we expect the new facility for peptides to be completed in the next financial year.

Another reminder from our previous interactions, we continue to maintain that there are a variety of factors that could influence the projections. These include performance of individual products, Neuland Laboratories Limited
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foreign exchange fluctuations, raw material cost volatilities, and other dynamics of the business. We are aware of these challenges and continue to monitor these variables very closely.

Regarding capacity building, the new production block in Unit 3 has seen the validations happening as per schedule and we expect fulfilling orders in FY26. We also continue to work on expanding our Unit 1 by acquiring land, which gives us the leeway to add capacity faster than a Greenfield expansion or a facility acquisition. Agility and innovation are crucial for effectively responding to the business environment, and we continue to invest in our capabilities and people to ensure we are enhancing our customer experience, which we believe distinguishes us as a CDMO.

I would like to conclude that Neuland is well positioned to capitalize on long-term opportunities, and we are also positive regarding the outlook for the year. So having said this, Ravi, I request you to open it up for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Arun Shanmugam, Specialist Investor. Please go ahead.

Arun Shanmugam: Hi, sir. Good evening. So, considering the revenue composition, the CMS business contributed around 44% of the revenue in the current quarter. Considering the high-margin business that CMS is, why is the margin fall so very significant in this quarter?

Saharsh Davuluri: I guess it is basically the fact that we have had low revenues this quarter. Overall, there has been de-leverage in terms of our operating expenses, etc. If you look at the gross margins, the business is still indicative of how it was earlier, but obviously, because the numbers have been suppressed, there has been a hit and it is only for this quarter.

Arun Shanmugam: And previously, you had indicated that this financial year, we will see a commercialization of another molecule in addition to a molecule which was already commercialized in the previous year. So, is that guidance to be continued or do you see

any other molecule being commercialized in the current quarter?

Saharsh Davuluri: As I had just explained in the opening remarks, we expect another molecule to be commercialized in the course of this year. It has not yet happened, but it will be happening this year.

Moderator: Thank you. Our next question is from the line of Dheeraj from AlphaSqr. Please go ahead.

Dheeraj: Hi, Saharsh. One of my questions is, across the industry, many players today are talking about peptides, right? If I see any concall from any CDMO manufacturer, they are now talking about peptides. How should we think about someone who can build credibility in the space and someone who can really have capability to build a Rs. 500 crore or Rs. 1000 crore revenue out of peptides in the next 3-5 years? How do you suggest the investors in terms of which players do have that capability and how should we cut the noise?

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Saharsh Davuluri: Yes, it is a very good question, Dheeraj. Neuland has been dabbling with peptides for almost 17-18 years now. We have had a small group, mostly working in small scale and then in pilot scale and now with this new investment, we wish to embark on large scale commercial manufacturing of peptides. The hypothesis for us has always been that, look, we are present in peptides. We understand the chemistry and the techniques of peptide chemistry. However, we never had the large scale infrastructure. What has happened over the last several years, thanks to the GLP-1 is that peptides have become more prominent in the drug development landscape and peptides are being increasingly used as a vehicle for delivering new therapies. As a result, what used to be a \$1 or \$1.5 billion market space is now a \$5 or \$6 billion market space and it is growing very rapidly because more and more drugs are coming out into the market, which are peptides. As a result of this market expansion, a lot of players, not just globally but in India also are showing that enthusiasm and they are making investments in this space and they wish to participate in this opportunity. And I think it is a fairly large market and therefore I think there is room for several players. Having said that, I think what makes Neuland a strong player in the peptide space is the 15 plus years of experience we have had in peptide chemistry. If you look at the IP landscape, the number of patents filed by Neuland scientists over the years, the kind of work we have been doing, not just in terms of peptide APIs, but in peptide fragments, etc., I think that creates layers of depth of expertise that I believe Neuland uniquely has, at least from this region. In the space of peptides, techniques become that much more important than just knowledge of chemistry because when it comes to executing peptide projects, there are a lot of techniques,

whether it is purification, lyophilization, precipitation, or different techniques, which are very difficult to achieve and apply to projects. Companies that have years of experience, especially even on the large scale, they tend to do well and we believe that is what gives us the advantage.

What was the limitation for Neuland, frankly speaking, was that we never had the large scale capacity. Even before 4 or 5 years ago, we had been approached by biotech companies for making commercial peptides, but we could not fulfill those projects because we never had that scale. But now with the creation of this capacity, we are very confident that our business will grow, but I also do believe that there is enough space for multiple players to do well, but you do need strong R&D capabilities in peptides. Just having infrastructure may not be enough. I hope that answers your question.

Moderator : The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan : Good evening.

Thank you for taking my question. Just the first one, reading through the press release and the commentary around the outlook remaining the same from a growth perspective of fiscal 26. So Saharsh and team, just anything qualitatively, I know you are not giving anything quantitative in terms of what the growth outlook is, but if we were to look at Q2, then Q3, then Q4, what are some of the key milestones we need to kind of look forward to? So you talked about the validation at the Unit 3 new production block, but say, if you could kind of help us break it down on a quarterly basis, just the qualitative sense of what will help drive a recovery in the revenue space?

Saharsh Davuluri : Yes. Hi, Shyam. I think we kind of carefully crafted the opening remarks to give as much detail and as much guidance to investors about how we see FY26 unfolding and we have kind of tried Neuland Laboratories Limited

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to lay everything out there. So I think you have kind of caught most of the points that were said. We really don't wish to break things down at a quarterly level because that is something that we have avoided doing in the past and we do not want to set a new precedent in terms of trying to break things down. But we do remain very clear and confident that you will have that growth that we had indicated in FY26. Yes, the validation of our Unit 3 facility for the CMS molecule is complete and therefore, anticipation of commercial supplies is one milestone, as you have clearly acknowledged. I think the launch of the new CMS molecule, which was awaited for about a year or so is another milestone, which we have indicated. And there has been another CMS drug, which was approved last year, which we are also scaling up. I think these are some of the critical milestones. There are a few on the GDS side. But we would unfortunately not be able to give you a timing indication. You should be able to see progress during the course of the year.

Shyam Srinivasan : Understood. That is helpful. If you were to look at, in terms of, you also made a comment around the acquisition of land for Unit 1, I couldn't get which unit and this is outside of the peptide one, which you have, we are planning, right? Sorry, what is this for? And you said it is better to do this than do a Greenfield, so if you could just double click on this, please?

Saharsh Davuluri : Yes, it is part of our future expansion plans, Shyam. The peptide facility is also being built on an acquired piece of land next to Unit 1. That has been already integrated, and some expansion is going on there. But even beyond that, certain additional pieces of land are also being acquired. The idea is to have an integrated large site, rather than have a Unit 4, Unit 5, etc., which might again be operationally challenging, and even from a regulatory compliance point of view. So the idea is to try to expand the sites we have, rather than try to create new sites. That was the idea. The Greenfield can be also challenging, because acquiring a piece of land, building infrastructure, and then seeking approval, since mostly our business is in the regulated market, we believe could take us anywhere up to 5 years. But being able to acquire land integrated into your existing FDA-approved site, creating additional facilities is a much shorter timeframe. So that is the advantage that we were talking about.

Shyam Srinivasan : Helpful. And my last question is just on the GDS segment. I know there was a reclassification from Speciality Prime for, I think, Ezetimibe, if I remember right. Even with that, we have seen a decline for the quarter. So I am a little confused there. Is there something specific, or is it, again, just phasing of supplies, or you ramp up GDS supplies later in the year? Sorry, if you could help us, because that is a little bit ongoing business, right? That may be less lumpy, so if

you could help us?

Saharsh Davuluri : Yes, it is the right observation, Shyam. I think Ezetimibe was classified from Speciality to Prime. And I think for us, the quarter itself, irrespective of that classification, I think we have had products like Paliperidone, etc., which have been contributing to the growth of the Speciality segment. It just so happens that we have not planned for dispatches of this product in this quarter, along with some other changes, and that is the reason why. But I think for the year itself, we don't see any concerns with regards to Speciality. And Ezetimibe is a Prime product, and we

expect to see good growth in Ezetimibe also going forward. So I think, overall, we have no
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concerns. But yes, I think Speciality has degrown for Q1. And it is for, I think it is just how things have stacked up for us.

S E Medikonda : Shyam, I think to add to what Sa harsh has said, and also what he indicated, even during his opening remarks, the fact is that a lot of our GDS Speciality products are relatively small -volume products. So they are not necessarily regularly produced and regularly shipped. So there is always that variability, even when it comes to our GDS Speciality products, which we have seen this quarter.

Shyam Srinivasan : Understood. Helpful. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Ish mohit from SOIC LLP. Please go ahead.

Ishmohit : Hi, thank you so much for the opportunity. I just had two questions. First one is, are we also looking at CMS opportunities in the peptide landscape over the next 3-4 years?

Saharsh Davuluri : Yes, I think the portfolio of projects for us will be GDS as well as peptides. And we have several projects which are likely candidates for the peptides business.

Ishmohit : So, basically, are we looking at the contract manufacturing opportunities in the CDMO space for peptides?

Saharsh Davuluri : So we have several CMS molecules, some as late as Phase -3 and several in earlier stages, which are peptides. And they are part of our portfolio and they are also part of that table that we keep disclosing every quarter in CMS.

Ishmohit : Right . And the second question is, just overall direction over the next 2-3 years, do we see that our CMS business will start moving towards that 65 %-70% mark towards the overall sales contribution? I am not holding you to a quarter because that is not the nature of our business.

But anyway, over the next 2, 3, 4 years, basically direction?

Saharsh Davuluri : I think, we don't want to give that classification, but I think definitely this year, next year, I think the CMS growth will be quite strong. And therefore, we expect it to increasingly contribute to the total revenues. I think the GDS also is poised for growth. But I think being a more mature, established business, I think growth will come more on the Specialty side , maybe a little less on the Prime side. So we will have to watch. But it is slightly more difficult to ascertain. But overall I, you can expect the CMS contribution as an overall sales to increase compared to the past years. But we don't want to really specify how much.

Ishmohit : Right , sir. All the best for the future in the coming quarters.

Moderator : Thank you. The next question is from the line of Naveen Baid from Nuvama Asset Management. Please go ahead.

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Naveen Baid : So in the molecules table that you provide, I see one of the molecules dropping from 9 to 8 in the pre -registration phase. Is this a dropout or have you reclassified this?

S E Medikonda : So I think, Naveen, in terms of the product, it is a product which , I think it was an intermediate, which we have seen that the customer is not really looking to move forward because it hasn't picked up the volume that they

expected, even as they had done work with us in the R&D. So since we no longer see that possibility, we have kind of dropped the product, but that doesn't really impact anything much in the overall scheme of things.

Naveen Baid : If you can just like kind of give some sense in terms of what kind of revenue, what was it doing? Like, was it like sub 50% for you?

S E Medikonda : No, I think it was a very small molecule which used to probably contribute only once in 2-3 years. But again, it wasn't doing much, so yes.

Moderator : Thank you. Next question is from the line of Neel Shah from Purnatha Investment Advisors Private Limited . Please go ahead.

Neel Shah : So, you did mention in your introduction that we should consider FY24 as a base and not focus only on quarterly variations . So that is fair, but can you guide on the growth in the topline for FY26, even if it is like over FY24?

Saharsh Davuluri : Yes, unfortunately, I think we are just using words as guidance. So I think, what is the word we have used, Sajeed? Healthy growth?

S E Medikonda : Strong growth.

Saharsh Davuluri : Strong growth is the word that we are leaving you with. So please forgive us for not being more specific than that.

Neel Shah : I mean, that is fair, but strong growth implies something about 10 %-15%. Can you give a certain range maybe?

Saharsh Davuluri : See, I think what we have said is a couple of things. One, we should look at a 3 -year perspective.

Second is, we have also mentioned in the past that over 3 -5 years, 20% CAGR is a reasonable number to look at for a company like Neuland and the kind of phase that we are. But yes, I don't want to connect the words with a number. But yes, we expect to see a strong growth in FY26 as well.

Neel Shah : And do you expect any recovery in the margins in FY26?

Saharsh Davuluri : Yes, I think we see margins also recovering because the margins have been suppressed because of the poor sales.

Neel Shah : That is it from my side. Thank you.

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Moderator : Thank you. Our next question is from the line of Chirag Shah from White Pine Investment Management. Please go ahead.

Chirag Shah : Thank you for this opportunity. Two questions. First is a slightly different question from this quarterly stuff. So I wanted to understand what is required for a higher conversion for us from Phase-3 to commercial especially in Big Pharma because it appears that we have not been able to participate on the commercial side with Big Pharma in a way in which we would like. So what is required or what changes you are making to be a part of the supply chain when it becomes a commercial product?

Saharsh Davuluri : It is an interesting question. I think to work with Big Pharma whether it is for early stage or late stage, I think building those relationships require time and they require certain kind of infrastructure capabilities, etc. I think as we have always mentioned, Neuland has traditionally worked a lot with biotech companies. Even today, most of our pipeline comes from biotech companies , not a lot comes from Big Pharma. I think Big Pharma work is either coming through peptides or when a biotech company is getting acquired by Big Pharma. So frankly speaking, we don't have a lot of experience to speak about what it takes to convert Phase-3 projects from Big Pharma. But our approach has been to kind of keep investing in capabilities, infrastructure, which we have been doing and engaging with Big Pharma for unique technologies. So for example, Neuland is in contact with several Big Pharma for areas of peptides or deuterated molecules because these are capabilities that Big Pharma does not find from their traditional API suppliers. And in that pursuit, we are looking at some early stage projects. We are occasionally also finding opportunities on the late stage, but it is really too

early for us to comment on whether

they will fructify to business or not. But yes, I think Big Pharma is a very important target segment for us. And there is a lot of effort for the medium to long term to build large businesses with Big Pharma and I believe we are making good progress.

Chirag Shah : Is capacity in advance a constraint for you? Because even when you work with biotech and when they are taken by Big Pharma, is capacity, upfront being available is a constraint. And how should we look at it?

Saharsh Davuluri : Yes, I think it is an interesting question. I think capacity is not, I would say directly it is not because even in Neuland, if you see, we have been investing in capacities ahead of the curve. We have been creating one or two production blocks ahead of the demand surge even today in Unit 3, we are creating additional production block which will be available in August or September for production. But we have not really mapped any products over there. So we are creating capacities. And if a Big Pharma or any other client were to have a project, I think they would find capacity in Neuland. So I don't think that is directly a concern as of today. But yes, perhaps 2 years ago, 3 years ago, maybe we would not have that. But what we also see mostly is when ever you engage with any biotech or Big Pharma, unless it is a late life cycle opportunity where there is old molecule which is nearing patent expiry, a Big Pharma is not really looking for huge capacity straight away to be available. We have seen some opportunities slip from us because some large, big companies have looked for large volume APIs which are nearing patent expiry for which they needed some ready capacity. And I believe we have lost one or two of

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those opportunities. But again, we also feel from a scale chemistry point of view, those are not really great fits for us. The way we have been building our business is to start partnering for molecules which are late in the clinic or in the middle of the clinic or maybe early commercial. And for those kind of opportunities, you really don't need to showcase so much capacity ahead of time. You need to show your ability and bandwidth as a company to create appropriate capacity in time for the scale up of the molecule. But more importantly, you need to show the technical capabilities for handling the process and designing the process which we have. So it is a very finished approach where we need to find the right kind of project. And I think Neuland as a company, although we want to work with Big Pharma, we are also very careful not to

approach Big Pharma for the wrong kind of projects because then we would end up competing on capabilities which we are not very strong at. So we are very careful in that approach.

Chirag Shah : Sir, it is a very basic thing that a lot of Indian pharma companies looking to enter into the GLP generic space. Are we engaged with them in any way? Either in small or a meaningful way a part from that we are kind of aware of because there are a lot of companies who are looking at them , a good amount of capacity that we created in that way ?

Saharsh Davuluri : It is not coming out clearly. We are not able to hear it. If you don't mind, let us just get back into the queue because we have a long queue today. Maybe we will take the question later. Sorry about that.

Chirag Shah : Yes, sure.

Moderator : Thank you. The next question is from the line of Keshaav Bagri from Man yavar Family Office. Please go ahead.

Keshaav Bagri : Thank you for the opportunity to ask questions. I have two points I would like to raise. First, regarding the export data, we noticed a resurgence in volumes for xanomeline and Bempedoic acid. Could you provide some color on whether the demand for these molecules has indeed picked up meaningfully? And if we expect this trend

to continue in the subsequent quarter? The

second question would be with regards to Karuna Therapeutic being acquired by BMS . Can you share some insights on how your relationship with this large pharma partner is evolving or strengthening post-acquisition? And if providing details on specific molecules isn't feasible due to disclosure constraints, could you please at least confirm whether your company serves as a first level supplier for these molecules?

SE Medikonda : So in terms of the question on export data, we usually don't want to comment on export data because that data itself is not a complete representation of all that is there. So I think we will just leave it at that. And I think with regard to the question on the relationship with Big Pharma , Saharsh will respond .

Saharsh Davuluri : Yes, I think for us, broadly speaking, whatever business we currently have, which we are scaling up, I think we are on the right track. So I think the relationship is on track, but obviously for

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confidential reasons, we will not be able to disclose too much. But I think we are doing well and we expect our Big Pharma relationships to be really fruitful as we go along.

Keshaav Bagri : The last question would be on the topic of EBITDA margins. Like in a previous conference call, you had highlighted that FY24 was an exceptional year for margins, driven by multiple factors aligning simultaneously, the lower raw material costs, stronger TDM over sales and other contributing elements. You also noted that replicating those margins would require similar conditions to converge. Could you provide some guidance, perhaps the ballpark way, to give us a greater clarity on what we might expect for EBITDA margins in the current fiscal year and subsequently for the later years?

Saharsh Davuluri : We won't be able to provide any guidance on the margin front, but I think, yes, as you rightly recall, FY24 was in some ways exceptional in terms of very good margins , I think 30 % or upwards , I think for various factors . I think we expect as our business ramps up, we should go back to very strong EBITDA margins. How they will be exactly, I think, is something that I think we would not comment on right now because we have a very fledgling portfolio of molecules. We have very young molecules which are just scaling up in size. We are also kind of dealing with various dynamics on the commercial side. But we do believe that we will have strong EBITDA margins. But we also don't want to get ahead of ourselves by giving any kind of guidance at this point. And we also don't want to comment on whether they will be similar to, closer to, etc ., of FY24, but they should be comparable.

Moderator : The next question is from the line of Jasdeep from Cloak vine. Please go ahead.

Jasdeep : Yes. Thanks for taking my question, sir. Just a small question. What is going to be the CAPEX this year for FY '26?

Abhijit Majumdar : So the CAPEX this year would be around Rs.250 crores.

Jasdeep : Got it. And this is primarily and how, what is the breakup of the CAPEX in very broad terms if you could explain?

Abhijit Majumdar : Yes. We have broadly been in the range of 60% is growth CAPEX and 40% is maintenance.

Moderator : Thank you. Our next question is from the line of Saurabh from Sundaram Mutual Funds. Please go ahead.

Saurabh : Yes, hi. Thanks for the opportunity. Sir, first question is on CMS. Do we have any chance to backward integrate in any of the molecules what we have right now?

Saharsh Davuluri : I think there is always some opportunity for backward integration either for control or value addition. But yes, I think we definitely keep that kind of a lens open and there are a few opportunities definitely.

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Saurabh : And second, we are looking at the strong grow

th in CMS for next couple of years. So are the facilities or the capacities available for next 2-3 years or we will have to further invest in the capacity for CMS molecules?

Saharsh Davuluri : Next 2-3 years, the capacities are mostly in line. We will have to constantly monitor and see if there are any tweaks to be made. But ye s, most of the capacities for next 2-3 years are in line, available.

Moderator : Thank you. The next question is from the line of Ritika Agarwal from ValueQuest. Please go ahead.

Ritika Agarwal : Hi, sir. Thank you for taking my question. So two questions. Firstly, a few quarters back, you had alluded to COPD drug getting commercialized soon for the company. Would you talk briefly about this opportunity without giving anything really specific?

Saharsh Davuluri : I think we have just mentioned that it is in the CMS space. I am sure in another 1 or 2 quarters, once the export data comes out, everyone will kind of know exactly everything about the molecule. So maybe not much I can add at this point.

Ritika Agarwal : No, sir , not the CMS that we are expecting commercialization this year. But what I wanted to ask about COPD drug that also you had mentioned a few quarters' back that will also get commercialized soon, COPD drug ?

Saharsh Davuluri : I understand. Actually, what we had told is that that is the next big opportunity in the radar for us because it is kind of late in the clinic a nd at least it looks like there i s a high probability of success. But it is still maybe I think a couple of years away. We expect to make large scale API, but I think commercialization is still a little bit away. And also, just given the sensitive nature of that business and where that molecule is, we don't want to talk too much about it at this po int in time.

Ritika Agarwal : Right. Could you highlight which stage is it in? Would it be in Phase-3 stage?

Saharsh Davuluri : Yes, just entering.

Ritika Agarwal : And second question, also from the number of projects in the CMS, we see a new Phase-3 molecule getting added. This would be the Phase-3, which would have moved internally from this particular COPD drug is what we should understand?

Saharsh Davuluri : No, this one is a new Phase -3 like so we got the project while it is in Phase -3. It has not moved from Phase -2 to Phase -3.

Moderator : Thank you, ma'am. The next question is from the line of Atishray Malhan from Fortress Group. Please go ahead.

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Atish ray Malhan : Yes. Hi, good evening to the team. My questions are pertaining to the GLP -1 opportunity. I believe you are currently in the process of developing Semaglutide and Liraglutide APIs. I just wanted to know where exactly you are in the development process and when you expect to commercialize these APIs ?

S E Medikonda : So we have in the past looked at both Liraglutide and Semaglutide, but we are not really moving forward with them. I think the molecule that we are looking at in terms of our GDS business is Tirzepatide, while Semaglutide is a molecule which we have developed in the lab, but we decided not to move forward unless we have someone partnering with us on that molecule. Thanks.

Atishray Malhan : So have you been in conversations with any pharma manufacturers for the Semaglutide opportunity because S emaglutide is going off patent i n several geographies next year, s o just wondering on that ?

S E Medikonda : So in terms of the way that we have prioritized our molecules, I think we have not really prioritized that molecule. So we don't really have anything active going on with respect to that molecule.

Moderator : Thank you. Our next question is fr om the line of Nilabj a Dey an Individual Investor. Please go ahead.

Nilabja Dey: Sir, m y only question is that and for last 4 quarters of this flat because of the lumpiness everything is acceptable. But my only q

uestion in terms of the capability and point of view, what kind of investments you are making? So this lumpiness is significantly reduced over a period of time because demand is not an issue. Fi rst of all, I am not from the industry, but I understand demand is not an issue. And most of the Indian companies are doing good tractions with the innovative companies and everything. So from a generic point of view, I would like to know what you are doing in terms of capacity , anyhow you may have or something from the capability

point of view, so that this lumpiness can be effectively tackled in the next 2-3 years point of view. This is my only question. Can you please help me to understand?

Saharsh Davuluri : Thanks for the question. I think the question about lumpiness and how do we tackle lumpiness and what kind of capabilities we are building to address the lumpiness, I think it is a challenge and I think that is why we were very careful in all our investor interactions to highlight the nature of the business. We do believe that as we grow in size and achieve larger scale, the lumpiness should slowly come down. And I think as we have a stronger base of commercialized products, there should be less lumpiness. I think even if you look at the last 4-5 years journey of Neuland, I think some of the biggest contributors for lumpiness have been the scale -ups or the gaps in production of our specialty and CMS molecules. I think we have had periods where we made validation batches and they were quarters where we had very strong revenue because we were shipping validation batches. We have had periods where we have had strong revenue performance because we have had launch quantities being shipped. But things start to stabilize when you are in a commercial mode. I think today, if you just kind of zoom out and look at the Neuland Laboratories Limited

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commentary of the management over the last 3-4 years, you can recognize that there are perhaps 3 or 4 new molecules including the GDS side, which are driving the growth of the business, maybe 5 molecules. Now, these molecules are all very early in their life cycle, and therefore there has been different factors driving the lumpiness of these molecules at an individual level. For example, we have had capacity constraints, so we are adding new capacity. Now that capacity has not come online yet, and now it will be coming online. These kinds of factors, which unfortunately we cannot be very transparent and associate these factors at a molecule level, and that makes it very difficult for you as investors to understand. But at an aggregate level, because we have a small pipeline, and these pipelines are contributing to the growth, and this pipeline is young, we are seeing this lumpiness, but if you go fast forward maybe 2 years from now, 3 years from now, I do believe, and at least instinctively, that this lumpiness should come down. You should not see the kind of swings that you would see when a company or the business is at a smaller scale. Unfortunately, I cannot give a more quantitative kind of .

Moderator : The next question is from the line of Keshav Kumar from RakSan Investors. Please go ahead.

Keshav Kumar : Hi. Thanks for the opportunity. So a peer of ours has been very bullish about late stage opportunities coming to Indian CDMOs due to China Plus One and all that. So as per our strategy and with whatever opportunities we are seeing, what is your view on whether we should see a better late stage accretion to the pipeline going forward than we have seen in the past, like we have onboarded a Phase -3 molecule this quarter? So your views on that, please ?

Saharsh Davuluri : See, I think definitely we do completely subscribe to the bullishness around the business, and I think that is why I think a lot of CDMOs including Neuland are investing in capacities and new capabilities. So definitely

we do believe that there is a lot of business coming our way. I think it is also evidenced in some of the early stage, small scale projects that are coming in. I think when it comes to late stage clinical projects, I think they are not going to be too many of these opportunities because if you look at it from an innovator's perspective, trying to find a CDMO when the molecule is in Phase -3 is not really an ideal place for an innovator to be in. An innovator ideally tries to place a molecule in Phase -2, early Phase -2, and expects the CDMO to take the molecule through commercial launch. It is only when there is some sort of a bottleneck or a setback on the manufacturing front does the innovator pivot to a new CDMO in Phase -3. So we must also recognize, and this is our experience, that there is not a lot of Phase -3 outsourcing opportunities out there, although they would be very attractive because it means that you are having faster access to business. But yes, I think we always are open to those opportunities. I think the real sustainable way for long -term growth is to have a mix of early -stage projects and late-stage projects because the early -stage projects give you the opportunity to build a process where you have mastered the molecule and the expertise. You also have the first supplier advantage. There are even pricing and margin advantages, and if you continue to scale up well as a first supplier from Phase -1, you tend to have certain advantages. So I think for Neuland, it would be a mix, and yes, while we continue to look for Phase -3 opportunities, we recognize that there are not going to be too many of them coming our way, and therefore we will need to have a balanced healthy mix of Phase -1, Phase -2, and Phase -3, and maybe even some earlier stage molecules.

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Moderator: The next question is from the line of Harshad Mehta from State Tech. Please go ahead.

Harshad Mehta : Yes, hi. Thanks for the opportunity. Although I would like you to comment on the kind of

revenue growth and the margin expected during the current year and the next coming few years, which the previous participants have tried to get from you and you have been candid enough not to give a very specific answer, so I will roll back to something that most retail investors are questioning. Is a split or a bonus something on the mind of the management and if not so, why?

Saharsh Davuluri : I think at the moment, we have not really examined the possibility of a split or a bonus, but definitely we will consider and discuss it and see if there is something that can be done.

Harshad Mehta : Yes, because basically , I don't think it is just a book entry and it doesn't really cost or charge anything to the company, right? But it will surely show up some investor interest into the stocks.

Saharsh Davuluri : Yes, no, I think it is a very fair point. So definitely we will attend a book .

Moderator : Thank you. The next follow -up question is from the line of Dheeraj from AlphaS qr. Please go ahead.

Dheeraj : Yes. Saharsh, I just wanted to thank you for my previous question. Just to follow up on the same question. Do you think the work we are doing in peptides is margin accretive or they dilute the margins?

Saharsh Davuluri : I think it is a good question. I think when we are seeing, see, there is not a critical base, right?

We have maybe 10 -15 projects in peptides. And if we look at how the margins play out, intuitively you think that they are in line with the margins of the CMS projects. So I think it should be in line with what we currently do.

Dheeraj : Understood. And is there any way, you can have some investor day for our factories who would love to really come and engage like one day? Is there any possibility or?

Saharsh Davuluri : Yes, I think we have never had something like that , but definitely we would

be very happy to

plan for something, maybe. So yes, I think now that you have given the suggestion, let us also figure out and get back to you. But definitely something we would be happy to do.

Moderator : Thank you. Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

S E Medikonda: We want to thank you for the interest in Neuland and due to the limitation of time, we couldn't take all the questions , but we hope that our answers have addressed a significant portion of your concerns. In case of further questions, please do reach out to Ravi Udeshi of EY. Good evening, everyone.

Moderator : Thank you. On behalf of Neuland Laboratories Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Neuland Laboratories Limited

July 31 , 2025

Call: Nov 2025

November 12, 2025

To
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on November 7, 2025

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and half year ended September 30, 2025, conducted on November 7, 2025. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/en/investors/investor-meetings/transcripts>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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"Neuland Laboratories Limited
Q2 & H1 FY26 Earnings Conference Call "

November 07, 2025

MANAGEMENT : MR. SAHARSH DAVULURI - VICE CHAIRMAN &
MANAGING DIRECTOR
MR. ABHIJIT MAJUMDAR - CFO
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD
CORPORATE PLANNING & STRATEGY

Neuland Laboratories Limited
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Moderator : Ladies and gentlemen, good day and welcome to the Neuland Laboratories Limited Q2 FY'26 Earnings Conference Call.

As a reminder, all the participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you and over to you, sir.

Ravi Udeshi: Thank you, Anjali. Good evening, friends. We welcome you to the Q2 FY26 & H1FY26 Earnings Conference Call of Neuland Laboratories Ltd.

To take us through the results and to answer your questions, we have with us the top Management from Neuland Laboratories represented by Mr. Saharsh Davuluri –Vice Chairman and Managing Director ; Mr. Abhijit Majumdar – CFO and Mr. Sajeev Emmanuel Medikonda – Head , Corporate Planning and Strategy .

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you broad highlights of the business trends and what we are seeing in the market. And post that, we will open up the call for the question -and-answer session. As usual, the standard safe harbor clause applies as we start the call.

With that said, I now hand over the floor to Abhijit. Over to you, Abhijit, sir.

Abhijit Majumdar: Thank you very much, Ravi, and a good evening and warm welcome to everyone joining our call. Our apologies that we kind of started two or three minutes late because of connectivity issues.

Let me now drive in straight into the financials for Q2 FY '26. Our total income was Rs. 516 crores odd, which is a 63.7% jump as compared to Rs. 315 crores in the same period. The commercial CMS projects contributed to a majority share of the revenue and were the primary drivers of growth this quarter. Even though the quarterly revenue is, I think so, the best quarter in terms of revenues, I'd like to reiterate our mantra regarding the inherent uneven nature of our overall business on a quarter -on-quarter. EBITDA stood at Rs. 156.9 crores at a margin of 30.4%. And the growth in revenue has led to operating leverage with a business mix tilting to CMS, which are the factors which have contributed to the EBITDA margin. The gross margin for the quarter was 60.1% as compared to 56.3% in Q2 FY25. This gross margin, as always, includes manufacturing and other costs directly attributable to the product.

The profit after tax was Rs. 96.5 crores as compared to Rs. 32 in Q2 FY'25 and the EPS for the quarter stands at Rs. 75.18 per share. Over the last two quarters, we have seen some deterioration in our working capital because of higher inventories as well as uneven order flow leading to higher receivables towards the end of the quarter. Optimal utilization of cash remains our top

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priority and we are working towards inventory optimization, accelerated customer collections, and heeded by a more even delivery flow. The working capital for the quarter was at 155 days of sales. Pre-cash flow for the quarter is a negative Rs. 141 crores and our net debt stands at negative Rs. 6.6 crores. As part of our investment, there was an overall cash flow of Rs. 91 crores towards CAPEX for the quarter and Rs. 170.7 crores for the six months.

We remain committed to balancing growth and profitability by continuously optimizing costs and processes to ensure long-term sustainability. Other investments which have been announced in the last 12 -18 months are going according to the originally envisaged plan. As a result of the opportunities which are opening and the rapid changes made possible by t

he acceleration in

technology, we are continuously evaluating options to invest which will enable long-term growth as well as differentiating Neuland in the competitive landscape in which we operate.

To summarize, Q2 FY26 was in line with our expectations, breaking away from the pattern of

the past previous four quarters. As we have mentioned in the past, we expect FY 26 year where we see good growth and continue to be optimistic about the future given the potential that our business holds. As in the past, our presentation which has been shared with the press contains more details.

With that, I would like to hand over the call to Saharsh for his remarks. Thank you very much.

Saharsh Davuluri: Thanks, Abhijit. Good evening, everyone and welcome once again to the call. The numbers this quarter substantiate our earlier expectations regarding FY 26 and before I dwell a bit more on the quarter, I would like to once again paint a bigger picture of Neuland's business for our investors both old and new. For over four decades, Neuland has been manufacturing complex APIs in a GMP environment, establishing our credentials in regulated markets, first with generic formulators and more recently with innovators. We have seen the business mix transition over a period of time to a level where now more than half of the revenues come from the CMS business or the CDMO business as it's called this quarter. Given the natural unevenness of the CDMO business, the lumpiness of the business and the specialty GDS business, it is more meaningful to evaluate Neuland's trajectory in an annual basis or ideally in blocks of three years rather than a quarter-on-quarter basis. Customer interest in Neuland's capabilities continues to be on the rise as we have seen increased engagement with a diverse range of customers across geographies. Even though the macro environment seems a bit uncertain, Neuland's track record of enabling development and commercialization of complex molecules has meant that we are seeing good traction in terms of customer visits, RFPs, and conversions. Our reputation and track record as an agile partner is enabling not just new business but greater share of business from existing customers. While the space seems competitive, we believe that the canvas is large enough for a number of good players with a focused strategy to succeed. That is substantiated by the fact that we are seeing customers come to us with specific needs, especially in the peptide space. Given the interest in our peptide capabilities, we are confident that our investments bode well for the long term. Even in the generic space, we continue to see customers keen to work with us given our portfolio of complex specialty molecules. Given the shifts we are seeing, I
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believe Neuland is well prepared to take advantage given all the steps we are taking internally to further strengthen the capabilities of our team.

Coming to the quarter's performance. As Abhijit had stated earlier, the revenues this quarter are at an all-time high. The growth we have seen this quarter is primarily the result of our top two commercial CMS molecules doing well. We see this momentum continuing for the rest of this financial year. In terms of the GDS business, we have seen good contributions from products like Ezetimibe and Mirtazapine. Ezetimibe will continue to be a driver of growth for the GDS prime products. GDS specialty this quarter was subdued with sterile products Paliperidone and aripiprazole contributing. During the quarter, we have filed for one DMF. As I mentioned earlier, the CMS business is seeing good traction with a range of customers across geographies. Our existing portfolio is doing well in terms of our relationships with customers. In line with our expectations, we should see the commercialization of another molecule this year. We are al

so

seeing a lot of new business coming with deliveries expected to happen over the next 12 months to 18 months. Our investment in the peptide facility is going according to plan and we are able to engage with an exciting set of customers who are interested in our capabilities to meet their increasing requirements. Our peptide team is working not just on exciting customer projects but also working on developing differentiated capabilities, further setting us apart as a peptide CDMO. We will continue to update you on progress we are making on this front, even as we expect the new peptide facility to be completed in the next financial year. Apart from this, we are continuing to evaluate avenues whereby Neuland is a more attractive partner for innovators as well as generic formulators.

Even as things seem to be on track, I would like to remind you that there are a number of factors which could impact our business. We are constantly reminded of the high-risk nature of our customers' attempts to bring novel therapies for unmet medical needs, which do impact our projections. Apart from the performance of individual products, foreign exchange fluctuations, raw material cost volatility, and now increasingly unforeseen geopolitical risks, and other dynamics of the business could also significantly influence the performance of our business. We are aware of these challenges and continue to monitor these variables very closely and work towards mitigating the risks.

So, having said this, Ravi, I request you to open it up for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Amey from JM. Please go ahead.

Amey: Thank you so much for taking my question and congrats to the management on a good set of numbers. What I was checking is, you said in the opening remarks, there are two projects which

have led to this growth. But apart from these two projects, is there any new commercial project which is there anything to highlight? And also, for next two quarters, whatever fuse which we have in hand, is it possible to provide some visibility in the second half of the year, which is typically stronger for CDMO companies?

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Saharsh Davuluri: Sure. So, as I had mentioned, two molecules have driven the growth in the quarter. But we have another molecule which was long awaited and commercial shipments are expected to start soon. So, that would obviously also add to the contributors. And in terms of the rest of the year, I think we have typically shied away from giving updates on how quarters pan out. But what I would just like to reiterate is that we had indicated that FY '26 will be a year of strong growth on a base of FY 24, not FY25. So, we stand by that and I think maybe this quarter also is kind of an indicator that we are in that direction. But beyond that, we don't want to get into talking about how Q3 and Q4 would specifically turn out to be.

Amey: Sure. Got it. And the second question I have on the GLP -1 or the peptide. So, what kind of API capabilities we are building in terms of kg volumes? Is it possible to give any number?

Saharsh Davuluri: In terms of volume, you are asking, Amey?

Amey: Yes, in terms of like there are Chinese players who are like with 4,000 -5,000 kgs of API capacity on the GLP -1. So, in terms of like what is the capacity we are targeting at present?

Saharsh Davuluri: See, the capacity of peptides that's being talked about, it's slightly difficult to answer. And I will just try to elaborate it as simplistically as possible. We are building a four -module large -scale peptide facility. In that four -module facility by next financial year, we will have Module -1 completely ready and operational. And along with this module, we will have another module for which the civil work will be ready, but

it will not be equipped. Modules 3 and 4 would be built later, depending on how the business is tracking. For the Module -1, we will have an array of equipment, solid -phase reactors, which would be as big as 2,000 liters and smaller ones. And then we would have columns. We would have lyophilizers. These are all, again, proportionate to the 2,000 -liter SPPS reactors. Now, how many kilos of peptide we can make in that Module -1, which is the question that you are asking, is really dependent on what is the process that we would follow for making the peptide. If the peptide requires extensive purifications, extensive lyophilizations, if it requires very high level of dilutions, then you can in that kind of a module, probably make only a few hundred kilos of peptide. But if the process is very evolved, doesn't require too many purifications, does not require a lot of dilution for lyophilization, then you could potentially make even a ton or maybe even more than a ton of peptide. So, it is very difficult. And even I have heard this narrative in the industry about a facility that makes 2 tons of peptide, 3 tons of peptide. But it is really a factor of the process. And the process is something that Neuland is developing. And it really is product -specific. So, unfortunately, I think it's very difficult to answer what the capacity of this facility would be in terms of kilos or tons of peptide. But the largest reactor we plan to have is 2,000 -liter SPPS.

Amey: Got it. So, the product portfolio you are looking at is GLP-1 as well as non -GLP-1?

Saharsh Davuluri: Yes, we are looking at a wide range.

Amey: Sure, got it. Thank you so much. I will join back in the queue .

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Moderator: Thank you. The next question comes from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Hi. Thanks for the opportunity and congratulations for maintaining a solid track record of volatility and lumpiness in performance. I have got two questions. First is, despite a noticeable slowdown in the CDMO development pipeline, Neuland has added 25 new scientists. So, 360 to 385 is the new count. Could you explain the rationale behind increasing headcount when the development pipeline is at historic lows, if I look at the trend over the last four quarters? I am looking at the presentation.

Saharsh Davuluri: Yes, thanks, Sajal. You almost make it sound like we are intentionally being volatile or lumpy, but that's not the case. I think this quarter, if you see, the development revenues have not been very high. We have had more of commercial shipments. But as I had also indicated in the commentary, the pipeline of new business is still very strong. We have several new projects that have entered the system in the last 6 to 8 months. But many of these projects are still in process development, in scale -up, and they have not been shipped or built, so to speak. Therefore, you are not seeing them in the count of the table. But over the next 12 months to 18 months, you will see an increase in the number of projects across these tables, which would kind of satisfy the question that you are asking. However, whether these numbers would be substantive, I am not

very sure. But they would be high -quality projects that we would be adding through. So, yes, the numbers would increase. I think in terms of headcount, yes, there is a slight increase, again, because we are seeing an increased load in terms of projects. But we also don't want to increase headcount proportionately, because we are also working on modernizing our R&D setup, trying to use modern equipment, modern approaches like parallel synthesizers etc . so that we are able to recruit more skilled scientists who have a more mechanistic approach towards R&D and will try to accomplish process design, maybe doing fewer reactions, maybe in a pa

rallel reactor setup.

So, yes, you will see recruitment of scientists, but it may not be in proportion to the increase in new business. And the increase in new business will be visible in the table with regards to projects, but you will see that over maybe 3-4-5 quarter period, not straight away.

Sajal Kapoor: Certainly. Now, that's helpful Saharsh . And my second and last question is, how does Ne uland ensure that its people strategy and governance framework stay aligned with the long -term innovation and sustainability goals while fostering empathy and ethical conduct under high performance pressure in the kind of R&D work that we do and the kind of scale -up chemistry that we undertake? Thanks.

Saharsh Davuluri: So, it's a very loaded question, but it's a very important question, Sajal. I will try to see how effectively I can answer it. See, I think ultimately our business model is very focused. We are a process development company. We don't do different kinds of R&D. We only do process development, process optimization, and scale -up. In that regard, our long -term vision from a technology and a sustainability point of view would be to delve into more and more complex chemistry, rather than just make small molecules, get into peptides, get into maybe oligonucleotides, more and more complex chemistry. So, that would be the direction technologically that we are going into, but again in the area of process development and scale -

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up. From a sustainability point of view, if you look at it, and you look at it from a sustainability lens, the idea is to develop processes which are more green, more sustainable. If you are getting into peptides, then one of the challenges in peptides is that we use too much solvent, and solvent is not a green technology. So, how can you make peptides which consume less solvents? So, contextualizing sustainability in the area of our business is very important, which we have done. And if you see, Ne uland has started publishing integrated annual reports for the last couple of years. And this is the reason why we have started to do that, because we want to weave in our goals and align them with our people and make sure that their goals, their individual goals are also factoring in this pathway. And I think in terms of the governance around this, I think basically what we are working towards, and this is still a work in progress, is ensure that the goals of everyone, starting from Suchet h and me, to our leaders and then people working with them, we have integrated goals where areas like innovation, sustainability are woven into our metrics. Long -term incentives of our staff have sustainability goals as a critical weightage in how we pay long -term incentives for our employees. So, these are some of the ways in which we are trying to bring in governance and accountability. But it is something that will take us some more time to take it down to an operating layer. Right now, I would say it happens to maybe the first top three layers of the organization or four layers of the organization. But if we are able to do it successfully all the way down, then I think we would have successfully accomplished what you are trying to understand.

Sajal Kapoor: No, that's very reassuring, Saharsh . Thank you so much. All the very best.

Moderator: Thank you. The next question comes from the line of Shyam Srinivasan from Goldman Sachs . Please go ahead.

Shyam Srinivasan: Two questions for me. First, on the new block that we had actually put for one of the molecules, which is largely for that Rs. 128 crore, has that been completely, I believe we did some early commercialization in Q1FY26 , but in Q2FY26 , we should assume that many of that, this new block is being used. Would that be fair?

Saharsh Davuluri: Yes, Shyam. It's a fair assumption. The block is commissioned a

nd we expect to start shipping
product from it going forward.

Shyam Srinivasan: Saharsh, we have gone from 50 metric ton, if I remember right, to 150. So, is there some measure of what the utilization is and is there a way for us to see how much can likely come through in the path forward?

Saharsh Davuluri: No, Shyam, I think that level of detail we are not able to provide. So, I think it's going to be challenging for us to give any qualitative indications. But I think maybe just to reiterate, this product is being manufactured in Unit-II. There was a capacity constraint. The client needed us to manufacture more. So, we brought this new facility online. Now it's available. And the idea is to use both Unit-II as well as Unit-III to basically service the client needs. But how will we

utilize both these lines? And what would be the capacity and how much of that capacity would we execute? These are questions that we cannot explicitly answer.

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Shyam Srinivasan: Perfect. Okay. My second question is just on the cash flow. It's just on the cash flow statement.

Abhijit, you mentioned about some of the challenges of uneven order flow at the start. But when I look at like last September to this September, I think even receivables, we have seen like a big change. So, is there anything we need to be worried about? Is the terms changed with some of the customers? You talked about inventory optimization, but I was looking at some of the other line items in working capital, which have also become adverse. So, just your thoughts there.

Thank you.

Abhijit Majumdar: Hi Shyam. So, if you really look at it, just look at it from the beginning of April to the end of September, you have inventories which have gone up broadly by I think so 155 crores -160 crores, right? And as we had alluded to, that we see a better performance, growth performance. So, we have been kind of putting inventory in, both in the form of raw material, starting materials, intermediates, right? So, that's one of the reasons why we see that sharp rise in inventory between the beginning of April and the end of September. What we are saying also is that we have another six months to go and we will look at how to optimize our inventory, right and bring in a natural flow. Because what happens when you have a step up of sales, typically what happens is you kind of load inventory upfront, right? And then it kind of becomes even. So, that's a step that we will look at over the next six months. Now it's, I guess, next five months. As far as receivables are concerned, you would have also observed that that's also gone up. It's a natural skew that has happened, you know a quarter has three months, and we are looking at how we can kind of even that over three months, right? So, what typically happens is that when you produce, there are stages of production, right? It could be stage I to stage VI, stage I to stage VI, etc. And the moment you complete those stages is when you get the final API. And so then the orders get kind of get sold or attended to in the last month of the quarter. What we are attempting to do is that we want to kind of even the production and then try to kind of look at selling it somewhat evenly over the three months. But that will take some effort and time because that's the nature of our business. You start production in month one and you complete production in month four. So, that's the nature of our business. But we will see how to even it up. And still, with the steps that we have already started taking, hopefully by the end of March, we will have kind of seen a better performance on working capital days.

Moderator: Thank you. The next question comes from the line of Ritika from Value Quest. Please go ahead.

Ritika: Hi, sir. Thank you for taking my question. My first question is you mentioned this year we expect comm

ercialization of a new molecule. And you said that we have already shipped that and we expect to see that from the next quarter.

Saharsh Davuluri: I think what we may have implied is that we had validated this product some time back and now we are expecting to ship it in the course of this year. That's what we would have implied.

Ritika: Sure. And secondly, on this new block in Unit-III for one of the molecules that we have recently commissioned, should we expect good utilization, not asking the number, but a fair, good utilization would have happened in this quarter itself?

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Saharsh Davuluri: No, actually, we only validated the product this quarter. So, I don't think we have utilized that block in like in Q2, there was not no commercial shipments from that block. It just got capitalized and we validated the product. So, commercial shipments would start later.

Ritika: And the last question was if I see the CMS pipeline, I see one new molecule being added in Phase -3 intermediate. Could you talk briefly about that? And secondly, we see two molecules moving out from Phase -3 in API, one from commercial in API as well as intermediate. So, could you briefly explain what happened in this new molecule in Phase -3 as well as reducing in terms of commercial space both for API and intermediate?

S E Medikonda : So, I think, Ritika, I think, as we have mentioned in the past also, the final net number that you see is a result of both additions as well as deletions. So, we would have added, I think, as we get to know how our customers' products are doing in the clinical trials, and we know that some of them have not done well, we removed. And in the case of, say, you may be seeing that there is an addition of one intermediate in Phase -3 that actually may be a result of certain 2-3 intermediates actually being added, some of them for a Phase -3 molecule, which is with an innovator who is working on novel therapy, say, in oncology space. But we are doing the intermediates for them. At the same time, one of the molecules which was removed from the commercial space was for a molecule which has been generic for some time now, which we had

taken long back. And we know clearly that we are not going to get any more, or we haven't really done anything with that product. And we also see going forward also that we are not going to do anything with that product, which is why that product dropped. So, I think that is probably the top summary of the table and the question that you have asked.

Moderator: Thank you. The next question comes from the line of Aditya Chheda from InCred Asset Management. Please go ahead.

Aditya Chheda: Hi. So, my question is on the comment made on the GDS segment, the specialty business being subdued. Can you throw some more light about what is happening in that segment, whether it is competitive intensity, etc.? And there was an element where some of the products were shifted into Prime, if we can talk about the segment as a whole and also on specialty, how should we think about growth directionally in GDS? Thanks.

S E Medikonda: So, again, Aditya, I didn't get the last part of your question, if you could. It was not that clear.

So, when you were talking about some of the certain products, if you could just repeat that bit?

Aditya Chheda: I am referring to the products moved from specialty to prime some time ago.

S E Medikonda: Got it.

Aditya Chheda: So, I want you to talk about existing this competitive pressure or lack of. And as a whole, the GDS segment.

S E Medikonda: Sure. I think if you look at the range of molecules that we have, even in the GDS business, even if we were to look at a Prime segment, for most of our products, we do not have as many

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competitors. So, if I consider a molecule like Mirtazap

ine or even if I look even at larger scale

volume product, say levofloxacin for the regulated market, we do not have as many competitors.

But you are also right that this is a segment where there is a lot of, I mean, I think there is an element of even at the end market level, there's a lot of change even in the market share, which different formulators have. So, I think that at times also is leading to unevenness for certain prime products. When it comes to the specialty segment, we have a lot of small volume products where I think most of them are in a few hundreds of kgs or in certain cases, even tens of kgs. So, the volumes for them are more likely to be lumpy. And in certain cases in the specialty segment, we also have molecules which have only been commercial in only a few markets. They are yet to be fully commercialized across all markets. So, because of that reason, we have certain quarters or in certain cases, even some years where it may seem that there's nothing happening. And also, as you had mentioned, compared to the past, we have also moved out Ezetimibe, which was a strong contributor in the past to specialty and even now is the leading top two contributor to the Prime. And that is a product which is doing well and will continue to do well and probably it will drive the growth of the Prime business. So, to summarize, yes, the space is more competitive, but at the same time, for most of our products, we do not see that much competition with some of our older products. But when it comes to the specialty products, it's just the fact that they are small volume and it is a bit uneven. So, I think we still are pretty optimistic about the growth of the GDS business, but it is something which will also pan out slowly over, say, if not this financial year, the next financial year.

Aditya Chheda: Okay. And last question is on CMS piece. Is it a right inference that the products that are now commercial contributed to a reasonable part of the development revenues in the last 12 months to 18 months and the base would slightly be relatively subdued versus what it was in the last 18 months in the near future?

S E Medikonda: Yes, you are right. Your inference is right that I think as this one of the commercial product was close to commercialization and was getting approved, it contributed significantly from the launch quantity. So, that effect has gone from the development revenues. But we also anticipate as our customers do their Phase -2s and they're moving towards Phase -3, we also expect certain revenues to come in from products which are going into Phase -3 in the future.

Moderator: Thank you. The next question comes from the line of Shrikant Akolkar from Nu vama. Please go ahead.

Shrikant Akolkar: Hi. Thanks for the opportunity and congratulations on a good set of numbers. In the first two products that you have mentioned, you have shipped, are we currently an exclusive supplier to the innovators?

Saharsh Davuluri: Not really. I think we have other suppliers as well.

Shrikant Akolkar: Okay. Based on the current capacity, when do you think Neuland would reach its full potential in these products?

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Saharsh Davuluri: I think we have a lot of capacity for these products now. So, I guess we really don't know whether

we will reach full capacity or not. The idea for us is to maintain a sustained market share with these customers, focus on execution and customer satisfaction, and see if we can, increase our wallet share or maybe increase the business with these customers for other products. But the idea is not to get into a situation where we are deploying all our capacity. I think strategically our goal is to have enough capacity to more than fulfill their requirements. So, we don't anticipate running out of capacity for these products.

Shrikant Akolkar: Understood. My second question

is on the third molecule that you mentioned. So, can you provide more information on this product, whether it is a high-volume product and would Neuland have an opportunity to become an exclusive supplier in this product?

Saharsh Davuluri: See, I think once the shipments start, I am sure everyone will be able to decipher the nature of the product, but it's a CNS product and you should start seeing shipments going out maybe in the next month or two. But yes, it's a CNS product. It's similar. It's a typical volume product that Neuland handles. I wouldn't say it's a low volume or a very high volume product.

Shrikant Akolkar: Okay. And based on the earlier comments that you had said that Neuland would get added as a second supplier. So, that's why I just wanted to know if there is an opportunity for us to become an exclusive or preferred supplier in this product?

Saharsh Davuluri: For the earlier product? Not really. I think our goal would be to focus on our execution and build trust and a strong, deep relationship with these customers. Building exclusive relationships, especially as you start working with larger pharma companies, is not something of a likely scenario because of business continuity management practices. None of the pharma companies would like to be in an exclusive procurement situation. Sometimes in our CMS business, it has happened in some cases where the customer finds it very convenient to buy only from us, but not because there is a contractual obligation that they will be an exclusive buyer from us. So, in that way, yes, we do hope to have more market share, more wallet share, but we will have to see how that pans out because it depends on our ability to execute and the customer's risk appetite and their need to have diversified supply chain. So, those are things that are very difficult for us to even find out. And of course, there would also be very limited amounts we can share. But even for us to know some of these things is challenging.

Moderator: Thank you. The next question comes from the line of Meet Katrodiya from Niveshaay. Please go ahead.

Meet Katrodiya: Yes. Congratulation team for the strong execution. Thank you so much for the opportunity. So, apart from the 4-5 major molecules where we already have better visibility, how many additional molecules should we expect to be commercialized over the next, let's say, 18 to 24 months in the CMS business? Or maybe the next phase of growth will be the peptide. So, just want to have a view for the longer term, after let us say 2 years, the additional growth will be in terms of percentage maybe it will be the peptide will be the drivers or there are more molecules in the CMS that have a larger opportunity size?

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Saharsh Davuluri: I think we don't have any direct confirmed visibility of commercial projects for the next 12 months to 18 months. However, there could be opportunities that could come in the form of late stage opportunities that maybe we are in conversations with, but these are not definitive. And therefore, I think the short answer is that other than the one that's around the corner that we talked about, we don't see any concrete commercial visibility for the next 12 to 18 months.

Moderator: Thank you. The next question comes from the line of Rusmik Oza from 9 Rays EquiResearch. Please go ahead.

Rusmik Oza: Thanks for the opportunity. My question was regarding Bempedoic acid. Since we have expanded capacity to 150 metric tons, if you can give us a little guidance of when do you expect this capacity to get fully utilized? And if you could just share some scenario of what the pricing is right now, that would be helpful.

Saharsh Davuluri: Unfortunately, we won't answer product specific questions on the CMS side, so we won't be able to answer any of those questions. Apologies for that.

Rusmi

k Oza: Okay. Any guidance on the ramp up of utilization also or supplies? We don't need any accurate numbers, but at least some direction could help us to understand the visibility and the potential of this product.

Saharsh Davuluri: I think, see, maybe at a holistic level, what we had indicated is that for our top products, one of the top products we have adequate capacity now available because Unit 3 has also come online. Between Unit 2 and Unit 3, we have more than sufficient capacity to fulfill our customer needs for the next couple of years. What this capacity exactly is, how much of it we intend to utilize is something that we will not be able to disclose. So, if you have any general questions which are not product specific, then maybe we can answer.

Moderator: Thank you. The next question comes from the line of Priyanshu Jain from Growth X Infinity. Please go ahead.

Priyanshu Jain: Hello. Thank you. Congratulations, first of all, on a good set of results. I have majority of the questions have been answered already. So, I just want to know about the EBITDA margins, like because we have seen so much improvement in the EBITDA margins in this particular quarter. So, like, are these sustainable or can you just throw some light on it? Like, what range we can expect?

Saharsh Davuluri: Yes, sure. I think as we have been maintaining in our commentary, I think our margins are a factor of several elements, right? Like exchange rate, product mix, etc. etc. Even in the past, I think we have seen 30% EBITDA for FY 24. And we have also mentioned that these kind of EBITDA margins are not unrealistic. They're very much within the realm of our business. However, we don't plan for them or we don't guide for them. And therefore we don't, you know, explicitly say that this is what our EBITDA margin is going to be. But having said that, I think this quarter, what we have seen, 30% EBITDA margin, I think is representative of the nature of Neuland Laboratories Limited
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the business. Whether it is going to be sustainable or not is something that we may not be able to comment directly. But directionally, I think, as you see better operating leverage coming in because of the growing business and there is healthy evolution of product mix, business mix. It's quite reasonable to assume that these margins could be visible. But again, things like exchange rate or raw material prices could be a dampener. And also, I think going forward, we have to be careful of what the business mix is going to be like. Not every product in our CMS or GDS portfolio has a uniform kind of margin profile. And depending on which products tend to get executed more, there will be a slight difference in terms of margins. So, yes, please take this number, but take it with a little bit of caution. Don't take it as a set number or a guidance.

Moderator: Thank you. The next question comes from the line of Vivek Patel from Ficom Family Office. Please go ahead.

Vivek Patel: Very good evening. Thanks a lot for the opportunity. In the previous call, it was mentioned that 4-5 years ago, we had lost a peptide opportunity due to the lack of manufacturing scale at that time. But irrespective of whether we decide to take up this path, I wanted to understand what is considered to be a sufficient CAPEX to attract large-scale peptide orders or working with high-caliber customers. And regarding the same, how is it that we plan to continue to hire and retain the right talent, be it R&D or otherwise, which will help us position as someone who is ready to set up large-scale peptide manufacturing facilities? Thank you.

Saharsh Davuluri: Thanks, Vivek. I think both are very good questions. I think the short answer is that, yes, this facility that we are building, I think, is large enough to attract most commercial opportunities. And in that context, we would be

able to meet or even those historic opportunities that we may have lost, we may have been able to retain them if we had this facility in place at that time. However, I think, all these facilities are relative in nature, and our idea is to build one large-scale facility so that we are able to present ourselves as ready for commercial manufacturing of large scale. But the idea is that if we find partners who have extraordinarily large requirements or who have very specific requirements, then the idea would be to build the later modules in accordance to the requirements of these customers. With regards to the talent and how Neuland intends to attract talent, it is indeed a competitive environment today as the CDMO business and the pharma business in general is expanding in India. I think there is a dearth for experienced scientists as well as professionals working in the manufacturing environment. And we do have to put in substantial efforts to retain and even continue attracting this kind of talent. I think one of the things that's very important is to kind of define our work culture and be very clear about it. It's very important that people working in Neuland understand the identity of Neuland and are able to get a palpable sense of what our values are. And for that, we have various policies and programs in place that help people understand that. Other than that, it's also very important to create a very healthy working environment, not just from a cultural aspect, but even from an infrastructure point of view. For that having a modern workplace where scientists enjoy coming in and feel that they have the freedom to design experiments the way they want to and feel accountable for goals that they set for themselves. This is something that is not very common in our industry. And that is something that Neuland is trying to do. Other than that, at the shop floor, in the factories, creating adequate resources so that people don't feel continuously
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pressurized on deliveries to provide certain kind of buffers and cushions so that they feel that they have enough breathing space, that helps a lot. And finally, we also need to make sure that

they're compensated fairly and adequately so that they don't feel the need to keep looking for opportunities outside. These are things that we have worked hard to put into practice. One thing that does help is the fact that we have a very focused business model. And that helps us retain the kind of talent that we want to work. Because ultimately, when our recruiters are out there looking for people, our pitch to people is do you want to work for one of the best companies when it comes to process development and scale -up? Then you should come and work for Neuland. And I think having the ability to say that also matters a lot. So, these are some of the things that I can think of in terms of how we retain talent.

Vivek Patel: Thanks a lot for the elaborate answers. But just to clarify the first part of the question, that what would it take to build one such large facility? Just a ballpark CAPEX, what kind of that would be needed if that can be quantified? The reason is because our present CAPEX is still low compared to the industry or the customers that we serve. Just to quantify just one large CAPEX for attracting customers.

Saharsh Davuluri: I think this has been disclosed in the past, Vivek. I think for the Peptide, the Module -1, along with civil for Module -2, I think we are looking at ballpark Rs. 250 crores -Rs. 280 crores of investment. Even if I have to extrapolate that mathematically, we are looking at a thousand crore plus investment just to build out this one particular large scale Peptide production suite.

Moderator: Ladies and gentlemen, we take that as the last question. And I now hand the conference over to management for closing comments.

S E Medikonda : Good evening and thank you once again for taking time to join the call. We apologize for the delay at the start once again. We thank you for your interest and the questions which help us think more about our business in the future, bring clarity even to us as well as to you. We hope we have answered all your questions, but in case you have any further questions, please reach out to Ravi U deshi of EY, even if you have any feedback. Thank you and a good evening.

Moderator: Thank you. This brings the conference to an end. On behalf of Ne uland Laboratories Limited, we thank you all for joining us. You may now disconnect your lines. Thank you.

(This document has been edited to improve readability)

Call: Feb 2026

February 13, 2026

To
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on February 9, 2026

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and nine months ended December 31, 2025, conducted on February 9, 2026. Also please note that this transcript of the call has been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/en/investors/investor-meetings/transcripts>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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Internal
"Neuland Laboratories Limited
Q3FY26 Earnings Conference Call"
February 09, 2026

MANAGEMENT : MR. SAHARSH DAVULURI – VICE-CHAIRMAN AND
MANAGING DIRECTOR
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL
OFFICER
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD,
CORPORATE PLANNING AND STRATEGY

MODERATOR : MR. RAVI UDESHI – ERNST & YOUNG

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Moderator: Ladies and gentlemen, good day and welcome to the Neuland Laboratories Limited Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you, and over to you, sir.

Ravi Udeshi: Thank you. Avirat. Good evening, friends, we welcome you to the Q3 FY26 and 9MFY26 Earnings Conference Call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us the top management from Neuland Laboratories, represented by Saharsh Davuluri, CEO and Managing Director; Mr. Abhijit Majumdar, CFO and Mr. Sajeiv Emmanuel Medikonda, Head of Corporate Planning and Strategy. We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you the broad highlights of the business trends and what he is seeing in the market. And post that, we will open the call for the question-and-answer session. As usual, the standard safe harbor clause applies as we start the call. With that said, I now hand over the floor to Abhijit. Over to you, Abhijit sir.

Abhijit Majumdar: Thank you very much, Ravi and good evening, and warm welcome to everyone joining our call. The financials for Q3FY26 are as follows: Total income was INR447.8 crores, which is 11.4% YoY as compared to INR401.9 crores in the same period last year. The commercial CMS projects contributed to over 50% of the revenue and other priority sustains for this quarter.

As in the past, I would like to reiterate the inherent uneven nature of our overall business on a quarter-on-quarter and year-on-year. The gross margin for the quarter was 52.1% as compared to 53.2% in Q3FY25 and was a function of the product mix within the business this quarter. The gross margin as always includes manufacturing expenses and other costs attributed to the product. The EBITDA stood at INR85 crores at a margin of 19%. The lower gross margins this quarter, combined with the increase in overheads led to a lower EBITDA margin of 19% this quarter.

The overheads include an impact of INR10 crores towards labor codes in Q3FY26.

Without this impact, our EBITDA would stand at INR95 crores with a margin of 21%. The profit before tax was INR54.3 crores as compared to INR71.8 crores in Q3FY25 before extraordinary items, which is the sale of property and the quarterly EPS stands at INR31.5 per share.

The 9-month performance shows that we have been able to maintain a 56% margin versus the same period of 55% last year. The only percentage increase of 19% are towards meeting our future growth plans. Over the last few quarters, we have seen some deterioration in our working capital because of higher inventories as well as an uneven order go leading to higher receivables at the end of the quarter.

Optimal utilization of cash remains a top priority, and we are looking at inventory optimization, accelerated customer collections needed by and even delivery flow. The working capital for the quarter stood at 145 days of sales. As part of our future plan, we continue to invest, and there

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was a cash outflow of INR 254 crores towards capex for the 9MFY26 .

Our capex investments are moving in line with the plan, even as we adjust them to deal with the evolving nature of our business. In spite of this, we have been able to restrict free cash flows to negative INR9.2 crores for the year having secured substantial advances from our customers. Our net debt stood at negative INR202.6 crores. We remain committed to balancing growth and profitability by continuously optimizing costs and processes to ensure long-term sustainability. As a result of the opportunities which are opening and the rapid changes made possible by the acceleration in technology, we are continuously evaluating options to invest, which will enable long-term growth as well as differentiating Neuland in the competitive space that we operate. To summarize, the financials of quarter Q3FY26 was in line with our expectations even as it was a dip on a quarter-to-quarter basis. We expect FY '26 to be a year when we see growth and we continue to be optimistic about the future, given the potential that our business holds. As in the past, the presentation has been shared with the press release and contains more details.

With that, I would like to hand over the call to Saharsh for his remarks. Thank you very much.

Saharsh Davuluri : Thanks, Abhijit. Good evening, everyone, and welcome once again to the call. So maybe I'll just take a few minutes to give you all a broad overview of the business and the perspective from this particular quarter's performance. The numbers this quarter are in line with our expectations in terms of how we assumed the year would pan out, even as some of the key financial metrics are lower than the previous quarters.

Before getting into the details of the quarter, I just want to provide a brief summary of our business and the journey we're on. Neuland began as a quality-focused API manufacturer over 4 decades ago, establishing ourselves as the approved choice with generic formulations in the regulated market. Over the last 15 years, we have further evolved having worked with a number of venture-backed biotech companies or new chemical entity molecules.

Our business has now transitioned to a level where a majority of our revenues are derived from human health-focused CDMO business. And now we have also started working with big pharma. As we have progressed, we have grown in our understanding of the complexities of the business and can now reiterate with more confidence the natural unevenness and long gestation periods of both the CDMO business as well as the specialty GDS business.

As a result, in terms of our strategic plan, we are taking a longer-term view even as it means that in terms of measuring performance, it is meaningful to evaluate Neuland's trajectory

on a 2-year

or a 3-year period rather than a quarter-on-quarter basis. We are seeing this further reflected in the changing nature of our customer engagement where innovators are increasingly looking at Neuland as an integral partner in the innovation journey.

Even as the macro environment is evolving, we are seeing increasing interest from a wider range of customers interested in our capabilities as a proven commercial NCE drug substance manufacturer as well as the developer of robust processes for complex molecules. Our track

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record as an agile partner is opening up more possibilities as well as create share of existing business.

While the CDMO industry is competitive, I believe we have carved out a space for ourselves with our focused strategy, even as we look to build out adjacencies as well as you to work with customers on the cutting edge of innovation. We are seeing this with traction on the peptide side of the business where customers are keen to work with us across life cycle of products, from process design to commercial manufacturing.

Given this interest, we are confident regarding the investments committed for the peptide modality. Even on the generic side, we continue to see customers keen to work with us given our track record as well as our portfolio of products. Even as we see the ecosystem becoming more dynamic, Neuland is well positioned to take advantage given the steps we are taking to further strengthen the capabilities of our team.

Coming to this quarter, as I've indicated earlier, it is in line with how we expected the year to pan out. However, the product mix within the business has meant that the gross margins have been lower than what we have seen over the last few quarters. We have seen significant contribution coming from commercial molecules, even though we didn't see contribution from 1 of our higher margin products in CMS.

Another change that we are becoming accustomed to is the larger value of individual CMS shipments as the business is prospering, which means that small changes in operational or logistical details can have a big impact on an individual quarter's performance. This also did have an impact on our overall operating leverage for this quarter.

Ezetimibe and Mirtazapine continue to be key contributors for the prime GDS portfolio. On the specialty side, we saw Apixaban, Donepezil contribute, but there was a significant impact from Paliperidone where we had some operational issues at the customer end, which has caused some sort of a delay in terms of shipments. Again, this is a reminder for us, the risks inherent of our business.

From a medium-term perspective, as I had mentioned earlier, the CMS business is seeing good traction with a range of customers across geographies. Our existing portfolio is doing well in terms of our relationships with the customers.

We did see the commercialization of a molecule, but we will see a lot more contribute over the next few quarters. We are also seeing new business coming in with deliveries expected to happen over 12 to 24 months. As indicated earlier, all our investments are going according to plan, and we are evaluating avenues to make Neuland, even a better partner for innovators as well as generic players.

During the last quarter, we were able to take that significant step as our Board had approved shifting of our R&D facility to a new campus where we can build a state-of-the-art R&D center.

As we think about Neuland, I would like to remind you that there are a number of factors which Neuland Laboratories Limited

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could impact our business, and we've spoken about this before. We are constantly reminded of the high-risk nature of our customers' attempt

s to bring normal therapies for unmet medical needs, which does impact our projections time and again.

We have also been seeing changing regulations as well as a number of developments in underlying industries, changing the dynamics for us. Apart from that, performance of individual products, foreign exchange fluctuations, raw material cost volatility, unforeseen geopolitical risks and other dynamics of the business could also significantly influence the performance of our business. We continue to monitor these variables very closely and work towards mitigating the risks.

So having said this, Ravi, I'll request you to open this up now for Q&A. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Amey Chalke from JM Financial.

Amey Chalke: First question I have on the margin. Partially, you have answered this question in your opening remarks. I understand why EBITDA margin could be lower because of the top line being lower and the fixed cost having to pay. But on the gross margin side, even if you have 1 product, which is on the CDMO side, which might be on high gross margin side. But what it tells that the remaining portion of the CDMO has lower gross margin compared to the prime segment. Is that understanding right?

Saharsh Davuluri: Amey, could you just repeat the tail end of the question, the last sentence?

Amey Chalke: See, despite having higher CDMO share during this quarter, our gross margins have moved down so does that mean that the CDMOs gross margins are lower than the prime API gross margin?

Saharsh Davuluri: No, I may add. I think that's not a right deduction. I think as I had indicated in the remarks, on high-margin CMS product the shipments were not there this quarter. And other than that, I think some of the higher-margin GDS products also didn't happen like paliperidone is another one, which I talked about in our remarks.

So if I have to say these 2 products had an impact but the rest of the products were pretty consistent. And I think the basic hypothesis you have is that the CMS margins are significantly higher than the prime products gross margin is very valid. So I think those would be the two major factors other than that, they may be small nuances, but overall, the margins of the CMS products are significantly higher than the prime products.

Amey Chalke: Sure. The second question I have, there are 2 things within last few calls. One was the expanded capacity for 1 of the CDMO contracts. And there was 1 CMS project, which was supposed to be commercialized in upcoming quarters. Where are these two things at present currently? And when should we see revenues coming in from these two triggers.

Saharsh Davuluri: Yes. I think I alluded to this, but I'll expand since you're asking a question. I think the expansion of capacity for the additional volume of the CMS product expansion has been successfully

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completed. That ramp-up has started and it actually we've seen volumes being shipped in Q3 as well, but the ramp-up is still very early.

It is going to take maybe another one or two quarters to really pick up so that's with regards to

the capacity that was created in Unit 3 and how it's being utilized. The additional CMS molecule, which we talked about being commercialized, they get commercialized and there were some shipments that I believe went out in the tail end of the quarter, but I think a lot of it remains to be shipped. I think going forward in Q4 and into the next year, and we believe it will be a continuous business going forward. So I think the revenues from that molecule, maybe they're just in a very small component.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one, since it's an in-line quarter. I

just want to understand Q4 and full year fiscal '26,

what are we expecting again? I don't you don't give like a number. But I just want to understand what gives us optimism about Q4, which may not have happened panned out like the way in Q3 that makes us maintain our outlook for '26?

Saharsh Davuluri: Yes. Shyam, I think we are going through a ramp-up period right now. And the good news is that our ramp-up is going on as planned. So, I think our unit scale up new products and the order flow, I think, is continuing to go well. I think with regards to the outlook for the quarter or FY 26, I think now that we are getting into the tail end of the year.

I just want to be very cautious not to kind of give any sort of guidance or input and I know that's not what you're seeking. But I just kind of try to give you two or three thoughts, which I'll leave you to connect Shyam. See, as indicated, the ramp up is happening in a very lumpy manner. We're seeing like potentially INR100 crore s shipment, INR50 crore s shipments going out.

In this environment, as a team, we feel a little guarded not to kind of sound very clear or directional in terms of how we see it happen. So, my request is to just kind of look at the medium-term horizon and acknowledge that we see things going largely as per that plan. If you were to draw a line on March 31, I think maybe I would not be able to give you any more indication that whatever I have said so far.

Shyam Srinivasan: Got it. Helpful. Sir, just a second question is on the traction from innovators. You talked about for the peptide molecule and why they are more keen and gives you the what about the renewed confidence you have in all the peptide capex that you have announced. If you could double-click on that? And are there any illustrations while not taking specific company names, what are some of the say, the work the process design work that you mentioned. Something like that, that gives us some more comfort on that particular capex?

Saharsh Davuluri: Yes, sure, Shyam. I think ever since we announced the peptide investment and I think even leading up to that, I think there's always been a lot of awareness in the pharma space about Neuland's peptide CDMO capabilities. And I think even this year, we've seen at least to the top of my recollection 5 or 6 innovators come into Neuland, with peptide projects, which are kind of underway there in development.

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However, these are still very early stage, programs. So I wouldn't associate them with revenue certainty. But it is definitely an indication that innovators are looking at Neuland as a part of a peptide development and peptide manufacturing. I think it would be ideal for Neuland in FY 27 if we were able to secure at least 1 commercial manufacturing arrangement for a peptide NCE. That's something that I think is very much possible, and that's something that we are working towards. But that would be a good outcome for us having set up this large peptide certainty, which will be ready for commissioning in July. Other than that, a lot of early-stage interest is there. Big pharma, I think big pharma is engaging with us on peptides.

We believe that our endpoint into a lot of new big pharma, not the ones that we are already working with. But the ones who are not familiar with Neuland previously, would be through peptide s. But this is still in a conversation stage where discussions are happening.

This is also where our move into the new R&D campus in Genome Valley will be very helpful because the idea is to also create a very modern process development, scale up facility for peptides. And then when you have a good modern R&D setup for peptides, in our new campus in Genome Valley. And then you combine that with the newly created large-scale peptide manufacturing

capacity, then we would have a configuration, which would probably not be matched by many Indian CDMOs. So that's the value proposition. Assets are still being created. So, it's very hard for us to have concrete projects or deals but I think the message is already being percolated. So, I think we'll have some exciting developments, I believe, in the next year or so.

Moderator: The next question is from the line of Pratiti from Param Capital.

Pratiti: I just wanted to know what would be the impact of the current India EU deal that has happened in the India U.S. deal as well?

Saharsh Davuluri: I think the deals obviously seem welcome the way I think we understand it. I think the typically,

where it's the U.S., I think EU, there is a reduction in terms of what the tariff or the fees would be for import of API. But for us, that has anyway been traditionally borne by our customers, the formulators. I guess the EU trade deal just means that cost of procurement of API from India for European pharma companies becomes a little cheaper.

So perhaps we become a little bit more attractive. We don't see any material change. I think it just makes the business a little bit more attractive. With regards to the U.S. deal, there's no direct benefit because, as you know, Pharma has been exempt from tariffs all along. And therefore, we've never been subject to tariffs until now.

But I guess it does remove a little bit of an overhang for the industry because there was a little bit of an issue. But I guess this is just a personal observation is that there seems to be a continued intent for the U.S. to secure API manufacturing in the U.S. And that's something that we'll have to still wait and watch. I think the U.S. India trade deal does not really alleviate that that potential concern. So, we'll have to just monitor and also probably strategize accordingly. That's how I would read the situation.

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Moderator: The next question is from the line of Aanchal Jalan from A Nanta Capital.

Aanchal Jalan : My questions are regarding our capital allocation. My first question, I like to summarize in a few points. So firstly, in H1 balance sheet, our inventory is of INR550 crores, which you have outlined is for sales setup. But this number is even higher than our guy profit by around 2x.

Secondly, in Q2 concall, you mentioned API manufacturing takes about 4 months?

But according to environmental content, our majority APIs have added 5 to 6 manufacturing process even our largest revenue contributing molecule has 7%. So, I believe majority API should take approximately two weeks to manufacture only because even if 4-month manufacturing is there, this inventory, even at a blended level of their raw material work in progress and finished goods seems to be for approximate 7 to 8 months at 40% of cost of goods sold?

And lastly, this 9-month revenue increase is of 10% to 15%. Inventory has increased by INR170 crores and PAT by INR150 crores. So, prima facie, it looks like whatever profits we do are due to inventory gain. So, can you please provide some clarity on these points? Or will we be seeing any write-off? I'll ask my follow-up later.

Abhijit Majumdar : If you look at our inventory day total days 145, right? And the inventory holding period on our current sales basis is 124 days, which is as we have rightfully said around 4 months. Now we are ramping up our inventories because we expect as the capacities generate the volumes, we hope to see a ramp up in revenue in terms of sales so I guess this is a transition period, right, between us having bought the raw materials plus the ramp-up that we are expecting.

So what will typically happen is over the next two or three quarters, you will see that it will come back to something like 90 days from the current 124 and you can already see it because in Q1FY26

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it was 149 days, then it was 123 and it's 124. So maybe, hopefully, in the next 3 quarters, you'll see this coming back to something like 3 months from 4 months. Does that answer your question.

Aanchal Jalan : Just 1 thing. I note that the increase in PAT is by around INR150 crores in this 9 months, whereas inventory has increased by around INR170 crores. So, prima facie it is still looking at the profit are due to inventory again. Can you touch up on that?

Abhijit Majumdar : No, I don't think that correlation is not correct. You should see increase in inventory with reference to the ramp-up. Increase in PAT has been correlation with the increase in inventory because eventually, I kind of create inventory for future sales, right? So eventually, we should be correlated with future sales. So that's the way you should look at it. Please, I would say, don't kind of link it to profit.

Aanchal Jalan : Sir, can you please repeat just repeat this once again?

Abhijit Majumdar : Thing is that your inventory ramp up is a kind of a precursor to ramp up of revenue, right? So what we have been doing is we've been ramping our inventory to make sure that we are able to meet our revenue expectations from our customers in subsequent quarters, right? Now the conversion of inventory to sales depends on a lot of other factors like production, ability to etcetera. and obviously, the change of adding a customer, etcetera. So, the way to look at it is

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that.

Aanchal Jalan : Sorry to interrupt the inventory increase has been more than revenue since the past 2 years. So, I was just focusing on that one?

Abhijit Majumdar : No. So if you look at our inventory over, say, let's take an example that if you were to look at our

inventory in FY 25, our inventory days was 94 days to sale. Today, that 94 is 124 days to sale. So typically, we are holding on sales days around 3 months. That has moved up to 4 months and so don't look at it as an absolute figure that is saying moving up from 386 to 548 look at it from a perspective of days. So when you look at it from a perspective of days, it actually moved up by 30 days.

Moderator: Thank you The next question is from the line of Ritika Agarwal from Value Quest. Please go ahead.

Ritika Agarwal: First question is on the number of active projects that we've seen at the end of this quarter. We've seen in API in terms of commercial one new molecule being added, which we have been speaking about, while also in the intermediate, we see two molecules being added in the commercial segment. Could you highlight a bit on this opportunity?

S E Medikonda : I think if you were to look at a full year perspective, I think the key molecules that we have been talking about in the past, as Saharsh had mentioned during this commentary too, we have seen the commercialization of that molecule. And I think what we have called out are the more significant molecule and if we were to look at it from the intermediates, I think there are some of the other molecule which are linked with say the API, which are there.

So they are not as high in terms of the potential, but it is more something which is linked to some of the development or commercial APIs, which is happening. So that's the way to look at it.

Whatever we see, which is impactful from a commercial moving the needle perspective, we at least to give some color on them. So, I think that is the way to look at it.

Ritika Agarwal: So got that. Second question is on the new block of a commercialized molecule that got commercialized last quarter, and as per your commentary, we were supposed to ramp up starting this quarter. But just wanted more clarity on this. Is there a delay in that commercialization process because earlier we had said that there is a capacity constraint and once you've added this 100 metric tons of added capacity, and we've

also talked about lumpiness of supply and this. So

what exactly is happening on the broader terms if you could make us understand?

Saharsh Davuluri : Yes. Sure, Ritika. I had alluded to this in my commentary, but I try to elaborate it a little bit. I think our ramp -up of our new production facility is going on quite well. And since given the large volume and the large value of this business, I think the ramp -up will happen in, I think, over a period of time. The ramp -up by itself, I would not say is delayed. I think it's continuing.

In fact, we've had significant shipments in the quarter as well. But I would also acknowledge that we have not even reached the kind of capacities that we have built. And your question which is very valid is that, okay, there is a need for more capacity and now you have created capacity then Neuland Laboratories Limited

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why aren't you producing at full capacity.

I think that's where the complexity of this business kicks in. And I think whether it is not just about the supply chain complexity, which involves inventories and inventory management, but it's also about product manufacturing, modification and regulatory filings, different markets, et cetera.

And many of these CDMO molecules, there are extensive issues around all these domains, which have to be delta. And frankly speaking, even forget about the API manufacturer, but the drug product manufacturer, which is our customer, also sometimes fail to comprehend everything. So I guess the short answer is that the ramp -up is going to happen.

It has started there are no challenges or problems that are facing the ramp up but the time line of the ramp up and how it will hit full capacity is something that we are also trying to uncover and I think for us, the way our CMS business is scaling up, we see that it will ramp up fairly rapidly.

And I think maybe we should see as reaching full production soon, not just for the Unit 3 new facility, but for the other CDMO molecule as well. But I think there are too many unknowns that we are dealing with. These are all issues that we are also trying to uncover as we go. But I would definitely not put them in bucket, which I would call as a problem. I think it's just the time it takes to ramp up.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Yes. Couple of questions from my side. So 1 of them is unit specific, but it's not for this quarter or this fiscal the question is, I mean, as Neuland shifted from low -margin APIs to complex APIs and CDMO services, and can you recall what were the hardest part of that transition that started somewhere around 2005 -2006. So ages ago, but what were the kind of hardest part of the transition that are perhaps not visible to a new investor or even your existing new employees who have joined recently?

Saharsh Davuluri : Yes, Sajal, I think it's an interesting question, maybe since you have put us on the spot, I'll just try to give on the fly maybe Sajeev, you want to add, you can. I think 2 challenges, I think, are fairly strong. One is when you are switching from a prime products kind of a business to a more

complex business, there will be certain investments that have to be made, right, not just on the R&D side, but even in the facility.

The need for capital allocation, especially as the business that you are trying to get into is unknown and fraught with the rest because you are trying to partner with an innovator whose drug is not even yet approved. And then now you are going to spend, say, INR10 crores, INR15 crores, INR20 crores to modify your production plant to accommodate a Phase III or Phase II CDMO molecule.

That decision to allocate capital for that where there is no guaranteed retail, there is nothing to underwrite that investment. I would think that, that's perhaps one major challenge.

I think the

second challenge is more, I think, organizational challenge and internal challenge because the Neuland Laboratories Limited

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it's very challenging to stop or discontinue a very low -margin, high -volume products where we are fundamentally not equipped to compete.

And I think many of you are aware, I think Sajal you are also aware there was products like Ranitidine we used to manufacture it used to be one of our largest products back in the day and now we don't even produce that, to make a decision to stop that product is probably the second biggest challenge because that will face resistance not only from the customers and yes, you give customers maybe a 2 -year notice period saying that we're going to stop.

But it still creates a lot of resistance from the customers. It creates a lot of resistance internally within the organization, right, because your sales teams, your operating teams, even your senior management are questioning the decision to maybe stop a product. But sometimes, those are the hard decisions that we had to make in order to flip from being what we were to what we are trying to become.

S E Medikonda: So Sajal, to add to that, another element of it is operationally, if we look at it, the GDS business, so to speak, is coming in from a number of products which contribute, and that is the mindset of a lot of our operations team even as their mind space is taken more by the GDS products but the value that we see is coming more from the CMS projects. So making the transition from, say, the product outlook say for someone who is doing planning of the production those people making that change is also something which we have been working on, and we are seeing that team come into effect over the last 2 years or so .

Sajal Kapoor: Yes. No, that's helpful. I mean you guys kind of summarized the last 20 years of annual report and so to speak. And second question is I'm looking at Slide 12, and there is a kind of a pattern, and I saw you had joined the call late, so maybe I missed the initial 20 minutes. There is a pattern to my mind and help us just double -click on this one.?

So, when I look at the development pipeline, right, from preclinical to Phase III, that's kind of consistently drying up or that's the impression I'm getting as an outsider. I mean if the development pipeline is not strong, how will the commercial pick up 3, 4, 5 years out? yes, you can always do a tech transfer, a molecule is shifting from China as an example?

And that could be an inorganic addition, which is currently not in the dashboard. But looking at the organic pipeline, the development pipeline should pick up, right? I mean, otherwise, at some point in time, we may struggle with the commercial momentum. may not be immediately, but let's say, 3, 4, 5 years out?

S E Medikonda: So Sajal, I think the observation is right, even as it may seem that the number of projects seems to be if you compare say to last year seems to be similar. But what you also we need to keep in mind is that we are kind of actively keep the list active. And you also know that there are a lot of pages, especially when it comes to the preclinical and Phase I the if we were to look, I see a number of projects which came in last quarter.

I think we had close to 6 to 8 new projects come in. But at the same time, we also know that some of the projects which we had worked on became unviable. So that is something that we are

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actively trying to keep the list active rather than just inflate the number. And that process itself is something which is a little difficult because the time that some of the molecules spend in Phase I, Phase II sometimes customers are trying to look for funding. Those are things which are literally tricky. So as much as possible, so that is a key element. I t

hink Saharsh, if you can just

add to that in terms of the strategy .

Saharsh Davuluri : Yes, I think the question is very valid. And I think maybe even Sajeer, I think we should also go back and try to analyze critically as to are there any gaps in terms of our sales business development process. That is creating any kind of a downward trend. But the 1 thing that I can also disclose as an organization, we are our business development force, our presales team, etcetera, their goals are more aligned around the quality of projects to be brought in, the quality of customers that we want to engage with.

And I can also assure you that as we are becoming more successful and as we are learning more about this business, our threshold for engagement with the marketplace is also changing a little bit which means that perhaps 5 years ago, 7 years ago, if there is an entrepreneur who had absolutely no capital, but just an idea and it was maybe a generic molecule, just a different sort of a generic molecule.

We would perhaps still engage with that customer and maybe consider that to be a project. Today, we tend to be a little bit more cautious. We try to make sure that the program is well funded and that there will be at least moderate the chance that this drug will see the clinic. So that is also becoming, I would say, as a more firmer threshold for us but notwithstanding that, we are definitely not regarding our people based on this tracker.

We do think it gives a fair representation of how the pipeline stands today. But ultimately, the way we measure the performance of the people is, are you able to engage with big pharma on any of these projects? Are you able to attract peptide projects from biotech companies. Are you able to attract projects from the by the companies that we have profiled actively.

So that's where we try to focus our energies on. And in that context, we think our pipeline is pretty healthy today compared to where it was in the past. But yes, to your point, yes, maybe there could be some gaps which we also need to go back and see how we can do better over there.

Sajal Kapoor: That's very comforting and reassuring.

Moderator: Thank you. The next question is from the line of Harshit Dhoot from Dymon Asia Capital.

Harshit Dhoot: Saharsh, keeping in mind the base of FY 24. And as you also know that our quarterly numbers are very lumpy. So if we see from 3 to 5 years perspective, taking in mind FY 24 base, how should we see the growth and margin trajectory of the Neuland going forward? Is it improving from there onwards and other part and are we entering into the multi fold growth period from next 5 years perspective, the kind of pipeline that we have and the kind of shipments that you have discussed that now we are shipping around INR50 crores, INR100 crores of the individual segments?

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Saharsh Davuluri : Thanks for the question. No, I think we feel pretty good. Actually, I think we are in a good space.

The way our business is coming together I think what makes the Neuland value proposition very attractive is the fact that the molecules that current commercial base both on the CMS side as well as on the generic side. These molecules have a very long runway of commercial prosperity. And I think we are still in the early days of ramping them up. I believe that the current year FY 26 and as we go into FY 27, it's kind of the period where the ramp-up is going to happen. This is driven not only by the previously commercialized CMS molecules but also the newly expanded capacity in Unit 3, the additional the CMS molecule that just has started commercializing.

So these will probably come into formation will probably ramp up in the next two to three quarters. We expect that, that will show the potential of the business. We've also indicated earlier that if you see the EBITDA mar

gins that we've had in FY '24, which is around 30%, is a fair representation of the kind of margins that this business is capable of. I know we had a very muted EBITDA this quarter.

But again, that's also because of the reasons that were already explained. And it's not really a representative of the business going forward. With regards to the growth itself, I think what I would like to reiterate again is our growth for the next 2 to 3 years is kind of preordained the fact that these products are already there, and we just need to execute. And yes, there will always be a little bit of hiccups around a couple of quarters here and there.

But I think the next 2, 3 years, growth is already preordained by these products. What we are working towards, which is the peptide investment, the expansion, et cetera, are kind of set growth trajectory for beyond the 3-year period.

And that's where there is also a certain uncertainty, and that's where the need for engaging more with big pharma, the need for expanding our wallet share with some of these relationships the peptide investments. I think these all start kicking in. And I believe that Neuland is very well positioned from this region to capitalize on those opportunities. So yes, so I think that's what kind of makes the picture attractive, at least from our perspective.

Harshit Dhoot: So when a business starts to pick up, then we see a significant growth path than the growth margin and then the business matures. And keeping in mind, the big sector tailwind, your investments

into the peptides, new CMS molecules that we are witnessing, so where are we positioned in terms of the business cycle, in the starting significant growth phase or the second or the other one?

Saharsh Davuluri : I would still say we're in the early part of our growth rate, Harshit because the ramp-ups are yet to begin. I think these investments then perhaps create an opportunity for growth beyond the 3 - to 4-year period. So I think as an organization, as a team, we are aspiring for a decadal growth. I think if you look at 2026 to 2036 I think there is a potential for a business like this to grow at 20 - plus CAGR, but that requires I think, a sequence of right plans to fall in place. But I would say that we are in the early phase .

Moderator: Thank you. The next question is from the line of Dheeresh Pathak from WhiteOak Investments.
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Dheeresh Pathak : I heard you answering on gross margin, and I also saw a comment on the presentation about product mix. but still not very clear. So if you can just help me understand why gross margins look softer this quarter despite the mix of the business from a segment point of view is okay? But it seems that within CMS , there is a product mix issue, but our CMS is not many products, commercial, if you see, right? So I'm just surprised, although you made the comment on product mix, but I'm just surprised on the margins still. So if you can maybe elaborate on the CMS product mix a little bit to the extent possible ?

SE Medikonda: I think Saharsh answered this question a little earlier. So on the CMS side, we said our margins, gross margin, as you said, are higher and much higher than the prime. But 1 of the key products which wasn't part of our revenues this quarter has generally a much higher margin than the average for the CMS side. And the other thing is even on the GDS specialty side too.

We had 1 paliperidone, which has been a key contributor over the last few quarters, which is, again, a very high margin product, where we were not able to ship due to, say, operational issues that our customers win. So those 2 things from a product mix perspective within the businesses were things which have impacted our gross margins.

Dheeresh Pathak : Understood. And this paliperidone thing expected to resolve next quarter or it

s slightly more structural?

Saharsh Davuluri : I think it will be next financial year.

Moderator: The next question is from the line of Rikin Shah from the Boring AMC.

Rikin Shah: So you have already answered questions on molecules and pipeline. So my question on that end are already answered. But I just wanted to understand the quality of discussions incrementally, you have said that growth for 3 years now only depends on execution. But for the growth ahead, like you said, decade growth will require a certain type of focus. So what are the type of conversations with innovators, we are engaging in to make CMS a really big endeavor for us down the line?

Saharsh Davuluri : Yes. I think the in the kind of conversations that we are engaging and these are continuous conversations in terms of trying to understand what are those white spaces for innovators where they need some kind of a partner from like Neuland. And what this would mean is typically we have a very good sense of the marketplace who are all the big pharma as well as some of the more active biotech companies out there.

Engaging with them, trying to identify what are the pain points and where Neuland could help them and then trying to make sure that they are connected with the value proposition is essentially what we have to do. What that process is also teaching us is how do we find a place in that white space, right?

So that is something that is part of our 5 -10-year journey is identifying these investment opportunities and making those calls. So if I have to contextualize this and I would go back, say, Neuland Laboratories Limited

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3 years in the past in 2022, '23, '24, our conversations with innovators led us to the firm believe that large -scale peptide manufacturing was a mean that innovators had.

And we could see an emergence of new GLP -1, amylin analogues, like a lot of peptides coming out require more capacity and that there was a saturation of capacity, especially in the Western world. So that conversations with innovators, coupled with our own due diligence, helps identify the white space of peptide manufacturing at large scale, and therefore, it led us to this investment. So now our plan would be to, for the next 2, 3 years, work very aggressively to find partnerships in peptides so that we are able to kind of build business in that white space. We've identified it. We've created some . We've allocated capital. We are building assets and now the time is to

actually monetize those assets, what will give us growth, say, in the 3 to 5 years. period. Continuing on that kind of work, we would have to continue to identify other kind of opportunities white spaces. It may not just be a new modality like peptide or oligonucleotide. It could also be maybe a geographic expansion perhaps building some sort of capabilities in the U.S. or Europe. That might give us another white space to enter into that could help us sustain growth beyond a 3 - to 5-year period.

So these are just kind of the ways in which we are working. On the organizational front, we also have to become more future ready, which means a team that is handling a INR1,500 crores or INR2,000 crore business, may not be well suited to handle a INR5,000 crores or INR10,000 crores business.

So what are we doing on the people side to ensure that this business can be scaled up sustainably, working on that front is going to be another important part of our plan. So I think we have to work on multiple trends on the strategy, on the business side, looking at what opportunities are there, maybe from India, maybe from a global perspective.

We'll have to look at upskilling our people, expanding our teams, designing our teams in such a way that they are also thinking from a growth perspective. And I think making sure that Capital available and capital is deployed appropriately because we also need t

o find that balance between

not putting too much risk in our growth capital and therefore, that might require us to be very focused in how we pursue growth. So these are some of the broad thoughts in which we are working towards right now. This is what we believe will be the direction which this long -term growth can be achieved.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment Management.

Chirag Shah: I have two clarifications and one question. Sir, first is on the gross margin side, you alluded to the fact that gross margins for next year can be in the red pressure. So can you just indicate how should we look at it? Why I'm asking is because if you look at over the last 5 years from F Y20 till now, we have been a constant uptrend and reaching up to 63%, which is a great achievement.

So over the next 5 years, how should 1 look at gross margin trajectory ?

Saharsh Davuluri : Yes. I think it's a very important question . I think it's been asked like three or four times. So I do

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understand the underlying concern about the gross margin. What I would like to just kind of reiterate is that the margin for this quarter is a function of various things out of which the product mix is the largest factor. Please also just kind of look at o ur gross margin over the last three or four quarters.

What I would also like to provide as context is that look at our gross margins in context of this trend, and that will probably give you a healthier deduction on what is likely to be a stable gross margin for the business going forward. while I don't want to give a guidance or a number saying that this percentage is a gross margin.

What I can assure you is that the gross margin that you've seen in this quarter is more of an outlier or an aberration for multiple reasons that it is not a steady gross margin going forward. So I think what we have seen in the last two, three quarters, I think, is perhaps a better representation of the gross margins going forward.

And the gross margin of this side is more of a one timer, which has been not only impacted it's been impacted largely by the product mix, but maybe a few other smaller factors as well. So I think that's probably what I can say to give you assurance but I think our margins on an overall basis and I think I answered this previously, we've seen a 25% to 30% EBITDA margin and we believe that this business is capable of 30% EBITDA margin and higher if everything is in favor, that kind of margins are sustainable at higher gross margins. And perhaps what we've seen in this quarter is not a true reflect ion of mean gross margins.

Chirag Shah: And second clarification was on the product pipeline, the slide that you share every quarter. So See, I wanted to ask that question. My bigger word is on the commercial projects that you have, it is stagnating at around 9 account. Why am I saying this if you look at H1, our commercial revenue is more than 93%. So if you can just elaborate on that, either the commercial pipeline number has to go up or the value of each pipeline has to see a significant jump for next 2 years, so how should we look at that?

S E Medikonda : No. If you compare Q2 to Q3, I think, which is probably not there on this slide, Slide number 12. If you look at it there, we have actually added that molecule and at the same time, during the course of the last year, some of the older molecules were removed.

So in terms of the commercial number of molecules, I think we don't see anything that it is a concern as such because each molecule has its own story. And I think in terms of the kind of molecules that we have, we have been able to or rather we have been highlighting the molecules where we believe the growth -- a lot of the growth is coming somewhere I think that we continue

to work on.

Chirag Shah: Sir, my

question was a bit different. I'm looking at last 4 -year data. So either are we transitioning to a much bigger size molecule and hence, looking at the number, number of commercials is not relevant or has there been far more dropouts and that trend is not going to be there anymore at this for next 2 years. Only then we can achieve this 20% curve that you are indicating either of the two has to play out?

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Saharsh Davuluri : Yes, your question is very clear now. And I think it's a very fair question. The table, and I think I answered this is actually a representation of the reality. The fact that the 19 commercial molecules are there and your observation is actually right that this number has not changed. The commercial APIs is remaining at 9. The other observation which you made is absolutely right. The value per molecule has also gone up. And you're absolutely right, that is the intention of the organization. I think when we started off in the CDMO business, our first commercial CMS molecule was maybe INR30 crores in revenue and that used to be for us a blockbuster. Today, I think we have several multi -hundred crore molecules in our CMS pipeline.

However, it's very difficult for us to foresee whether a drug, which is in Phase III or Phase II will become a multi -100 crore s molecule or will remain a INR50 crore s molecule. And therefore, for us, this table is a very dispassionate representation of our pipeline. But having said that, we are able to attract innovators who have higher value needs we are able to identify innovators who have higher value even we are now able to engage with greater success with innovators who have higher value needs.

That is, in fact, it is a certainty. It is represented in all the commentary that you have seen. It is represented in all the data that you might have seen in terms of our performance, et cetera. And that is something you can certainly expect from Neuland going forward is that we will keep looking for larger value molecules. It's just that some molecules may still come in with lower value.

And therefore, the table will get populated with all kinds of molecules. So I think that's how I would look at it. The table is a lag indicator or it's rather an indicator of what is the pipeline. But the numbers are something that are dependent on the nature of each molecule and I think we've provided sufficient commentary to kind of substantiate the fact that a 20% kind of a growth rate is very much possible in the kind of pipeline that we have.

Chirag Shah: And last suggestion, because you indicated Q3 was on expected lines. And if you were aware that there is going to be a significant product mix, a qualitative callout would help given that our quarterly are very volatile, a qualitative callout will help us then outsiders. If it was on expected lines as you indicated in the beginning?

Saharsh Davuluri : No, I definitely appreciate your feedback. And I think it's something that I completely understand would help. It's something that is very difficult for us to call out to. And as you know, that's what makes this business very difficult to model or predict but definitely understand your input, and we do make note of it.

I think in this particular case, it would not have been possible to make that call out I think going forward also this business, I think it will be very hard for us to make these kind of product mix - related callouts ahead of time. And that's why we emphasize I'm looking at a slightly broader time horizon.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for the day. I now hand the conference over to the management for closing comments.

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S E Medikonda : We'd like to thank you all for taking time to attend the call and ask me questions, which also

today got greater insight about the business in the future, even as there were some in the queue, we hope you understand the constraints on time. Having said that, please reach over to Ravi Udeshi of EY if you have specific questions, and we will be happy to answer them. Good evening, everyone. Thanks once again.

Moderator: On behalf of Neuland Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: May 2026

May 16, 2026

To
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Mumbai – 400 001

Scrip Code: 524558
The National Stock Exchange of India Ltd
Exchange Plaza,
Bandra Kurla Complex
Bandra (E), Mumbai – 400 001

Scrip Code: NEULANDLAB; Series: EQ

Dear Sir/Madam,

Sub: Transcript of the Earnings call conducted on May 12, 2026

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and year ended March 31, 2026, conducted on May 12, 2026. Also please note that this transcript of the call is been uploaded on our website.

The weblink to access it:
<https://www.neulandlabs.com/en/investors/investor-meetings/transcripts>

This is for your information and records.

Thanking you,

Yours faithfully,
For Neuland Laboratories Limited

Sarada Bhamidipati
Company Secretary

Encl: As above

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“Neuland Laboratories Limited
Q4 & FY26 Earnings Conference Call”
May 12, 2026

MANAGEMENT : MR. SAHARSH DAVULURI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. ABHIJIT MAJUMDAR – CHIEF FINANCIAL
OFFICER
MR. SAJEEV EMMANUEL MEDIKONDA – HEAD,
CORPORATE PLANNING AND STRATEGY

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Moderator: Ladies and gentlemen, good day, and welcome to the Neuland Laboratories Limited Q4 & FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravi Udeshi from Ernst & Young. Thank you, and over to you, sir.

Ravi Udeshi: Thank you, Rutuja. Good evening, friends. We welcome you to the Q4 and FY 26 earnings conference call of Neuland Laboratories Limited. To take us through the results and to answer your questions, we have with us the top management from Neuland Laboratories, represented by Mr. Saharsh Davuluri, CEO and Managing Director; Mr. Abhijit Majumdar, CFO; and Mr. Sajeed Emmanuel Medikonda, Head of Corporate Planning and Strategy.

We will start the call with a brief overview of the financials by Mr. Abhijit Majumdar and then Saharsh will give you the broad highlights of the business trends and what he is seeing in the market. And post that, we will open the call for the question -and-answer session. As usual, the standard Safe Harbor clause applies as we start the call.

With that said, I now hand over the floor to Abhijit. Over to you, Abhijit, sir.

Abhijit Majumdar: Thank you, Ravi. A very good evening and a warm welcome to everybody joining our call. I will take you through our financial performance for the quarter and the year and then share comments on cash flows, working capital, capex and the actions we are taking to strengthen financial discipline through cost and process improvements.

As we have highlighted in our previous call, given the nature of our business, quarterly performance can be uneven, and it is best to evaluate the business over longer periods. With that context, let me start with the numbers for Q4FY26. Total income was INR788.7 crores, up 134.9% versus INR335.8 crores in the same period last year. Commercial CMS projects drove the growth with CMS contributing over two thirds of revenue this quarter.

Gross margin was 62.1% versus 56.3% in Q4FY25, driven largely by the business mix. We also managed higher freight cost towards the end of the quarter due to the conflict while ensuring continuity of supply

to our customers. As always, gross margin includes manufacturing expenses and other costs directly attributable to the product. EBITDA stood at INR319.4 crores and a margin of 40.5%. This exceptional operating margin reflects the record high revenue this quarter. And it is also partly because of a function of the uneven nature of our revenue flows and should not be seen as an indicator of our future performance. Profit after tax was INR212.5 crores versus INR27.7 crores in Q4FY25, and our EPS stands at INR165.6 per share. For the FY, revenue was INR2053.1 crores versus INR1,497.3 crores, a growth of 37.1%. EBITDA was INR603.4 crores versus INR342.8 crores in FY 25 with FY26 EBITDA margin at 29.4% compared to 22.9% last year. Profit after tax for the full year was INR363.1 crores and EPS stands at INR283.01 per share.

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Let me now move to cash flows and working capital, which are key focus areas for us. For the FY26, the free cash flow was negative at INR49.4 crores, driven primarily by higher working capital during the year, along with increased capital cash outflows.

Capex cash outflow for FY 26 was INR397.1 crores. Financing activity was INR21 crores, including a net increase in long -term borrowings of INR60.9 crores. Closing cash balance of FY26 was INR75.4 crores as compared to INR130.4 crores at the end of the year. Working capital days stood at 137 days in Q4FY26 versus 107 days in Q4FY25, mainly driven by higher inventories and receivables, and we believe that this should normalize in FY 27.

Net debt remains negative at negative INR157 crores, supported by cash balances of INR353

crores. And our long-term borrowings at the end of Q4FY26 was INR197 crores. Our approach to capex remains disciplined, phased, aligned with our strategic priorities and executed with a clear focus on returns and long-term capability building. In terms of our priority, our priority is to ensure that approved capex translates into clear execution milestones and business outcomes. Overall, we continue to maintain a strong financial position.

The balance sheet remains resilient with comfortable liquidity, and we remain focused on preserving flexibility to support both growth investments and have operational resilience. At the same time, we are sharply focused on improving our cash conversion. Working capital discipline remains a management priority, and we continue to take actions to kind of work on our collections, inventory normalization and tighter controls so that our profitability translates into cash flows more consistently.

Another related focus area is cost and process improvements, which we see as a structural enabler for sustainable profitability and stronger cash generation. Across the organization, we are progressing on initiatives to improve productivity, reduce variability, strengthen our operating controls and drive process standardization. This obviously includes tighter cost governance, procurement efficiency actions and operating discipline across functions, aimed at protecting margins, improving our predictability and building a scalable operating model as the business grows.

Now, given the recent developments in the Middle East, we are closely tracking raw material coverage and price volatility and are taking actions to protect our continuity of supplies and manage the cost pressures. As in the past, the presentation shared along with the press release contains additional details.

With that, I would like to hand over the call to Saharsh for his remarks. Thank you.

Saharsh Davuluri : Thank you, Abhijit, and good evening to everyone on the call. The numbers are out there, and Abhijit has taken you through them in detail. All I would like to do is spend a few minutes on talking about what's not explicitly in these numbers, but it's very important for all of our investors to understand.

While we have not given formal guidance in the past that we do not intend to do so going forward, we did indicate earlier that FY 26 would be a year of strong growth when viewed against FY 24, especially since FY 25 represented a period of slight degrowth. With the strong performance
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delivered in Q4, I'm glad to note that this outlook was accurate. We have achieved the kind of performance that we anticipated at the beginning of the year.

In fact, slightly better than expected, aided by the favorable exchange rates. As we look at Q4 and FY 26 through this more favorable lens, it's also important to recognize the inherent lumpiness of our business. The same lumpiness that resulted in a record-breaking Q4, if you recall, also made the previous quarter, which is Q3 FY26 a relatively muted quarter. And it's worth stating the obvious. The lumpiness does not recognize financial year boundaries, right? It doesn't recognize or it doesn't care about March 31.

So even sometimes a full year may not turn out to be exactly as expected, although in this case, we did have a strong year as expected. And this does not distract and whatever happens even at a year level, what I would like to point out is that it should not detract from the long-term growth, prosperity and resilience of the business. In the short to medium term, our business visibility continues to be anchored by commercial and near commercial molecules.

This gives us a strong degree of confidence over the next few years. Alongside this, while our GDS business was softer in FY 26, we see good growth potential ahead and have deployed substantial resources across development, customer engagement and capability building to support growth in the short, medium and long term.

Our focus on execution discipline, customer satisfaction and protection of business fundamentals is central to ensuring that this phase of growth is delivered with minimal disruption despite the inherent variability in quarterly performance.

Beyond this, long-term growth requires an enterprising vision, a decisive strategy and careful capital allocation. Much of the work we are doing today is foundational in nature, strengthening capabilities, scale and technical depth so that we are well positioned to attract the right opportunities over time. The outlook for the coming years remains promising. Over the next 2 to 3 years, we have visible growth driven by our existing pipeline. At the same time, we are laying the groundwork for growth beyond this horizon.

A key element of this is our investment in large-scale peptide commercial facilities. This will help us move into a more differentiated space, focused not only on peptide fragments, but also on peptide APIs, thereby expanding both the scope and quality of the opportunities we can pursue. Alongside manufacturing, R&D remains a critical pillar of our long-term strategy. The new R&D center will be an important step up in our ability to support complex programs

across development stages. It will strengthen our scientific depth, enhance cross-functional collaboration and improve our ability to scale customer programs from early development through commercialization. The investment is not just about capacity addition. It is about building the kind of technical and problem-solving capability that will allow us to engage earlier and more meaningfully with our customers and support larger, more complex programs. On the business development front, our efforts over the last year have been focused on improving both the quality and maturity of opportunities entering our pipeline. We continue to see encouraging traction across customer segments, including increasing customer engagement on Neuland Laboratories Limited

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larger and more complex programs. While conversion time lines in our industry r

emain long and

non-linear, the nature of discussions we are having today aligns well with the capabilities we are consciously building across R&D, manufacturing and project execution.

The objective is clear: to prioritize opportunities that offer sustainable, high-quality growth even if that means being selective and patient in the near term. As we experienced in FY '26, growth over the next 2 to 3 years is also expected to remain lumpy. Not every quarter will necessarily show progression. However, if performance is assessed over a longer horizon, say, 10 to 12 quarters, a clear trend line should emerge consistent with the growth outlook that we have always outlined.

On the margins and returns, FY '26 benefited from favorable exchange rate movements. While our ROCE remains healthy, it is expected to moderate as we enter longer capital deployment cycles. We are comfortable with this as long as these investments strengthen our long-term growth engine and competitive positioning.

Today, the focus and in some respects, the key constraint of the business is twofold. First, building an execution engine that can continue to perform reliably at scale; and second, ensuring that we bring the right kind of projects that support high-quality sustainable growth.

Over the last year, in addition to strengthening our key account management structure, we have also put in place dedicated resources to support larger projects across key operating functions. This enhances our ability to serve existing large customers effectively while also building capability in anticipation of similar projects in the future, including deeper engagement with big pharma.

Before I close, it is important to briefly acknowledge the risks and uncertainties inherent in our business. Our industry continues to be exposed to factors such as demand variability, customer ordering patterns, regulatory time lines, geopolitical developments and supply chain volatility. Given the nature of our business, revenue realization can be uneven and the timing of project progression, particularly for complex and long cycle programs can vary.

Additionally, as we embark on larger and longer duration capital deployment cycles, execution discipline becomes even more critical. Delays in customer programs, changes in development priorities or shifts in market dynamics can influence both short-term performance and capital productivity. That said, our focus remains on building resilience through diversification of the pipeline, strengthening operational execution, prudent capital allocation and maintaining a strong balance sheet. While these factors may create variability in the near term, we believe that they do not alter the fundamental long-term opportunity of the business.

To conclude, while individual quarters will continue to reflect variability, we remain confident in the direction of the business, the quality of our pipeline and the foundations we are putting in place for long-term value creation.

Thank you for your continued trust and support. We'll now be happy to take your questions.

Moderator: The first question is from the line of Amey Chalke from JM Financial.

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Amey Chalke: Yes. Congrats to the management and team for the great set of numbers. So first question obvious question I have was on the performance of our CDMO business for the quarter. I agree with you that there would have been a benefit of currency depreciation, but it would be to the extent of 10%, 12%, right? Still our growth looks phenomenal over a year-on-year basis.

So what is driving this? Is it the existing commercial projects? Or have you added any new product in the commercial side? And was there any bunch of orders from the last quarter, which would have also helped during the quarter? Yes.

Saharsh Davuluri : Yes. Thanks for the question. Amey, I think it's -- yes

, I think currency definitely helps, especially because we had a strong Q4 and a lot of shipments happened as the rupee depreciated. So I think we did see a chunk coming in. But yes, I think it doesn't really take away from the inherent growth we've seen in the business. I think the contribution has come from the products we've been looking at in our pipeline.

Amey, I think we had one new commercialization this year, but we've also had ramp-up of volumes of previously commercialized products. So those have largely driven the growth. We continue to have newer molecules enter our pipeline. We're probably looking at one commercialization in FY 27 and maybe 1 or 2 more later. But these don't really come in at a quantum that really changes the trajectory of the growth.

So I think it's really the existing pipeline and the recently commercial molecules and the volume growth in those which have driven this growth. There is some volatility, that volatility is just based on shipments. It could get evened out a little bit, but it's nothing out of the ordinary.

Amey Chalke: Sure. So to summarize, basically, it is driven by the existing products with the help of one commercial launch, which you had also indicated in Q3 ?

Saharsh Davuluri : That's right.

Amey Chalke: Sure. The second question I have is on the peptide side, the contract which we had signed and we had also given the notification. So products look to be in the early commercial stages. So what value add are we doing here as a CDMO first? And if the product move to the late commercials going ahead, they will continue to work along with us, how this contract is structured? Yes.

Saharsh Davuluri : Yes, Amey, I think the contract you are referring to, I think, was an announcement made in partnership with our client. But to be fully transparent with you, it's a very early -stage program, and I would not really associate any near or mid-term revenue coming out of those projects because we do have close to 8 to 10 peptide programs in our development pipeline .

Some are advanced, some are early -stage. I would categorize the one you're referring to in the early -stage. And these are being developed for various therapeutic indications. It will take at least a few years for a program like the one you are mentioning to give us commercial benefit.

The programs that Neuland would expect to be commercialized in our peptide facility are programs that are not perhaps information on them are not available in the public domain. I just Neuland Laboratories Limited

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wanted to clarify that.

Amey Chalke: Sure. And additionally, when we are looking to grow our peptide business, what is our key selling point to clients? And since we have added like the client LIR Life Sciences, so will that help us to add more clients going ahead to work on the similar platform? Is it the platform which we choose which can broaden our clientele in the similar category? How does that the thought process behind the peptide business growth going ahead?

Saharsh Davuluri : Yes. So I think the pitch we make to peptide clients is that we've invested close to 16, 18 years in the peptide space, and we've kind of worked our way organically by making fragments, building blocks, Unnatural amino acid-based fragments and then slowly moved up the value chain, making even peptide APIs.

Our biggest strength is the fact that we have done a lot of process development for peptides in-house in Neuland. We've always had peptide R&D in Neuland for several years, focused on process chemistry, not medicinal chemistry. This is a skill set that is very important when it comes to engaging with clinical stage peptides, especially APIs.

So we were able to successfully showcase those capabilities. And once we showcase those capabilities and now we have also started investing and creating manufacturing infrastructure, it's becoming eas

y for our clients to partner with Neuland. So that's kind of what's giving us traction in the peptide space.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Hi, team. It's always good to see the convex side of volatility and lumpiness, excellent show. I've got 2 questions. First is Neuland has built strong capabilities in complex chemistry and peptides, but the industry's value creation is in my view increasingly shifting towards hybrid modalities like ADCs and fermentation-enabled manufacturing. So what do you see as Neuland's biggest capability gap in sort of participating meaningfully in that kind of an ecosystem? And how are you addressing all of it today? That's my first question.

Saharsh Davuluri: Yes. Hi, Sajal, it's always nice to hear from you. I don't know if I would completely subscribe to the hypothesis. I think that I would agree with the basic concept that more value is in complex chemistry, complex modalities, but I would probably put peptides into that category as well.

I think today, if you see the explosion happening in the GLP-1 and the peptide arena, I think some of these peptides, especially the innovative volumes are going into multi metric tons and the commercial value for a CDMO business is running into billions of dollars per molecule.

So I would argue that the peptide CDMO opportunity is as or more attractive than maybe some of these oligo, ADC kind of opportunities because even if you take just based on my limited understanding of the oligo business, the oligo CDMO business is not as big as the peptide CDMO business.

That's because oligos have not reached the kind of scale. ADCs is again slightly different because there's a math component, there's a biologics component over there. And I think, yes, it is

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definitely a future modality from a CDMO perspective. I think the way Neuland is approaching it is that we are a small company. I think we are really scratching the surface when it comes to this business.

I think we have a long runway of growth in front of us. I think if we continue to sharpen our skills in the small molecule, complex small molecule place, we strategically get into the peptide and start making complex peptides in a meaningful way. And then we slowly start looking for other adjacencies. For example, a peptide capability can help you make linkers for ADCs. So then you're slowly getting into the ADC space through the peptide capability.

And then maybe future through some strategic acquisitions, etcetera, you could climb yourself into these new modalities. But I would see a decade of growth by being invested in these current skill sets, including peptides. But I would not say we should be limited to this area. That's where I would agree with you that you should keep going into these adjacencies.

But I definitely see peptides as more compelling today compared to, let's say, an oligos or even some of these RNAi-based therapies. ADCs, yes, I agree, but ADCs is a different ball game. And I think that's something maybe a future adjacency that we would pursue.

Sajal Kapoor: No, that's very thoughtful as always, Saharsh. Thank you for that. And second, a lot of newer enzymatic and bio-enabled manufacturing routes, they kind of look attractive at lab scale. But commercial manufacturing is ultimately constrained by yield consistency, purification

economics, contamination controls and of course, the regulatory aspects are always there. So which of these do you believe is the biggest real bottleneck today? And where does advanced synthetic chemistry is still kind of retains a more durable economic advantage over these emerging biotech-led manufacturing routes?

Saharsh Davuluri: Yes. No, I think very, again, thoughtful question, Sajal. I'll just give you the businessman's perspective. I'm not a scienti

st or a chemical engineer. But I think your encapsulation of the challenge is very accurate. I think synthetic chemistry-based techniques give far higher scale and are more reliable over long-term.

The biological processes are always challenging. Just if you look at peptides, for example, the 10-15 years ago, the largest volume peptide would be, say, leuprolide, maybe 100 kilos per year. Today, some of the GLP-1s are made at a metric ton scale.

The reason why the industry is able to make metric tons of peptide is because of the advancements in synthetic chemistry, our ability to maybe avoid bypass these cumbersome downstream techniques and come up with modern techniques, which avoid stuff like lyophilization, etcetera.

The reason that has happened is because academia and industry has invested a lot in chemical engineering techniques that avoid the use of these biological processes and have brought in synthetic processes. I think we as a CDMO cannot obviously make those kind of investments in fundamental research, but our R&D groups would follow those developments very closely.

And therefore, as new techniques become available, our goal would be to partner with these kind

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of knowledge-driven organizations and try to make them scalable. But short answer is yes, I think synthetic chemistry-based techniques in peptides, maybe even in oligos would be the area we would like to focus on. And I think there's a lot of growth opportunities over there.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Yes. Just 2 quick ones. First one is on the recent development, 1st of May when one of your big customers of bempedoic acid, Esperion, has been taken over or at least has been a bid from ArchiMed. So just not getting into that transaction, but more from a longevity of this business. Is there any change in course, you think? Or the dedicated capex we put some time back, and what are some of the messaging you are actually picking up from this transaction? Because one of the key concerns from an investor perspective is what happens to bempedoic acid post patent expiry sometime later this decade, right? So just want your thoughts on how this product is evolving?

Saharsh Davuluri: Yes, Shyam, thanks for the question. Shyam, I think just given that these CDMO molecules are under confidentiality clauses, we will not be able to comment or acknowledge what molecules we make for whom and what the underlying transaction that you're referring to. I think general comment I can give you, which might be helpful is that, see, generally for all our CDMO businesses, M&A of sponsor companies is a very natural part of the business.

I think a lot of biotechs get acquired, some of the biotechs we've contracted with have gotten acquired by big pharma. One is supply agreements usually have inherited clauses. So change of ownership does not necessarily annul or create any kind of disruption to the supply agreement.

Second of all, usually for these kind of CDMO relationships, customers are looking for securities of supply and making sure that the patients are getting the medicines. And what we have seen from all our conversations with our CDMO customers is that typically, no one wants to disrupt supply chain. People are looking for continuity. I think any kind of disruption might happen if there is a clear performance problem or some kind of a strategic change.

So usually, when these kind of M&A transactions happen, we don't see any immediate risk. And even if we were to see anything, then we would obviously not be able to comment on specific CDMO molecules. But we will obviously as a responsible company, temper our outlook and modify our outlook and indicate if we see some short-term challenges.

So for that, I would ask you to just revert back to the opening

comments I made where I made

comments about short-term, medium-term growth and our visibility of business from these commercial molecules.

Shyam Srinivasan: Helpful. Thank you. Thank you, Saharsh. Just second question, just on outlook only. So should we rely on some of your past guidance on quantitative elements of the growth and margins? We have talked about 18% to 20% CAGR over time. I'm not pinning it down to a year.

Also margins, is it better to look at H2 margins rather than Q4 margins as a place to start? And if you were to look at FY27 or FY28, whichever you want to talk about, how should we look at

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say growth and margins, please?

Saharsh Davuluri: Okay. My CFO started laughing at your second question, but I won't let him answer. I think the 18% to 20% is a fair assumption not necessarily linearly. I think margins, I think it's definitely we've always been a little bit conservative in terms of how we've looked at our margins. That's because how we fundamentally budget our numbers, whether it's exchange rates, raw material pricing, volumes, we tend to be slightly on the conservative side and therefore, the margins play out better than expected.

I don't know off top of my head what the H2 versus H1 is. So, I don't want to comment on it. I think you can see a trend line, Shyam. I can't give you a better prediction than that. So I would say nothing has changed fundamentally. I think that things are looking slightly better than what we typically paint the picture to be.

Moderator: The next question is from the line of Shrikant Akolkar from Nuvama.

Shrikant Akolkar: Congratulations on a very good FY26 performance. Would it be possible for the management to provide the capacity utilization across the 3 units at the moment?

Abhijit Majumdar: Yes. So the current capacity utilization of those 3 units are close to between 85% to 90% and the last unit is around 65%.

Shrikant Akolkar: Okay. And in the initial comments, you talked about the longer capital deployment cycle now.

Can you elaborate a little more on this? So what are we thinking in terms of capex and utilization of the cash that we have generated in FY26?

Saharsh Davuluri: Yes, I think maybe I'll just give an answer and then maybe I'll request Abhijit to add if there's anything after that. I think what we were alluding to is that as the facilities are getting utilized and we are seeing the business grow in scale, we are also looking at long-term growth slightly differently.

I think our planning and I think the way we are thinking about capital allocation has become a little bit more long-term from being tactical. I think just to illustrate this point, I think 2, 3 years ago, we built a production block for a CDMO molecule. And we built that block because we had a long-term contract that was secured. And therefore, for us, it was a very comfortable investment.

Now I think for us, our thinking also has fundamentally started to change because now when you are at a INR2,000 crore revenue and you're going to grow, eventually, you will be adding hundreds of crores every year, maybe INR500 crores, maybe even in the future, INR1,000 crores a year, which requires a different level of preparedness in terms of creating a base, creating production blocks and being ready to engage, especially with newer clients, clients like big pharma clients.

So, I think that's the game that needs to be played and that requires a different mindset of capital

allocation, which is what was being referred to in the opening remarks.
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Moderator: The next question is from the line of Vivek Rakholiya from Ficom Family Office.

Vivek Rakholiya: Congratulations on a great set of numbers. I wanted to have an understanding of any of the reasons for the leadership transition with Saharsh

taking over as CEO and MD from Sucheth, who become a Vice Chairman.

Saharsh Davuluri: Yes. Thanks. Thanks for the question. Yes, I think the role change between Sucheth and me effective April 1 was part of a preplanned transition. Basically, the background is that as the business is growing, both Sucheth and I as full-time directors, promoters were focusing on essentially similar parts of the business.

Both of us were looking at the day-to-day business. And what the Board felt as the business is ramping up, it would be more effective for the organization if one of us was to focus more on the day-to-day business and how the business is operating on an ongoing basis. And the other promoter focus more in terms of the long-term and areas that are important to the business, especially as we grow in size. So that's how the roles have evolved.

I think for me personally, just given the my role in the building of the CDMO business, I mean just to give you the background, I've been with Neuland for close to 19 years now. And my role in the company was essentially to build the CDMO business. So as the CDMO business has been ramping up, we also felt at the Board that it would be logical for me to drive the day-to-day business since I understand the business from an end-to-end perspective. And it would be more meaningful for Sucheth to take on a slightly long-term role.

He's been responsible for operating the Neuland Foundation, which is a new initiative that the organization is taking. I think as an organization that's manufacturing oriented, we are also looking at enterprise risk, sustainability. And these are all areas that were in the past not really covered between both of us. So it's more of a role clarity and a role separation. But Sucheth also continues to be equally involved in the business.

Vivek Rakholiya: Thank you. Thanks a lot for the answers, sir. The next question is that as per the S&P Global data from March, the global PE/VC biotech funding has declined sharply since 2021. I understand that you answered partially, but how is this trend impacting your business, the RFQs and client inquiries? And how do you plan to navigate this trend?

SE Medikonda: So Vivek, if I were to understand your question correctly, you're talking about how the funding environment is affecting our business, right? And I think as we have said in the past, I think a lot of our business and our growth is driven more by molecules which are in the close to commercial and in the clinical phases.

And a lot of the funding has affected more the discovery in the early phases. So, we haven't seen that affect our business as much. But at the same time, it affects the pipeline funnel over a period of time. But the focus for us continues to be molecules where the IND is being filed that is where they are entering Phase I onwards.

So I think there, we continue to have good visibility. And irrespective of the funding environment, molecules with good data continue to do well. And I think our focus, the BD team's

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focus is such molecules. And I think we have been fortunate that even our customers, some of the molecules have done well in terms of their data. So we don't see this impacting us in the short to medium term.

Moderator: The next question is from the line of Ritika from Value Quest.

Ritika: First question is on peptide facility. We had earlier talked about this getting operational in July.

Are we on track for this? And by when do we expect commercial quantities to start? Do we already have firm contracts for this facility?

Saharsh Davuluri: Yes. Yes, the facility will be ready by July as per schedule. There has been no change in the date for that. We have projects that will ramp up in this facility, and we have visibility for these projects. I would probably not go as far as to say that we have firm contracts

because these are early-stage projects.

And yes, they are near commercial, but I think we will probably focus first on completing validations, qualifications and go through that process, which is pre-commercialization. And then maybe we will, in the same time, get into contracts and stuff. So yes, I think we are very excited.

I think we have project visibility and so there is enough pipeline to feed into this facility.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment Management.

Chirag Shah: Yes. I've joined a bit late so apologies if I'm repeating the question. The first question is with respect to the quarterly results or H1 results, however you wish us to look at, and bringing in the context of past there is volatility in the business. Any comments? Is that the nature of volatility changing and it would be much less volatile? And how much of the Q4 results is kind of one-off, lumpy, et cetera, et cetera? So that's first question that I have?

Saharsh Davuluri : Yes. Thanks for the question. I think volatility and how long it will last, is difficult for us to say because we are seeing a very dynamic growth in the business. And some of the newer molecules are also fairly high value. Typically, volatility is brought about by newer molecules. The older molecules tend to be less volatile. But when the new molecules are also significant in terms of value contribution, then this volatility will continue.

So, I don't even necessarily see it as a negative thing. I think as long as we have investor alignment that this volatility is part of our business, I think it's something that we should be okay with. I would not see us going to a 25% times 4 kind of a situation anytime in the near future, because the moment these newer molecules stabilize, then there's a possibility that some new molecules will come and they will bring in the volatility.

And sometimes these newer projects are also very high-value projects. So it's not like the base has become big, so the volatility is reducing. So we are also finding it very challenging to kind of demystify the volatility. But that's the reality of our business. And I would go back to the comment I made saying that look at a multi-quarter trend and then make a reduction in terms of the growth rate and the margins. I think that will give you a better comfort for your modeling and visualization.

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Moderator: The next question is from the line of CA Shilpa Saboo an Individual Investor.

Shilpa Saboo: Congratulations, sir, on the good set of numbers. My question is for the CFO, Mr. Abhijit. Sir, in Q3 call, an individual investor has asked a question about inventory manipulation. But in the transcript, some words are changed, which has changed the essence of the question, whereas the audio on your website is crystal clear and SEBI guidelines also don't allow these changes.

So, this looks like actual manipulation somewhere. Can you please justify this?

Abhijit Majumdar: I'll have to check back on what you have mentioned and then revert back to you, Shilpa. I don't have the facts and figures right in front of me to react to your question?

Saharsh Davuluri : Which quarter is she referring to?

Shilpa Saboo: Sir, Q3 FY '26 at 24 minutes, 26 seconds .

Saharsh Davuluri : We'll check and get back to you.

Moderator: The next question is from the line of Mehul Panjuani from 40 Cents .

Mehul Panjuani : Congratulations on a great set of numbers. Sir, you are explaining to one of the participants, Mr. Sajal Kapoor about that we don't see that ADCs are I mean, peptides are less complicated than ADCs. So I understand that peptides are mainly used in GLP -1s. But what leads to the complexity actually? If you can help me for a person, a layman like me?

Saharsh Davuluri : Yes, sure. I mean just full disclosure, I'm an electric e

ngineer, so I might find it a little difficult

to explain it to you technically. But I just want to clarify that to Sajal's question, I did not say that peptides are more complicated than ADCs. See, ADCs are a biologic molecule which is tethered to a small molecule using a peptide linker. So even rudimentary textbook definition will tell us that ADCs are more complicated.

What I was telling Sajal is that peptides are very lucrative as a business. And when compared to the oligonucleotide business, I believe the CDMO business value of peptides is higher than the oligo business. But when it comes to ADCs, the molecules are far more complicated and therefore, I would be very clear to reiterate that ADCs are more complicated than peptides.

However, I'll still respond that peptides are long chain molecules and are made of series of amino acids. They tend to be very delicate. And if they are not synthesized in the appropriate way, they tend to fold and they tend to form a lot of impurities. So, the synthesis of peptides is considered to be far more complex and challenging than synthesis of traditional small molecules.

So, when you look at the business from the prism of small molecules, peptides are far more complex and therefore, they are far more value creating if you're able to make them. And because of the explosion of these GLP -1s for metabolic diseases and other indications, there are a lot of molecules out there that are peptides and there is a need for CDMO services for these peptides, especially on the NCE side. That's the area we want to target because we believe that as a small company, we have a lot of opportunity in that area, which is the point that was being made earlier to Sajal.

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Moderator: The next question is from the line of Bharat Shah from BCS Capital Ideas Limited .

Bharat Shah: Yes. Over many quarters and years, actually you have been very fair and consistent in guiding about the character of the business and inherent up and down character of the business, so that quarterly kind of precision that unfortunately investors are looking for all the time is something which is not inherent in the business. And you've been very, very fair and consistent in guiding the kind of rough gravity trend the Neuland business is.

You made a comment that compared to FY 24, FY 26 has finally registered a meaningful growth. If you regard FY 25 is a blip, but after all the ups and downs over this 2 -year period, the growth is about roughly 10% compounded over this 2 -year period when we measure it from FY24 to FY26. So, for all the so much volatility, relative underlying velocity of output finally is somewhat underwhelming? Or am I being unfair in saying this?

Saharsh Davuluri : Yes. Thanks for the question, Bharat. I think whether it's underwhelming or overwhelming, I think those are individual deductions and I think certainly not our place to comment on it. I believe that the kind of growth we've demonstrated and the growth we aspire to is, I think that's what we are talking about. I think the 18% to 20% CAGR that we talked about is potential that we see.

And I think the kind of growth we have seen in FY 26, where we ended at INR2,000 crores, I think we talked about it on the base of FY 24, which was, I think, at about INR1,500 -plus crores.

So yes, I think when you pick a period of time or a frame of reference, I think the numbers will kind of not be as promising or as attractive as the management may portray it.

But nonetheless, I think we look at a longer horizon. And in fact, when I even talk to investors about 18%, 20% CAGR, I'll just talk about it over a 5 -year period, and I always talk about it as aspirational. So, I would just ask you to look at those comments in that context. But I would not probably get into a debate in terms of whether this is attractive or not. I think that's for you to

decide.

I think the business that we have built, I think, is very attractive. And I think the base we have today in terms of the pipeline and the potential we have is fairly strong. So, I think it is an attractive business. But I really don't want to either agree or challenge the hypothesis that you made.

Moderator: The next question is from the line of Harshit Dhoot from Dymon Asia Capital.

Harshit Dhoot: Sure. So, Saharsh, we are in the peptide capability from last 16, 18 years. We are working on that. We have developed several molecules from basic to complex range. Now we are putting the capacity also. So from an investor's point of view, seeing the company from 5 years and more than 5 years down the line, this category in itself has the potential to create one more Neuland in terms of numbers?

I don't want to know the name of the specific molecule, specific capability. Just what the company Neuland Laboratories Limited

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is building and how should investor look at it from next 5 years perspective? Is it fair to assume that this category in itself has a potential to create one more Neuland in terms of numbers?

Saharsh Davuluri : Yes. See, I think if you look at the market potential, I think we've also had outside consulting firms evaluate this space before we committed to our peptide investment. We were told that it's a \$5 billion, \$6 billion, just the CDMO space, \$5 billion, \$6 billion market opportunity, and it has a very healthy CAGR as an industry because there's a lot of GLP -1s coming in.

It's not just about the weight loss drugs that have been commercialized, but it's also about the next gens, not just from the large companies, but other companies as well. So there is a plethora of development candidates, which are peptides. And that creates a very attractive value proposition. So, I think the short answer is that it has the potential to create another Neuland for sure.

It may take a few years, it may take more than a few years. I think that really depends on the nature of the opportunity. I think from Neuland point of view, I think we are looking at this business as a current capability plus peptides. So, we're not really looking at leaving our small molecule capabilities. We are looking at adding that on.

And we think there's a lot of magic that can happen between small molecules and peptides.

There's a lot of also work you can do on the small molecule side, which lead into the peptide business. So, I think aggregately, it will be a very exciting business model. How big this business can be, I think, really depends on how the opportunities play out.

Our goal is simply to just be kind of one of the on the forefront, at least from our part of the world

and make investments, be ready and create the opportunities. But we really have to see how it plays out. It's kind of like the CDMO story we were talking about 5, 7 years back the CMS business was like 10%, 15% of our total revenues, we knew that it has potential, but we were not quite sure how it would scale up. I think we're in a similar kind of a situation with peptides where we believe it will grow. But obviously, we also don't want to get ahead of ourselves by making it sound concrete.

Moderator: The next question is from the line of Raghunath, an Individual Investor.

Raghunath: Yes. Sir, how we are using the AI for our operations for manufacturing processes? Are we gaining some advantage because of using the AI?

S E Medikonda: So, Raghunath, thanks for your question. I think at this stage, we are in terms of manufacturing, we are still exploring. I think there are certain areas in, say, R&D and certain other operations where we have done a few pilots. I think that is where we are at this point of time.

Saharsh Davuluri : I think there are three basic areas of AI. And I think the base layer, which is trying to get repeat tasks or tasks which are ki

nd of redundant if you can get AI to use them. So, I think R&D is definitely one area as Sajeev talked. In manufacturing, I think the only area that we are exploring is if we can get AI to scan a lot of manufacturing data and be able to point to where the root cause of investigations are I think that's an area that's being explored. But I think it's still very early days for us, but we're very committed towards bringing in AI applications meaningfully into the Neuland Laboratories Limited

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business.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments.

Sajeev Medikonda: Good evening, everyone. Thank you once again for your interest in Neuland and for your questions, which helped us to also answer as well as think a little bit more about the business.

Even as we probably haven't been able to answer all the questions in the queue because of the paucity of time, please do reach out to Ravi of EY in case you have further questions. With that said, good evening, everyone.

Moderator: Thank you. Ladies and gentlemen, on behalf of Neuland Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)